

HAADTHIP

HAADTHIP PUBLIC COMPANY LIMITED



**ECO-EFFICIENT
MANUFACTURING
FOR A BETTER
TOMORROW**

One Report 2022

HAADTHIP

Vision

We are the leader in the beverage industry and committed to sustainable growth with the communities

Mission

1. To be a completely integrated beverage company and to maintain the leading position in the southern market, with revenue, sales and profits soaring on a continuous basis.
2. To continue to be the manufacturer, distributor and service provider of high quality products to customers and consumers, so that the Company is trusted as part of the South.
3. To ensure that the Company's personnel have integrity, perform their duties with loyalty and honesty; and have responsibilities to the organization and society as a whole.
4. To be an organization with good governance, through the creation and development of the type of personnel that the society needs; and taking part in the development and improvement of natural resources and environment in a responsible and sustainable manner.

Purpose

Continually increasing profitable, sustainable unit case sales of our products by satisfying new and existing consumers through excellent service to and with our customers at an increasing return

Value

We will create an organizational culture on the foundation of the following 10 values:

1. Integrity: To be loyal, honest, open and sincere
2. Individual Initiative: To be creative and to initiate new work ideas individually
3. Customer Value: To always focus on customers' needs and expectations and add value to their businesses
4. Teamwork: To work as a team and support co-workers in order to raise overall performance level
5. People Development: To create personnel of quality through continuous training and development process
6. Mutual Trust & Respect: To treat each other with respect and to be trustworthy
7. Commitment: To hold oneself responsible for and to perform the tasks as committed
8. Always be part of the South: To be responsible for the society and environment in order to leave no impact to later generations
9. Relationship Marketing: To continue to strengthen the relationship with customers, consumers and government agencies of all levels
10. Fun: To have good balance between life at work and personal life, and to work happily on a daily basis



Contents

4

Financial Highlights

6

Message from the
Chairman and the CEO

10

Board of Directors

12-70

Part 1

Business Operation and
Performance

- Business Structure and Operation
- Risk Management
- Driving Business for Sustainability
- Management Discussion and Analysis
- General Information and Other Important Information

71-115

Part 2

Corporate Governance

- Corporate Governance Policy
- Corporate Governance Structure and Important Information about the Board of Directors, Sub - Committees, Executives, Employees and Others
- Reports on the Results of Major Corporate Governance Performance
- Internal Control and Related Party Transactions

116-179

Part 3

Financial Statements

- Financial Statements

180-222

Part 4

Attachment

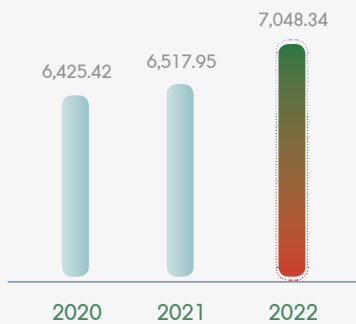
- Attachment 1 Details of Directors, Executives, Company Secretary and Bookkeeper
- Attachment 2 Details on the Directors and Executives of the Company and its Subsidiaries
- Attachment 3 Details of Head of Internal Audit
- Attachment 4 Report on the Directors' Responsibilities for the Financial Report
- Attachment 5 Sub-Committees Report
- Attachment 6 Corporate Governance Policy and Code of Conduct
- Attachment 7 Charters of Sub-Committees

Financial Highlights

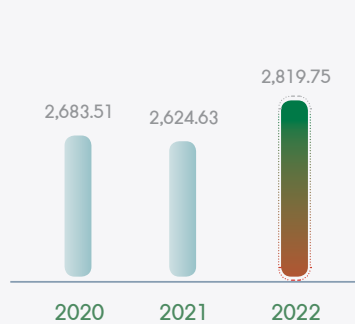
	2022	2021	2020
Statement of Income (THB million)			
Revenue from Sale of Goods	7,048.34	6,517.95	6,425.42
Cost of Sale of Goods	4,228.59	3,893.32	3,741.91
Gross Margin	2,819.75	2,624.63	2,683.51
Total Income	7,092.54	6,544.55	6,444.09
Distribution Costs and Administrative Expense	2,328.22	2,010.68	2,052.93
Profit for the year	430.98	533.32	564.94
Statement of Financial Position (THB million)			
Total Assets	5,915.22	5,427.93	5,326.11
Total Liabilities	2,161.81	1,814.03	1,872.14
Total Equity attributable to owners of the parent	3,752.28	3,608.67	3,450.58
Shares or Information about Common Shares			
Shares and Fully Paid-up Share Capital (Million Shares)	200.96	200.96	200.96
Book Value per Share (THB)	18.13	17.98	17.19
Earnings per Share (THB)	2.16	2.66	2.82
Dividend per Share (THB)	1.52	1.79	1.90
Dividend Payout Ratio to Net Income (%)	70.00	67.40	67.59
Share Price at the End of Financial Period (THB)	28.00	35.50	32.00
Financial Ratios			
Net Profit to Total Sales Revenue (%)	6.08	8.15	8.77
Return on Equity (ROE) (%)	11.82	15.17	17.79
Return Total Assets (ROA) (%)	9.44	11.91	12.68
Debt-to-Equity Ratio (Times)	0.58	0.50	0.54

Statement of Income

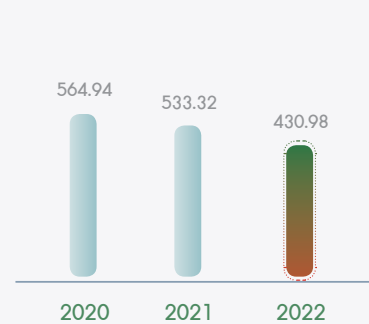
Revenue from Sale of Goods
(THB million)



Gross Margin
(THB million)

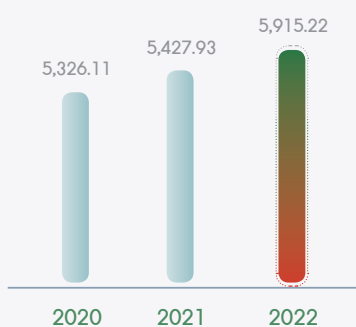


Profit for the year
(THB million)

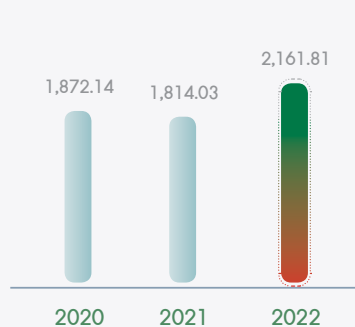


Statement of Financial Position

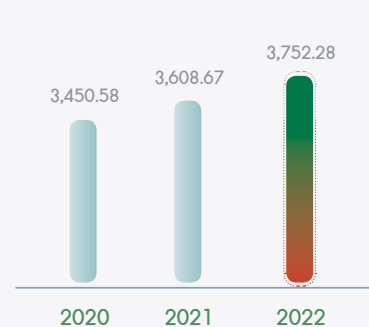
Total Assets
(THB million)



Total Liabilities
(THB million)

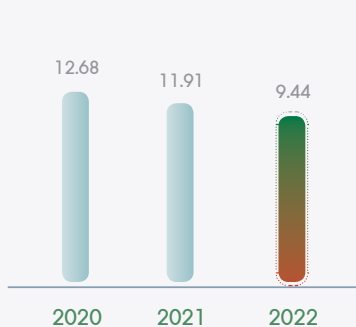


Total Equity attributable to owners of the parent
(THB million)

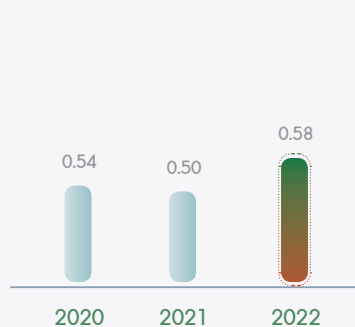


Financial Ratios

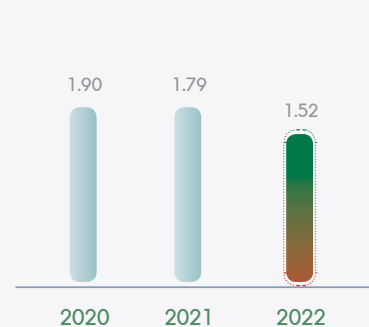
Return Total Assets (ROA)
(%)



Debt-to-Equity Ratio (D/E)
(Times)



Dividend per Share
(THB)



**Maj. Gen. Patchare Rattakul**

Authorized Director

Chief Executive Officer

Chairman of the Good Corporate
Governance Committee

GEN. Charan Kullavanijaya

Chairman of The Board

Independent Director

Message from the Chairman and the CEO

To Shareholders

I would like to thank clients, staff and investors including all stakeholders for your excellent support. In 2022, the world still experienced the impact from the pandemic of coronavirus 2019 (COVID-19) but because of cooperation of Thais, COVID-19 situation had relieved. Thailand's tourism had recovered. International tourists had increasingly arrived Thailand and South of Thailand. The company had operated with a strong focus on staff's safety. The Company's Board of Directors, executives and staff joined hands to operate in accordance with effective strategy plan, promptly adaptable to the situation to respond to the change of clients' need and to generate good return to all stakeholders. Consequently, the Company's financial position remains strong, and the Company has continuously maintained a leader in sparkling soft drink (SSD) market. The marketing shares of the non-alcoholic-ready-to-drink (NARTD) market and sparkling soft drink (SSD) market in Southern part in 2022 at 25.5% and 80.7%, respectively.

In 2022, the Company invested in the expansion of plant at Punpin, Suratthani for more than 1,700 sq.m. The plant expansion can install 3 production lines. The 1st production line, installed in December 2022 is PET production line with best modern technology, effectively and quickly adjustable for different PET sizes to meet the changeable needs of clients. The new line also has energy saving technology. The plant building was constructed for environment friendliness with an emphasis on solar cell usage for production. The new production line will increase the highest production capacity from 45 MPC per year to 78 MPC per year.

Company's Performance 2022

In 2022, the Company's revenue from sales was Baht 7,048.3 million, an increase of Baht 530.4 million or 8.1%, comparing to Baht 6,518.0 million in 2021. Total sale volume was 64.3 million unit-cases, an increase of 3.9%, compared to 61.9 million unit-cases in 2021. The revenue and sales volume increased mainly due to the tourism recovery from the ease of Covid-19 control measurement. Moreover, the Company used the revenue growth management through products and channel mix. The Company increased price of sparkling soft drink in some packages in August 2022. Total sale volume were 61.9 million unit-cases, a 4.0 % increase compared to 59.5 million unit-cases in the same period of the year 2021. The main reasons were increased sales of large products aimed at household consumption, promotion in certain items and distribution channels, active marketing and market visits under strict COVID-19 safety regulation as well as adaptation to new technologies to improve sales performance. From the operating results of the year 2022, net profit was Baht 431.0 million or equivalent to earnings per share of Baht 2.16. As such, the Board of Directors had proposed a dividend payout from the operating results to the shareholders of the Company at the rate of Baht 1.52 per share, totaling Baht 305.46 million or 70.00% of profit for the year according to the Consolidated Income Statement. An interim dividend had already been paid out to the shareholders of the Company at the rate of Baht 0.55 on 26th September 2022. Therefore, the remaining dividend to be paid out shall be Baht 0.97 per share, with the dividend payment date set to take place on 19th May 2023.

The Company operates business, based on the concept of Sustainable Development

HaadThip has integrated sustainable development into its business management. The Company was, therefore, selected to be one of the 146 companies listed in Thailand Sustainability Investment (THSI) for the year 2022 in the category Agro & Food Industry by the Stock Exchange of Thailand (SET). The Company has been on the list for 5 consecutive years, which reflects the fact that for the past 50 years, the Company has been determined to run business towards sustainability with a focus on Environmental, Social and Governance (ESG). This would guarantee the continuity and operational effectiveness, while all stakeholders across the supply chain including communities and society have been given close attention so that all involved can overcome difficulties and enjoy sustainable growth together.

Moreover, in the same year, the Thaipat Institute announced that the Company was selected to be one of the ESG100 for the year 2021 that are outstanding on environmental, social and governance performances and company results in Agro & Food Industry group. The Company was selected to be ESG100 for the fourth time (2015, 2019-2022).

For Thai Social Foundation awarded “Excellent Organization for 2022” for sustainability management because of its outstanding results in sustainability management.

The Company believes in good corporate governance

The Board of Directors and executives have continually set a high value on the code of conduct in performing, controlling and governing the corporation. Staff at all levels were instilled corporate governance along with business ethics to ensure efficient and solid business management as well as support the sustainable growth of the Company. By holding corporate governance and continual development in high regard, the organization can achieve effective business management and build maximum value for shareholders, stakeholders, society and the environment in general. In 2022, the Company was assessed and earned an average score of 87%, an increase from 2021, 4 stars of recognition or a “Very Good” for corporate governance performance by the Thai Institute of Directors (IOD), and received the score between 90-99 or a “Excellent” from Shareholders Meeting Quality Assessment Program (the AGM Checklist 2022), organized by Thai Investors Association (TIA).

The Company continues to operate with Anti-Corruption Policy

The Company’s business conduct with those concerned shall be carried out with transparency, integrity and compliance with the law and involved standards and shall support business partners to follow the Anti-Corruption Policy. In 2022, the Company submitted a self-assessment to recertify its membership in the Thai Private Sector Collective Action Against Corruption, which has been established by the Thai Institute of Directors (IOD) and supported by Government and Office of the National Anti-Corruption Commission (NACC) since 2013. The Company renewed membership of Thai Private Sector Collective Action Against Corruption for 2nd time which has 3-year period. It shows the Company’s transparency, building up confidence of investors and Stock Exchange of Thailand.

Human rights and Equality

The Company highly regards and encourages every unit to take human rights seriously by integrating the issue into the organization's culture. Human rights topics were considered to develop people in the Company, business partners and throughout the supply chain. As a result, the Company received an outstanding award "Human Rights Award 2022" in the category of large scale enterprise (at national level) for and was the only private organization located in the South to receive this recognition.

The Company received "UN Women 2022 Thailand WEPs Awards" in the category Leadership Commitment and Honorable Mention for Gender-Inclusive Workplace, given to Maj. Gen. Patchara Rattakul, Chief Executive Officer for gender equalization and women empowerment of UN women.

2023 look forward

In 2023, the Company will continue to focus on maintaining a champion in the South's market share which will secure current clients and expand to new clients, while the Company grows with sustainability target and cares for society and environment. The Company will use flexible strategy plan to handle and respond with changeable situations. The Company will focus on the escalation of operation and business management's effectiveness with the usage of new technology for work potential increase while enhancing capacity level of staff with consideration of all stakeholders including shareholders, clients, partners, community and staff.

Lastly, the Board of Directors would like to thank our shareholders, staff, investors, clients, business alliances, private and public sectors including supporters for their kind support throughout HaadThip's business all along. The Board would like to thank staff again for their cooperation the Company's accomplishment. The Company hopes to continue to have supports from everyone. Please rest assured and believe in the Company's potential, commitment and strong financial position to sustainably grow the Company with attention to transparent operations and cooperate governance to create values and for society and all stakeholders.



Maj. Gen. Patchara Rattakul

Authorized Director

Chief Executive Officer

Chairman of Good Corporate Governance



Gen. Charan Kullavanijaya

Chairman

Independent Director

The Board of Directors

As of December 31, 2022



► Gen. Charan Kullavanijaya

Chairman of the Board
Independent Director



► Maj. Gen. Patchara Rattakul

Authorized Director
Chief Executive Officer
Chairman of the Good Corporate Governance Committee



► Mr. Prakit Pradipasen

Independent Director
Chairman of the Audit Committee



► Mr. Johan Wilem Maarten Jansen

Independent Director



▼ Mr. Philipp Hugo Gutsche

Director
Member of the Nomination and Remuneration Committee



▼ Mrs. Pariya Chirabandhu

Authorized Director
Member of the Nomination and Remuneration Committee



► Mr. Yanyong Maethapanich

Independent Director
Chairman of the Nomination and Remuneration Committee
Member of Audit Committee
Member of the Good Corporate Governance Committee



Mr. Dumrongrugs Apibalsawasdi

Authorized Director

Member of the Good Corporate Governance

Member of the Risk Management and Sustainable Development Committee

M.L. Dhisana Sritavaj

Director

**Mrs. Kerry Ann Shipp**

Director

Pol. Gen. Jaruvat Vaisaya

Director

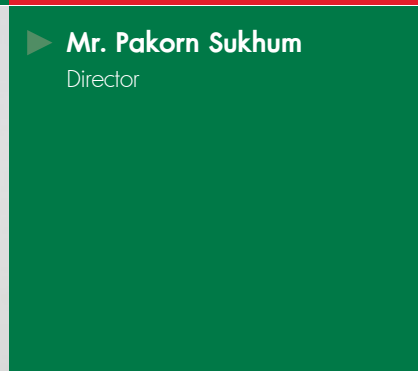
**Mr. Pongsakorn Thiengtham**

Director

Mr. Swin Chatsuwan

Independent Director

Member of the Audit Committee

**Mr. Pakorn Sukhum**

Director



Part

1

Business Operation and Performance

1. Business Structure and Operation
2. Risk Management
3. Driving Business for Sustainability
4. Management Discussion and Analysis
5. General Information and Other Important Information



1. Business Structure and Operation

1.1 Business Overview

Background

In 1969, Soft drink trademark “Coca-Cola” was officially established in the South under the name of the manufacturer and distributor of “NakhonThip Company Limited”, initially licensed for manufacturing and distributing Coca-Cola drinks in 3 southern provinces, namely Songkhla, Satun and Yala.

Later in 1974, the management was taken over under supervision of Sec. Lt. Phairot Rattakul, Managing Director and Board of Directors with Her Royal Highness Princess Suthasiri Sopha as the President, Mrs. Wilai Rattakul, as the Chairman of the Board of Director on behalf of Thai Thana Co., Ltd.

- In 1978, Thai Thana Company Limited and NakhonThip Company Limited agreed to jointly establish a new company under the name of “HaadThip Company Limited” and received direct license from the Coca-Cola Company (USA) to become a producer and distributor of Coca-Cola beverages in 11 more provinces, totaling 14 provinces, namely Songkhla, Satun, Yala, Chumphon, Ranong, Krabi, Phuket, Phang Nga, Trang, Phatthalung, Surat Thani, Nakhon Si Thammarat, Pattani, Narathiwat.
- In 1988, HaadThip Company Limited (“the Company”) listed its common shares into the Stock Exchange of Thailand. The objective was to mobilize funds for business expansion and providing opportunities for employees of the Company including southerners to share the ownership. The Company’s common shares were listed and traded in the Stock Exchange of Thailand for the first time on 22nd December 1988. In 1994, the company was registered as a Public Company Limited according to the Public Limited Law Act B.E. 2535 under the name “HaadThip Public Company Limited”
- After Her Royal Highness Princess Suthasiri Sopha Chairman had passed away on 2nd February 1998, the Board of Directors was resolved to appoint Gen. Charan Kullavanijaya to become the Chairman of the Board on 25th May 1998.
- In 2005, The Company selected Coca - Cola Indochina Pte. (CCI), a subsidiary owned completely by Coca-Cola SABCO (Pty) Ltd. (CCS), a Coca-Cola operator in Africa and Asia to become a business partner. Coca-Cola Indochina Pte. (CCI) held shares in the Company not over 24% of the issued and paid-up capitals. Upon acquisition of shares, Coca-Cola Indochina Pte. (CCI) had a policy not to get involved with or participate in management but would use experiences, existing expertise to support and drive the Company to move forward with strength and steadfastness.
- In 2011, the Company’s shareholder structure experienced some shifts as Coca-Cola Indochina Pte. Limited (CCI) had transferred 39,723,600 shares, or 23.93% to Coca-Cola SABCO East Africa (CCSEA). The shift in shareholding of the major shareholders was just a restructuring movement in the Coca-Cola SABCO group. There was no any significant change in the management structure of the company. In 2016, there was another restructuring in the Coca-Cola SABCO group as they transferred all the shares in its ownership to Gutsche Family Investments (Proprietary) Limited.

- In 2012, the Company decided to construct the second factory in Amphoe Phunphin, Surat Thani Province and invest in machinery for the new production line (New PET Line) to increase capacity in PET packaging. In this investment the Company, apart from taking loans from financial institutions issued and offered 33,203,000 new common shares for sales with a par value of 1 baht per share, to existing shareholders at a ratio of 5 existing shares to 1 new share at the price of 7.00 baht, resulting in capital increase in the amount of Baht 232,421,000.00 (two hundred thirty-two million four hundred twenty-one thousand baht only).
- The Company started the construction of the first phase of the second factory on 15th May 2012 and installed the machine in early 2013 to function in a PET Filling Line for soft drink and drinking water production with production capacity of 600 bottles per minute or 36,000 bottles per hour. The first batch of soft drinks and drinking water officially left the new conveyor belt to the market in the fourth quarter of 2013.
- In 2015, the Company and its subsidiaries invested in installing additional machines at the Phunphin Production Plant, deemed as the second phase of investment by purchasing PET filling line (PET beverage filling machine) with a capacity of 600 bottles per minute or 36,000 bottles per hour and Plastic Injection Machine (PET Preform molding machine) with a capacity of 500 pieces per minute or 30,000 pieces per hour as a preparation for the highly dynamic market in summer 2016.
- On 22nd December 2018, Sec. Lt. Phairoch Rattakul, Managing Director and Founder of the company passed away.
- On 21st January 2019, the Board of Directors appointed Maj. Gen. Patchara Rattakul, the second generation heir to take the position of Chief Executive Officer according to the succession plan that had been laid before.
- In 2022, the Company constructed the 2nd production building of plant at Punpin, Suratthani to expand the increasing needs in future and to install new PET production line with technology, modern, fast and able to produce a variety of PET packages. Moreover the line has energy saving technology and focuses on the usage of clean energy from solar cells in plant and plant area.

Since the management of the management team led by Sec. Lt. Phairoch Rattakul, Managing Director to the new generation of executives, Maj. Gen. Patchara Rattakul, Chief Executive Officer, the Company has been continuously developed and made a progressive growth. From the start with only 60 employees and 4 cars for sale, currently as of 31st December 2022, the Company and its subsidiaries have more than two thousand employees altogether. There are 2 production plants, namely the first plant located in Hat Yai, Songkhla, and the second plant located in Punpin, Surat Thani with total sales of 64.3 million unit cases, sales revenue of Baht 7,048.3 million, net profit of Baht 431.0 million, total assets of Baht 5,915.2 million, total liabilities of Baht 2,161.8 million and shareholders' equity of Baht 3,753.4 million. HaadThip's market shares of non-alcoholic beverages and soft drinks were 25.5 percent and 80.7 percent, respectively (Source: AC Nielsen). The Company managed to maintain its leadership through innovation in terms of products and packaging with a commitment to sustainable business, in order to become an organization with social and environmental responsibilities. Currently, the Company has registered capital in amount of 201,210,180.00 baht (two hundred and one million two hundred and ten thousand one hundred and eighty baht only), wherein 201,210,180 are common shares with a par value of 1 baht per share, and paid-up in amount of 200,960,500.00 baht (two hundred million nine hundred sixty-five hundred baht only).

1.1.1 Vision, Purpose, Goal or Business Strategy

The board has reviewed and mutually identified vision, mission, purpose and value of the organization for all levels of staff to abide with. They are as follows.

Vision

We are the leader in the beverage industry and committed to sustainable growth with the communities.

Mission

- 1 To be a completely integrated beverage company and to maintain the leading position in the southern market, with revenue, sales and profits soaring on a continuous basis.
- 2 To continue to be the manufacturer, distributor and service provider of high quality products to customers and consumers, so that the Company is trusted as part of the South.
- 3 To ensure that the Company's personnel have integrity, perform their duties with loyalty and honesty; and have responsibilities to the organization and society as a whole.
- 4 To be an organization with good governance, through the creation and development of the type of personnel that the society needs; and taking part in the development and improvement of natural resources and environment in a responsible and sustainable manner.

In order to achieve the objective that the Company continually increases profitable, sustainable unit case sales of our products by satisfying new and existing consumers through excellent both direct and indirect service to and with our customers at an increasing return with 10 following Values:

- | | |
|--------------------------------|--|
| 1. Integrity | To be loyal, honest, open and sincere |
| 2. Individual Initiative | To be creative and to initiate new work ideas individually |
| 3. Customer Value | To always focus on customers' needs and expectations and add value to their businesses |
| 4. Teamwork | To work as a team and support co-workers in order to raise overall performance level |
| 5. People Development | To create personnel of quality through continuous training and development process |
| 6. Mutual Trust & Respect | To treat each other with respect and to be trustworthy |
| 7. Commitment | To hold oneself responsible for and to perform the tasks as committed |
| 8. Always be part of the South | To be responsible for the society and environment in order to leave no impact to later generations |
| 9. Relationship Marketing | To continue to strengthen the relationship with customers, consumers and government agencies of all levels |
| 10. Fun | To have good balance between life at work and personal life, and to work happily on a daily basis |

2022 Operation Target and its Results

The Company had set long term and short term targets every year and set strategy in accordance. For 2022, the main targets are as follows;

- Sales revenue for 2022 to increase for 6-8%, comparing to 2021
- The continuity of the effective cost management

Sales revenue of 2022 increased by 8.1%, comparing to 2021, and the effective cost management had continued.

The Group's strategy driven to long term target

Long-Term Strategy

As the government relaxed its controls on the pandemic and declared COVID-19 an endemic in the year 2022, the economy and consumption started to steadily improve as domestic economic activity resumed. Reopening of entertainment venues and permission to eat at restaurants, removal of limits on international travel, together with initiatives to boost spending, have a favorable impact on tourism-related industries including the hotel and beverage industries due to an increase in travelers. Also, this breakthrough raised HaadThip's sales volume. On top of economic and political instability, the Company inexorably nevertheless faces pressure from other factors. The risk factors include increased costs brought on by higher interest rates, which have a direct impact on consumers' purchasing power, as well as geopolitical crises that have caused oil prices to remain high and unstable.

Yet, the Company remains committed to developing and improving the business plan to keep up with the current scenario, recognizing chances in the recovery of consumption after the COVID-19 outbreak has passed. The business plan has been altered so that the Company can continue to grow and manage the corporate group to generate sustainable profits in order to pursue the Company's goals. The Company is optimistic that a flexible strategy will enable us to deal with and respond to times of uncertainty and economic vulnerability, as well as adapt to future changes. The following is the Company's medium-term strategic strategy, which will help develop a firm foundation for long-term goals:

1. Adaptation for Marketing Resilience

During the 3 years of COVID-19, the business environment has become obviously more uncertain and unstable. Although at present the rate of infection and the number of infected people is decreasing, the epidemic situation is still at risk of being prolonged in the future and it is unpredictable how much it will affect the business. Recognizing the need of situational adaptation, HaadThip has designed flexible strategy plans to cope with and respond to changes that occur at all times in order to achieve the goals specified. The Company focuses on increasing the efficiency of operations and business management by incorporating modern technology into various work processes to improve operational capacity, speed and accuracy in data processing and analysis to make business decisions, and the ability to raise the competency of employees within the organization.

2. Growth and Diversification

To maintain the Company's market position as the largest beverage company in the South while also meeting its goals, business expansion is a must. The Company, therefore, concentrates on two strategies. On the one hand, the beverage industry's product range will be increased to satisfy consumers' evolving needs and behaviors. This will maintain the present customer base while also expanding the new customer base. Products and services, on the other hand, are expected to be distinct from the initial industry, despite the fact that it is a challenging and high-risk strategy. But Haadthip saw it as a business opportunity and a necessity to expand sales and earnings in order to meet the targets.

With a focus on new business prospects, the Company will be able to mix and strengthen capabilities to meet the needs of additional industries or markets by using current strengths and resources. Knowledge and expertise may be built on to expand capabilities and bring value to both existing and new businesses, in addition to new business opportunities.

Non-Alcoholic Ready to Drink (NARTD)

Since the COVID-19 outbreak in China has subsided and the country has opened up to allow tourists to travel outside the country, tourism and related companies in Thailand, such as restaurants, hotels, and stores, are expected to increase enormously in 2023. The Tourism Authority of Thailand estimated that there will be 5 million Chinese tourists this year making China the top visitor country once again. Furthermore, according to a survey, three of the seven provinces where the majority of Chinese visitors will come are in the southern region: Phuket, Krabi, and Surat Thani. All of the aforementioned factors are likely to improve the Company's performance and long-term sustainable growth. The following are the Company's action guidelines.

1. Increasing Brand Awareness

The Thai economy began to revive in 2022 as a result of both internal and external economic activities. Consequently, the non-alcoholic beverage industry and other businesses have gradually recovered, particularly the hotel, restaurant, and catering industries, or HORECA, which benefited substantially from an increase in both Thai and foreign tourists and foreigners. This will improve the southern economy, which is heavily reliant on tourism, as well as increase the Company's sales volume. The Company anticipates an increase in consumption rates. As a result, it has concentrated on exciting techniques to raise brand awareness of Coca-Cola-branded beverage products through various marketing initiatives such as advertisement both in forms of still photos and animations, both online and offline channels, Promotional Materials (POSM) at important tourist sites including matching with other product brands that can combine and promote the value of mutual products. The objective is to grow sales and market share.

2. Extensive Product Portfolio to Capture Changes in Consumer Behavior

Although the government has relaxed COVID-19 measures, allowing many businesses, including the non-alcoholic beverage business, to recover and grow again, the spread of COVID-19 has resulted in changes in consumer behavior in that it has raised awareness of consumers to pay more attention to hygiene and health. To fulfill consumer preferences, the Company has expanded its product line of non-alcoholic beverages with reduced sugar content and no sugar or zero calories as a Healthier Choice. Furthermore, the Company remains conscious of the changing social context, which includes the opportunity for more diverse and unique drinking behaviors of consumers, such as drinking and socializing at home. One of the key goals in response to the Company's growth is to increase sales and expand the market in order to increase sales proportion. The Company seeks out and investigates the prospect of launching new goods and packaging sizes on a regular basis, with an emphasis on novel flavors and experiences, modern taste, and health as a priority to satisfy the needs of today's diverse and evolving consumer behaviors, as well as to accommodate new markets and client groups. By this means the Company not only extends its customer base, but also increases sales prospects for its existing customer base.

3. Collaboration with Customers to achieve Company Goals

One of the success factors of the Company in maintaining a leadership position in the 14 southern provinces of the market is a good relationship with the partners, many of whom are long-standing partners and are important factors in presenting and delivering the Company's products, promotions and values to consumers.

The major approach is to focus on developing partnerships with business partners and promoting the chance to sell, distribute, and include sales promotion through various promotions to be appealing for the retailers in order to reach the Company's aim while also growing along with the partners.

The Company has also modernized the stores' operational systems, allowing them to provide a positive customer experience. In addition, the Company has integrated digital technology into the distribution and retail management processes, allowing it to engage with additional merchants and consumers and improve the ability to collect and analyze data in order to gain a better understanding of consumer behavior and improve efficiency in production and sales management.

4. Infrastructure and Operational Efficiency Improvements

In the past 2-3 years despite lower revenue due to the COVID-19 epidemic, the Company has been able to sustain and maintained good sales and profit margins as the Company invested in strengthening its competitiveness and improving the system to increase operational efficiency by applying digital technology to collect and analyze in-depth information specific to each location in order to properly manage sales and engage the most targeted people. By gathering and analyzing detailed data, it can analyze and understand consumer behavior closely and promptly, allowing a better knowledge of consumer changes as well as the ability to quickly change marketing strategies accordingly.

Furthermore, the Company has upgraded and developed the infrastructure system in various operational processes to promote operational efficiency and responsiveness in a timely manner. It has also prioritized the continual and constant development of workers in all manufacturing lines via on-the-job training and leadership development. It also focuses on continued development by providing training via online channels in order to achieve continuous improvement.

5. Opportunities for Future Growth

Although the COVID-19 outbreak will continue in the future, the general situation has begun to improve and the economy has begun to recover. To respond to growth and long-term goals, the Company recognizes the opportunity and importance of expanding the manufacturing line to boost production capability and eliminate stock shortages. This can assist minimize overall production costs as well as manufacturing process losses. At the same time, the Company was able to cut time lost due to unnecessary production line maintenance. Furthermore, increasing the production line allows the Company to support future sales growth, allowing it to continue to grow, enhance quality, and pass on product value to customers. With enhanced competitiveness, the Company can sustain its market share and leadership in the soft drink business in the southern region.

Subsidiaries

While looking for opportunities to expand its business, the Company has extended out beyond its initial industry in recent years, ranging from a trading business, food and beverage business, to real estate. Even though expanding business types into other industries is a difficult and high-risk approach, it is an opportunity and a requirement for the Company's long-term success and plan.

In this regard, the Company has continuously monitored the subsidiary performance and adjusted the operating plans to be in line with the economic situation, including the overall strategic plan adjustments, to ensure that the management, business decisions, and assessment of various situations of the subsidiary group are implemented in the most timely and efficient manner.

1.1.2 Major changes and developments (Milestones)

2020

- The Company moved most of its production base from Hat yai Production Plant, Songkhla to Punpin Production Plant, Surat Thani Province according to the plan, in which the Punpin Plant is the Company's only large-scale production center. The Hat Yai Production Plant serves only as a large distribution center for warehouses in the lower southern region.
- The company opened new subsidiaries of which the Company holds 99.99% shares in 2 companies namely (1) HaadThip Food and Beverages Company Limited (HTFB) is food and beverage distribution business. Initially, a joint venture company, "KinDeeYuDee 2020 Company Limited" was established in cooperation of Zen and Spicy Company Limited (holding 25%) and HaadThip Food and Beverages Company Limited (holding 71%), to expand "Kheang" restaurant business in the southern region. (2) Haadthip Commercial Company Limited (HTCOM) is the business of distribution of FMCG (Fast Moving Consumer Goods) products. The establishment of a new subsidiary was in accordance with the diversification plan for sustainable growth, creating opportunities for expansion into other businesses by taking advantage of strengths in the distribution of the Company's products. The objective was to diversify the risks from the core business, support future business changes as well as generate income from new business.

2021

- Coca-Cola Zero Sugar Relaunch
- Revised Code of Conduct to be applied in all affiliated companies
- Another subsidiary, HaadThip Development Company Limited (HTCD) approved to operate the Haven Kanjanavanich at Amphoe Klongya, Hat Yai, Songkhla. A housing project on an area of approximately 15 rai with 65 houses (units), land size of 172-240 sq.m., project value of Baht 314 million, launched in Quarter 4, 2021.
- Purchase of land and fixtures at 36/6 Soi Ramkhamhaeng 21 (Nawasri) Intersection 5, Kwaeng Phlapphla, Wang Thonglang, Bangkok 10310, with the total area of 4 ngan, 78.1 sq.wah to be the site of Bangkok office besides Ekamai office.
- The Company' membership of the Private Sector Collective Action Against Corruption (CAC) was recertified the for a second consecutive period. This re-certification is valid for 3 years from the date of approval on 30th June 2021. The 3-year certification period expires on 30th June, 2024.
- The company invested in expanding the production capacity of new PET Line at Punpin Production Plant, Surat Thani Province in preparation to meet demand for higher production volumes that is expected to increase around the beginning of 2023. The investments included the construction of new buildings, both in the office space and in the area to be used as the location of 3 new production lines. The estimated investment in capacity expansion amounted approximately Baht 1,200 million.

2022

- The Company expanded Zero-Sugar products to new flavor such as Coca-Cola starshine No Sugar, Coca-Cola Marshmallow No Sugar, Schweppes Citrus Raspberry Soda Zero Sugar, Schweppes Pineapple Mojito Soda No Sugar, and Sprite Lemon Plus No Sugar
- The Company increased prices of some product packages for approximately 6%, starting from April 2022.
- The Company increased the production capacity, new PET line at Punpin Plant, Surat Thani Province which is expected to run commercially in Quarter 1, 2023.
- A subsidiary, HaadThip Development Limited (HTD) launched housing project, the Haven Kanjanavanich, comprised of 65 units and price range between Baht 4-6 million per unit. The project is selling in phases. As of 31st December 2022, 1st Phase was booked for 69%.



1.1.3 General Information

Company's Name	➤	HaadThip Public Company Limited
Abbreviation	➤	HTC
Registration Number	➤	0107537002206
Registered Capital	➤	201,210,180 ordinary shares at a par value of Baht 1 per share Totaling Baht 201,210,180
Issued and Paid-up Capital	➤	200,960,500 ordinary shares Totaling Baht 200,960,500
Nature of Business	➤	Sparkling Beverage Industry
Head Office	➤	87/1 Karnchanavanich Road, Baan Pru, Hat Yai, Songkhla 90250
Telephone	➤	0 7421 0008-18, 07421 0025-33 0 7420 9240-1, 07443 9644-53
Fax	➤	0 7421 0006-7
Punpin Office	➤	206/1 Moo 3, Tha Rong Chang, Punpin, Surat Thani 84130
Tel	➤	0 7735 7385-9
Fax	➤	0 7731 3640
Bangkok Office	➤	36/6 Soi Ramkhamhaeng 21 (Navasri), Yaek 5, Phlabphla, Wang Thonglang, Bangkok 10310 Thailand 36 Soi Ekamai 10, Yaek 2, Sukhumvit 63, Bangkok 10110
Website	➤	http://www.haadthip.com
Accounting Period	➤	1 January - 31 December

1.2 Nature of Business and Industry Trend

HaadThip Public Company Limited is a sparkling beverage manufacturer, granted a franchise by the Coca-Cola Company (USA), Atlanta Georgia, as a producer and distributor of sparkling beverages under the trademarks of “Coca-Cola”, “Fanta” and “Sprite” and other products owned by Coca-Cola Company such as Minute Maid and utilized capacity drinking water. The details of business contract are as follows:

Contract Type	➤ Bottling and distributing sparkling beverages under the trademarks of “Coca-Cola” “Fanta”and “Sprite”and other products owned by Coca-Cola Company.
Contract Partner	➤ The Coca-Cola Company
Contract Starting and Ending Dates	➤ 1 st January 2019 - 31 st December 2023 (Renewal every 5 years)

The Company has 2 manufacturing plants located in Amphoe Hatyai, Songkhla and Amphoe Punpin, SuratThani, with the products distributed exclusively to 14 southern provinces of Thailand namely Chumphon, Ranong, Yala, Krabi, Phuket, Phang-nga, Trang, Phattalung, Surat Thani, Nakhon Si Thammarat, Songkhla, Satun, Pattani and Narathiwat.

The Company manufactures products for sales and purchases some products from a business partner in Bangkok to distribute. The Company’s products are categorized as following:

1. Sparkling Beverages: “Coca-Cola”, “Fanta” and “Sprite”
2. Non-carbonated (Still Beverages): “Minute Maid” and drinking water “Namthip”

The Company’s main source of revenue is derived from the sales of sparkling beverages.

1.2.1 Revenue Structure

Detail	2022		2021		2020	
	Million Baht	%	Million Baht	%	Million Baht	%
Sparkling beverages	6,444.45	90.86	6,033.80	92.20	6,014.15	93.33
Non-carbonated products	429.05	6.05	324.37	4.96	333.74	5.18
Other sources	219.04	3.09	186.38	2.84	96.20	1.49
Total revenue	7,092.54	100.00	6,544.55	100.00	6,444.09	100.00

1.2.2 Product Profile

(1) Product or Service Features and Business innovation development

HaadThip Public Company Limited is a manufacturer and distributor of products under the trademark of “Coca Cola” (exclusively 14 in the southern provinces). The main products can be divided into 2 categories:

1. Sparkling Beverages including products under the trademarks “Coca-Cola”, “Sprite”, “Fanta”, “Schweppes” and “A&W”



2. Still Beverages including products under trademarks “Namthip” “Bon Aqua” “Minute Maid” “fuzetea”.



Apart from Sparkling beverages and Still beverages, the Company's products are also categorized based on the packaging as follows:

1. RGB (Returnable Glass Bottle) including 10oz or 280 ml. Returnable Glass Bottles.



2. Non-returnable Glass Bottle (NRGB) including Non-returnable Glass Bottled products, PET bottles, cans, boxes and post mix.



Currently, the Company is promoting and expanding no-sugar group of products to create higher revenue growth such as Coca-Cola No Sugar, Fanta No Sugar, Sprite No Sugar and Schweppes Lime Soda Zero Sugar. In 2022, Zero Sugar category expanded to other flavors such as Coca-Cola Starshine, Coca-Cola Marshmallow No Sugar, Schweppes Citrus Raspberry Soda No Sugar, Schweppes Pineapple Mojito Soda No Sugar and lately Sprite Lemon Plus No Sugar.



Product Development

The Company has developed and designed more on no-sugar sparkling beverages such as Coke No Sugar Orange Flavor, Coke No Sugar Cherry Flavor, Fanta No Sugar Orange Flavor, Fanta No Sugar Strawberry Flavor and Schweppes Lime Soda No Sugar as alternatives for health-conscious consumers, providing choices to the new generation who prefer to control their calorie intake. And in 2022, Zero Sugar category expanded to other flavors such as Coca-Cola Starshine, Coca-Cola Marshmallow No Sugar, Schweppes Citrus Raspberry Soda No Sugar, Schweppes Pineapple Mojito Soda No Sugar and lately Sprite Lemon Plus No Sugar.

Production Innovation

In collaboration with its partners, the Company has continually developed equipment, tools, machines and raw materials to increase production efficiency as ultimate goals as well as other goals stated in the Company's sustainability policy, which are

- Designing proper production equipment, tools and machinery to enable the Company to produce goods and products with the utmost economic values and sustainability on regular basis.
- Continuous weight reduction of packing materials.
- Applying Solar energy in operating process

(2) Market and Future Competitive Environment

Major players in the soft drink industry in Thailand at present comprise of Thai Namthip Commercial Co., Ltd. a manufacturer and distributor of Coca-Cola products in all regions of the country, in exception of the 14 southern provinces covered by HaadThip Public Company Limited; Pepsi-Cola (Thai) Trading Company Limited, a manufacturer and distributor of "Pepsi"; Serm Suk Public Company Limited, a manufacturer and distributor of "Est Cola"; AJETHAI Co., Ltd., a manufacturer and distributor of Big Cola, and 2 - 3 other small operators in the industry.

The soft drink industry in Thailand is an oligopoly by nature. It is considered difficult for a new operator to enter the industry because high level of investment is inevitable for the purchase of machinery, creation of demand in the market, as well as investment in building structures such as plants and warehouses, in addition to sales and distribution vehicles. The characters of the products in the market also do not differ much, and so from the consumers' point of view, each and every product is substitutable. As such, each operator is making an utmost effort to differentiate their products from the others, be it the taste of the products, the image of the products or the image of the Company, especially through regular introduction of new products to the market. Sparkling beverage industry is currently a highly competitive industries, therefore, each Company is in need for adjustment and adaptation at all times. As a result, each bottler is placing great emphasis on continuous marketing activities throughout the year, in order to maintain exposure and brand recognition; create brand royalty with an objective to maintain and acquire more market shares through unique marketing strategies designed and executed by each company.

The Company's strategy is to emphasize on the advertising campaigns to suit the target groups in each area as well as promote good relationships with vendors, community and society in all aspects, while also emphasizes genuine, prompt, reliable and consistent services, with the Coca - Cola standard and quality of products - the products that can be conveniently found and consumed anywhere and anytime, and come in various sizes in various packages both PET bottles and cans to satisfy every consumer's preference possible.

Year 2022 was a challenging year and had impact from COVID-19 pandemic situation, resulting in tourism which was main economic activities of the South of Thailand in the beginning of the year. But later the situation was relived in better direction. Thailand welcomed more international and local tourists to travel to the South. HaadThip also adjusted the strategy to promptly respond to the changes. As a result, total sales increased from Baht 6,077 million to Baht 6,738 million, an increase of 10.9%. The Company had marketing shares in the South of the non-alcoholic-ready-to-drink (NARTD) and sparkling beverage at 25.5% and 8.7%, respectively, showing the Company as a continuous leader sparkling beverage marketing in the South.

In 2022, the Company applied different strategies to different sales channels as follows:

Traditional Trade (TT) group of customers: Traditional trade was comprised of grocery shops, retail shops and restaurants. The Company's goal was to expand the customer base and increase the number of retail stores as much as possible. Even though there were sales outlets that, inevitably, had to close down as a result of the COVID-19 pandemic, the Sales Department never ceased to search for new markets for the Company, to replace those that had closed down. At the same time, the Company also tried to stimulate consumer demand for the products by integrating a Customer Loyalty System or HaadThip's customer privilege/ loyalty program (MVIP Program) which the outlets needed to buy products and display in the Company's refrigerators following indicated procedure.

The Company developed wholesale outlets including modern and traditional wholesales outlets by recommending products, suitable for the market to create return. The Company advised and management selling area for best benefit including sales staff arrangement to support product sales and to effectively decrease selling's opportunity loss.

The Company had developed new sales opportunity through Food Service Aggregator for local restaurants for HaadThip products to be deliver right at customer house at anywhere and anytime. This was to respond customer behavior during COVID - 19 pandemic and effectively reduce the loss of profit of local restaurants.

Modern Trade (MT) group of customers: Modern Trade was comprised of Super/Hyper markets and convenient stores including new businesses of Modern Trade partners such as Lotus's RanniKaidee and Big C's Donjai. We placed an emphasis on improvement of our teams in order to keep raising our service level and ensure that our products are always readily available, to prevent the problem of product shortage. We did so through efficiency in supply chain management, by drawing up business plans together with partners such as new product selling, marketing activities, medias, product demonstration and other selling support equipment in order to meet and satisfy the needs of our partners and customers professionally.

Targets and Goals for 2023

In 2023, the Company has set a target for sales growth to be at approximately 5.5% from the year 2022. The estimated growth rate stems partly from the forecast that the macro economy will continuously improve. However the factor of Sugar Tax is challenging and will directly impact to the Company. The Company has prepared the business operation plan as follows:

Major business group

1. Increase the Company's profit by managing revenue growth through Pack mix, Channel mix and Price mix.
2. Focus on the no-sugar group of products and new products which shall be launched one after another for consumers to try on regular basis.
3. Adapt the sales and distributions channels to speedily response to the dynamic demand shifts

Major Marketing Strategies

1. The Company targets to create the continuous growth in No Sugar products including current main products such as Coke No Sugar and Schweppes No Sugar which are receiving good response from consumers and new No Sugar products for alternative choices from consumers in line with the increase of health awareness growth trend of consumers.
2. The Company aims to have marketing activities for the whole year to respond to consumers' needs, clients, hypermarket/ supermarket and retails such as promotions in summer, packaging limited edition for Chinese New Year, Christmas and New Year. Moreover, promotions integrate with culture and local traditions in each area for whole year.
3. The Company targets to increase sales of Still Beverages such as Namthip and Minute Maid through continuous promotions including enhancing media channels to consumers to stimulus the interest of consumer and to increase confidence of partners for product quality for the South in all product categories.
4. The Company expands communication channels for partners and outlets including online platforms and delivery to respond to the change of consumers' needs and to increase the direct connection with consumers through a variety of social medias such as Facebook, Line, Tik Tok and Youtube of partners and the Company.

(3) Type of Customers and Distribution Channels

The Company has categorized its customers into 4 main types as follows:

1. Traditional Trade (TT): This type of customers consists of retail stores, sub-stores such as grocery stores, eateries and cafés, restaurants, entertainment venues, clubs, hotels, bus terminals, food and beverage trolleys/carts, beauty salons, night markets, pharmacies, government agencies, piers, academic institutions, residence, etc.
2. Wholesale/ Indirect: This type of customers includes wholesalers and Macro.
3. Modern Trade (MT): This type of customers consists of Supermarket/Hypermarket type such as Tesco Lotus, Big C, Tops or convenient stores such as 7-Eleven, Family Mart, etc.
4. New customer channels through e-commerce platform of the Company such as cokeshopth.com, Social commerce, Market Place to increase new channel and to respond with the needs of new consumers more.

Sales and Channels of Distribution

There are 4 types of sales and channels of distribution as follows:

1. Direct Sales: The Company has a production plant in Amphoe Hat Yai, Songkhla province and another production plant in Amphoe Phunphin, Surat Thani province, as well as 18 warehouses spreading across the 14 southern provinces of the country namely Chumphon, Ranong, Phuket, Surat Thani, Nakhon Si Thammarat, Phang Nga, Krabi, Trang, Phatthalung, Satun, Songkhla, Pattani, Yala and Narathiwat. There is more than one warehouse in some of the provinces, and the types and channels of sales and distribution are as follows:
 - Pre-sell and Tele-sale system, where a customer places an order in advance, and delivery will be made on the set date and time.
 - Vending Machines
2. In-Direct Sales
 - Selling the products via wholesalers who help to distribute the products across all areas of coverage.
 - Selling the products through Macro, since the majority of Macro's customers are retail stores and sales outlets.
3. Sales via Modern Trade: For examples, Tesco Lotus, Big C or convenient stores, but exclusive of Macro.
 - Product delivery according to customers' need, following advanced PO. The different delivery dates were according to PO of various customers, depending customers' PO systems such as EDI, FAX and e-mail.
 - Presales system utilization for selective customers
 - Product delivery to Modern Trade customers after buying order. The products were distributed to DC-Distribution Center and then deliver to store branches of customers by company trucks or outsource trucks.

4. E-Commerce

- The Company opened online selling to consumers which is the development of Brand.com under cokeshopth.com to create sustainability for this distribution channel. Clients will have more convenience, especially beverage product group that clients have no need to worry about product carrying and we have free delivery to their homes.
- The Company utilizes other platforms for online selling to respond with needs of clients such as Line shopping and Facebook shop.
- Aside from major beverage products of the Company, distributed through e-commerce channels, the Company sells premiums and souvenirs for the collectors and Coca-Cola brand lovers for special occasion through this channel.

4) Product and Services Sourcing

1. Products for sales manufactured by the Hat Yai Production Plant in Songkhla are

Product	Size
Carbonated beverage (RGB - Returnable Glass Bottle)	10 oz., 200 ml
Carbonated beverage/Juice (NRGB - Non-Returnable Glass Bottle)	250 ml.

2. Products for sales manufactured by the Punpin Production Plant in Surat Thani are

Product	Size
Carbonated Soft Drinks (PET Bottle)	295 ml., 300 ml., 455 ml., 500 ml., 505 ml., 999 ml., 1 liter, 1.25 liter, 1.45 liter (promo pack), 1.5 liter, 1.95 liter and 2 liter
"Namthip" drinking water (PET Bottle)	350 ml., 550 ml., 1.5 liter
Carbonated Soft Drinks (BIB)	5 liter, 10 liter, 20 liter
Carbonated Soft Drinks (Can)	180 ml., 240 ml., 325 ml., 330 ml.

3. Products, not manufactured by the Company itself but purchased for sales from Thai Namthip Commercial Co., Ltd. a distributor of the Coca-Cola Company's product, are the following

Product	Size
Carbonated Soft Drinks (PET Bottle)	500 ml., 550 ml., 1 liter., 1.25 liter., 1.5 liter., 1.95 liter
Carbonated Soft Drinks (Can)	180 ml., 245 ml., 325 ml.
Schweppes (Can)	330 ml.
Minute Maid (Tetra pack)	180 ml.
Minute Maid Pulpy (PET Bottle)	290 ml., 335 ml., 800 ml.
MM SP STRAW LEMON BINGSU (NRGB)	250 ml.
Carbonated Soft Drinks (BIB)	5 liter, 10 liter, 20 liter

Raw materials and suppliers

In 2022, there are approximately 57 raw materials manufacturers and distributors of, of which 51 were domestic and 6 were foreign companies. To sum up, approximately 71.48% of raw materials were sourced from domestic suppliers was and 28.52% from abroad. Major raw materials and their sources are as follows:

1. Main raw materials included Concentrate, ordered from Singapore country and Liquid Sucrose, ordered from domestic seller.
2. Raw materials for packaging in 2022 included crimp caps, screw caps, can caps, plastic tubes (PET Preform), both returnable and non-returnable glass bottles, product labels, trays, product pads, boxes and BIB bags. etc. were ordered from domestic manufacturers.

Production Capacity and Volume.

Hat Yai Production Plant

2022	Packing size		
	10 oz.	200 ml.	250 ml.
Capacity (crates)	5,589,952	5,416	2,790,214
Actual production volume (crates)	970,207	940	484,277
Utilized capacity (%)	17.36	17.36	17.36

Punpin Production Plant

2022	Packing size					
	455 ml. & 505 ml	500 ml.	1.25 liter	CAN 325 ml. & 330 ml.	CAN 240 ml.	CAN 180 ml.
Capacity (crates)	11,217,677	237,487	4,755,260	4,140,979	6,568,807	147,995
Actual production volume (crates)	10,385,419	219,867	4,402,459	2,697,687	4,279,323	96,413
Utilized capacity (%)	93	93	93	65	65	65

2022	Packing size					
	295 ml.	300 ml.	999 ml. & 1 liter	1.45 liter	1.5 liter	1.95 liter & 2 liter
Capacity (crates)	797,930	1,018,118	5,843,727	244,190	2,146,486	2,418,570
Actual production volume (crates)	738,730	942,582	5,410,171	226,073	1,987,235	2,239,132
Utilized capacity (%)	93	93	93	93	93	93

2022	Packing size				
	350 ml. Namthip	550 ml. Namthip	1.5 liter Namthip	570 ml. Mineral Water	BIB
Capacity (crates)	754,133	3,660,112	1,948,149	24,973	85,947
Actual production volume (crates)	698,183	3,388,562	1,803,613	23,120	62,943
Utilized capacity (%)	93	93	93	93	73

2022	Production Plant		
	Hatyai	Punpin	2 Plants
Capacity (crates)	8,385,582	46,010,538	54,396,120
Actual production volume (crates)	1,455,424	39,601,512	41,056,936
Utilized capacity (%)			67

(5) Assets for Business Operation

(5.1) Tangible assets for business operation: fixed assets for business operation owned by the Company

Unit: Baht

Asset Type/Characteristics	Book value at 31 December 2022	Liabilities
1. 96 land plots, total area of 552 rai, 2 nagan 23.10 square wah	2,097,907,423.28	Land deed title No. 30069/30070 at Amphoe Phunphin, Surat thani Province attached to mortgage with Bank of Ayudhya for the loan of Baht 1,200 million.
Non-operating 19 land plots (real estate for investment purpose) with total area of 57 rai, 1 nagan, 6.7 square wah	193,060,794.90	
2. Office building	219,047,064.85	Attached to mortgage with Bank of Ayudhya for the loan of Baht 1,200 million.
3. Operating plants 2 for manufacturing and distributing Coca-Cola Location: Plant 1, 87/1 Karnchanavanich Road, Baan Pru, Hat Yai, Songkhla 90250 Location: Plant 2, 206 Moo 3, Tha Rong Chang, PhunPhin, Surat Thani 84130	373,365,451.78	Attached to mortgage with Bank of Ayudhya for the loan of Baht 1,200 million.
4. 10-year and 20-year machines	606,942,523.13	Business Collateral in amount of Baht 307 million (HaadThip Plc.)/Loan from Bank of Ayudhya (Plc.) in amount of Baht 110 million (subsidiaries)
5. Vehicles	31,645,739.96	
6. Working tools and equipment	76,257,870.56	
7. Containers	13,908,081.20	
8. Land improvement	46,603,769.46	
9. Promotion equipment (refrigerators/ Promotion materials/PX/Vending)	114,106,761.48	
Total	3,772,845,480.59	

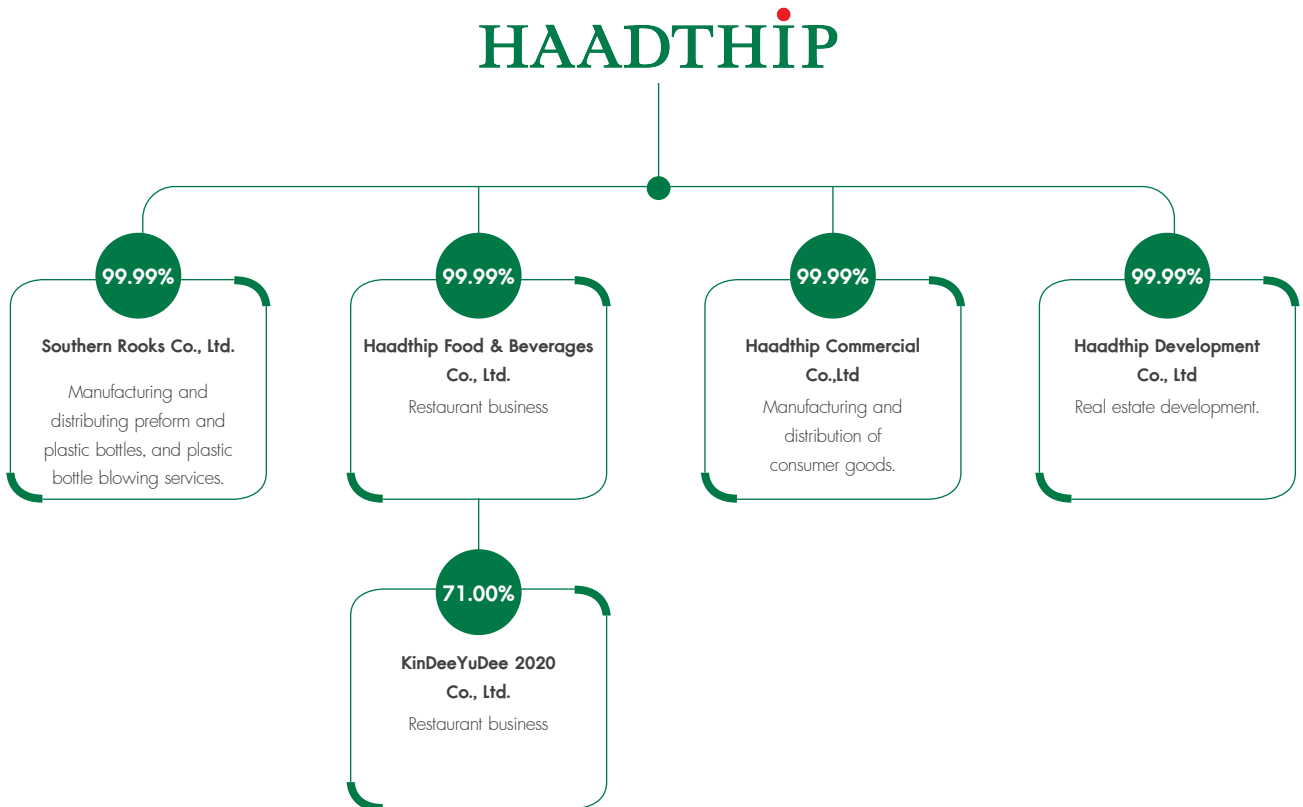
(5.2) Assets under Financial Leases

Asset Type/characteristics	Net residual value	Liabilities
1. Vehicles	245,216,803.65	-
2. Buildings	4,090,305.50	-
Total	249,307,109.15	-

1.3 HaadThip Group's shareholding structure

1.3.1 HaadThip Group's shareholding structure as of December 31, 2021

HaadThip Public Company Limited is a sparkling beverage manufacturer, granted a franchise by the Coca - Cola Company (U.S.A), Atlanta, Georgia, as a producer and distributor of sparkling beverages under the trademarks of "Coca-Cola," "Fanta" and "Sprite," and other products owned by Coca-Cola and have subsidiaries, operating other businesses.



Remark: The Board of Directors' Meeting No.1/2023, held on Monday February 13, 2023 approved the dissolution of 3 subsidiaries, HaadThip Food and Beverages Co., Ltd., HaadThip Commercial Co., Ltd., and KinDeeYuDee 2020 Co., Ltd., and they are on the process related to dissolution registration and liquidation in accordance with law.

Southern Rocks Co., Ltd.

Registered capital and paid-up capital	Baht 97 million divided into ordinary shares 970,000 shares with a par value of 100 Baht
Type of business	Operate a business of manufacturing and distributing semi- finished plastic bottles and blowing plastic bottle service with the investment promotion from the BOI
Head office	87/1 Karnchanavanich Road, Baan Pru, Hat Yai, Songkhla 90250
Telephone number	0 7421 0008-18
Facsimile number	0 7421 0006-7
Controlling Power	The Company had direct and indirect controlling power to determine financial and management policies. The Company assigned representatives to be directors/ management to have controlling power over subsidiaries to oversee the management of subsidiaries to effectively and efficiently follow the Company's strategy and policy.

HaadThip Commercial Co., Ltd.

Registered capital and paid-up capital	Bath 16 million divided into ordinary shares 160,000 shares with a par value of 100 Baht
Type of business	Operates the business of distribution of consumer products
Head office	87/1 Karnchanavanich Road, Baan Pru, Hat Yai, Songkhla 90250
Telephone number	0 7421 0008-18
Facsimile number	0 7421 0006-7
Controlling Power	The Company had direct and indirect controlling power to determine financial and management policies. The Company assigned representatives to be directors/management to have controlling power over subsidiaries to oversee the management of subsidiaries to effectively and efficiently follow the Company's strategy and policy.

Remark: The Board of Directors' Meeting No.1/2023, held on Monday February 13, 2023 approved the dissolution.

HaadThip Development Co., Ltd.

Registered capital and paid-up capital	Baht 81 million divided into ordinary shares 810,000 shares with a par value of 100 Baht
Type of business	Operates business of real estate development
Head office	87/1 Karnchanavanich Road, Baan Pru, Hat Yai, Songkhla 90250
Telephone number	0 7421 0008-18
Facsimile number	0 7421 0006-7
Controlling Power	The Company had direct and indirect controlling power to determine financial and management policies. The Company assigned representatives to be directors/management to have controlling power over subsidiaries to oversee the management of subsidiaries to effectively and efficiently follow the Company's strategy and policy.

HaadThip Food and Beverage Co., Ltd.

Registered capital and paid-up capital	Baht 30 million divided into ordinary shares 300,000 shares with a par value of 100 Baht
Type of business	Operates the business of sales and services of food and beverage
Head office	87/1 Karnchanavanich Road, Baan Pru, Hat Yai, Songkhla 90250
Telephone number	0 7421 0008-18
Facsimile number	0 7421 0006-7
Controlling Power	The Company had direct and indirect controlling power to determine financial and management policies. The Company assigned representatives to be directors/management to have controlling power over subsidiaries to oversee the management of subsidiaries to effectively and efficiently follow the Company's strategy and policy.

Remark: The Board of Directors' Meeting No.1/2023, held on Monday February 13, 2023 approved the dissolution.

KinDeeYuDee 2020 Co., Ltd.

Registered capital and paid-up capital	Baht 30 million divided into ordinary shares 300,000 shares with a par value of 100 Baht
Type of business	Operates business of sales and services of food and beverages. It is a joint venture between Zen and Spicy Co., Ltd. (holding 25%) and HaadThip Food and Beverages Co., Ltd. (holding 71%), to expand “Kheang” restaurant business in the southern region
Head office	87/1 Karnchanavanich Road, Baan Pru, Hat Yai, Songkhla 90250
Telephone number	0 7421 0008-18
Facsimile number	0 7421 0006-7
Controlling Power	The Company had direct and indirect controlling power to determine financial and management policies. The Company assigned representatives to be directors/management to have controlling power over subsidiaries to oversee the management of subsidiaries to effectively and efficiently follow the Company’s strategy and policy.

Remark: The Board of Directors’ Meeting No.1/2023, held on Monday February 13, 2023 approved the dissolution.

1.3.2 Shareholder

List of the first 10 Shareholders on September 9, 2022 (The record date on which shareholders have the right to receive the interim cash dividend for the first half of 2022 operating results)

Name – Sure name	Number of shares	% of paid-up shares capital
1. GUTSCHE FAMILY INVESTMENTS (PROPRIETARY) LIMITED	49,040,726	24.403
2. Rattakul Family’s Group		
1. Miss Pannapa Rattakul	19,916,123	9.910
2. Maj. Gen. Patchara Rattakul	14,047,020	6.990
3. Mr. Pichakorn Rattakul	4,174,879	2.077
4. Master Pakin Rattakul	4,174,879	2.077
5. Miss Fah Rattakul	4,174,879	2.077
3. Mrs. Pariya Chirabandhu’s group		
1. Mrs. Pariya Chirabandhu	30,469,492	15.162
2. Mr. Apichart Chirabandhu (spouse)	214,272	0.107
3. Mr. Harith Chirabandhu (son)	5,425,379	2.700
4. Miss Chanya Chirabandhu (daughter)	4,462,379	2.221
4. Thai NVDR Company Limited	4,628,025	2.303
5. Miss Sirincha Sitichaivises	4,040,300	2.010
6. Mrs. Chira Sritavaj na Ayudhya	3,183,807	1.584
7. Miss Suwannee Sitichaivises	1,688,600	0.840
8. Miss Vanchalerm Sataman	1,626,264	0.809
9. Mr. Thitiwut Boonsuk	1,590,000	0.791
10. Others	48,103,476	23.937
Grand Total	200,960,500	100.00

Distribution of shares by nationality

Nationality	Number of shares	% of paid-up share capital
Thai	148,189,629	73.74
Foreign	52,770,871	26.26
Total	200,960,500	100.000

Remarks: Foreign shareholding limit is 35%

1.4 Registered capital and paid-up capital

As of December 31, 2022, HTC had registered of BHT 201,210,180 consisting of 201,210,180 ordinary shares with a par value of 1 Baht per share and paid up capital of BHT 200,960,500 consisting of 200,960,500 ordinary shares

1.5 Other Securities

- None -

1.6 Dividend Policy

The Company's Dividend Policy "The Company's has a policy to pay out dividend at the rate of no less than 50% to 80% of the remaining Net Profits after deduction of all types of reserves required by the law and set forth by the Company. Dividend shall be paid out accounting to the appropriation of Net Profits from the Company's Consolidated Financial Statements. However, dividend payments shall be based upon the Company's cash flow, investment plan, other necessities and circumstances deemed appropriate in the future.

Dividend payments for prior years are shown below for reference:

Details of Dividend Payment	2022	2021	2020
Number of paid - Up capital (shares)	200,960,500	200,960,500	200,960,500
Profit for the year (million Baht)	435.06	533.32	564.94
Basic earnings per share (Baht)	2.16	2.66	2.82
Dividend per share (Baht/share)	1.52 ^{1/}	1.79	1.90
Total dividend payment (million Baht)	305.46	359.72	381.82
Dividend as % of profit for the year (%)	70.00	67.29	67.38

^{1/} The resolution had been passed by the Board of Directors' Meeting 2/2023 held on March 3, 2023 to approve the 2022 dividend payment at the rate of Baht 1.52 per share, the company already paid interim dividend of Baht 0.55 per share on September 26, 2022 for the result of operation for the first half of 2022, and the remaining dividend Baht 0.96 per share. The Company has fixed the Record Date on which shareholders have the right to receive the remaining dividend on May 3, 2023 and the dividend shall be paid on May 19, 2023.

Subsidiary's Dividend Policy

Concerning subsidiary's dividend policy, may decide dividend payment by taking into accounts its remaining cash flow. If the cash flow is substantial enough after legal provisions, the subsidiary may proceed with payment. The financial statement for the year end December 31, 2022, dividend income from subsidiaries was Baht 184.29 million.

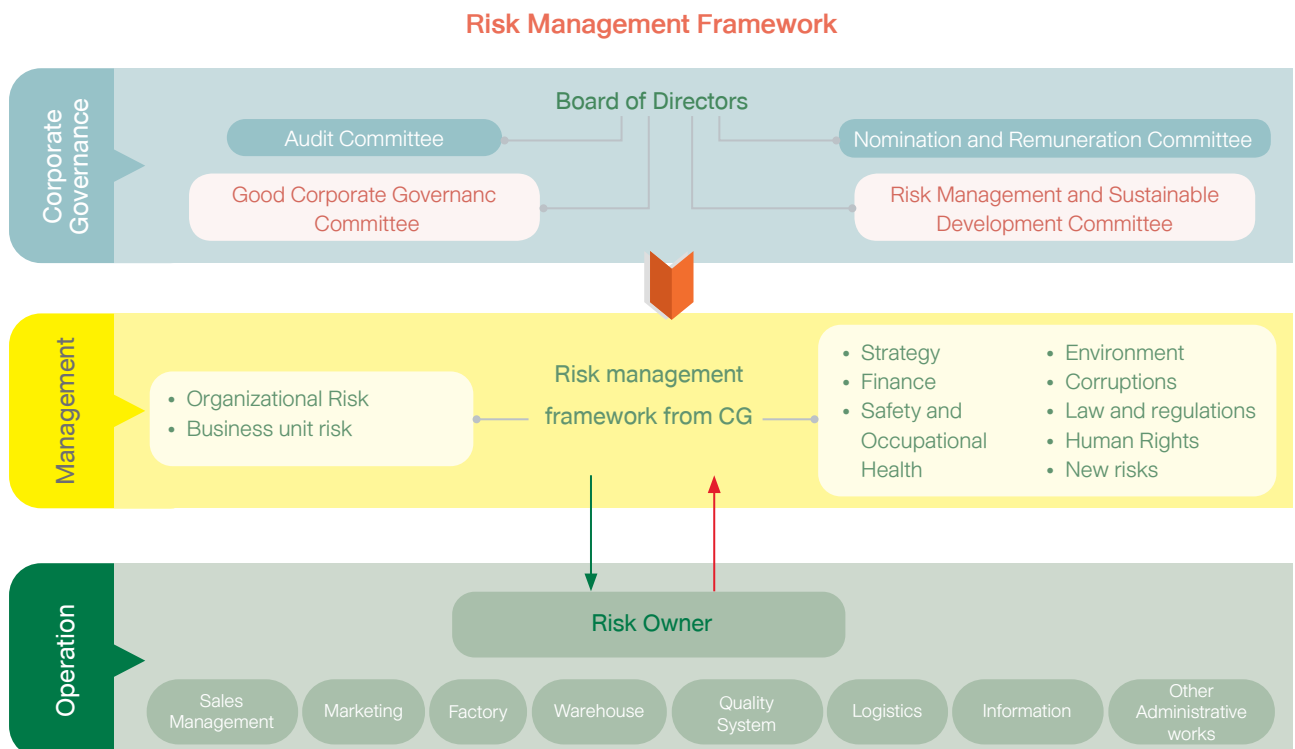
2. Risk Management

2.1 Risk Management Policy and Plan

Business may confront with both internal and external risk factors affecting the Company's goals. To ensure the sustainable growth of the organization, Board of Directors and the management have attached importance to the integrated risk management and management in the work process from the beginning and planning to develop the risk management to be a working strategy. The roles and responsibilities are identified according to the rules of COSO Enterprise Risk Management and risk management according to the ISO9001 quality system, as well as considering the risks that may arise from corruption. Its objectives are to ensure effective management and control of internal and external risks to an acceptable level.

The management has regularly monitored the implementation of the risk management plan and reported the results to Risk Management and Sustainable Development Committee and the Board of Directors every year so that both committees can jointly consider risks and impacts that may occur for the entire organization. The management conduct a report when there is an important event so that the committees are able to assess, follow up on risk management results and update plans of control risks to accommodate changes, problems, and obstacles that may arise in a timely manner. In 2022, Risk Management and Sustainable Development Committee reported to the Board of Directors at the Board of Directors' Meeting No.6/2022 on November 22, 2022.

The Company set Risk Management Framework to have effective risk management and identify the procedure properly.



2.2 Risk Factors for the Company's Business Operations

2.2.1 Business Risk to the Company or the Group

These are key risks of the Company. The Board of Directors recognized the importance and risk management as follows;

1. Raw Material Price Fluctuation Risk

Liquid Sugar: The primary raw material in the production is sugar, either liquid or pure syrup. It is the primary ingredient used in beverage production from crops whose yields are significantly influenced by meteorological conditions. Yet, the environment has changed significantly as a result of current global warming or being influenced by numerous natural disasters, directly influencing sugar production, which may face shortages at times and force prices higher as a result of a supply-demand mismatch.

Sugar prices are currently determined and controlled by the Ministry of Industry's Office of Cane and Sugar Board. The prices have not been frequently changed. Formerly, the Company had long-term future contracts based on the expected output volume. Therefore, it is not projected to have an impact on the scarcity and volatility of ingredient pricing.

2. Packaging Price Fluctuation Risk

PET Resin: The main raw material used in the production of PET bottle that the Company produces in its own plants. The production cost of PET bottles is also the Company's main cost. The price of plastic pellets used in the production of bottles changes and varies with the global market prices and increases in crude oil prices. For this reason, lower and higher plastic resin prices will directly affect the Company's package production cost. The Company, on the other hand, has always anticipated and recognized the need of conducting business with social and environmental responsibility. As a result, a feasibility study will be conducted to determine the viability of introducing rPET (Recycled Polyethylene Terephthalate) as a raw material for packaging in order to dispose of garbage in an environmentally responsible manner.

3. Law, Regulation and Policy Amendment Risks

Sugar-Sweetened Beverages Tax: Amendments to laws, regulations, and policies pose risks to businesses, such as raising the excise tax rate based on the amount of sugar in beverages. (Sugar-Sweetened Beverage Tax) Excise tax is another significant cost in Thailand because the main ingredient used in beverages is sugar, along with excise tax policies in place since 2017 for beverage products, both in terms of value and sweetness. The tax on products subject to the abovementioned law must be computed based on the sweetness per liter. However, in the last year, the government has postponed phase 3 of the sugar tax rate hike by 6 months, from October 1, 2022 to March 31, 2023, in order to reduce the cost of living and give the beverage industry time to adjust. However, Haadthip Group has established strategic plans and measures to deal with such impacts in advance, such as pushing and launching new products with a focus on healthy no sugar or zero calories products to respond to the needs and trends of health-conscious consumers, as well as being able to offset and mitigate the impact of such excise tax collection to some extent.

4. Supply Chain Risk

Supply Chain Risk: Despite the above-mentioned improvement in COVID-19 endemic and relaxed measures, there have been new challenges to supply chain management, such as geopolitical conflicts and tensions between countries, competition between superpowers, and trade protection measures, which led to an energy crisis and affected the volatility of raw material prices in production, including higher production and delivery costs across the supply chain.

The Company's steps to collaborate with key partners and suppliers of critical raw materials include a business continuity management plan, such as managing raw material inventory levels to ensure a sufficient supply of raw materials. The Company has also made purchase and sale contracts with trading partners as a way to maintain raw material prices in order to reduce potential cost impacts from fluctuations. Scenarios have been evaluated to identify and evaluate potential implications on operations so that the Company may make contingency plans and adapt strategy based on the present circumstances.

The Company acquires a clear picture of its goals with the support of overall strategy planning for moving the Haadthip Group toward its long-term ambitions. Having a clear strategy suggests that each party's operations and responsibilities are clearly specified, allowing everyone to work systematically together and be the driving force for the Company to attain its goals.

2.2.2 Shareholders' Investment risk

The major shareholders were Rattakul family (23.13% shareholding), Mrs. Pariya Chirabandhu's group (20.19% shareholding), and GUTSCHE FAMILY INVESTMENTS (PROPRIETARY) LIMITED (24.40% shareholding), which was incorporated in South Africa and the Company's business ally. As such, the 2 groups of shareholders hold all together 67.72% (more than 50%) of the total paid-up capital. The two shareholders are, therefore, able to control almost all the resolutions at the shareholders' meeting, be it the appointment of directors or other request for approval that need the majority of votes from the shareholders' meeting. Exception, however, is made for the agendas that either required by law or the Company's Code of Conduct, for 3 out of 4 votes to be obtained at the shareholders' meeting to call it unanimous. Therefore, it is possible that other shareholders would be able to try and collect votes in order to verify and offset the votes on the agenda proposed by the major shareholders.

Risk Management for Shareholders' Investment Risk

The Company and the Board of Directors have been committed to treating all shareholders with equality, fairness, and regarded benefits of the Company and shareholders the most important. To perform any Company's tasks, if an item requires resolution from the shareholders' meeting to enter into any transaction, the afore-mentioned item must be screened by the Company's top executives first, before the Company's secretary, as assigned by the Chairman, include the item in the agenda of the Board of Directors' meeting to consider and give opinions on that particular item for consideration and for the resolution of the shareholders' meeting.

In this regard, the invitation letter for the shareholders' meeting will specify the opinions of the Board of Directors in a sufficient and appropriate manner to inform the shareholders about the opinions of the Board of Directors on the said transaction and can be used as a basis for further decision-making. By such practices The Company, therefore, believes that the major shareholders will vote in the same direction with the Board of Directors in each agenda. In addition, in case that the Company has entered into a connected transaction that requires approval from the shareholders' meeting, shareholders, who are also stakeholders with interests and are connected with one another according to the relevant notification of the regulatory authority, shall have no rights to vote in such agenda.

However, there are still some unknown risk factors or others deemed insignificant.

3. Driving Business for Sustainability

3.1 Sustainability Management Policy and Goals

HaadThip Company Limited believes that conduction business on a sustainable basis is a crucial foundation that will enable the Company to steady growth. When developing the business policy to attain leadership in the beverage sector with sustainable development, the Company is dedicated to providing quality products and services, treating consumers fairly and taking into account the best interests of all stakeholders in the supply chain. The Company operates its business in accordance with the framework of Environment, Social and Governance (ESG). While adhering to legal standards, other requirements, or practices that are acceptable in society, it readily supports the Sustainable Development Goals (SDGs) of the United Nations with a focus on managing natural resources correctly and efficiently. In compliance with the Circular Economy, the Company seeks to encourage business growth in partnership with all sectors while keeping in mind the advantages that the community should continuously and sustainably gain.

The Company has set up a Risk Management and Sustainable Development Committee and the Sustainable Development Working Group to serve as the primary agency in charge of the organization's performance, ensuring that the organization balances social and environmental responsibility with ongoing business growth. In 2022, the Company has integrated the Sustainable Development Principles into its corporate policy development to inform employees and all stakeholders about the Company's vision and sustainability goals. In the action plan, ESG performance is cited as a key element to ensure that in all activities the comprehensive impacts in all dimensions can be perceived and analyzed instilling a sustainability mindset in all employees.



3.1.1 Sustainability Management Goals

Packaging Management	Water Resource Management	Energy and Climate Change Management	Personnel Development and Promotion
Design and develop 100% recyclable packaging made of at least 50% recycled plastic by 2030,	Increase the number of households benefiting from community water management to over 10,000 by 2025.	Reduce GHG emissions per production unit by 10% by 2025.	5% increase in the number of women in management positions by 2025
Collect enough packages for recycling to equal 100% of the market volume by 2030.	Reduce water consumption in the production process to equal or less than 1.39 L/Lbev by 2030.	Reduce greenhouse gas emissions by at least 25% by 2030 as stated in Coca-Cola Group Policy	a minimum of 80% in the employee engagement survey and a minimum of 75% in the employee engagement score by 2025
Reduce the amount of plastic used in bottles production by 1,500 tons by 2023.		Increase the clean energy consumption for electricity generation by at least 20% by 2027	

3.1.2 Sustainability Disclosure

The Company disclosed outcomes with operational goals pertaining to environmental, social and good governance dimensions in the Sustainable Development Report, which has been continuously produced every year since 2018 until the present to attest transparency, build confidence and be a communication channel for stakeholders and those who are interested in the Company's operations regarding Sustainable Development. It is based on the Sustainability Reporting Framework in accordance with the Global Reporting Initiative (GRI) reporting standards according to Core Option. Find more information on the Company's website or following the link  <https://www.haadthip.com/en/document/sustainability-reports>

3.2 Impact Management for Stakeholders in the Value Chain

3.2.1 Business Value Chain

Giving priority to transparent operation, the Company also places emphasis on strengthening its competitiveness in the market and has continuously developed to lay a foundation to expand the business for the future growth by adding value from all activities carried out by the Company. Existing products and assets have been optimized. New products are to being developed to have distinguished features with a higher value in order to reduce earnings volatility and to ease the impact on the environment and society on the long run. The key strategies are as follows:

► Raw materials sourcing and selecting suppliers

- Select the quality of raw materials used in the production of products and services
- Encourage green procurement policy in selection suppliers from all categories.
- Regular supplier monitoring and risk assessment
- Work with suppliers to guarantee fair, reliable and verifiable procurement and raw material sourcing.

► Production and Technology Development

- Plan production in accordance with market demand to avoid wasting resources consumption
- Control product quality in accordance with legal requirements and international management standards that include consumers, safety and the environment
- Promote the use of clean energy in the manufacturing process to reduce environmental impacts
- Improve the production machines so that the production can be sped up, lowering production costs and resources.

► Shipping and distribution

- Integrate the use of technology into transportation management and distribution to improve its efficiency.
- Encourage drivers to drive safely and responsibly in order to reduce potential dangers to employees and communities.
- Store products in a standardized location in order to control safety and quality of the goods

► Marketing and Sales

- Ensure quality, speedy and punctual delivery of products and services.
- Create positive relationships with customers, consumers and communities through implementing projects such as customer satisfaction surveys and promotional activities among other things.
- Create direct, convenient and easy communication channels for all customers, consumers and stakeholders to accept concerns or expectations and as a symbol of responsibility to consumers

► Corporate culture and Human Resource Management.

- Treat all employees equally by providing the opportunity for them to enhance their knowledge through regular training and tests at all levels. Provide assistance and listen to individual or their families' opinions to ease the burden in profession or personal concerns.
- Provide training and development of employees' potential to improve workplace safety and reduce dangers to personnel and their property.

► Packaging Materials and Post-Consumption Management

- Design more environmentally friendly packaging to reduce environmental impacts and raw material costs.
- Collect post-consumption packaging waste in the community that will be treated in accordance with the Coca-Cola Business Group's Vision of World Without Waste
- Communicate and Collaborate with organizations to raise awareness both inside and outside the Company.

3.2.2 Stakeholders in the business value chain

The Company places emphasis on the efficient and sustainable supply chain management, including environmental, social and good governance dimensions according to the ESG Disclosure of the Stock Exchange of Thailand in order to respond to the expectations of all stakeholders throughout the supply chain. The stakeholders' expectation has been estimated through various channels: customer contact channels, interviews, collecting reports, satisfaction surveys, small group meeting, workshops or complaint channels, etc. By these means, the Company can reach to them to listen to impacts and important issues related to the company and stakeholders and find ways to meet the expectations in all areas. Stakeholder can be categorized based the operations of the organization as follows:

Stakeholders	Communication Channels	Contents	Responses
Employees	• Meetings / Trainings / Seminars • Customers contacts and complaints. • SNS Platform (Line, Facebook) • Internal communication through various systems such as emails, Intranet, video conferences. • Annual Employee Performance Assessment	• Promote working environment and safety. • Opportunities for career advancement. • Compensation and benefits for employees. • Developing skills and potentials necessary for work	• Promote a healthy and safe working environment for employees to attain physical, mental and social well-being. • Treat employees equally without gender, race, religious belief, age, social status. political opinion or any other discrimination and exclusion. Set up policies and comply with labor laws on fair compensation. • Provide trainings for employees according to their line of work. • Respect the privacy of employees.
Customers	• Shop visits • satisfaction survey • Communication through social media channels • Application "M Game" • Complaint channels	• Quality of products and services. • Punctuality in product delivery. • Adjusting trading strategies to respond to market demands. • Security of personal data.	• Monitor, inspect and develop products and services regularly. • Deliver products with quality service and on time. • Develop a customer relationship management system to communicate and listen to opinions and suggestions • Never disclose customers' confidential information without consent or permission.
Communities and Society	• Field visits to participate in activities with the communities • Meeting with the community. • Factory visits • Opinion polls.	• Negative impacts from business. • Restoration of natural resources and the environment. • Closing inequalities gap in society. • Promoting occupations for the communities.	• Support activities in local communities in which the Company operates business with an emphasis on economic, social and environmental dimensions. • Support and organize activities for youth development. • Take action to reduce negative impacts from the Company's business operations on the community and the environment in the area • Communicate and exchange information with the community on an ongoing basis to understand the problems and needs of the local people. • Create employment and promote career development of people in the community.

Stakeholders	Communication Channels	Contents	Responses
Consumers	- Satisfaction survey - Off-site activities Marketing and sales promotion activities - Social Media channels such as Facebook page, Twitter, Line@, YouTube - Complaint Channels - Factory visit	- Control the quality and safety of products and services. - Create projects to benefit society and environment - Design products to respond to the needs of consumers.	- Regular improvement of Quality standards of products and services - Apply for the certification of safety and occupational health standards. - Develop products to be able to respond to the needs of all groups of consumers. - Develop accurate, complete, continual and comprehensive channels to provide information about products to consumers and all groups of stakeholders - Expand more intensive distribution channels and develop online sales channels
Partners Suppliers And Business Partners	- Annual meeting - Communication via phone calls, emails and video conferences - Risk assessment meeting - Complaint channels - Participation in activities organized by the Company - Fill into the questionnaire	- Fair and transparent procurement process. - Punctual Delivery. - Product quality - Product Safety - Acknowledgment of the policy and acceptance of the guidelines for conducting business together.	- Establish criteria for fair selection of business partners and partners with a clear audit process. - Improve procurement processes and communication methods to achieve common goals. - Establish Codes of Conduct and business ethics. - Comply with the procurement policy. Anti-Corruption and create benefits for society and environment - Comply with the security, occupational health and working environment policies.
Shareholders and Investors	- Annual Shareholders' Meeting - Preparation of annual reports. - Quarterly performance report. - Annual Sustainability Report - One on One Meeting with investors - Participated in the activity of listed companies meeting investors (Opportunity Day) organized by the Stock Exchange of Thailand. - Communication via email and telephone	- Business outcomes - Operations with transparency and accountability. - Strategies for sustainable growth - Company risks and risk hedging	- Protect the interests of the Company and its shareholders. - Transparent and reliable Disclosure of information transparently to stakeholders. - Generate favorable turnover and pay appropriate dividends
Press and Media	- Press release - Public relations News and activities of the Company through online and offline media - Participation in the project and Activities organized by the Company	- Transparency in information dissemination - Business expansion plans and organization development strategies. - The accuracy and completeness of the information to be published.	- Meet and communicate with the media regularly. - Participate in activities organized by media groups to build a good relationship with them - Invite the media to visit the Company to strengthen the relationship and create awareness of the company's operations.
Government Agencies	- Participation in activities and projects with government agencies. - Attending trainings and seminars in courses organized by government agencies. - Reporting business outcomes to relevant agencies as required by law.	- Transparency in Disclosure of Operating Results - Conduct business according to the law. - Social and Environmental Responsibility	- Transparent and reliable Disclosure of information about business operations - Comply with all rules and regulations as stipulated under the laws. - Participate in the development and support projects between the government and the Company. - Support activities and take part in projects organized by the government.

Policy on Sustainable Supplier Sourcing

Prioritizing consumer safety, HaadThip constantly pays great attention to the quality of raw materials used in the manufacture of goods and services. To enhance the effectiveness of supply chain management for continuous and sustainable development, the Company has employed 6 areas of supplier assessment criteria. The criteria include delivery on schedule, quality, food safety, sales capability and services, safety and environment.

In 2022, HaadThip joined the project of “Anti-Corruption (CAC)” with 5 other business partners to declare our intention to fight against corruption and build a Thai private sector’s Coalition Against Corruption (CAC). Business organizations in the private sector are encouraged to develop a comprehensive anti-corruption policy and implement mechanisms to prevent taking and accepting bribe in order to construct and expand a large and strong clean business network. Each juristic person in the private sector can freely engage in CAC project’s declaration of intent to demonstrate their commitment to fighting corruption together for the benefit of agencies, organizations, business partners and the nation.



What supplier will have from joining the Private Sector Collective Action Coalition Against Corruption (CAC)



3.3 Sustainability Management in Environmental Dimensions

3.3.1 Environmental Policies and Practices

HaadThip Public Company Limited is committed to producing and providing beverage and service of quality. The Company encourages all employees to have an awareness of social and environment responsibility in every activity we carry out. It also has proceeded to prevent and reduce environmental impact, the impacts of climate change as well as strictly observe law requirements and regulations related to the environment. Great emphasis has been also placed on the use of resources for maximum benefit, environment and resources conservation for future generations.

3.3.2 Environmental performance

Energy Management

The Company is committed to developing an appropriate energy management system. The business conduct goes in parallel with energy conservation by promoting and optimizing energy efficiency, compliance with laws and other requirements. The Company has been certified by ISO 14001:2015, international standards in environmental management, which has been audited by SGS. The strong commitment can also be seen in the Company's projects to promote and support energy conservation, continuous monitoring of energy consumption for maximum benefit and creating awareness among all employees and executives about various energy-saving measures both in the office and in the production process through regular training and public relations.

Dedicated to assisting Thai society in moving toward a low-carbon society, the Company aims to solve the challenges of global warming in a sustainable way and minimize greenhouse gas emissions that contribute to climate change by using efficient production methods and high-quality service. In 2022, the Company purchased electricity from the Provincial Electricity Authority as the primary energy source for its offices and factories. The Company has implemented innovation and technology to develop work processes using renewable energy sources like solar energy, to produce power projected to replace electricity from the grid and lower the cost of acquiring energy in order to achieve efficient electricity usage. While anticipating the opportunity to develop work processes with clean energy as an alternative energy in the production process and service, the Company has set energy consumption targets in the production process at not over 1.45 MJ/Lbev by 2023 and set a long-term energy reduction goal of no more than 0.31 MJ/Lbev by 2027.

- Solar Rooftop: The Punpin plant in Surat Thani Province installed 9,000 solar roofing on the roof of the production building and more than floating solar panels, producing renewable energy up to 11% of the total energy consumption, resulting in 1,325 tCO₂e less greenhouse gas emissions. In addition, there is a plan to increase clean renewable energy and replace fossil coal power by expanding the area for solar rooftop on office buildings and warehouses in Hat Yai plant. By 2027, it is anticipated that solar energy use will have increased by 20%.
- In a pilot project solar panels have been mounted on the roofs of cars up for the sale to replace the energy used by air conditioners and other in-car systems. The installation was discovered to save more than 10% of fuel energy or more than 3 tons of CO₂e greenhouse gas emissions reduction from 1 car.
- NGV has been launched as an alternative energy source for trailers in order to promote clean energy in transportation and lower emissions into the atmosphere.
- Skylights were put in the factory buildings in both the production area and the warehouse area to reduce the need for electric lighting during the day.
- Digital Timer was fitted to turn off electricity and air conditioning during lunch break, before and after work as a measure as a way to conserve energy.
- Energy loss decreases in blowers for blowing the bottoms of soft drink cans using a sensor that open/close only when the cans pass the blowing point to prevent energy loss.
- In 2022, a number of initiatives were started in response to targets for reducing greenhouse gas emissions as well as energy loss. The initiatives included;

1. By adjusting cleaning schedules of the CO₂ filter tank and the water treatment room, more than 800 to 1,000 liters less fuel are consumed each month.
2. Lowering the temperature of bottle-washing water from 70-80 degrees Celsius to 60-70 degrees Celsius reduces the use of fuel oil by 9,907 liters while maintaining quality and hygiene standards for consumers' safety.
3. Adjusting the duration of cleaning and disinfecting carbon filter tank in water treatment room reduces the use of fuel oil by 7,800 liters and reduces the operation time of the machine by 175 hours.
4. With concentrate in the initial washing water collected from the manufacturing process to make the UASB system, CH⁴ and H² gases are produced, reducing the LPG use in the boiler.
5. Plate Heat Exchanger Installation: Plate Heat Exchanger was installed to reduce water consumption of the pasteurizer in production of 250 ml Splash, resulting in less 1,100 m³ of water used for cooling, 98% less water consumption.

Management of Greenhouse Gas Emissions

HaadThip as a manufacturer and distributor of beverage products has given importance to and is well aware of the business impact on communities and the environment. Therefore, the Company is determined to reduce the impact of continuous business growth by establishing policies to efficiently control and reduce energy use as well as reduce greenhouse gas emissions to meet international standards which has been carried out continuously since 2013 until the present. The Company understands well the severe impact of climate change on the world today. Therefore, it is committed to easing such problems as well as reducing the amount of greenhouse gas emissions from production processes and organizational management. Therefore, HaadThip has joined the project to analyze Carbon Footprint for Organization to be certified by the Thailand Greenhouse Gas Management Organization (Public Organization) or TGO every year. The information has been verified from the agencies registered with the TGO including the Federation of Thai Industries, Center of Excellence in Eco-Economic Energy, Thammasat University and independent auditors, with a goal to reduce greenhouse gas emissions by 10% by 2025 for efficiency control management and continually reduce the amount of greenhouse gas emissions of the organization across the supply chain.

In 2022, the Company has applied for certification and received a certificate from the Thailand Greenhouse Gas Management Organization. (Public Organization) or TGO.



During 2021 operation period, the Company reduced greenhouse gas emissions from its operations at Hatyai Factory and Punpin factory in Type 1 and Type 2 in amount of 17,183 tons CO₂ equivalent consisting of direct greenhouse gas emissions Category 1 (Scope 1) 9,880 tons of carbon dioxide equivalent and of indirect greenhouse gas emissions from energy use Type 2 (Scope 2) 7,303 tons carbon dioxide equivalent.

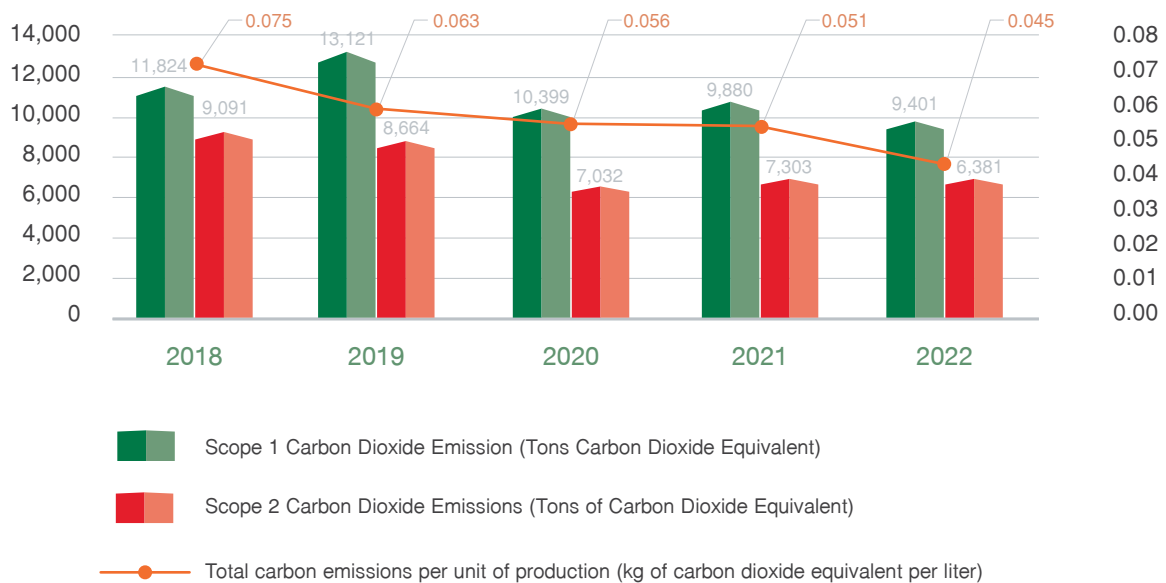
In 2022, the Company's greenhouse gas emissions from both factories were 15,782 tons of carbon dioxide equivalent consisting of direct Greenhouse Gas Emission Type (Scope 1) 9,401 tons CO₂ equivalent and indirect greenhouse gas emissions from energy consumption Type 2 (Scope 2) 6,381 tons CO₂ equivalent. This disclosed information will be processed for accreditation and certification from TGO.

The amount of greenhouse gas emissions of the organization						
Overall Outcome	2018	2019	2020	2021	2022	
					Target	Outcome
The amount of greenhouse gas emissions (tonnes of carbon dioxide equivalent per year)	20,915	21,785	17,431	17,183	16,754	15,782
Share of reduced greenhouse gas emissions per unit of production (percent)	-	-15.7	-10.6	-9	-2.5	-12

Remarks:

- (1) The sum of the Hatyai factory and Punpin factory
- (2) The sum of Scope 1 and Scope 2 greenhouse gas emissions
- (3) The amount of greenhouse gas emissions in 2022 is in the process of requesting certification from the Greenhouse Gas Management Organization (TGO).
- (4) Greenhouse gas emission (Emission Factor) is referred from Thailand Greenhouse Gas Management Organization. (Public Organization) (TGO)
- (5) The amount of other indirect greenhouse gas emissions or Scope 3 is in the process of determining emission sources that are most relevant to the company's context and to meet the requirements for calculation and report criteria of the Carbon Footprint for Organization: CFO by Greenhouse Gas Management Organization (Public Organization).

The amount of greenhouse gas emission



“Economic Mechanism Development Project for Carbon pricing and investment to reduce greenhouse gas emissions” (Internal Carbon Pricing: ICP) 2th year

The Company has participated in the “Economic Mechanism Development Project for Carbon pricing and investment to reduce greenhouse gas emissions” (Internal Carbon Pricing: ICP). The Greenhouse Gas Management Organization (Public Organization) or TGO hosted an event to highlight project accomplishments and inform the private sector about internal carbon pricing (ICP) and green finance initiatives so that the private sector can use the information to develop a climate change strategy, with more access to future green finance, green project development, clean energy and energy efficiency projects.



In the fiscal year of 2022, HaadThip Public Company Limited was one of the 14 pilot companies to receive a certificate of honor at the ICP project achievement announcement event the second year in a row organized by TGO. The outcomes will be used going forward to promote environmentally friendly, sustainable growth and to help the nation meet its goals for reducing its greenhouse gas emissions. Also, the Company has taken part in numerous initiatives to lower greenhouse gas emissions.



“Care the Bear : Change the Climate Change”

The Company has taken part in reducing global warming through participation in the project “Care the Bear: Change the Climate Change” of the Stock Exchange of Thailand. This project is organized to encourage listed companies in the SET to reduce greenhouse gas emissions through environmentally-friendly meetings, trainings and seminars. The criteria of the project on greenhouse gas reduction are reducing electricity consumption, arranging campaigns for public transport, car sharing or arranging online meetings, promoting environmentally-friendly packaging, etc. In 2022, there were total 40 activities that the Company organized and participated in the Care the Bear project, which can reduce the amount of greenhouse gas emissions from meetings, trainings and seminars more than 54 tons of carbon dioxide equivalent. This was equivalent to the carbon dioxide absorption of 6,032 trees per year.

Water Resource Management

• Water Resource Policy

The Company established a working group and agencies to be in charge of effective water management and waste reduction and setting water management targets. In order to reduce the burden on water sources within the company and the community, equipment is routinely inspected to ensure the most effective use of water resources, eliminate loss as much as possible, and increase the capacity of water consumption. A system for water usage was also created for 100% water reuse. The Company continuously raises awareness of the public, its workforce, and other relevant parties of water resource management across the supply chain.

In 2022, groundwater and tap water totaling 680,665 cubic meters were drawn into the system for corporate activities, an increase of 15.2% over the prior year due to the expansion in production volumes of both factories. Water use in the production process accounted for 91% or 1.78 liters per production unit (L/Lbev), while the remaining 9% was used for consumption and other uses. In order to cut waste and optimize available water resources, the Company seeks to realize its short-term goal of less than 1.58 L/Lbev in 2023 and a long-term goal of less than 1.39 L/Lbev over the next five years through a variety of projects.

• Water source risk assessment: Process or tools for assessing risk or impact on water resources

Groundwater serves as the primary raw material in the production of products. The expansion of businesses, communities, and the environment that depend on local water sources could all be affected if water resources are not managed effectively. The Company evaluates the risk to water resources in conjunction with a team of specialists from Prince Songkla University. The assessment is carried out by external auditors every five years and by internal experts annually for the purpose of preventing, reducing the impacts related to water resources on business operations, communities and the environment and developing plans for sustainable water resource management in the future. The risk assessment on water resources found that the company's operations had no impact whatsoever on the area's water resources, as there was no consumption of water from a high stress source. There are further initiatives to support the efficient use of water in addition to the aforementioned ones.

- o Project of Water consumption reduction for production line machinery
- o Plate Heat Exchanger Installation in the production line to cut wastewater loss by more than 1,050 m3 or by 100%.
- o Design and Installation Project to reduce the washing head's size from 3 mm. to 1.5 mm., to lower water consumption from 6,000 liters per hour to 475 liters per hour and reduce water loss by more than 5,525 liters per hour.
- o Installation of water consumption meters at the Punpin factory to prepare water balance to ascertain the overall water loss at various sites where the meters have been installed as well as the amount of water consumed. The calculations are done to determine the most cost-effective and beneficial water use as well as solutions to minimize water loss.

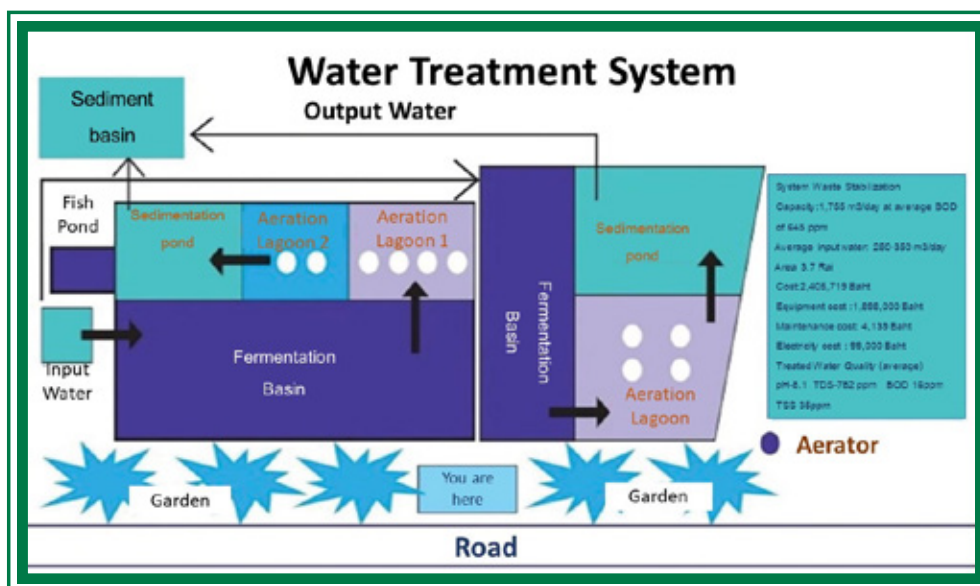
• Waste Water Treatment

The Waste Water Treatment system from the production process of both Hatyai factory and Punpin factory is the state-of-art "Waste Stabilization Pond", a wastewater treatment system that relies on nature for treatment using anaerobic bacteria to decompose organic contaminants. The treatment pond can accommodate the sufficient wastewater to meet the production capacity. The wastewater that has been treated from both factories meets the standards. Before being released to the natural sources, the treated water is controlled and monitored with the BOD Online system that transfers at to the Department of Industrial Works at

all times. Waste water inspection has not only been implemented at the Company's laboratory, a certified private analytical laboratory, but effluent samples have been also sent to an external fully-equipped academic center for regular inspections in order to build confidence and reliability of the analysis results of the treated wastewater.



Solid Waste and Pollution Management



- Solid waste Management Policy at plants

HaadThip has plans to manage waste or residual materials from activities to ensure the most efficient resource consumption with minimal impact on the environment. The Company also urged all employees to be aware of social and environmental responsibility in all activities out throughout the supply chain. The programs include a recycling bank, sorting waste bins in factories and office locations, and teaching personnel about waste separation. The SCG certified the Company ISO 14001:2015, which states that the certified organizations must have guidelines for waste management in factories based on international standards. For proper waste transportation and disposal, an external service authorized by Department of Industrial Works was contracted by the Company.

In 2022, the total amount of waste generated by all corporate activities was 992,357 kilograms, of which 27,084 kilograms were hazardous waste, 965,273 kilograms were non-hazardous waste, including 107,982 kilograms of general waste, and 866,271 kilograms were recycled, accounting for 87% of the recycling rate.



The Company is dedicated to carrying out its environmental policies. There is a plan in place to handle waste or leftover materials as a result of efficient resource use in order to have the least potential environmental impact. The solid waste created by the Company's activities must be processed for convenient handling, storage, disposal, reuse, or recycling in accordance with Ministry of Industry regulations. Employees are expected to take social and environmental responsibility in all aspects of their work across the supply chain.

Furthermore, the Company has provided waste management manuals and organized training so that all employees understand how to separate waste and effectively manage waste. The goal is to improve the proportion of trash recycling to more than 90%, as well as to establish waste management practices by placing garbage containers for general waste, hazardous waste, and recyclable waste at various sites throughout offices and factories. There are separate containers for paper, metal cans, glass bottles, and plastic bottles for recyclable rubbish.

3.4 Social Sustainability Management

3.4.1 Social Policy and Guidelines

Human Rights Policy

The Company is committed to complying with human rights principles and strictly adheres to the law and international principles particularly the United Nations' Global Compact (UNGC) and the International Labor Organization (ILO)'s Declaration on Fundamental Principle and Rights at Work to prevent human rights violations in all activities. This policy also applies to all stakeholders across the supply chain as well as all business associates and suppliers. The key points are as follows:

- (1) The Company places a high value on fundamental human rights as well as equality in all areas.
- (2) The Company is aware of actions that may be associated with or constitute a danger to human rights concerns, such as corruption, unlawful employment, and processes affecting children, youth, and/or neighboring communities, among other things.
- (3) In terms of employment, the Company ensures equal opportunity and does not discriminate against nationality, race, age, gender, color, belief and political opinions, including those who need special care, such as women, migrants and people with disabilities, to whom the Company will provide facilities as appropriate to ensure the inclusiveness in the workplace.
- (4) The Company offers training and skill development programs as possibilities for employee to advance in their career. There are also Career Advancement Schemes as well as recruitment, selection, training, promotion and fair termination in conformity with international practices.
- (5) An effective justice mechanism was designed to prevent human rights violations with an emphasis on the process of finding solutions with participation of the affected and the Company or having a third party to join in the mediation without harming the whistleblowers
- (6) The Company placed emphasis to human rights and stressed that fundamental rights of employees and all groups of stakeholders would be treated, protected and respected equally and fairly by adhering to the following guidelines:
 - Communicate, disseminate, and provide knowledge and understanding to all employees and executives including stakeholders across the value chain.
 - Instill the sense of responsibility in all employees and staff. If they witness an action deemed as human rights violation, they must not ignore but have to report to superiors or persons in charge and be willing to cooperate in the investigation of facts.
 - Ensure fairness and protection of persons who report human rights violations in conformity with Whistle blower Protection Policy.
 - The Company is dedicated to fostering and maintaining corporate culture that values human rights. If any conduct resembling violation human rights is uncovered, it will be considered unethical and a breach of regulations and will be subject to disciplinary action as specified as well as legal penalties.

Those interested can learn more about human rights regulations and guidelines on the HaadThip website

 <https://www.haadthip.com/en/about/good-corporate-governance>

Personnel Care and Development Policy

The Company has instituted a policy to take care of employees from the beginning until retirement. When a person joins as an employee, he/she is considered as a member of the HaadThip family under the principles of fairness, morality and ethics, regardless of gender, race, religion, any disability. The Company will provide guidance in terms of performance, adjustment and development to help employees reach their full potential and be ready to work efficiently and effectively.

The Company also offers fringe benefits and welfare appropriate for current circumstances in response to changes and disruptions along with potential development system so that employees can deliver effective performance such as the introduction of human resource management technology (MyHR system) which may save time and empower employees to be adept in the use of technology. Among the numerous strategies to assist career progression to match work duties is one to care for retiring personnel. Retirees are still regarded as important members of the Haadthip family. They can continue to utilize the area for activities and to buy things at employee prices. A career advancement project after retirement gives information and supporting equipment for a career that will allow them to live a pleasant retirement life.

Labor Social Responsibility Policy

Recognizing the importance of employees and staff as the primary driving force for the Company's advancement and sustainable growth, the Company focuses on providing employees with workplace safety and rights that go beyond what is required by law, including the right to freedom based on human rights principles. The policy is outlined below:

- (1) **Forced Labour:** The Company emphasizes employment policies and labor management in compliance with international standard norms, universal human rights and basic rights. The Company will not engage in or support the use of any forms of forced labor. These following conducts are strictly prohibited in the Company: acts of coercion, abuse, threat, use of force, violence, seizure of identity documents causing fear or harm to life, body, liberty or property or the use of penalties for involuntary work or the use of debt to bind someone to work, while the obligation of debt is wrongful for employees and staff. Hiring and recruitment must adhere to the Company's credentials, knowledge, ability, performance, and work requirements.
- (2) **Discrimination :** The Company values differences and treats employees and staff equally, without discrimination or adverse or unfair denial of rights based on race, nationality, race, color, religion, socioeconomic status, sex/gender, age, handicap or invalidity, political ideology, or marital status.
- (3) **Child Labour:** The Company will not use forced labor in any form, will not engage in the use of illegal labor, and will follow labor laws and related regulations regarding the minimum age of employees and staff in cases where the individual is legally permitted to work. Minors under the age of 18 will not be hired, according to Company's policy.
- (4) **Women Labour:** Recognizing and prioritizing female workers who are pregnant or breastfeeding, the Company focuses on workplace safety, the health of female employees and children, and ensuring that they have rights beyond those necessary by law, including the following details:
 - (4.1) Supervisors are notified to adjust the job for pregnant employees or staff whose nature of work may affect the pregnancy or if the treating physician believes that the nature of work must be changed to make it fit for their health condition.
 - (4.2) The Company encourages breastfeeding and allows staff to take breaks during the day to pump milk if necessary. Milk breast-feeding or pumping time is considered as working hours, and a storage area for breast milk is also provided.
 - (4.3) The Company will not fire off employees, lower their ranks or benefits due to pregnancy.
- (5) **Labour relations :** The Company respects employees' freedom to establish or join organizations and will not interfere with or obstruct any legitimate actions of the employees and staff.

- (6) Sexual Harassment : The Company will take action against sexual harassment or abuse. There are policies and procedures in place to prevent and handle sexual harassment and abuse or work-place related problems.
- (7) Workplace Violence : The Company will take action against violence by implementing measures to prevent and stop violence in the workplace as a specific practice.
- (8) Occupation Safety and Health : As required by law, the Company will ensure that employees are safe at work. Employees have the right under the law to decline tasks that are risky due to unreliable machinery and tool conditions, hazardous surroundings, or inadequate safety measures by notifying the supervisor of safety officers at all levels and demanding the persons in charge to take prompt action to correct the danger. The supervisor should assign appropriate work to the employee in accordance with his responsibilities while waiting for the resolution as a specific action.

Children Rights and Freedom Policy and Guidelines

With special regard to corporate governance and good ethics, all requirements and laws, HaadThip operates according to the United Nations Universal Declaration of Human Rights, modern slavery laws and the International Labor Organization Convention, while taking into account transparency, good morals, protecting the rights and freedoms of employees including their families and organizations with which Haadthip has entered into a supplier contract. It also focuses on protecting the rights and welfare of children who may be impacted by business operations across the supply chain by demonstrating the responsibility of all stakeholders from upstream to downstream in accordance with the Children's Rights and Business Principles (CRBP) to establish a commitment and guidelines in response to important issues for a sustainable future for children.

Furthermore, the Company has encouraged youngsters under the age of 18, as well as students in academic institutes, to learn and gain experience through various projects such as English Camp, Sprite Music, and sending staff as speakers as requested by educational institutions. The Company provides accommodations for employees so that they may care for their children and found a solid family institution. On National Children's Day, the Company also gives gifts to employees' children and awards scholarships to ease parental burdens and ensure access to great education at all levels.



Maternity Leave policy

HaadThip's employees have the right to take maternity leave under the Company's policy. By 2022, it also plans to implement a policy allowing male employees to take pre- and post-natal leave to take care of their children and spouses. According to labor legislation, the Company enables workers to take maternity leave for a maximum of 98 days, with regular salary payments to employees for a total of not more than 45 working days and social security contributions for a total of not more than 45 days according to the labour law. In 2021, there were 16 female employees who used maternity leave rights and returned to work after exercising all 16 rights, representing 100% of employees who returned to work after taking maternity leave. The Company has offered training programs for mothers on how to take care of their health and their children and how to raise a newborn child including after giving birth. The Company has also arranged gift sets to welcome newborn babies as a way of wishing them a good life quality and a healthy environment to thrive. In 2022, the Company set up a breastfeeding room in the Hat Yai and the Punpin plants for employees who need to pump and store breast milk, as children should be fed breast milk to obtain useful and complete nutrients.



Policy on employees with disabilities or invalidity

The Company has a policy to hire people with disabilities or persons with disabilities in an acceptable ratio to work in accordance with the nature of the work. According to the Empowerment for Persons with Disabilities Act B.E. 2550's regulations, employers or owners of businesses with more than 100 employees are required to hire people with disabilities who are capable of working in any position at a ratio of one disabled person for every 100 non-disabled employees. If there are more than fifty people out of a small group of one hundred, the employer must take on one additional person with a disability. Per each 100 persons, there must be one person with disability. If there are more than fifty applicants with impairments from a pool of less than one hundred, the employer must take on another disabled applicant. Annual contributions to the Fund for Empowerment and Development for People with Disabilities B.E. 2554 are required from the employer or business owner.

Diversity and Inclusion Policy

HaadThip advocates equality of opportunity and treatment inside the company by supporting a culture of diversity at all levels. The diversity of personnel is accepted in all aspects, as the Company believes that the policy on diversity and acceptance of differences should keep and promote talented persons to become a powerful force that can boost productivity and business growth under the policy on diversity and inclusion. All employees will be treated in the same way and should not made to feel excluded from other people.

The Company has revised an employees' benefit plan, called the "Benefits Regulations for LGBTQI Employees". In order to support gender equality, human rights, and diversity such as gender, religion, culture, race, nationality, and education, activities to promote gender diversity include the "LGBT Pride Month" project. This project demonstrates commitment to support these causes so that people can benefit from equal opportunities without experiencing direct or indirect discrimination. Over the month of June, the Company took part in the symbolic manifestation. Employees were urged to participate with the "Snap & Share" campaign by taking



Women Empowerment in Business Sector

Both large and small enterprises, especially retail and small stores in various forms, were adversely impacted by the economic downturn and the delayed recovery caused by the Coronavirus Disease (COVID-19) outbreak. Their sales and revenue were unavoidably impacted.

Women business owners face challenges with financing, product management issues, e-payments, basic mobile applications, and adaptation after COVID was declared an endemic disease. For the aforementioned reasons, HaadThip Public Company Limited, a private corporation, aims to empower women to create their own businesses and appropriately adapt to changing conditions. “Women Shop Empowerment Project” was organized by the Company’s capable team which has a variety of management skills for local stores. In 2022, the team launched implemented a pilot project with 52 participating stores in Hat Yai, Pattani, Narathiwat, Yala, Satun and Phatthalung. In 2023, the Company sets a of having more than 300 stores in 14 southern provinces engage in the project.



Personal Data Protection Policy

HaadThip Public Company Limited and its affiliates are aware of how crucial data security is. As a result, the Company has formed a Personal Data Protection Policy as guidance on how to handle personal information, including the collection, storage, use, and disclosure of personal information as well as the rights of the data owner. Data owners are made aware of the Company’s policy on protecting personal data. HaadThip released the following information about its personal data protection policy:



Definition

Personal data means information about an individual that can be used to directly or indirectly to identify him/her but it does not include information about any specific deceased person.

General personal data include

- Personal data such as first name and surname, date of birth, status, details on identification card, passports or copy of ID card, ID card number.
- Contact information includes address, telephone number, Line ID, social media contacts, workplace, job title, agency or organization.
- Information about use of electronic systems includes e-mail addresses, IP addresses, browser type and cookies, chat history in various applications.
- Information that you have given to the Company when you contact or take part in any activities, etc.

Sensitive personal data are true personal data but sensitive and can leave a person vulnerable to unjust discrimination. In accordance with the Personal Data Protection Committee’s announcement, sensitive data includes race, ethnicity, sexual orientation, criminal history, political opinions, doctrines, religious or philosophical beliefs, health information, disability, union information, genetic data, biological data, biometrics, and any other information that has an impact on the data owner in a similar manner.

- **Collection of personal information**

The Company shall collect personal information with objectives and scope using lawful and fair means. The data collected will be used only to serve the Company's purpose. The data subjects shall be informed to acknowledge and give consent electronically or as determined by the Company. Unless the collection of sensitive personal data falls under an exception allowed by the Personal Data Protection Act B.E. 2562 or other regulations, the Company must get explicit consent from data subjects before collecting sensitive personal data.

- **Purpose of collecting or using personal data**

The Company will gather or utilize the data subject's personal information for the company's operations, such as contracting out, making financial transactions, activities, and coordination, or to boost productivity by improving the quality of work such as the preparation of analytical databases and development Company's operation process and for any other purposes that are not illegal and/or to comply with laws or regulations pertaining to the Company's operations. The Company will store and use such information for as long as necessary according to the purpose that has been notified to the owner of the information or as required by law. The Company will not do anything different from the purpose specified in the collection except

1. The Company has informed of the new purpose and obtain consent from the data owner.
2. The data collection complies with Personal Information Act or other pertinent laws.

However, if the purpose of collecting personal data changes, the Company will notify the data owner and take any other necessary legal actions including providing additional amendment records as evidence.

- **Personal Data Disclosure**

The Company will only share personal information with other third parties with permission and in a manner that furthers the aforementioned goals. However, the Company may need to disclose personal information of the data subject to affiliates or other domestic and foreign parties, such as service providers, for the purpose of operations related to personal information in order to benefit the Company's operations and provide services to data owners. When providing personal information to such parties, the Company will ensure that they maintain the privacy of that information and do not use it for any other reasons than those that the Company has authorized.

The Company may disclose data subject's personal information in accordance with the criteria prescribed by law, such as disclosing information to government agencies or regulators upon legal requests for disclosure such as requesting information for prosecution or legal action or private agencies or by other third parties involved in legal proceedings. The Company will strictly adhere to the Personal Data Protection Act B.E. 2562 in the event that personal information is transmitted to foreign countries.

- **Personal Data Protection**

The Company has set a number of measures for personal data security that are in accordance with laws, regulations, rules and practices for protection of personal data for Company employees and other related persons. Employees are encouraged and supported to be knowledgeable about their roles in gathering, storing, using and disclosing of personal information of data subjects. Employees are required to abide by the policies and guidelines for personal data protection as specified so that the Company can accurately and effectively follow the policy and regulations on personal data protection.

- **Owners' Rights in Personal Data**

The following are the options available to the owner of personal data:

1. Right to revoke consent for the processing of personal data after giving it. The collection, use, or disclosure with consent will not be impacted by the withdrawal of consent.
2. Right to access personal data and seek a copy of personal data including requesting disclosure of the acquisition of personal data without consent among other things.
3. Right to correct personal data
4. Right to have personal data erased
5. Right to suspend the use of personal information
6. Right to transfer personal data
7. Right to object to how personal data is used

The data owner may request to exercise the rights listed above by making a written request to the Company or by sending electronic mail via "Contact channel" below. The Company will examine the request and respond within 30 days from the date of receipt. Rights of data subjects may not be granted as needed by law.

- **Data Retention Period**

Your personal information will be retained by the Company for as long as required to fulfill the purposes for collection, use, and disclosure set forth in this notification. The factor used to determine the storage period is the extent that the Company has a relationship with you as a customer of the Company and the data may be kept for as long as required by law, the legal statute of limitations, the establishment of legal claims, compliance with laws, the exercise of legal claims, the raising of legal claims, or for other purposes in accordance with the internal policies and procedures of the Company. The data will be kept for as long as might be anticipated in accordance with the standards of collection, such as a maximum legal limit of 10 years, if the retention time of personal data is not clearly indicated.

- **Information Technology Security Policy**

In accordance with the Company's information technology security policy and practices, the Company has put in place suitable and stringent safeguards to ensure security, preventing the loss, unauthorised access, deletion, use, conversion, modification, or use of personal data.

- **Review and change of personal data protection policy**

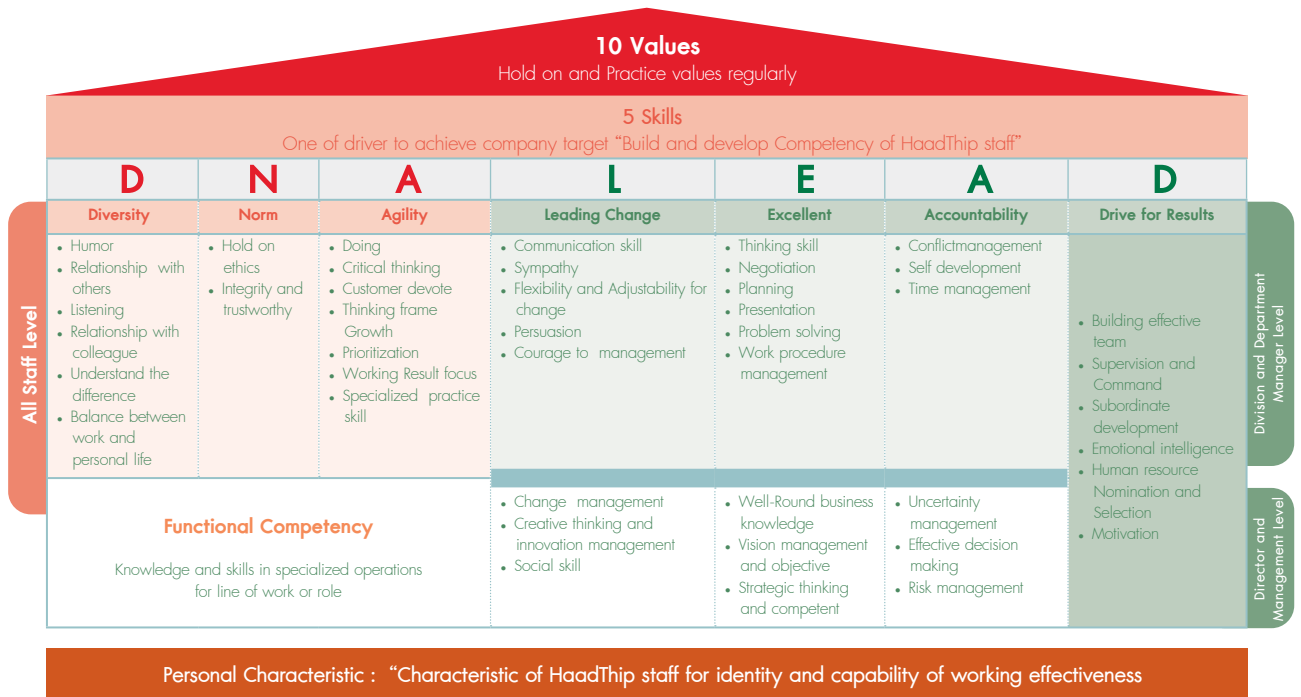
The Company may periodically update or modify this policy in order to comply with changing legal requirements, operational changes, and suggestions and opinions from other bodies. If something changes, the Company will properly notify everyone involved.

- **Company contact channels**

In pursuant to the Personal Data Protection Act B.E. 2562, the Company appointed a Data Protection Officer (DPO) to oversee operations relating to the collection, use and disclosure of personal data in accordance with the Personal Data Protection Act B.E. 2562 including laws related to personal data protection. The contact channels are found below:

- Data Protection Officer
- Phone number 0 7421 0008 ext. 1188
- E-mail at dpo@haadthip.com
- Postal address: No. 87/1 Kanjanavanich Road, Ban Phru Subdistrict, Hat Yai District, Songkhla Province 90250
- Contact us via online channels at www.haadthip.com

Personnel Training and Development Policy



Infographic : Haadthip Competency Framework

HaadThip values growing potential, upgrading skills, knowledge, and capacity of staff at all levels to cover and connect with business goals so that employees can pass on their worth to the organization and expand their competency and skills to operate effectively in the present and future. Regular trainings provide possibilities and future progress to staff at all phases of their careers. In 2022, the Company embraced the organization's vision, mission, strategy, and 5 skill clusters as principles for building the HaadThip Competence Framework for human resource development, which includes 15 DNA competencies and 30 Leadership competencies. Human Resources Development has created a competency guide based on this conceptual framework to interact with employees and provide instructions so that competencies are developed in a unified direction. In addition, the Company has developed an Individual Development Plan (IDP) for employees to plan for their self-development in accordance with the organization's target competences and work-related capabilities. As a result of the aforementioned personnel development guidelines, employees will be developed methodically in accordance with the visions, missions, strategies, and five skill clusters for which the Company has already built the groundwork.

From 1989 to the present, the Company has had a policy of promoting and supporting employees' education so that they have the opportunity for higher education, which improves their operational efficiency and integrates varied expertise for maximum benefit to the company with 33 undergraduate scholarships, 44 scholarships for master's degree, and 1 doctoral scholarship, a total of 78 scholarships worth 5.59 million baht. In 2022, the Company continued to support two undergraduate scholarships, three master's degree scholarships and one doctoral scholarship, for a total of six scholarships.

The Company's training courses in 2022 to improve employees' working skills and potential can be classified as corporate culture, quality safety and environment system, skill development, supervisory skill development, and social responsibility. There were 66 internal training courses and 109 external training courses, for a total of 175 courses, and the average training hours for male and female employees were 1.20 hours/person/year and 1.17 hours/person/year, respectively.

• Training Courses for Skill Enhancement 2022

Types of Training Programs	Number	Internal	External	Budget (Baht)
Corporate Culture	1	250,220	-	250,220
Quality, Safety and Environment System	19	1,921,047.45	103,152	2,024,199.45
Skills Development	142	2,750,464	737,184.58	3,987,673.58
Supervisory Skills Development	13	710,287	122,060	332,322
Social Responsibility	-	-	-	-
Total	175	5,632,018.45	962,396.58	6,594,415.03

Staff level	Internal	External	Budget (Baht)
Chief Executive Staff	571,463.60	525,402	1,096,865.60
Managerial Staff	3,623,931.87	100,271.60	3,724,203.47
Operating Staff	1,436,622.98	336,722.98	1,773,345.96
Total	5,632,018.45	962,396.58	6,594,415.03

Remark: Information as of January 2023

Occupational Safety, Health and Environment Policy

The Company has established guidelines for occupational health and safety in accordance with the safety policy framework as well as committed to complying with the law and other requirements that is acknowledged in society to prevent and reduce accidents, illnesses, ailments and losses inflicted in the workplace through continuous improvement and development. In cooperation and acceptance from all employees in the organization, visitors, partners, contractual parties, contractors and all groups of stakeholders, it has employed the Occupational Health Management System as certified by international safety standards ISO 45001. HaadThip also creates awareness of occupational safety, health and working environment as well as promote disease-free physical and mental health employees at all levels including visitors and all related groups. In addition, the Company has targeted and recorded the operating outcomes to control safety performance and attaches importance to the safety of employees at all levels, as it tries to ensure that all employees respond to the policies set by the Company. HaadThip deems it its duty to look after welfare of the employees and provide safe and sanitary working environment. The Company strictly observes the law by providing safety trainings to employees to enhance their skills so that they can cope with unexpected events in accordance with the guidelines that are safe for the lives and properties of employees and the organization. Annual health check has been provided as a proactive health program. It has regularly communicated and educated the



staff on preventive health care for both seasonal diseases and emerging diseases through internal communication channels such as online channel, bulletin board or e-mails, etc., as well as to encourage employees take part in physical activities and exercises in sport clubs such as cycling, running, football, yoga clubs, etc. to achieve common goals. There are a variety of activities to boost efficiency for all employees, to raise the bar for workplace safety standards as well as to raise awareness of safety as the core of work.

• Accident and Sick Leaves Statistics

	Total Cases of Accident (No. of Person)		By degree of severity							
			Total Off-Work (Day)		Total Off-Work (Day)		Total Off-Work (Day)		Total Off-Work (Day)	
	2021	2022	2021	2022	2021	2022	2021	2022	2021	2022
Employee	14	7	13	6	194	24	1	1	0	0
Contractor	0	0	0	0	0	0	0	0	0	0

Remark: Information as of 27 January 2023

From employee injury statistics, it was found that in 2022, there were 7 accidents involving employees, of which 6 employees requested time off and 1 employee did not request time off. The number 1 cause accident cause involved use of vehicles. The Company did not stand still and made a move to improve the policy and take more stringent measures to reduce and prevent accidents related to safe driving. A working group was set up to design safety plans, such as an annual safe driving training program for all drivers, a 5-minute safety program, a traffic management project inside the plants for safety where a car route was fixed, an accident and risk reporting project via Line @SAFETY HAADTHIP. Training for staff and everyone involved, as well as more stringent follow-up, were prioritized. To lessen the chance of a traffic accident, all employees at the Punpin plants are required to wear fluorescent vests at all times. To cover all risk points, there are additional near miss reports and machine guard risk point assessments. Certain work processes have been modified for safety and discretion, and PPE suits and equipment are ready for use.



3.4.2 Social Performance

1. Educational support and opportunities

To provide educational opportunities to underprivileged people in accordance with the former chairman's policy and to ensure that everyone has inclusive and equitable access to quality education at all levels, the Company provides necessary facilities to educational institutions and students of all groups, including those with disabilities and gender diversity, as well as creating a trouble-free educational environment. In 2022, the Company granted scholarships and other educational supports totaling more than 365,000 baht to young individuals with strong academic records but limited educational options and resources.



In addition, the Company provides educational support for employees' children through an annual scholarship program. In 2022, 857 scholarships totaling more than one million three hundred thousand baht were awarded to employees' families at all levels.

2. Brain Based Learning: BBL

A project to create learning materials on the road for Ban Khlong Wa School students (Thaweerat Ratbamrung) Khong Hong Subdistrict, Hat Yai District, Songkhla Province through street paintings in order to provide pupils with a multi-purpose and colorful venue. This playful learning allows children to connect knowledge with various senses and foster physical, mental and intellectual development as well as brain-based Learning (BBL). This art work was created by HaadThip Public Company Limit in collaboration with 50 students from Prince of Songkla University and Hat Yai University and it benefited approximately 411 people (the number of teachers and students of Ban Khlong Wa School (Taweerat Rat Bamrung)).





3. Planting with Dharma, Made with Heart Project, Episode “The Beginning”

The Company funded the renovation of the bio soil conditioner fermentation plant at Chin Wong Pradit Temple, Ban Phru Subdistrict, Hat Yai District, Songkhla Province, to make it cleaner and more sanitary for people who work there. The conditioner storage facilities for ready-for-sale bio soil were also cleansed for improved hygiene and scenery, encouraging customers to purchase. To promote the sale, public relations materials were also provided. Since 2019, the fermentation and soil conditioner storage plants have

been consistently improved, and sales have increased by more than 80%, or approximately 6,000 to 7,000 baht each month.

Conservation and restoration of natural resources and the environment

1. The 5th Southern Sea Coral Reef Conservation Project (Marine Camp)

Since 2018, under the Coral Sea Conservation Project (Marine Camp) the Company has continued to propagate coral species in the area of 2,000 square meters in front of Bulon Le Island, La-ngu District, Satun Province, with permission from Department of National Parks, Wildlife and Plant Conservation, National Parks Office and under the supervision of Mu Ko Petra National Park. Over the past 5 years, in cooperation with Reef Guardian Thailand, Satun Province, Petra National Park, Satun Provincial Administrative Organization, Pak Nam Subdistrict Administrative Organization, Satun Provincial Tourism Council and the villagers of the Bulon Island community, the project supported the conservation and restoration of marine ecosystems.

The 5th Marine Camp, held from 18 - 20 December 2022 at the beach in front of Ban Koh Bulone School, La-ngu District, Satun Province, grew 300 staghorn corals, the most suitable species in the area. The participants also gathered 112.5 kilograms of beach trash and marine debris, primarily fishing gears. The efforts resulted in a 605.75 kilograms in greenhouse gas emissions reduction or equivalent to 67 trees planted. Over the past 5 years, the team has planted 1,500 corals and has gathered more than 600 kilos of marine trash overall. In order to continue, the Company developed a plan for regularly scanning and tracking the growth of coral reefs and collecting marine debris. It was discovered that the efforts had a positive impact on sea abundance in the project region. Several uncultivated coral larvae are approaching the coral planting plots and attaching themselves to them. Four different types of corals-hump coral (*Porites* sp.), small star coral (*Cyphastrea* sp.), stone leaf coral (*Lithophyllon* sp.) and ring coral (*Favia* sp.) - as well as other species- were discovered to thrive in the coral planting area as well such as *Scorpaenas* fish, crabs and rock onchidiids (*Phyllidiella* sp.). Out of 700 corals that were propagated, 175 corals, or 25% of all corals produced, were determined to survive in the nursery plots. Given that a variety of factors, including monsoons, rising sea temperatures, sediment deposition, etc., affected coral growth in the area, the result was deemed satisfactory. The successful outcomes demonstrated the Company's dedication to replenish the sea ecosystem. It also raised local residents' awareness of their hometown resources.



2. “Clean Koh Yao by our own hands” activity, Ko Yao District, Phang Nga Province

HaadThip Public Company Limited and the Coca-Cola Foundation International Organization for Conservation of Nature (IUCN) in collaboration with the Village Headman Club, Village Health Volunteers (VHVs) and communities in 18 villages of Ko Yao District, Phang Nga Province organized the first “Clean Koh Yao by our own hands” under the banner of “Plastic Waste Management in Thailand: People’s Action for Policy Change” on 20 - 21 July 2022, and the second on 10th November 2022, at Ko Yao District, Phang Nga Province. The participants collected rubbish at Ao Sai beach, sorted it and sold the recyclable parts to entrepreneurs who buy recyclable materials in the area. 100% recycled materials from the community’s households were donated and all proceeds from the sale of recycled materials were returned to common community fund for public activities in the future, such as the Begging Bottle Fund for the care of the patients of Ko Yao Noi Sub-district or the purchase of medical equipment for Ko Yao Yai sub-district, etc.



More than 12 tonnes of recyclable material were subsequently transported back to land. These events were scheduled on a monthly basis. Out of 12,438 kilograms of waste collected, 11,664.5 kilograms were mostly packaging waste. With the efforts, 11,820.3 kg of greenhouse gas emissions were reduced, equal to 1,314 trees planted. After the activity was finished, the Faculty of Technology and Environment at Prince of Songkla University’s Phuket Campus organized a “Hackathon” to address persistent issues brought on by the use of packaging by residents and local business owners in order to have an effective waste management strategy. This will mark the start of the district of Ko Yao’s proposed waste management policy.

The public sector can be compared to a significant wave. If the public sector pays attention and understands the significance of correctly separating recyclables and other forms of waste beginning with behavior adaptation at the individual level, it will be able to generate a powerful ripple to construct a waste management system throughout the community. The commonly upheld community agreements will promote communities’ efficient and successful sustainable waste management efforts.

3. Garbage collection at Laem Son On, Samila Beach, Mueang District, Songkhla Province on June 22, 2022, and Baby crab release, garbage collection to protect Koh Nu at Koh Nu, Mueang District, Songkhla Province on 11th of June 2022



HaadThip Public Company Limited has sponsored and participated in a number of waste collection activities as part of the Coca-Cola company’s World Without Waste initiative in order to protect marine and coastal ecosystems from trash brought in by monsoon winds and to promote proper waste management.



Waste issues on Koh Nu and Koh Maew were investigated with assistance from the Office of Marine and Coastal Resources 5, Naval Base - Songkhla Naval Area 2, Songkhla City Municipality, Hua Khao Crab Hatchery Learning Center, Songkhla Province, University of Technology Rajamangskorrajavidyalaya, and The Pine Songkhla Hotel. Together with lectures, other projects included the Department of Engineering and Rubber Technology’s plastic upcycling booth, a 300-meter beach waste collection at the cape Son On, Samila Beach, and the release of 15 million blue crabs. A total of 431.4 kilograms of rubbish were collected throughout the activity, and 1,641.2 kilograms of greenhouse gas emissions were reduced, which is equivalent to planting 182 trees.



Crab release , garbage collection, conservation of Koh Nu at the area of Koh Nu



Garbage collection at Laem Son On, Samila Beach

4. Support the implementation of water resource development projects According to the Royal Initiative Year 2022 at the community area of Pakaharang Subdistrict, Village No. 3, Muang District, Pattani Province

To implement the Coca-Cola Business Group's policy "return water to community", since 2021 HaadThip has supported a budget for the Utokapat Foundation under the Royal Patronage to carry out water resource development projects as a part of the Royal Initiative in 2022 on August 19, 2022 at Pakaharang Sub-district Community, Muang District, Pattani Province. Under these programs, Sai Kue Ya Canal was restored by developing water infrastructures in order to boost the capacity of water storage and drainage to assist mitigate the problems of drought and flooding.

The findings demonstrated that the rehabilitation of the Sai Kue Ya Canal at the community area of the Pakaharang Sub-district, for a total of 2 sections, totaling a distance of 1,350 meters, together with the water management structure, Village Nos. 3, Ban Kruya, and 4, Ban Churanip, D there, resulted in an increase in water volume of 27,475 cubic meters. Dredging the Saikai Pond connecting the Kee Ya Canal boosted the water volume by 10,185 cubic meters, benefiting 30 houses with 80 people.



5. Community water management project, Upstream of the Cha Uat River, Pak Phanang River Basin, Year 2022

Since 2018 HaadThip Public Company Limited has continuously supported the community's water management project. As of now, water programs have turned dry seasons' water-scarce areas into more fertile ones, where agriculture is possible due to the moist soil and the problem of water scarcity has been effectively resolved. Communities in the area acquired access to stable water resources for use in agriculture and other occupations as well as for consumption. As a result, the households had lower expenses and more income, underscoring the idea that rich upstream regions produce fruitful downstream, in the form of improved career advancement and a high standard of living for the communities.

In 2022, the Company developed a community water management project at upstream of the Cha Uad River, Pak Phanang River Basin, Village No. 9, Wang Ang Sub-district, Cha Uat District, Nakhon Si Thammarat Province to increase access to the water resources for consumption and different occupations, such as supporting organic farming for farmers in the community, the biological diversity in the ecosystem and restoring as much of the environment's balance as possible, the extension of community enterprise buildings, adding value to agricultural products, generating sustainable income for local people benefiting approximately 1,000 people in 300 households.

For the year 2023, the Company plans to further support agricultural projects for school lunches in the area, such as the purchase of plant and animal seeds, etc. and training programs to educate teachers and students on agriculture by agricultural experts. To support the marketing, the staff also provided suggestion on packaging designs and distribution channels for community enterprise clusters (Curry Paste cluster) in cooperation with the Institute of Community Enterprise Incubation, Thaksin University. Students also are given the opportunity to present ideas and develop business plans for community enterprise clusters.



6. Mangrove Ecosystem Restoration Project, Takua Pa District, Phang Nga Province, to support the Sounds of Earth (SOE) event April 16, 2022

Led by HaadThip Public Company Limited, a team of the Company's volunteers along with the founder of Sound of Earth (SOE), director of the Tourism Authority of Thailand (TAT), Phang Nga Office, director of the Office of Marine and Coastal Resources 6, business owners, government agencies and more than 100 tourists participated in mangrove planting activities in order to create a natural wall on an area of 7 rai in Soi Pakarak by planting 1,200 mangroves and bean trees, taking in 4,680 kilograms carbon dioxide of carbon dioxide per year. Mangroves and beans are appropriate vegetation for the swamp forest. The Office of Marine and Coastal Resources 6 suggested the seedling kinds and the correct planting technique. The mangrove forest serves as a dam, protecting shore from sea wave, mitigating the impact of storms, filtering contaminants and preventing garbage from the land from entering the sea. It is a good aquatic nursery that boost sea animal fecundity and absorbs carbon dioxide.



7. Exercise for Energy Project, Hat Yai City Municipality Public Park Pilot Area

Energy is a major issue in the globe right now, and it will only get worse as time goes on for humanity. In order to focus on resources and the environment, several authorities are consequently paying closer attention to and embracing the introduction of new technologies and renewable energy sources that will be employed in Thailand in the future. Hence, HaadThip Public Company Limited created a cycling-based workout equipment that also used solar energy to produce power to advocate for physical fitness through exercise. In order to encourage the use of alternative energy sources, raise awareness of the environment, and engage in sustainable social responsibility, it is also built to be able to store electrical energy while pedaling. There are around 160,000 beneficiaries of the initiative. (Hat Yai Municipal Park Office statistical data on service access)



4. Management Discussion and Analysis: MD&A

4.1 The Overall Operating Results

HaadThip Public Company Limited is a sparkling beverage manufacturer, with its main income generated from the sales and distribution, exclusively in the southern part of Thailand, of sparkling products namely Coke, Fanta and Sprite as well as non-carbonated products such as Minute Maid Juice, Namthip Drinking Water, and Bon Aqua Mineral Water.

1. The Operating Results of HaadThip Public Company Limited and the subsidiaries

1. Revenue from Sales

The Company's revenue from sales was Baht 7,048.3 million, an increase of a Baht 530.4 million or 8.1% from Baht 6,518.0 million of year 2021, and sales volume was 64.3 million unit cases, an increase of 3.9% from 61.9 million unit cases of year 2021.

Company's Revenue by Type of Business

Unit: Million Baht

Type of Business	2022	2021	Increase (Decrease)
Beverages (inclusive of the sales of containers)	6,873.50	6,358.17	515.33
Consumer Goods	142.47	138.56	3.91
Food	32.37	21.22	11.15

The revenue and sales volume increased from

- 1) The tourism business had been recovering well following the easing of COVID-19 control measures.
- 2) The Company implemented Revenue Growth Management Initiatives through the pack and channel mix in prompt response to increasing demands for single serve packages. This was part of the Away From Home Consumption strategy.
- 3) The Company increased price of selected sparkling beverage pack sizes for approximately 6%, effective on August 2022.
- 4) Zero sugar beverage category continued to grow with new flavor introductions such as Coca-Cola Starshine No Sugar, Coca Cola Marshmallow So Sugar, Schweppes Citrus Raspberry Soda No Sugar, Schweppes Pineapple Mojito Soda No Sugar and lately Sprint Lemon Plus No Sugar.

For 2022, the Company maintained its leadership in the non-alcoholic-ready-to-drink (NARTD) market and the sparkling Soft Drink (SSD) marketing shares for the South at 25.5% and 80.7%, respectively.

2. Cost of Sales and Gross Profit Margin

Cost of sales was Baht 4,228.6 million, an increase of Baht 335.3 million or 8.6 % from the same period of the year 2021 as a consequence of the rise in 3.9% of sales volume, and the increase in raw material price due to commodity and fuel price increase. The gross profit margin was 40.0%, a decrease of 0.3 percentage points compared to 40.3% from the same period of the year 2021.

3. Distribution costs and Administrative expenses

Distribution costs were Baht 1,449.5 million, an increase of Baht 171.6 million or 13.4%, with administrative expenses of Baht 878.9 million, an increase of Baht 147.2 million or 20.1% from the same period of last year. Distribution costs and administrative expenses (SG&A) totaled to Baht 2,328.4 million, an increase of 15.9% or Baht 318.8 million, compared to Baht 2,052.9 million of the same period last year. The increase was mainly due to:

- 1) Sales promotion and marketing expense increased by 10.2%, as a result of \ shifting distribution channels and the additional investments to support the market and tourism recovery.
- 2) Transportation cost increased by 32.8% as a result of sales volume increase and fuel price increase. However, the Company implemented management to increase the fixed cost effectiveness to partly optimize the impact.
- 3) Personnel expenses increased as a result of the adjustments to employee compensation and benefit plan in consideration of higher inflation rate and additional headcounts to beverage marketing recovery and growth, especially tourism-related distribution channels (restaurants, hotels, convenient stores, super/hypermarket) and traditional trade.
- 4) One-time expenses from the asset impairment and loss from write-off assets from the dissolution of the three subsidiaries in the amount of Baht 23.4 million.

4. Finance costs and income tax expenses

Finance costs were Baht 9.4 million, a decrease of Baht 3.5 million or 27.3%, as the loan's principal was being paid back. While income tax expenses of Baht 95.0 million showed a decrease of Baht 0.4 million or 0.4% from Baht 95.4 million of previous year due to the lower taxable profit.

5. Net Profit and Net Profit Margin

The Company's consolidated financial statements for the year 2022 had shown a net profit of Baht 431.0 million, (excluding one-time expenses of the asset impairment and loss from write-off, the net profit was Baht 454.4 million) a decrease of Baht 102.3 million or 19.2%, compared to the net profit of Baht 533.3 million in the same period of last year. While, net profit margin decreased from 8.2% to 6.1%(excluding one - time expenses was 6.4%), a decrease of 2.1 percent points as a result of raw material increase and SG&A expense increase in response to growth of the non-alcoholic-ready-to-drink (NARTD) market and an increase of fuel prices.

Net profit to the Parent Company was Baht 435.1 million, a decrease of Baht 100.3 million or 18.7% compared to Baht 535.4 million from the same period of last year.

Company's Net Profit (Loss) before income tax by Type of Business (after transaction elimination)

Unit : Million Baht

Type of Business	Year 2022	Year 2021	Increase (Decrease)
Beverages (inclusive of the sales of containers)	603.58	645.45	(41.87)
Consumer Goods	(35.54)	(1.97)	(33.57)
Food	(34.24)	(12.66)	(21.58)
Real Estate	(7.78)	(2.08)	(5.70)

Profitability and Operational Efficiency Ratios

Ratios	Year 2022	Year 2021
Gross Profit Margin (%)	40.0	40.3
Net Profit Margin (%)	6.1	8.2
Return on Equity (%)	11.7	15.1
Return on Assets (%)	9.4	11.9

- Net profit margin was 6.1% (excluding one - time expenses was 6.4%), decreased by 2.1 percentage points from 8.2% from the same period of last year as a result of lower gross profit margin decrease and personnel expense increase from the NARTD market expansion, sales promotion and marketing expense from distribution channel adjustment and transportation expense increase from fuel price increase and sales volume increase.
- Return on equity of the year 2022 was 11.7%, decreased by 3.4 percentage points from 15.1% as a result of a decrease in the Company's net profit for the year.
- Return on assets of the year 2022 was 9.4%, decreased by 2.5 percentage points from 11.9% due to lower earnings before tax for the year.

2. Financial Status of HaadThip Public Company Limited and the Subsidiaries

Unit : Million Baht

Item	As at 31 st Dec 2022	As at 31 st Dec 2021	Increase (Decrease)	
			Amount	%
Total Assets	5,915.22	5,427.93	487.29	8.98
Total Liabilities	2,161.81	1,814.03	347.78	19.17
Shareholders' Equity	3,753.41	3,613.90	139.51	3.86

- As at 31st December 2022, the Company's total assets equaled to Baht 5,915.22 million, an increase of Baht 487.29 million or 8.98% from the end of the year 2021.
 - Cash and cash equivalents had decreased by Baht 53.88 million or 24.80% since there was more inflow than outflow of cash from operating activities by the amount of Baht 852.72 million, cash outflow for investing activities by Baht 665.79 million and cash outflow for financing activities in the amount of Baht 240.81 million.
 - There was an increase of Baht 110.08 million or 23.03% in account receivables, in line with an increase in the volume of sales to major customers with credit term.
 - Other receivables decreased by Baht 55.51 million or 46.52%, mainly as a result of a decrease of deposit for machinery in 2021 for Baht 68.60 million.
 - There was a decrease of Baht 3.12 million or 0.93% in inventory, as a result of spare part decrease
 - Real estate development for sales increased by Baht 53.56 million or 289.37 % as a result of initial investment in real estate business project.
 - Current tax assets for the current period decreased by Baht 2.97 million because in 2022, current tax assets of 2021 were paid back to the Company from Revenue Department.
 - Other current financial assets decreased by Baht 4.45 million or 15.80 % as a result of an investment in unit trust.
 - Non-current assets classified as non-current assets held for sales increased by Baht 1.44 million or 16.57% as a result of a decrease of machineries stopped using and held for sale in 2022 by Baht 0.61 million, an increase of machineries of subsidiaries stopped using and held for sale by Baht 5.06 million and machineries stopped using and sold for Baht 3.0 million.

- Other current assets decreased by Baht 4.97 million or 29.68 % as a result of an increase of sales promotion and promotion equipment.
 - Non-current financial assets decreased by Baht 8.74 million or 63.06% as a result of a decrease of investment in common stock of other companies.
 - Investment property increased by Baht 8.10 million or 3.94% as a result of an increase of property investment of property business.
 - Land, building and equipment increased by Baht 423.43 million or 11.46% as a result of investment in new fixed assets to support business expansion.
 - Right-of-use asset increased by Baht 37.56 million or 17.74%, which stemmed from vehicle lease for operation due to business expansion.
 - Intangible assets decreased by Baht 14.61 million or 26.90% as a result of the write off in software license and a depreciation of software license of the subsidiaries.
 - Deferred tax assets decreased by Baht 0.03 million or 5.71%.
 - Other non-current assets increased by Baht 1.40 million or 6.01%, mainly from receivables as compensation if the Company need to pay import duty for Customs for an amount of Baht 0.98 million which had conditional agreement with sellers.
- 2. As at 31st December 2022, the Company's total liabilities equaled to Baht 2,161.81 million, which could be divided into Baht 1,202.95 million of short-term liabilities, and Baht 958.86 million of long-term liabilities. This indicated an increase of Baht 347.78 million or 19.17% in total liabilities from the end of year 2021.**
- Short-term loan from financial institutions increased by Baht 165.00 million or 266.13% from loan for working capital for subsidiaries.
 - The Company's account payables increased by Baht 44.44 million or 14.56% as a result of payables in container materials, concentrates and the consumer product group.
 - Other payables increased by Baht 113.86 million or 31.10% mainly as a result of an increase of excise tax by Baht 27.38 million, withholding tax by Baht 7.92 million, machinery part payables by Baht 3.40 million, building improvement by Baht 15.85 million, accrued sales promotion and marketing expense by Baht 38.75 million and accrued rent by Baht 5.03 million.
 - Accrued corporate income tax decreased by Baht 1.95 million or 3.70%.
 - Other current financial liabilities increased by Baht 2.19 million as a result of the recognition of liabilities due to loss of exchange contract with fair value at the end of period.
 - Long term loans decreased by Baht 6.83 million or 4.09% as a result of the repayment of loans that were due during the year for Baht 134.58 million and investment for production expansion for Baht 127.75 million.
 - Lease liabilities increased by Baht 36.42 million or 17.12% as a result of vehicle lease for operations according to business expansion.
 - Customers deposits on bottles and cases increased by Baht 1.78 million or 12.17% as a result of an increase in customers deposits on bottles and cases from returnable bottles.
 - Deferred tax liabilities decreased by Baht 2.23 million or 0.70% mainly as a result of a decrease on investment in common stocks of other companies.
 - Estimation of non-current provision for employee benefits decreased by Baht 5.88 million or 1.95% as a result of a downward adjustment in financial assumption and hence a decrease in employee benefit including a decrease of retirement benefits to employee during the year which was higher than an increase of estimated liability.
 - Estimation of other non-current liability increased by Baht 0.98 million or 7.78% as a result of additional estimated liability from import duty of Customs which was during consideration of Appeal Consideration Committee of Customs.
 - Shareholders' equity of Baht 3,753.41 million as at 31st December 2022 showed an increase of Baht 139.51 million or 3.86% from the end of year 2021 due partly to an increase in the net profit of the year less dividend payout from the operating results of 2021 at the rate of Baht 0.96 per share to the shareholders in May 2022; and interim dividend payout from the operating results of 2022 at the rate of Baht 0.55 per share to the shareholders in September 2022

3. Cash Flow

Items (Unit: Million Baht)	Year 2022	Year 2021
Net cash from operating activities	852.72	755.13
Net cash used in investing activities	(655.79)	(275.73)
Net cash from (used in) financing activities	(240.81)	(523.41)
Net increase (decrease) in cash and cash equivalents	(53.88)	(44.01)

The Company's inflow of cash from operating activities was higher than outflow by Baht 852.72 million, an increase of Baht 97.60 million from the previous year. The Company's net cash used in investment activities in the amount of Baht 655.79 million showed an increase of Baht 390.06 million from the previous year as a result of production line expansion. The Company's net cash used in financing activities was Baht 240.81 million as a result of the repayments of short-term and long-term loans; repayment of financial lease liabilities and interest expense; and dividend payout to the shareholders from the operating results of the year 2021 and interim dividend payout from the operating results of the year 2022.

4. Liquidity

Important liquidity ratios

Ratio	Year 2022	Year 2021
Liquidity Ratio (Times)	1.05	1.30
Cash Ratio (Times)	0.79	0.80
Average Debt Collection Period (Day)	27.60	26.35
Average Inventory Turnover Period (Day)	28.74	30.13
Average Debt Repayment Period (Day)	28.26	24.24

- The Company's liquidity ratio of 1.05 times showed a decrease by 0.25 times from the previous year, with cash ratio of 0.79 times, or a decrease of 0.003 times from the previous year.
- The Company's average debt collection period of 28 days as a result of an increase of sales to major customers with credit term.
- The average inventory turnover period of 29 days was faster than the previous year.
- Average debt repayment period of 28 days was slower than the previous year.

5. Financial Policy

Financial Policy Ratios

Ratio	Year 2022	Year 2021
Debt-to-Equity Ratio (Times)	0.58	0.50
Interest Coverage Ratio (Times)	56.99	49.64

- Debt-to-equity ratio of 0.58 times was slightly higher than that of the previous year, showing that the investment from debts was increased.
- Interest coverage ratio of 56.99 times, an increase from the previous year, as a result of the Company's full ability in making repayments of both principals and interests to all of the Company's debtors.

4.2 Factors affecting Future Performance of Company

Even though the Company had systematic management policy for risks affecting performance of company as indicated in Part 1. Nature of Business and Operation Results and Part 2. Risk Management in acceptable level, but there was the possibility of the operations following risk management not effectively enough to lower risks to acceptable level, and hence the performance will not be as expected as a result of uncontrollable external factors such as new pandemic outbreak or microeconomy problem which impact the slowdown of tourism industry, resulting in the expected growth of the Company and also sugar tax phase 3, effective in Quarter 2, 2023. The Company has mitigation plan to reduce the impact from sugar tax.

4.3 Key Financial Information and Ratio

(a) Statement of consolidated financial position for the year ended 31 December 2022, 2021 and 2020

Description	As 31 December					
	2022		2021		2020	
	In thousand Baht	%	In thousand Baht	%	In thousand Baht	%
Current Assets						
Cash and cash equivalents	163,355	2.76	217,232	3.67	261,246	4.81
Trade accounts receivable	588,027	9.94	477,947	8.08	463,153	8.53
Other receivables	63,806	1.08	119,317	2.02	95,551	1.76
Inventories	331,352	5.60	334,475	5.65	308,227	5.68
Real estate development for sale	72,075	1.22	18,511	0.31		-
Current tax assets	-	-	2,966	0.05	2,966	0.05
Other Current financial assets	23,727	0.40	28,179	0.48	14,515	0.27
Non-current assets classified as held for sale	10,153	0.17	8,710	0.15	9,699	0.18
Other current assets	11,787	0.20	16,762	0.28	16,590	0.31
Total current assets	1,264,282	21.37	1,224,099	20.69	1,171,947	21.59
Non-current assets						
Other non-current financial assets	5,123	0.09	13,867	0.23	2,817	0.05
Investment property	213,853	3.62	205,751	3.48	206,388	3.80
Property, plant equipment	4,117,851	69.61	3,694,422	62.46	3,717,699	68.49
Right- of -use assets	249,308	4.21	211,744	3.58	167,421	3.08
Intangible assets	39,711	0.67	54,323	0.92	49,686	0.92
Deferred tax assets	440	0.01	467	0.01	375	0.01
Other non- current assets	24,656	0.42	23,259	0.39	9,779	0.18
Total non-current assets	4,650,941	78.63	4,203,833	71.07	4,154,164	76.53
Total Assets	5,915,223	100.00	5,427,931	91.76	5,326,111	98.12

Description	As 31 December					
	2022		2021		2020	
	In thousand Baht	%	In thousand Baht	%	In thousand Baht	%
Liabilities and equity						
Current liabilities						
Short - term loan from financial institutions	227,000	3.84	62,000	1.05	17,000	0.31
Trade accounts payable	349,574	5.91	305,134	5.16	211,889	3.90
Other payable	479,955	8.11	366,093	6.19	534,040	9.84
Current portion of long-term loan	13,800	0.23	83,640	1.41	90,360	1.66
Current portion of lease liabilities	79,784	1.35	74,156	1.25	65,713	1.21
Current income tax payable	50,646	0.86	52,591	0.89	31,530	0.58
Other financial liabilities	2,193	0.04	-	-	-	-
Total current liabilities	1,202,953	20.34	943,614	15.95	950,532	17.51
Non- current liabilities						
Long-term loan	146,448	2.48	83,440	1.41	167,340	3.08
Long-term loan (Debenture)	-	-	-	-	-	-
Lease liabilities	169,287	2.86	138,500	2.34	100,914	1.86
Customers' deposits on bottlers and cases	16,363	0.28	14,588	0.25	16,635	0.31
Deferred tax liabilities	317,659	5.37	319,886	5.41	331,992	6.12
Non- current provisions for employee benefits	295,503	5.00	301,386	5.10	304,723	5.61
Other non-current provisions	13,596	0.23	12,615	0.21	-	-
Total non-current liabilities	958,855	16.21	870,414	14.71	921,604	16.98
Total liabilities	2,161,808	36.55	1,814,028	30.67	1,872,137	34.49
Equity						
Share Capital						
Authorized share capital	201,210		201,210		201,210	
Issued and paid-up share capital	200,961	3.40	200,961	3.40	200,961	3.70
Share premium on ordinary shares	392,838	6.64	392,838	6.64	392,838	7.24
Retained earning						
Appropriated						
Regal reserve	25,000	0.42	25,000	0.42	25,000	0.46
General reserve	35,000	0.59	35,000	0.59	35,000	0.64
Unappropriated	1,489,293	25.18	1,339,316	22.64	1,181,307	21.76
Other components of equity	1,609,190	27.20	1,615,559	27.31	1,615,477	29.76
Equity attributable to owners of the parent	3,752,282	63.43	3,608,674	61.01	3,450,582	63.57
Non- controlling interests	1,133	0.02	5,229	0.09	3,393	0.06
Total Equity	3,753,415	63.45	3,613,903	61.09	3,453,975	63.63
Total Liabilities and equity	5,915,223	100.00	5,427,931	91.76	5,326,111	98.12

(b) Consolidated financial statements for the year ended 31 December 2022, 2021 and 2020

Description	As 31 December					
	2022	%	2021	%	2020	%
Revenue						
Revenue from sale goods	7,048,338	100.00	6,517,954	100.00	6,425,419	100.00
Dividend Income	62	0.00	71	0.00	48	0.00
Net foreign exchange gain	-	-	197	0.00	-	-
Other income	44,137	0.63	26,330	0.40	18,625	0.29
Total revenue	7,092,537	100.63	6,544,552	100.41	6,444,092	100.29
Expenses						
Cost of sales of goods	4,228,588	59.99	3,893,319	59.73	3,741,906	58.24
Distribution costs	1,449,353	20.56	1,279,012	19.62	1,270,794	19.78
Administrative expenses	878,999	12.47	731,671	11.23	781,298	12.16
Total expense	6,556,940	93.03	5,904,002	90.58	5,793,998	90.17
Profit from operating activities	535,597	7.60	640,550	9.83	650,094	10.12
Finance costs	9,398	0.13	12,927	0.20	16,670	0.26
Reversal of impairment loss (impairment loss) determined in accordance with TFRS 9	186	0.00	(1,113)	(0.02)	1,092	0.02
Profit before income tax expense	526,013	7.46	628,736	9.65	632,332	9.84
Tax expense	(95,031)	(1.35)	(95,414)	(1.46)	(67,391)	(1.05)
Profit for the year	430,981	6.11	533,322	8.18	564,941	8.79
Other comprehensive income						
Items that will not be reclassified to profit or loss						
Gain (loss) on investments in equity instruments designated at FVOCI	(7,961)	(0.11)	103	0.00	(1,042)	(0.02)
Gain on revaluation of assets	-	-	-	-	410,043	6.38
Gain (loss) on remeasurements of defined benefit plans	22,909	0.33	18,075	0.28	(4,950)	(0.08)
Income tax relating to items that will not be reclassified	(2,990)	(4,827.53)	(3,636)	(5,120.48)	(80,810)	(168,354.17)
Other comprehensive income for the year, net of tax	11,959	0.17	14,542	0.22	323,241	5.03
Total comprehensive income for the year	442,940	6.28	547,864	8.41	888,182	13.82

Description	As 31 December					
	In thousand Baht	%	In thousand Baht	%	In thousand Baht	%
Profit (loss) attributable to:						
Owners of the parent	435,064	6.17	535,391	8.21	566,336	8.81
Non-controlling interests	(4,083)	(0.06)	(2,069)	(0.03)	(1,394)	(0.02)
	430,981	6.11	533,322	8.18	564,941	8.79
Total comprehensive income (expense) attributable to:						
Owners of the parent	447,023	6.34	549,933	8.44	889,576	13.84
Non-controlling interests	(4,083)	(0.06)	(2,069)	(0.03)	(1,394)	(0.02)
	442,940	6.28	547,864	8.41	888,182	13.82
Basic earnings per share	2.16		2.66		2.82	

(c) Consolidated statements of cash flows for the years ended December 31, 2022, 2021 and 2020

Unit: Baht thousand	2022	2021	2020
Net cash provided by operating activities	852,723	755,125	1,023,357
Net cash from (used in) investing activity	(665,791)	(275,732)	(269,039)
Net cash used in financing activities	(240,810)	(523,407)	(621,504)
Net increase (decrease) in cash and equivalents	(53,877)	(44,014)	132,813
Cash and cash equivalents at 1 January	217,232	261,246	128,433
Cash and cash equivalents at 31 December	163,355	217,232	261,246

(d) Key financial ratio of the consolidated financial statements

	2022	2021	2020
LIQUIDITY RATIO			
Current ratio ^{1/} (Times)	1.05	1.30	1.23
Quick ratio ^{2/} (Times)	0.64	0.77	0.78
Cash flow liquidity ratio ^{3/} (Times)	0.79	0.80	1.02
Accounts receivable turnover ^{4/} (Times)	13.22	13.85	11.57
Average collection period ^{5/} (Days)	27.60	26.35	31.53
Inventory turnover ratio ^{6/} (Times)	12.70	12.12	11.99
Day's supply in inventory ^{7/} (Days)	28.74	30.13	30.44
Accounts payable turnover ratio ^{8/} (Times)	12.92	15.06	18.83
Average payment period ^{9/} (Days)	28.26	24.24	19.38
Cash Cycle ^{10/} (Days)	28.08	32.24	42.59

- ^{1/} Current ratio = Total current assets / Total current liabilities
- ^{2/} Quick ratio = (Trade accounts receivable + Cash and equivalents) / Total current liabilities
- ^{3/} Cash flow liquidity ratio = Cash flows from operating activities / Average current liabilities
- ^{4/} Accounts receivable turnover = revenue from sale of goods / Average trade accounts receivable
- ^{5/} Average collection period = 365 / Trade accounts receivable turnover ratio
- ^{6/} Inventory turnover ratio = Cost of sales of goods / Average inventories
- ^{7/} Day's supply in inventory = 365 / Inventory turnover ratio
- ^{8/} Accounts payable turnover = Cost of sales of goods / Average accounts payable
- ^{9/} Average payment period = 365 / Accounts payable turnover ratio
- ^{10/} Cash Cycle = Average collection period + Day's supply in inventory - Average payment period

	2022	2021	2020
PROFITABILITY RATIO			
Gross profit margin ^{11/} (%)	40.01	40.27	41.76
Operating profit margin ^{12/} (%)	6.05	8.18	8.71
Net profit margin ^{13/} (%)	6.11	8.18	8.79
Return on equity ^{14/} (%)	11.82	15.17	17.79
EFFICIENCY RATIO			
Return on assets ^{15/} (%)	9.44	11.91	12.68
Return on fixed assets ^{16/} (%)	17.07	20.54	22.27
Total assets turnover ^{17/} (Times)	1.25	1.22	1.26
FINANCIAL POLICY RATIO			
Debt to equity ratio ^{18/} (Times)	0.58	0.50	0.54
Interest coverage ratio ^{19/} (Times)	56.97	49.64	38.93
Dividend payout ratio ^{20/} (%)	70.21	67.19	67.42

- ^{11/} Gross profit margin = Gross profit / Revenue from sale of goods x 100
- ^{12/} Operating profit margin = Operating profit / Revenue from sale of goods x 100
- ^{13/} Net profit margin = Net profit / Revenue from sale of goods x 100
- ^{14/} Return on equity = Retain earnings / Average equity attributable to owners of the parent x 100
- ^{15/} Return on assets = Profit (loss) before interest and income tax expense / Total assets x100
- ^{16/} Return on fixed assets = (Retain earnings + depreciation / Average fixed assets x100
- ^{17/} Total assets turnover = Total revenue / Average Fixed assets
- ^{18/} Debt to equity ratio = Total liabilities / equity attributable to owners of the parent
- ^{19/} Interest coverage ratio = Profit before interest and tax expense / Finance costs
- ^{20/} Dividend payout ratio = Dividend per share / Net profit per share x100

5. General Information and Other Important Information

5.1 Reference

Registrar

Thailand Securities Depository Co., Ltd.
93 Ratchadaphisek Road, Dindang, Bangkok 10440
Tel: 0 2009 9000
Fax: 0 2009 9991
SET Contract center: 0 2009 9999
E-mail: SETContractCenter@set.or.th
Website: <http://www.set.or.th/tsd>

Auditor

KPMG Phoomchai Audit Ltd.
Empire Tower, 50th - 51st Floors, 1 South Sathorn
Road, Yannawa, Sathorn, Bangkok 10120
Tel: 0 2677 2000
Fax: 0 2677 2222
E-mail (general issues): info@kpmg.co.th
Website: www.kpmg.com

5.2 Other Important Information

-None-

5.3 Legal Disputes

-None-

5.4 Secondary Market

-None-

Part 2

Corporate Governance

6. Corporate Governance Policy
7. Structure of Corporate Governance and Important Information about the Board of Directors, Sub-committees, Executives and Employees
8. Reports on the Results of Major Corporate Governance Performance
9. Internal Control and Related Party Transactions

Coca-Cola.

มาดาม

6. Corporate Governance Policy

6.1 An Overview of Corporate Governance Policies and Practical Guidelines

The Board of Directors and the Executives have been giving priority to and guidelines for corporate practice, control and supervision by cultivating the Principles of Corporate Governance and Business Ethics among all sectors and levels of the employees. This aims to enhance efficiency and strength of the organization and promote sustainable growth, with the main focus on the Principles of Good Corporate Governance and continual development, so that the organization will be efficient in business operation and can make the highest benefits for its shareholders, its stakeholders, the society as a whole and the environment, including adhering to morals and ethics of operating verifiable business. Therefore, the Company has prepared the Handbook of Business Code of Conduct, whereas the Risk Management and Corporate Governance Committee is responsible for supervising all the directors, executive directors, executives and employees to abide by the rules and regulations as specified by the Security & Exchange Commission (SEC) and the Stock Exchange of Thailand (SET), the Articles of Association of the Company, the regulations as stipulated by the Public Limited Company Act, and other related laws as publicized on the Company's website under the heading of Corporate Governance or <https://www.haadthip.com/th/>

The Company also informs all the employees of the Ethical Business Operation Guidelines via the Employee Handbook on the days when they start working, so that they shall behave morally, honestly, responsibly and transparently towards different groups of stakeholders: customers, partners, rivals, shareholders, society, employees and co-workers. The guidelines have been specified in compliance with the Revised Business Code of Conduct as follows: [about/goodcorporate-governance](#).

1. Realization of roles and responsibilities of the Directors as leaders who create sustainable value to the business;
2. Specification of the objectives and major goals of the business to be achieved for the sustainability purpose;
3. Enhancement of the Directors' effectiveness;
4. Recruitment and improvement of high-ranking executives and personnel management;
5. Promotion of innovation and responsible business operation;
6. Provision of the appropriate risk management system and internal control;
7. Maintenance of financial credibility and information disclosure; and
8. Promotion of participation and communication with shareholders.

Since the Board of Directors gives priority to good corporate governance and understands the Directors' roles, duties and responsibilities for the Company and all groups of the shareholders and stakeholders, the Company abides by the code of conduct for directors of listed companies in accordance with the guidelines required by the Stock Exchange of Thailand (SET) and the Security & Exchange Commission (SEC). According to the results of the survey on Corporate Governance of Listed Companies in 2022 conducted by the Thai Institute of directors (IOD), the Company obtained an average score of 87% at a rate of "Very Good" or 4-star level (). It was also scored between 90 and 99 which is rated as Excellent level, according to the Shareholders' Annual General Meeting Project of the Year 2022 (AGM Checklist), conducted by the Thai Investors Association (TIA).

Corporate Governance Policy

The Board of Directors has formulated the Company's Corporate Governance Policy in compliance with the guidelines specified by the Stock Exchange of Thailand (SET) and the Security & Exchange Commission (SEC) and referenced from the International Corporate Governance Principles of the Organization for Economic Cooperation and Development (OECD), with which the directors, the executives and all levels of the employees shall comply responsibly, carefully and honestly. The Board of Directors has also continually prepared communication, created understanding and monitored governance-related performances in order to ensure all groups of the shareholders, investors, stakeholders and related persons of the following:

1. The Board of Directors shall devote themselves to and be responsible for performing their duties, have independence, caution and honesty in order to achieve the goals as specified and clearly delegate roles and duties to the Chairman and the CEO.
2. The Board of Directors plays an important role in determining the Company's vision, strategies, policies and important plans by taking into consideration risk factors and establishing appropriate management approaches to ensure reliability of the accounting systems, financial reports and audits.
3. The Board of Directors shall be a leader of ethics, an example of operating in accordance with Good Corporate Governance Approach, and monitor management to solve conflicts of interest and connected transactions.
4. The Board of Directors shall possibly appoint some specific boards as appropriate so that they can assist in carefully considering and screening important tasks.
5. The Board of Directors shall consider determining the Company's philosophy and code of conduct so that all levels of the boards, executives, officials and employees as the operational guideline to be followed along with the Company's regulations.
6. The Board of Directors shall organize an annual operation assessment which can be used as a framework of inspecting its operations.
7. The Board of Directors shall enable the Company's shareholders to be equally treated, access information and communicate with the Company via appropriate channels.
8. The Board of Directors shall appropriately provide a system for recruiting personnel who will be responsible for holding all levels of important executive positions, including a fair and transparent nomination process.
9. The Board of Directors shall organize a sufficient, reliable and timely disclosure of the Company's financial and non-financial information so that the Company's shareholders and stakeholders will equally access information. Moreover, the Board of Directors shall establish the Investors Relations Unit, which is responsible for providing information to investors and the general public.
10. The Board of Directors shall provide an efficient system which supports anti-bribery and corruption to ensure that the Management will realize and prioritize anti-bribery and corruption, including abiding by the anti-corruption measure.

The Company has its Business Code of Conduct published in Thai and English via Intranet and on the Company's website.

Board of Directors-related Policy and Guideline

The Board of Directors consists of experienced experts with leadership, vision, independent decision-making, devotion and perseverance. They shall perform their duties responsibly, carefully and honestly for the highest benefits of the Company and all the shareholders and the stakeholders. The Board of Directors has been appointed to supervise the Company's operation, whereas the Management has been appointed to take charge in business operation. The specific boards have been appointed to carry out specific tasks, while the Company Secretary has been appointed to proceed a meeting and abide by laws. The topics on the Board of Directors-related policy and guideline are specified as follows:

1. Components of the Board of Directors

The Board of Directors consists of experienced experts with leadership, vision, independent decision-making, devotion and perseverance. They shall perform their duties responsibly, carefully and honestly for the highest benefits of the Company and all the shareholders and the stakeholders.

The Board of Directors of HaadThip consists of 14 persons: 5 independent directors (or more than 1/3 of the whole Board of Directors), 3 directors who are the executives, and 11 directors who are not the executives. The Chairman of the Board shall be an independent director, whereas the Directors shall vary in terms of skills, knowledge, capability, experiences, races, nationalities, genders and ages. However, to produce efficient work and mental diversity, the Company's Board of Directors consists of 3 female members, that is, 1 of them are not the executives, namely, Mrs. Kerry-Ann Shipp, and 1 of them is an executive, namely, Mrs. Pariya Chirabandhu.

2. Independence of the Board of Directors

To protect the Company's and the shareholders' benefits, the Board of Directors shall identify, make comments and cast votes during activities where they have authority to make decisions independently. If their decisions are made under pressure or at stake, they tend to be based on their decision-makers or their intimates or for their benefits. Therefore, independence of the Board of Directors should be particularly taken into consideration.

3. Roles, Duties and Authorities of the Board of Directors

The Board of Directors shall act as delegates for shareholders, take charge in operational results on shareholders, determine growth directions, make important decisions for the Company with caution and honesty and also play a vital role in supervising the Company's business for its highest benefits. The Board of Directors shall professionally perform their duties to take care of all parties' benefits and be independent on the Management so that it can supervise operations and performances of the Management, risk management and remuneration.

4. Roles and Duties of the Chairman

- The Chairman shall be independent on the Management, refrain from intervening their daily management routines and have different roles and duties when compared with those of the Management.
- The Chairman shall supervise the Board of Directors to perform their duties efficiently and promote, give advice to and assist in the Management's operation to be carried out within the authority frame assigned by the Board of Directors.
- The Chairman shall approve of organizing agendas of the Board meetings by discussing with the CEO.
- The Chairman shall efficiently act as the chairman of all Board of Directors' and Shareholders' Meetings.
- The Chairman shall encourage the directors to comply with and adhere to the scope of their authority and responsibilities for the shareholders and stakeholders as well as the Company's Good Corporate Governance Principles, Ethical Standards and Business Code of Conduct.

5. Establishment of Sub-Committees

To make careful and efficient consideration and screening of important operations, the Board of Directors has established four Sub-Committees: the Audit Committee, the Nomination and Remuneration Committee, the Corporate Governance Committee and the Risk Management and Sustainability Development Committee

Remark: The Board of Directors' Meeting No.7/2022 had a resolution to change the name and duties of 2 sub-committees (1) Risk Management and Sustainability Development Committee to be Sustainability Committee and (2) Good Corporate Governance Committee to be the Risk Management and the Corporate Governance Committee.

6. Board of Directors' Meetings and Receipt of Documents

All the Directors should attend every Board of Directors' Meeting for which the Secretary's Office of the Company is responsible for preparing documents and meeting rooms and coordinating with related parties. Each Director shall be notified of dates and time of the meeting, agendas and relevant information so that he/she has enough time to read the documents beforehand.

In 2022, the Board of Directors set the Board of Directors' Meeting dates in advance which took place in February, March, May, July, August, November and December for total of 7 meetings.

7. The Company's Secretary

The Board of Directors appoints the Company's Secretary who prepares Board of Directors' and Shareholders' Meetings so that they can proceed smoothly and transparently in accordance with rules and legislation.

8. Performance Appraisal

The Board of Directors shall have a performance appraisal conducted every year because it can be used as a framework for inspecting its operations, considering, as well as reviewing and analyzing performances for further operational improvement.

9. Remunerations for the Board of Directors and the CEO

The Nomination and Remuneration Committee shall manage and consider their remunerations before proposing them to the Board of Directors for agreement. Remunerations for Directors shall be proposed to shareholders for approval. (details of remunerations for the Board of Directors and management under Part 2, 7.4 Management team and 8.1.2 Meeting attendance and meeting allowance for the Directors.)

10. Succession Plan

The Board of Directors ensures the Company to have recruitment procedure for management position properly especially, especially in the positions of the CEO. The Company has selection process for internal and external candidates through the consideration of the consideration of nomination and remuneration committee and approval of the Board of Directors. The Company prepares human resources for succession plan and has management development plan and human resource development plan for preparation for future vacant position.

11. Director Development

The Company organizes an orientation for new Directors and prepares the Directors' Handbook, documents, information useful for being the Company's Directors, including a description on business operation tips to provide knowledge and understanding of business and aspects of operations, as well as policies and operational guidelines for the Company's Good Corporate Governance. This aims to improve the new Directors' knowledge, capability and skills before they hold office.

On November 1, 2022, the Company organized orientation for 4 new directors at Bangkok office and on December 1-2, 2022 at plant at Punpin, Surat Thani. The Company encouraged them to continually participate in trainings on related courses, hosted by the Thai Institute of Directors (IOD) and other institutes throughout the year.

12. Policy of Being Directors or Executives at Other Listed Companies

The Company specifies the policy of being directors at no more than 5 other listed companies in Thailand, that is, the Directors who are also the executives can hold office at no more than 2 other listed companies, whereas the CEO cannot hold any office at other listed companies.

13. Supervision of Subsidiaries and Affiliates

The Company has a policy of appointing delegates Directors authorized over its subsidiaries to monitor and supervise their management efficiently and effectively in compliance with the Company's guidelines, strategies and policies. The Company supervises its joint ventures in accordance with the strategies as mutually agreed and identified in the joint venture contracts.

The Company's Achievements in Business Supervision and Sustainability

Results of Corporate Governance Report at the "very good" level assessed by the Institute of Directors.



The quality assessment of Annual general shareholders' Meeting by Thai Investors Association was rated 4 coins.



Re-certification to be a member of the Thai Private Sector Collective Action Against Corruption



2022 Outstanding Sustainability Model Organization in the Thai Capital Market Award for Empowerment of Persons with Disabilities which shows the Company having intention and policy to promote careers and quality of disabilities to decrease inequality.



Eco Factory Award



Outstanding social activity award



HaadThip committed its operation on sustainability basis and received Thailand sustainability Investment (THSI) by the Stock Exchange of Thailand for consecutive 5 years.



2022 Outstanding Human Right Organization Award, Right and Liberties Protection Department, Minister of Justice



HaadThip received Environment, Social and Governance (ESG) credit



Outstanding Organization Award for Sustainability Management from For Thai Social Foundation



ESG 100 Company Certificate for Year 2022 for its outstanding Environment, Social and Governance (ESG)



Maj. Gen. Patchara Rattakul, CEO, won "UN Women 2022 Thailand WEPs Awards" for Organization leaders for sexual equality-promoting organization leaders (Leadership Commitment) and outstanding award for Gender-Inclusive Workplace from Un Women.



Stakeholder-related Policy and Operational Guideline

1) Rights of Shareholders

The Board of Directors realizes the shareholders' rights as specified by laws and therefore encourage them to exercise their rights as appropriate and refrain from doing anything that violates the shareholders' rights or deprive them of their rights, no matter what critical events or situations that cannot be controlled by the Company happen, such as the spread of COVID-19 in the year 2020 and the continuity to the year 2021 and 2022. For this reason, the Company had to organize the 2022 Shareholders' General Meeting via electronic media. However, the Company fully promotes the shareholders' rights and allows the minority of shareholders to propose additional agendas in advance before the day when the Shareholders' Meeting is held, including nominating candidates qualified for being the Company's Directors by disseminating the rules, as well as complaint channels and periods of time to the shareholders via the Company's website or communicating via the Company's website about information and documents related to the Shareholders' General Meetings, resembling the ones, coupled with invitation letters, mailed by the Company to the shareholders. The invitation letters include the following information: (1) agendas of the meetings, including the Board of Directors' reasons and opinions on proposed matters; (2) dates, time and details of using the meeting system step by step via electronic media; (3) registration principles and documents and (4) opportunities for the shareholders to send queries related to the agendas beforehand to the Company by email at marisa.sang@haadthip.com or by fax at 02-381-2257 or by reply post to the Secretary's Office at 36/6 Soi Ramkhamhaeng 21 (Navasri) Yaek 5, Khwaeng Plabpla, Khet Wang Thonglang, Bangkok 10310 so that the Board of Directors will consider the queries and completely reply to them at the Shareholders' Meetings.

Schedules of Shareholders' Meetings

The Company schedules an annual Shareholders' Meeting to be held within 4 months after the last day of the Company's fiscal year. In case of emergency in proposing special agendas, which affect or involve the Shareholders' benefits or enactment of terms, rules or laws having been approved by the shareholders, the Company will call for Shareholders' Extraordinary General Meetings depending on each specific case.

The Company scheduled the Shareholders' General Meeting of the year 2022 on Tuesday, 26 April 2022 at 14:30 hrs., broadcasted via electronic means from Regency Meeting Room 3-4, the Hyatt Regency Hotel Bangkok Sukhumvit, 1 Sukhumvit Soi 13, Sukhumvit Rd, Bangkok and the Shareholders' Extraordinary General Meeting No.1/2022 (E-EGM) on Tuesday, 26 July 2022 at 14:30 hrs., broadcasted via electronic means from Meeting Room, HaadThip Public Company Limited, 6/6 Soi Ramkhamhaeng 21 (Navasri), Yaek 5 Phlabphla, Wang Thonglang, Bangkok.

Dispatching of Invitation Letters in Advance

The Company organized the Annual General Shareholders' Meeting for 2022 on Tuesday April 26, 2022 in accordance with the resolution of the Board of Directors' Meeting No. 1/2022 on March 15, 2022 and disclosed resolution, date, agenda and news on the Stock Exchange of Thailand's website for shareholders' acknowledge since the date of the Board of Directors' resolution. The Company has assigned Thailand Securities Depository (TSD), acting as the registrar of the Company's securities, to dispatch invitation letters with related documents, to the Shareholders 14 days before the Shareholders' Meeting which dispatched on April 11, 2022 and announced on local daily newspapers for 3 consecutive working days or 3 days (18-20 April 2022) before the Meeting day so that the Shareholders will be reminded of the Meeting and have enough time to prepare themselves for the Meeting.

As for the 2022 Shareholders' General Meeting, the Company has disclosed the information on the Letter of Invitation and supporting documents on the Company's website at www.haadthip.com prior to the Meeting date (since 28 April 2022).

How to Conduct a Shareholders' Meeting

Before each Shareholders' Meeting, the Chairman of the Meeting shall introduce the Board of Directors, the Management, the Auditors, the Moderator and the Witnesses to the Meeting and then notify all the rules and the method of counting Shareholders'

votes on resolutions for each agenda, as specified by the Company's regulations, including explicitly exercising the right to vote at each agenda. After notifying the Meeting of the information as specified in the agenda, the Chairman shall allow all the participants to express opinions and suggestions or ask queries related to the agenda. After that, the Chairman and the executives shall reply to each query clearly, relevantly and equally. Then the Meeting shall vote on resolutions at the agenda. As for an election of Directors, the chairman shall allow each shareholder to vote individually.

However, since the 2022 Shareholders' General Meeting was conducted via electronic media (E-AGM), the Company had prepared efficient staff, as well as appropriate, user-friendly, speedy and transparent systems and technology in order to facilitate the shareholders a proxy holder at each stage of attending the Meeting via electronic media (E-AGM), provided by Inventech System Co., Ltd., which took charge from registration, vote counting, query submission to processing. Each participant can watch live broadcast throughout the Meeting, including the results of vote counting at each Agenda.

Before the Meeting started, the Company had a video on how to use the meeting program via electronic media (E-AGM) played, including explaining to the shareholders and the proxy holders how to cast and count votes and ask queries. The shareholders and the proxy holders could press the Vote button on the Meeting program via electronic media (E-AGM) any time before the results of vote counting were announced at the agenda. Then the shareholders and the proxy holders were informed of the results of vote counting at each agenda.

The Company allowed the shareholders and the proxy holders to exercise the right to attend the Meeting via electronic media (E-AGM) after the Meeting had started and the right to vote at the agenda where they were present during consideration, and no resolutions were made at the agenda. In fact, the Company had examined the rights and documents before sending the Shareholders and the proxy holders the Meeting link, usernames, passwords and contact channels in case they had problems using the Meeting program via electronic media (E-AGM).

The Chairman would conduct the Meeting in order of the agendas and not add any agendas without giving any prior notice to the Shareholders and the proxy holders, except that the Meeting would reach a solution to re-arrange the agendas with a majority vote of two-thirds or more of the Shareholders attending the Meeting and having the right to vote. The shareholders with no less than one-third of a total number of sold-off shares may ask the Meeting to consider other matters not included in the invitation letters. However, at the 2022 Shareholders' General Meeting, no re-arrangement of the agendas was made, and the Meeting was not requested to consider other matters not included in the invitation letters.

At the beginning of the 2022 Shareholders' General Meeting, 184 shareholders attended the Meeting, and 25 of them attended the Meeting in person, holding 16,801,814 shares in total, whereas 159 proxy holders held 130,295,192 shares in total. Therefore, both the shareholders and the proxy holders held 147,097,006 shares in total or 73.1969%, which exceeded one-third of the issued and paid-up shares capital of the Company's totaling 200,960,500 shares.

After the Meeting has begun, more shareholders and proxy holder gradually arrive, which has led to an increase in the total number of shareholders to 189 shareholders, totaling 147,336,107 shares or 73.3159% that can be divided into 30 shareholders in person totaling 17,040,915 shares, and 159 shareholders attending by proxy to 130,295,192 shares.

The Directors, the Executives and the Auditors attending the Meeting and giving replies and explanations were as follows:

Directors attending the Meeting in person

- | | |
|--------------------------------|--|
| 1. Gen. Charan Kullavanijaya | Independent Director/Chairman |
| 2. Maj. Gen. Patchara Rattakul | Director/CEO/Chairman of the Good Corporate Governance Committee |
| 3. Mr. Prakit Pradipasen | Independent Director/Chairman of the Audit Committee |
| 4. Mr. Yanyong Maethapanich | Independent Director/Member of the Audit Committee/Member of the Nomination and Remuneration Committee/Member of the Good Corporate Governance Committee |

Directors attending the Meeting via online media

- | | |
|----------------------------------|--|
| 1. Mrs. Pariya Chirabandhu | Director/Member of the Nomination and Remuneration Committee |
| 2. Mr. Dumrongrugs Apibalsawasdi | Director |
| 3. Mrs. Kerry-Ann Shipp | Director |

Apologies

- | | |
|------------------------------------|--|
| 1. Mrs. Yupares Thiengtham | Director/Chairman of the Nomination and Remuneration Committee |
| 2. Miss Smornluk Mahasmiti | Independent Director/Member of the Audit Committee/Member of the Nomination and Remuneration Committee |
| 3. Mr. Johan Willem Maarten Jansen | Independent Director |
| 4. Mr. Philipp Hugo Gutsche | Director |
| 5. M.L. Dhisana Sritavaj | Director |

Executive attending the Meeting in person

- | | |
|-----------------------------|-------------------------------|
| 1. Mr. Amrit Kumar Shrestha | Chief Financial Officer (CFO) |
|-----------------------------|-------------------------------|

Executives attending the Meeting via online media

- | | |
|------------------------------------|--|
| 1. Mr. Jose Henrique Zeitune | Chief Operations Officer (COO) |
| 2. Mr. Riccardo Vrodom Sucharitkul | Vice President - Corporate Strategy |
| 3. Miss Plernpun Rutchakitprakarn | Executive Assistant to the CEO |
| 4. Miss Nithinart Juntasurat | Accounting Director in charge of accounting supervision (accountant) |
| 5. Mr. Pongsakorn Thiengtham | Financial Advisor to the CEO |
| 6. Mr. Sarapat Thiengtham | Managing Director - HT Food & Beverages Co., Ltd. (HTFB) |

List of Online Attending Auditors from KPMG Phoomchai Audit Co., Ltd

- | | |
|-----------------------------|-----|
| 1. Ms. Krittika Kongkerd | CPA |
| 2. Ms. Chatchanok Nuttawong | CPA |

Legal representative and vote counting witness attending the Meeting in person

- | | |
|----------------------------|--------|
| 1. Mr. Abdul Kosakijjalert | Lawyer |
|----------------------------|--------|

Volunteer to protect shareholders right from the Thai Investors Association attending the Meeting via online media

- | |
|---------------------------|
| 1. Ms. Nitipan Wittayakul |
|---------------------------|

The Board of Directors' Meeting No. 3/2022 on May 27, 2022 had a resolution to set the Extraordinary General Shareholders' Meeting No.1/2022 on Tuesday 26 July 2022 via electronic means. At the beginning of the Extraordinary General Shareholders' Meeting No.1/2022, 61 shareholders attended the Meeting, and 22 of them attended the Meeting in person, holding 15,243,903 shares in total, whereas 39 proxy holders held 123,592,528 shares in total. Therefore, both the shareholders and the proxy holders held 138,836,431 shares in total or 69.0864%, which exceeded one-third of the issued and paid-up shares capital of the Company's totaling 200,960,500 shares.

After the Meeting has begun, more shareholders and proxy holder gradually arrive, which has led to an increase in the total number of shareholders to 67 shareholders, totaling 138,870,934 shares or 69.1035% that can be divided in to 28 shareholders in person totaling 15,278,406 shares, and 39 shareholders attending by proxy to 123,592,528 shares.

The Directors, the Executives and the Auditors attending the Meeting and giving replies and explanations were as follows:

Directors attending the Meeting in person

- | | |
|--------------------------------|---|
| 1. Gen. Charan Kullavanijaya | Independent Director/Chairman |
| 2. Maj. Gen. Patchara Rattakul | Director/CEO/Chairman of the Good Corporate Governance Committee |
| 3. Mr. Prakit Pradipasen | Independent Director/Chairman of the Audit Committee |
| 4. Mr. Yanyong Maethapanich | Independent Director/ Chairman of the Nomination and Remuneration Committee/
Member of the Audit Committee/ Member of the Good Corporate Governance
Committee |

Directors attending the Meeting via online media

- | | |
|----------------------------------|--|
| 1. Mrs. Pariya Chirabandhu | Director/Member of the Nomination and Remuneration Committee |
| 2. Mr. Dumrongrugs Apibalsawasdi | Director |
| 3. M.L. Dhisana Sritavaj | Director |
| 4. Mr. Pongsakorn Thiengtham | Director |
| 5. Pol. Gen. Jaruvat Vaisaya | Director |

Apologies

- | | |
|------------------------------------|----------------------|
| 1. Mr. Johan Willem Maarten Jansen | Independent Director |
| 2. Mr. Philipp Hugo Gutsche | Director |
| 3. Mrs. Kerry-Ann Shipp | Director |

Executive attending the Meeting in person

- | | |
|-----------------------------|-------------------------------|
| 1. Mr. Amrit Kumar Shrestha | Chief Financial Officer (CFO) |
|-----------------------------|-------------------------------|

Executives attending the Meeting via online media

- | | |
|-----------------------------------|--|
| 1. Mr. Riccardo Vrodon Sucharitul | Vice President - Corporate Strategy |
| 2. Miss Plernpun Rutchakitprakarn | Executive Assistant to the CEO |
| 3. Miss Nithinart Juntasurat | Accounting Director in charge of accounting supervision (accountant) |
| 4. Mr. Sarapat Thiengtham | Managing Director - HT Food & Beverages Co., Ltd. |
| 5. Mr. Ekachai Pukdeemakanon | Managing Director - HT Development Co., Ltd. |

Legal representative and vote counting witness attending the Meeting in person

- | | |
|----------------------------|--------|
| 1. Mr. Abdul Kosakijjalert | Lawyer |
|----------------------------|--------|

Volunteer to protect shareholders right from the Thai Investors Association attending the Meeting via online media

- | |
|-----------------------------|
| 1. Ms. Chanathip Wittayakul |
|-----------------------------|

Guidelines Related to Conflicts of Interest for Shareholders' Meetings

The Board of Directors has specified the Shareholders' Meeting Guidelines, stating that, if any Director has a stake or involvement in any agenda, he/she shall inform the Meeting of his/her not attending the Meeting or refraining from voting at that agenda.

Actions Taken after Shareholders' Meetings

The Company shall dispatch a summary of resolution results obtained from Shareholders' Meetings to the Stock Exchange of Thailand after the meeting completion no later than 9:00 hrs. of the next working day and prepare as well as submit the Shareholders' Report which records the minutes, voting results including approve, disapprove, abstain and void at each agenda and dispatch minutes of shareholders' meeting (Minutes separate each agenda and identify number of name of attended and absent directors, number of shareholders and number of voting rights as at the beginning of the shareholders' meeting, regulation and procedure of vote counting, shareholders' queries, report from directors, results of voting in each agenda) within 14 days and have it published on the Company's website at www.haadthip.com altogether.

2) Equal Treatment Towards Shareholders

All of the shareholders of the Company shall be fairly and equally treated in accordance with their fundamental rights, regardless of gender, age, race, nationality, belief, social status, disability or political view. Although any Shareholder cannot attend the Meetings for any reason, he/she still has the right to authorize a proxy or an independent director to attend the Meeting and cast votes on his/her behalf. Moreover, the Company has imposed a measure to prevent conflicts of interest or wrongful exploitation of internal information for one's own or others' benefits.

Guidelines for Equal Treatment Towards Shareholders

1. *Proposal of Additional Agendas and Pre-nomination of Directors*

To enable Shareholders to get involved in its operation, the Company has specified the principles that allow the majority of Shareholders to propose agendas and/or pre-nominate someone to be elected Directors. The principles have been published on the Company's website at www.haadthip.com

The majority of shareholders were given an opportunity to have the right to propose additional agendas and/or pre-nominate candidates for Directors during the 2022 Shareholders' General Meeting. The Company had the principles published on the Company's website at www.haadthip.com from November 1, 2021 to December 31, 2021 and on the SET's website. However, no shareholders proposed additional agendas or pre-nominated any candidates for the Directors of the Company which Company Secretary reported to the Board of Directors' Meeting.

2. *Authorizing a Proxy to Attend Meetings*

To maintain the right for any Shareholders unable to attending the Meeting, he/she may authorize a proxy or an independent director of the Company by identifying the name of his/her proxy/independent director on the proxy form as required by the Ministry of Commerce so that the proxy/ independent director can attend the meeting and cast votes on his/her behalf unconditionally.

Moreover, the company has the proxy form which are form A, form B and form C published on the Company's website at www.haadthip.com at least 30 days or so before the Shareholders' Meeting day. For more information, the shareholders can call or contact via other channels such as website and email.

3. *Internal Information Protection*

The Company has established the good guidelines for internal information protection by forbidding Directors, Executives and all levels of Employees to exploit any unpublished internal information essential for changes in the stock prices of the Company for their own benefits which including securities trading .

3) Roles Towards Stakeholders

The Company gives priority to giving protection for attention to all groups of Stakeholders as required by laws, refrains from violating Stakeholders' rights, promotes mutual responsibility between the Company and all groups of stakeholders: shareholders, employees, partners, business rivals, creditors, communities and environment. The details are as follows:

Shareholders: In addition to fundamental rights as specified by laws and the Company's regulations, such as the right to attend Shareholders' Meetings, the right to vote, the right to express opinions freely at the Meetings and the right to receive fair compensation, the Company also gives the shareholders the right to propose agendas and/or pre-nominate candidates for Directors, as specified in the Company's principles and methods, and have them published on the Company's website.

Employees: The Company treats all the employees equally and fairly, respect human rights, give them appropriate compensation, encourage them to improve knowledge and skills, provides them with opportunities thoroughly and regularly, maintains their work environments, strictly abides by employee-related laws and regulations and enhance their determination to prevent and eliminate all forms of corruption. According to the Company's policy, the Employees' names shall be appropriately protected and kept secret.

Customers: The Company shall manufacture standard and quality products, focuses on safety and quality of the products under the Coca-Cola Quality Control System, which is of the same standard throughout the world and was certified with the Food Safety Management System Certification (FSSC 22000), avoid setting exorbitant prices or unfair conditions on customers, keep customers' secrets, provides customers with complaint service centers, and takes immediate actions for ultimate customer satisfaction with the products and services.

Traders: The Company shall purchase products and services from traders, as required by the normal trading conditions, by strictly complying with contracts and promises made with traders and refrain from dishonestly requesting, receiving or paying any trade benefits when doing business with traders.

Business Rivals: The Company shall do business under the good competition rules, maintain the norms of competition rules, refrain from hacking into secret information of the trade rivals, and avoid using dishonest tactics to destroy the rivals. During the past years, the Company has made no trade disputes with its rivals.

Creditors: The Company shall strictly maintain and fulfil the conditions made with its creditors, regarding repayment, collateral security, and other conditions and refrain from spending loans on contrary with the objectives in the agreement made with the creditors.

Communities and Environment: The Company has determined the Quality policy and the Safety and Environment Policy and encouraged the Employees to follow the policies to ensure all related persons that the Company always considers factors of quality, safety and environment and makes continual development. Moreover, the Company has been certified with the ISO 14001: Environmental Management System Standard, and the CSR-DIW Awards 2010 and 2011: Corporate Social Responsibility, by the Department of Industrial Works.

In addition to giving priority to all groups of the stakeholders aforementioned, the Company pays attention to suggestions, opinions or whistleblowing which enables the Company to develop, improve or proceed its operation. The Company also provides the Stakeholders with contact channels in case of any inappropriate or incorrect situations. If any Stakeholder would like the Company to correct or clarify anything or would like to make suggestions, he/she can contact the Internal Audit Office at internalaudit@haadthip.com or call 074-210-008 ext. 124, 307 or call the Customer Information center (CIC) at 074-210-008-18 ext. 242, 252.

4) Information Disclosure and Transparency

The Board of Directors has a policy for the Company to operate with transparency and traceability, disclose sufficient information to all related parties, take care of disclosing correct, complete, and reliable information equally accessible to all parties.

The Company shall respect and pay attention to personal information protection of all groups of related Stakeholders, prevent personal information from being exploited and keep such information safe, as required by the Personal Information Protection Law. The Office of Investors Relations is responsible for disseminating the Company's financial and general information to its securities analysts and investors and being a channel for interested persons to contact and communicate with the Company. During the spread of COVID-19, the Office of Investors Relations has changed forms of meeting with the Company's securities analysts and investors into virtual and telephone meetings, whereas the Secretary's Office is responsible for disseminating information, spreading news, and communicate as well as contact with Shareholders in order to equally provide them with correct, sufficient information in a timely manner, in accordance with related rules, standards and guidelines.

Moreover, the Company has a policy of internal information management and disclosure so that the information essential for changes in stock prices or securities values will be correctly disclosed to the public, not against related laws and regulations. That is, all the Directors, Management and Employees follow the same policies which cover internal information management methods, characteristics of internal information to be disclosed and internal information disclosure methods.

As for the financial reports, the Company has prepared financial statements in accordance with the Accounting Standards and the Financial Reporting Standards, promulgated by the Federation of Accounting Professions, including the Generally accepted Accounting Principles of Thailand, from which the appropriate accounting policies have been selected and regularly adopted. The Board of Directors is responsible only for separate financial statements of the Company and consolidated financial statements of the Company and its subsidiaries, preparing them with careful consideration and optimal estimation, and disclosing enough important information in the footnotes to financial statements, so that the financial statements will be reliable and useful for Shareholders and general investors.

In terms of product-related information, the Company shall sell products and do marketing honestly and responsibly. All the information used for sale promotion, advertising and communication in the name of the Company shall not be false or misunderstood. Instead, it shall include honest and transparent explanations of facts and relevant information and comply with related laws and regulations. The practical guideline for information disclosure and transparency can be summarized as follows:

1. The Company gives priority to disclosure of its important information, both financial and non-financial, to Shareholders and investors in an accurate, complete, timely and reliable manner, as specified by rules and regulations, and the regulations of the Securities and Exchange Commission (SEC) and the Stock Exchange of Thailand (SET) via the SET channel at SET Community Portal www.setportal.set.or.th or the Company's website at www.haadthip.com, both in Thai and in English, so that users can equally access the information.
2. The Company discloses information in the 56-1 One Report Form, as specified by the regulations of the SEC and the SET.
3. The Company stipulates that audit fees and other related service fees be disclosed in the 56-1 One Report Form.
4. The Company requires that the Board of Directors report their responsibilities for financial reports, coupled with auditor's reports, in the 56-1 One Report Form.
5. The Company has determined the principles, conditions and methods of reporting stake-holding of Directors, Management and related persons in compliance with Article 89/1 of the Securities and Exchange Act (No.4) B.E. 2551.
6. The Company shall have roles and duties of the Board of Directors, and the sub-committees, frequencies of the Meetings and frequencies of their attendance during the past year disclosed in the 56-1 One Report Form.

7. As for Investors Relations, Mrs. Anyanee Kerrick, Investors Relations Manager, is responsible for investors relations work, that is, coordinating with and providing information to institutional investors, analysts and shareholders. The Investors Relations manager can be reached by telephone at 02-391-4481 Ext. 138, 8248 or by email at ir@haadthip.com or anyanee.ker@haadthip.com. In 2022, the Company organized investor relation activities as follows:
- 1) 4 analyst meetings
 - 2) 3 one-to-one meetings with analyst fund
 - i. Phillip securities (Thailand) Public Company Limited
 - ii. Sumitomo Mitsui DS Asset Management
 - iii. Alibizia Capital
 - 3) 2 one-to-one fund manager meeting, organized by Krungsri Securities Public Company Limited
 - 4) Thailand Focus event, organized by the Stock Exchange of Thailand to meet with 5 funds
 - i. Daiwa Asset Management (Singapore) Ltd.
 - ii. XSpring Asset Management Limited
 - iii. Tisco Asset Management Limited
 - iv. Avanda Investment Management
 - v. Polunin Capital Partner Limited
 - 5) 3 Opportunity Day, organized by the Stock Exchange of Thailand
 - 6) Answering inquiries of shareholders and investors by phone for 22 times and by email: ir@haadthip.com for 16 times
8. In terms of conflicts of interest, the Board of Directors requires that doing transactions with major shareholders, Directors, Executives or anyone related to those persons be considered and approved by the Audit Committee, which takes good care of approving every step of doing transactions, strictly abide by the criteria and methods specified by the Stock Exchange of Thailand (SET), The Securities and Exchange Commission (SEC), and the Capital Market Supervisory Board. The transaction details such as type, value, counterparties of agreement, reasons and assurance of transparency shall be disclosed to the public via the SET's electronic media or SET Community Portal at www.setportal.set.or.th and disclose the information in the 56-1 One Report Form.

The Board of Directors has approved in principle that, if the Company does any normal or promoting transaction with Directors, Executives or related persons under normal trade conditions in the future, the Management Division can approve the transaction and shall prepare a summary of doing any transaction worth more than Baht 50 million and report the summary to the Meeting at the next meeting, in order to comply with Article 89/12 of the Securities and Exchange Act (no. 4) B.E. 2551.

6.2 Business Ethics

The Board of Directors has specified the code of conducts related with business ethics, in compliance with the Company's vision, so that the Company will grow along with the good society and sustainability. The Business Ethics shall be strictly followed by the Board of Directors, the Management, the employees and related agencies and used as the practical guideline for completing missions as assigned by the Company with loyalty, honesty and uprightness towards all groups of stakeholders.



Moreover, compliance with the guideline shall be regularly followed up. The content of the guideline covers the following principles:

- 1) All the shareholders and stakeholders, such as customers, creditors, business rivals, employees, the Government and the society as a whole shall be equally and fairly treated;
- 3) The Board of Directors is determined to create added value to activities in the long term with careful and discrete management, perform duties with sufficient capability and efficiency in order to create optimal benefits to the shareholders, prevent conflicts of interest and make decisions and take actions with responsibility;
- 4) The Board of Directors shall operate with transparency and traceability and give priority to disclose enough correct information in a timely manner to all parties of related persons because this leads to credibility among investors, creditors and all parties of related persons; and
- 5) The Board of Directors shall operate business by taking possible risks into consideration regularly, under appropriate risk control and management, including all forms of risks caused by corruption and anti-corruption.
- 6) With determination to promote the Principles of Good Corporate Practice, the Company encourages continual self - improvement among all agencies.

6.3 Significant Changes and Development of Corporate Governance 2022

In 2022, the Company made an important development of Good Corporate Governance as follows:

1. Chairman of the Nomination and Remuneration Committee is independent director.
2. The Board of Directors' Meeting No.7/2022 on December 15, 2022 had a resolution to change the name and duties of 2 sub-committees (1) Risk Management and Sustainability Development Committee to be Sustainability Committee and (2) Good Corporate Governance Committee to be the Risk Management and the Corporate Governance Committee, effective on January 1, 2023 and asked for charter of such committees.
3. The Company prepared internal communication plan for anti-corruption and no gift policy.
4. The Company conducted online learning materials for corporate governance and sustainability to executives and all staff to recognize self-knowledge for work such as basic corporate governance and PDPA.
5. The Company conducted staff commitment to the organization survey to improve and increase the commitment of staff with the recognition that staff is important part to drive company to sustainability.
6. The Company has received the Prototypical Organization for Human Rights Award 2022 under the Big Business Category at the Excellent level, being the only private organization in Southern Thailand that received this award from the Department of Rights and Liberties Protection, Ministry of Justice.

7. The Company received the UN Women 2022 Thailand WEPs Awards for being an organization leader that promotes sexual equality and outstanding award for gender-inclusive workplace (The award was given to Maj. Gen. Patchara Rattakul, CEO) for the work of HaadThip for gender equality and woman empowerment from UN Women.
8. 2022 Outstanding Sustainability Model Organization in the Thai Capital Market Award for Empowerment of Persons with Disabilities which shows the Company having intention and policy to promote careers and quality of disabilities to decrease inequality.
9. 2022 certificate for outstanding social activities
10. ESG 100 Company Certificate for Year 2022 for its outstanding Environment, Social and Governance (ESG)
11. HaadThip received Environment, Social and Governance (ESG) credit

However, in 2022 the Company could not abide by some of the CG codes as follows:

1. The Nomination and Remuneration Committee should consist mostly of Independent Directors (more than 50%), and the Chairman of the Nomination and Remuneration Committee should be independent directors. This code cannot be fulfilled.
2. The Board of Directors should clearly determine the Independent Directors' terms of office in the Company Corporate Governance Policy at no more than 9 years or 3 consecutive terms of office. At present, there are 4 independent directors, namely Gen. Charan Kullavanikaya, Mr. Prakit Pradipasen, Mr. Johan Willem Maarten Jansen and Mr. Yanyong Maethapanich at the Company, whose terms of office are more than 9 years. Therefore, the Company proposed that, since all the independent directors are skilled and experienced experts, they still can be qualified for driving the Company, as specified in the Company's mission. Although they have been holding office for more than 9 years, they are not executive directors and can make decisions independently.
3. The policy for directors and top executive to report to directors about selling and purchasing the Company's stock 1 days in advance
4. Non-executive directors' meeting at least 1 a year
5. Minimum quorum for the Board of Directors' Meeting to have at least two-third of all directors.

7. Structure of Corporate Governance and Important Information about the Board of Directors, Sub-committees, Executives and Employees

7.1 Structure of Corporate Governance as of December 31, 2022



7.2 The Board of Directors

As of December 31, 2022, the Board of Directors consists of 14 Directors:

No.	Name-Surname	Position
1.	Gen. Charan Gullavanijaya	Chairman Independent Director
2.	Maj. Gen. Patchara Rattakul	Authorized Director Chief Executive Officer Chairman of the Good Corporate Governance Committee
3.	Mr. Prakit Pradipasen	Intendent Director Chairman of the Audit Committee
4.	Mr. Philipp Hugo Gutsche	Director Member of the Nomination and Remuneration Committee
5.	Mr. Martin Jansen	Independent Director
6.	Mrs. Pariya Chirabhandhu	Authorized Director Member of the Nomination and Remuneration Committee
7.	Mr. Yanyong Maethapanich	Independent Director, Chairman of the Nomination and Remuneration Committee Member of Audit Committee (with enough accounting and financial knowledge and experience for calibrating reliability of the Company's financial statement), Member of the Good Corporate Governance Committee
8.	M.L. Dhisana Sritavaj	Director
9.	Mr. Dumrongrugs Apibalsawasdi	Authorized Director Member of the Good Corporate Governance Committee Member of Risk Management and Sustainable Development Committee
10.	Mrs. Kerry-Ann Shipp	Director
11.	Pol. Gen. Jaruvat Vaisaya	Director
12.	Mr. Pongsakorn Thiengham	Director
13.	Mr. Swin Chatsuwan	Independent Director Member of the Audit Committee
14.	Mr. Pakorn Sukhum	Director

Ms. Smornluk Mahasmiti resigned from the positions of the Company's director, effective on June 1, 2022. The board directors' meeting No. 3/2022 on Friday May 27, 2022 and the board of directors approved the appointment of Pol Gen. Jaruvat Vaisaya to be the Company's director to replace Ms. Smornluk Mahasmiti and to be equal to the remaining term of director of Ms. Smornluk Mahasmiti, effective on June 1, 2022.

Mrs. Yupares Thiengham resigned from the positions of the Company's director, effective on June 1, 2022. The board directors' meeting No. 3/2022 on Friday May 27, 2022 and the board of directors approved the appointment of Mr. Pongsakorn Thiengham to be the Company's director to replace Mrs. Yupares Thiengham and to be equal to the remaining term of director of Mrs. Yupares Thiengham, effective on June 1, 2022.

The Extraordinary General Meeting of Shareholders No.1/2022 on Tuesday July 26, 2022 appointed Mr. Swin Chatsuwan to be independent director and Mr. Pakorn Sukhum to be director.

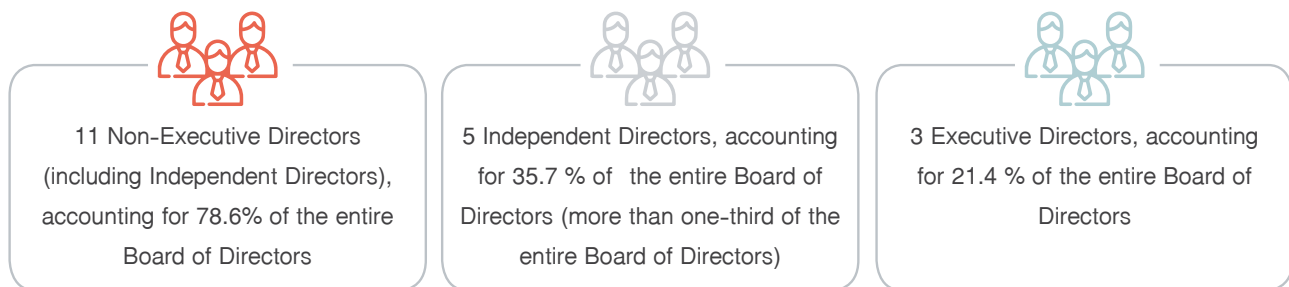
The Board of Directors' Meeting No.1/2022 on Tuesday March 15, 2022 appointed Miss Marisa Sangvoranit to be Company Secretary, effective on April 1, 2022.

The authorized Directors sign their names on behalf of the Company: Maj. Gen. Patchara Rattakul, CEO, signs and affixes the Company's seal, or Mrs. Pariya Chirabhandhu and Mr. Dumrongrugs Apibalsawasdi cosign and affix the Company seal.

Components of the Board of Directors

The Board of Directors, consisting of experienced experts with leadership, vision, independence in decision-making, devotion and full effort operate duties with responsibility, caution, and honesty (duty of care) in order to maintain the interests of the Company and all parties of shareholders and stakeholders, shall abide by laws, objectives, resolutions made by the Board of the Directors and the Shareholders' Meetings (duty of obedience), and discloses correct, complete and transparent information in a timely manner (duty of disclosure).

The structure of the Board of Directors of the Company is made up of diversity in terms of professional skills, specialization and gender, consisting of 14 Directors as followings:



Roles and Duties of the Board of Directors

The Board of Directors is assigned by the Shareholders to honestly and neutrally supervise business in accordance with the Company's objectives within the scope as specified in the Company's regulations in order to appropriately comply with related laws and regulations.

The Board of Directors shall supervise the Management's operation in conformity with the objectives, strategies and plans approved by the Company in order to create the ultimate interests to the Company and all parties of the stakeholders and also give the CEO authority and responsibilities to take charge in daily administration, which are clearly separated from that of the CEO's. Moreover, the Board of Directors has appointed the sub-committees to assist in taking care of specific tasks as necessary.

The scope of the Board of Directors' authority and responsibility can be summarized as follows:

- 1 The board of Directors shall operate duties responsibly, carefully and honestly in accordance with laws, objectives, regulations of the Company, and resolutions made by the Board of Directors and the shareholders and abide by the rules and regulations specified by the Stock Exchange of Thailand, the Securities and Exchange Commission and the Capital Market Supervisory Board;
- 2 The Board of Directors shall determine policies, objectives, plans and annual budgets and supervise the Directors' and the Executives' management so that they will efficiently perform duties as assigned, and regularly monitor the Management's operation;
- 3 The Board of Directors shall specify the structure of the Company diversely in different aspects necessary for business operation, such as professional skills, specializations and genders;
- 4 The Board of Directors shall stipulate reviews and participate in specifying visions, missions, and values so that the Executives and Employees will set objectives in the same direction;

- 5 The Board of Directors shall determine enough appropriate internal control and risk management systems;
- 6 The Board of Directors shall specify the guideline for doing transactions possibly causing conflicts of interest, including related transactions;
- 7 The Board of Directors shall stipulate the Board of Directors' Meetings and the Shareholders' Meetings, prepare the balance sheets and disclose the Company's information to related persons sufficiently and regularly;
- 8 The Board of Directors shall appoint specific sub-committees nominated by the Nomination and Remuneration Committee and specify the scope of the sub-committee's authority and responsibilities as follows:
 1. Audit Committee
 2. Nomination and Remuneration Committee
 3. Good Corporate Governance Committee
 4. Risk Management and Sustainable Development Committee
9. The Board of Directors specifies that the Chairman and the CEO be different persons and that the Chairman be an Independent Director, whose scope of authority as follows:

The Chairman: The Chairman is responsible for specifying policies and business plans, monitoring the Management to operate efficiently, and giving advice and assistance, but not intervening daily administration. Moreover, the Chairman shall possess leadership, prevent the Directors from being influenced by the Management, and encourage and push the participants to exercise the right to votes and abide by the Good Corporate Governance strictly and efficiently.

The Chief executive officer (CEO): The CEO is responsible for managing routine work in accordance with the objectives, policies, goals, strategies, and work plans approved by the Board of Directors, within the scope of the authority assigned by the Board of Directors.

10. Appointing the Company's Secretary and specifying the scope of authority and responsibilities to the Secretary, who coordinates between the Executives, Directors and Shareholders, organizes meetings, records minutes of Board of Directors' Meetings and Shareholders' Meetings, and takes care of information disclosure, as specified by the rules and regulations of the Stock Exchange of Thailand (SET) and the Securities and Exchange Commission (SEC);
11. Supervising the Company's operation in accordance with related laws, rules and regulations, including resolutions made by the Shareholders' meetings and the Securities and Exchange Laws, as well as regulations and good guidelines of the SEC, in compliance with the Securities and Exchange Act B.E. 2535 as amended, Article 89/7-89/10;
12. Collaborating with the sub-committees to prepare the Board Charters for each committee, which determine roles, duties and responsibilities for every Director and review such charters at least once a year in order to comply with the working directions of the Company.
13. Approval Authority of The Board of Directors
 1. To approve bank borrowings for the purpose of working capital for the Company, for the part of credit line that exceeds the authority of the CEO;
 2. To approve the receipt or cancellation of credit line for loans, for the part of the credit line that exceeds the authority of the CEO;
 3. To approve the opening or closing of the fixed, savings and current accounts with financial institutions;
4. To approve the establishment, merging or termination of the subsidiary company, affiliated company or joint venture company of the Company as per the requirements in regards to the acquisition or the sales of assets, as stipulated by the Stock Exchange of Thailand, Securities and Exchange Commission and related laws and legal requirements;
5. To approve the investments in the fixed assets, such as new production line installation project, in accordance with the requirements in regards to the acquisition or the sales of assets, as stipulated by the Stock Exchange of Thailand, Securities and Exchange Commission and related laws and legal requirements;
6. Other approval authorities shall be in accordance with the Company regulations.

7.3 Sub-committees

1. Audit Committee

The Audit Committee consists of at least 3 independent directors, one of whom shall have accounting and financial knowledge of or experience sufficient for calibrating reliability of the Company's financial statement. Each Audit Director holds a 3 years' term of office, and any Audit Director who retires by rotation can be re-elected. When any Audit Director retires by rotation or cannot hold office until retirement, resulting in reduction in the number of the Audit Directors, the Board of directors shall appoint new Directors to replace the missing ones immediately or within 3 months after the day when the number of Audit Auditors is missing, for continuity in operation. Any Director appointed to be an Audit Director shall have complete elements and qualifications as specified by the Securities and Exchange Commission and the Stock Exchange of Thailand.

The Board of Directors has appointed the Audit Committee, which consists of 3 independent directors. In 2022, the Audit Committee held 4 meetings in total:

Name-Surname	Position	Number of Audit Committee Meetings	
		2022	2021
1. Mr. Prakit Pradipasen	Chairman of the Audit Committee	4/4	4/4
2. Mr. Yanyong Maethapanich	Member of the Audit Committee	4/4	4/4
3. Mr. Swin Chatsuwan	Member of the Audit Committee	1/4	-
Ms. Smornluk Mahasmiti	Member of the Audit Committee (Resign)	2/4	4/4

Ms. Smornluk Mahasmiti resigned from the positions of the Company's director and member of the Audit Committee, effective on June 1, 2022. The Extraordinary General Meeting of Shareholders No.1/2022 on Tuesday July 26, 2022 appointed Mr. Swin Chatsuwan to be independent director and member of the Audit Committee.

Mr. Yanyong Maethapanich is an Audit Committee Director with enough accounting and financial knowledge and experience for calibrating reliability of the Company's financial statement, whereas Miss Nithinart Juntasurat, Accounting Director, is the Secretary to the Audit Committee.

Duties and Responsibilities of the Audit Committee

The Board of Directors has specified the scope of duties and responsibilities of the Audit Committee in accordance with the SET's announcement on Qualifications and Scope of the Audit Committee B.E., dated June 9, 2008 as follows:

1. To review the financial statement of the Company with accuracy and completeness;
2. To review the appropriate and effective internal control, internal audit and risk management of the Company;
3. To review the Company's operation in accordance with the Securities and Exchange Laws, the SET Regulations and the laws related with the business of the Company;
4. To review internal auditor's independent, and approve the appointment and termination of the head of the internal audit function. Outstanding of the internal audit function has to be reviewed for the independence and approved by the audit committee;
5. Considering approval of the internal audit plan, budget and personnel of the Internal Audit Office;
6. Considering selection and nomination of independent candidates to work as the auditors of the Company, proposing remunerations for the auditors, dismissing the auditors, and attending auditors' meetings without any participants from the Management at least once a year;
7. Considering related transactions or transactions with possible conflicts of interest in accordance with the SET's laws and regulations in order to ensure reasonableness of the transactions and the ultimate interests for the Company;
8. Calibrating accuracy of the references and self- assessment reports on the Company's Anti-corruption Measures in accordance with the Thai Private Sector Collective Action Against Corruption's Project;

9. Giving opinions on sufficiency in the Risk Management and Internal Control System to be disclosed in the 56-1 One Report Form;
10. Preparing the results of the Audit Committee's operation to be disclosed in the Company's 56-1 One Report Form signed by the Chairman of the Audit Committee, which covers the following:
 1. Supervising the internal auditors' operation, including calibrating adequacy and appropriateness of the Company's internal control system;
 2. supervising and preparing the Company's financial report, including inquiring the business executives about using discretion for preparing financial reports;
 3. Communicating about important matters with the Audit Committee and the auditors;
 4. disclosing the Audit Committee's opinions about reasons used for considering that providing other services than auditing does not affect the auditor's independence in auditing the financial statement of the business;
 5. performing duties within the scope of the Audit Committee, such as calibrating the Company's operations in compliance with related laws, considering transactions with possible conflicts of interest and relevant transactions; and
 6. operating other tasks as required by laws or assigned by the Board of Directors

The Company assigns the Internal Audit Office to monitor and calibrate operations in accordance with the work system or the specified internal control standard, collaborates with the Audit Committee, and encourages and helps the Committee to supervise Good Corporate Governance.

2. Nomination and Remuneration Committee

The Board of Directors has appointed the Nomination and Remuneration Committee, which holds a three years' term of office. Any retired Director may be elected to hold another position.

On December 31, 2022, the Nomination and Remuneration Committee consists of 3 Directors: 1 Independent Directors and 1 Director who are the Executives and 1 Director who is not the Executive as follows:

No.	Name-Surname	Position
1.	Mr. Yanyong Maethapanich	Chairman of the Nomination and Remuneration Committee / Independent Director
2.	Mr. Philipp Hugo Gutsche	Member of the Nomination and Remuneration Committee / Non-Executive Director
3.	Mrs. Pariya Chirabhandhu	Member of the Nomination and Remuneration Committee / Executive Director

Mrs. Yupares Thiengham resigned from the positions of the Company's director and Chairman of the Nomination and Remuneration Committee, effective on June 1, 2022 and Ms. Smornluk Mahasmiti resigned from the positions of the Company's director and member of the Nomination and Remuneration Committee, effective on June 1, 2022.

The Board of Directors' Meeting No. 3/2022 on Friday May 27, 2022 appointed Mr. Yanyong Maethapanich to be Chairman of the Nomination and Remuneration Committee.

Mr. Yanyong Maethapanich is independent director, and Ms. Plernpun Rutchakitprakarn, Executive Assistant to the CEO, is the Secretary to the Nomination and Remuneration Committee.

In 2022, the Nomination and Remuneration Committee had 3 meeting and all committee attended all the meetings. Charter of the Nomination and Remuneration Committee is in attachment 7.

Duties and Responsibilities of the Nomination and Remuneration Committee

The Nomination and Remuneration Committee shall perform duties as assigned by the Board of Directors, with responsibility, caution and honesty, as follows:

1. Reviewing and recommending on the organization structure and the component of the Board of Directors and sub-committees for the diversities such as professional skills, specializations, genders and ages. The Committee reviewed criteria and selection procedure for qualified person for director position and propose to the Board of Directors to propose for director appointment at the Shareholders' Meeting.
2. Reviewing and selecting the qualified person to be proposed as a member of the Company's Board of Directors and sub-committees
3. Considering and if appropriate support minor shareholders' nomination of qualified directors
4. Providing induction and ongoing training and development to all directors
5. Proposing guidelines and recommended methods for remuneration and performance evaluation consideration for the Board of Directors, sub-committees and senior management, in order to adequately attract and retain competent persons for the Company who will be motivated and will add value to the Company.
6. The Committee may appoint independent consultants to advise and recommend salary packages that will enable the Company to be a leading Company in Thailand. Further the scope of the Committee can include basic incentive schemes, pension/provident and medical schemes.
7. Recommending a succession plan for senior management and review the list of qualified and suitable person as necessary
8. Considering specification of forms and criteria of the Key Performance Indicators (KPIs) used for considering adjustment of the Employees' salaries and bonuses and proposing ideas to the Board of Directors for approval
9. Preparing annual operation reports of the Nomination and Remuneration Committee, proposing them to the Board of Directors and disclosing them in the 56-1 One Report Form to be signed by the Chairman of the Nomination and Remuneration Committee, including specifying frequencies of the Meetings and the attendances of each member of the Nomination and Remuneration Committee
10. performing other tasks related to responsibilities as required by the Board of Directors

3. Good Corporate Governance Committee

The Good Corporate Governance Committee consists of 3 directors: 1 director who is an independent director and 2 directors who are the executive directors, each of whom holds a 3 years' terms of office as follows:

No.	Name-Surname	Position
1.	Maj. Gen. Patchara Rattakul	Chairman of the Good Corporate Governance Committee / Executive Director
2.	Mr. Yanyong Maethapanich	Member of the Good Corporate Governance Committee / Independent Director Non-Executive Director
3.	Mr. Dumrongrugs Apibalsawasdi	Member of the Good Corporate Governance Committee / Executive Director

Miss Rattanawadee Kiatsimkul, Good Corporate Governance Director, works as the secretary to the Committee.

The Board of Directors' Meeting No. 7/2022 on December 15, 2022 has a resolution to change name of Good Corporate Governance Committee to be Risk Management and Corporate Governance Committee, effective on January 1, 2023.

In 2022, the Good Corporate Governance Committee had 2 meeting and all committee attended all the meetings. Charter of the Good Corporate Governance Committee is in attachment 7.

Duties and Responsibilities of the Corporate Governance Committee

1. Specifying efficient, transparent and traceable policies and guidelines of Corporate Governance to ensure reliability among all related parties and proposing them to the Board of Directors;
2. Supervising the Directors' and Executives' operation ethically, as specified by the Corporate Governance Policy, in accordance with the SET's Good Corporate Governance Policy, related laws and international practices;
3. Collaborating with the Compliance Unit so that the Corporate Governance will cover the practical guidelines for people in the organization;
4. Considering regular reviews and improvements of the Company's Corporate Governance at least once a year in compliance with the guidelines in the international standards and suggestions of the Good Governance Development for Investment Division, the SET or related agencies;
5. Reporting to the Board of Directors the Company's Good Corporate Governance, including opinions, guidelines and suggestions for improvement as appropriate;
6. Organizing meetings as necessary and appropriate at least twice a year and reporting results of the Meetings to the Board of Directors;
7. Preparing summary reports of the Directors' operation and business supervision and presenting them in the 56-1 One Report Form;
8. Promoting publicity of Good Corporate Governance culture and giving advice, requirements and operational guidelines on anti-corruption and codes of conduct of the Directors, Executives and Employees in order to create understanding among the Management and all levels of the Employees, all effective in practice at the Company and its subsidiaries; and
9. Giving promotion and advice in order to assess and rank Corporate Governance for continual development and standard improvement.

4. Risk Management and Sustainable Development Committee

The Risk Management and Sustainable Development Committee consists of 4 Executives and 1 Executive Director which is Mr. Dumrongrugs Apibalsawasdi as follows:

No.	Name-Surname	Position
1.	Mr. Jose Henrique Zeitune	Chairman of the Risk Management and Sustainable Development Committee / Executive
2.	Mr. Dumrongrugs Apibalsawasdi	Member of the Risk Management and Sustainable Development Committee / Executive Director
3.	Mr. Riccardo Vrodom Sucharitikul	Member of the Risk Management and Sustainable Development Committee / Executive
4.	Miss Rattanawadee Kiatsimkul	Member of the Risk Management and Sustainable Development Committee / Executive
5.	Mr. Siam Suwannarat	Member of the Risk Management and Sustainable Development Committee / Executive

Mr. Dumrongrugs Apibalsawasdi is an Executive Director, whereas Miss Chanita Thaotawil, Assistant to Vice President – Corporate Strategy, works as the secretary to the committee.

The Board of Directors' Meeting No. 7/2022 on December 15, 2022 has a resolution to change name of Risk Management and Sustainable Management Committee to be Sustainability Committee, effective on January 1, 2023.

In 2022, the Risk Management and Sustainable Management Committee had 1 meeting and all committee attended all the meetings. Charter of the Good Corporate Governance Committee is in attachment 7.

Duties and Responsibilities of the Risk Management and Sustainable Development Committee

Risk Management

1. Proposing to the Board of Directors specification of the risk management policy and the acceptable risk level;
2. Specifying the overall risk management policy of the Company that covers types of major risk, such as financial risk, risks affecting business reputation, including risks affecting sustainability of business operation, and others, and presenting them to the Board of Directors for agreement;
3. Specifying the Company's work plans and risk management process in accordance with the risk management policy, monitoring implementation and calibrating effectiveness of the risk management frame with clear indicators;
4. Calibrating risk management reports and proceeding to ensure adequacy and appropriateness of risk management and being able to manage risks at the acceptable level and continually implementing risk management;
5. Improving and reviewing the Company's risk management system continually for efficiency and effectiveness by regularly assessing and monitoring risk management in accordance with the specified policy;
6. Establishing the risk management staff as necessary and promoting the risk management staff in terms of personnel, budget and other essential resources in compliance with the responsibility scope;
7. Collaborating with the Inspection Committee regularly by exchanging knowledge and information about risk and internal control affecting or possibly affecting the Company every 6 months.

Sustainability Development

1. Reviewing and calibrating policies, goals, sustainability development plans, social and environmental responsibility, climate change and sustainable business expansion innovation, which are both short and long-term plans, including updating achievement indicators continually in accordance with the international standards, and presenting them to the Board of Directors at least once a year;
2. Transferring policies, goals and social and environmental sustainability development plans and innovations to every related unit in order to implement the policy continually and sustainably;
3. Monitoring progress of the sustainability development improvement project presented by the sub-committees and reporting it to the Board of Directors at least every quarter, in order to assess effectiveness of sustainability development and opportunities of continual improvement in accordance with the frame of Sustainable Development Goals (SDGs)

7.4 Management Team

As at 31st December 2021, the Company's Management Team comprised of the following:

1.	Maj. Gen. Patchara Rattakul	Chief Executive Officer
2.	Mr. Jose Enrique Zeitune	Chief Operating Officer
3.	Mr. Amrit Kumar Shrestha	Chief Financial Officer
4.	Mrs. Pariya Chirabandhu	Senior Vice President
5.	Mr. Dumrongrugs Apibalsawasdi	Senior Vice president - Corporate Affairs
6.	Mr. John Joseph Benedetti	Senior Vice President - Supply Chain & Demand Fulfillment
7.	Mr. Timothy Edward Doyle	Senior President - Customer Service Systems & Indirect Channel (Makro & Wholesale Key Account)
8.	Mr. Voranin Asadamongkol	Senior Vice President - TT-DSD, Wholesales, HORECA, Telesales, Vending and Sales Capability
9.	Mr. Riccardo Vrodom Sucharitkul	Vice President - Corporate Strategy
10.	Mr. Seksan Phetsut	Vice President - Operation
11.	Mr. Puttaporn Rajpricha	Vice President - Human Resources
12.	Ms. Sarunluck Thepwarin	Vice President - Modern Trade
13.	Mr. Thongchai Unchurit	Vice President - General Administration & Government Relations
14.	Mr. Thakerng Kanchana	Vice President - CDE & Construction
15.	Mrs. Arisa Pukdeemakanon	Vice President - Commercial Operations
16.	Mr. Taweedet Janmeeon	Assistant Vice President - TT/DSD, Wholesale, Sales Operation and Director TT/DSD

Scope of the CEO's Authority

The CEO, the top executive position of the Company, has been appointed by the Board of Directors, responsible for managing the Company's business so that it will achieve the goals and objectives of the Company, as specified by the Board of Directors and supervising the business operation in order to create the ultimate benefits for all groups of stakeholders fairly and appropriately, including taking care of disclosing the Company's general and financial information, in accordance with the good practical guideline, including authority to approve of any action, which is the Company's normal business operation, as follows.

1. Specifying the Company's visions, missions, organization values, objectives, business plans, business operation strategies, financial plans, investment management, human resource management, and annual budgets;
2. Monitoring and assessing the Company's performance regularly, in order to prevent risks arising from internal and external factors, which will prevent the Company's operation from achieving specified goals;
3. Having authority to nominate operating teams, for benefits of and efficiency in good and transparent management;
4. Having authority to issue rules, orders, regulations and announcements, in order to comply with the Company's policies and ultimate benefits and maintain internal corporate disciplines and operation efficiently;
5. Having authority, as specified in the operation regulations, and approval authority, as approved by the Board of Directors' Meeting;
6. Supervising business in accordance with the Company's rules, regulations and requirements, and the Securities and Exchange Law, regulations and practical guidelines of the Securities and Exchange Commission, the Stock Exchange of Thailand and laws related to the Company's business

Remuneration for the Executives

Remunerations for the Executives shall comply with the policies and criteria, as specified by the Company, which are linked to the performance and specified key performing indicators (KPIs). Remunerations for the Executives will be given at the level attractive enough to maintain quality executives as required by the Company, compared with businesses in the same industry. Remunerations for the Executives in the form of cash will be terminated on December 31, 2022, as follows:

1. Monetary Compensation

Remuneration	Number of Persons	Amount of Money (Baht)
Salary and Bonus	16	158,330,375
Others: provident fund	16	3,136,272
Total	16	161,466,647

2. Non-Monetary compensation

- Office car
- Employee Stock Option Program: HTC ESOP Project
- Accident insurance (group)

7.5 Personnel

As of December 31, 2022, the Company and its subsidiaries have 2,470 personnel in total as follows:

Personnel	Number of Employees	
	HaadThip Public Company Limited	Subsidiaries
Operation Worker Level	1,656	126
First-Line Manager Level	325	12
Middle Manager Level	274	33
Top Manager Level	43	1
Total	2,298	172

Number of Employees Classified by Types of Employment	HaadThip Public Company Limited Ltd.		Subsidiaries	
	Male	Female	Male	Female
Full-time employees	1,717	575	72	99
Contract employees	4	2	0	1
Total	1,721	577	72	100

In 2022, the Company has 21 disabled employees, which is 0.85% of the total employees.

The total remunerations for the Company's employees in 2022 and 2021 were approximately Baht 981.51 million and Baht 1,024.06 million, consisting of the salaries, over-time pays, commission for salespersons, contribution to social security fund, bonuses and contribution to provident fund.

The Company has never had any labor-related dispute during the past 3 years, due to its consistent good relation with the Employees. The turnover rate in 2023 was 12.92%, and the Employees of the Company have not established any labor union.

7.6 Other Important Information

Company Secretary

The Board of Directors 2/2022, held on March 15, 2022, resolved to nominate Miss Marisa Sangvoranit to be the Company Secretary (profile as in attachment 1), who is required to fulfil responsibilities, as specified in Article 89/15 of the Securities and Exchange Act (No. 4) B.E. 2551 and comply with laws and the Company's regulations, resolution of the Board of Directors and the Shareholders' Meeting as follows:

1. Preparing and storing the following documents
 - a. Directors registration
 - b. Schedules and minutes of the Board of Directors meetings and annual reports of the Company
 - c. Invitation letters of Shareholders' meetings and minutes of Shareholders' Meetings
2. Storing stake-holding reports presented by Directors or Executives, dispatching copies of stake-holding reports, as specified in Article 89/14, and notifying the Chairman and the Inspection Committee within 7 working days, starting from the day when the Company received the reports
3. Doing other tasks, as specified by the Securities and Exchange Commission

Moreover, the Company's Secretary is required to perform other tasks, as assigned by the Company, as follows:

1. Giving advice about related rules and practical guidelines regarding governance that the Board of Directors should know and abide by;
2. Organizing Board of Directors' Meetings and Shareholders' Meetings;
3. Contacting and coordinating with the internal units of the Company so that they will comply with resolutions of the Board of Directors' Meetings;
4. Coordinating with the Governance Units, such as the Securities and Exchange Commission (SEC), the Stock Exchange of Thailand (SET), and taking care of disclosing correct and complete information and information reports to the governance units and the public, as specified by laws; and
5. Performing other tasks as assigned

Accounting Supervisor	➤ Miss Nithinart Juntasurat
Head of the Internal Audit Office	➤ Mrs. Arunee Praduppetch
Head of Investors Relations	➤ Mrs. Anyanee Kerrick

Contact Information for Investor Relations

Address: HaadThip Public Company Limited, Bangkok Branch, 36/6 Soi Ramkhamhaeng 21 (Navasri), Yaek 5 Phlabphla, Wang Thonglang, Bangkok. Telephone: (02) 391-4488 Ext. 8248. Email: ir@haadthip.com

Auditors and Audit Fees

The Audit Committee of the Company is responsible for selecting auditors for the Company and proposing the candidates to the Shareholders' Meetings for nomination, including reviewing the auditors' qualifications, performances and remunerations. In 2022, the Audit Committee nominated Miss Krittika Kongkerd, CPA, license No. 10634, Mr. Thanit Osthalert, CPA, license No. 5155, and Miss Marisa Tharatornbanpakul, CPA, license No. 5752 from KPMG Phoomchai Audit Co., Ltd. as the Auditors of the Company for the fiscal year ending on December 31, 2022 to the 2022 Annual General Meeting of Shareholders for approval, which later approved of the proposal. The audit fees of the Company and its subsidiaries for the fiscal year were terminated on December 31, 2022. The details are as follows:

1. HaadThip Public Company Limited		2. The subsidiaries	
Audit fees	THB 1,690,000	Audits fees	THB 1,550,000
Non-audit fees	-None-	Non-audit fees - BOI certification fee	THB 70,000

8. Reports on the Results of Major Corporate Governance Performance

8.1 Summary of Last Year's Performance of the Board of Directors

8.1.1 Nomination, Development and Assessment of the Board of Directors' Performance Nomination of Directors and Senior Management

The Company's directors are knowledgeable and experienced in the industry that the Company is operating. The Company's directors are capable of working effectively, offering viewpoints and visions useful for business operation including risks, related to the Company's business. Moreover, all the Directors of the Company are qualified persons without any incompatibilities, as specified by the Public Company law and the Securities and Exchange Law. Each of the Independent director full qualifications, as specified in the SEC's announcement at Tor Jor 4/2552 Re: Asking for and Giving Permission to Offer for Sale of Newly Issued Shares (No. 2) (announced at Tor Jor 4/2552).

Directors

The election of the Board of Directors shall abide by the Company's regulations and related laws. The Shareholders' Meetings shall consider election of Directors, according to the following criteria and methods.

1. Each shareholder has a voting right equivalent to one share to one vote;
2. For a Director election, the shareholders can cast their votes to elect one Director, or a group of Directors at a time, or by any other methods as deemed appropriate by the Shareholders' Meeting. During the voting procedure, however, the shareholders can only exercise their voting right as per condition (1) above, and cannot allocate any portions, less or more, of their voting rights to any one Director or group of Directors;
3. The appointment of Directors shall be decided by majority votes. If the votes are tied, Chairman of the Meeting shall cast the vote to determine the final outcome.

At the vote to determine the final outcome one third of the Directors shall be retired. If the number of Directors cannot be divided evenly by one third, the number of retiring Directors shall be as close to one third as possible. The names shall be drawn and announced, for Directors to retire in the first and second year following registration. But for the following years, the method employed will be to retire the Director with longest tenure. In the case that the number of Directors with longest tenure exceed that of the number of Directors to retire at that time, the names of Directors to retire at that time shall be drawn.

The nomination and remuneration committee considered directors retiring from office by rotation to be reelect and propose to the board of director for consideration. The board of directors will consider to propose directors retiring from office by rotation to be reelect and propose to shareholders' meeting.

The Directors whose tenure has expired may be re - elected. On the 2022 Shareholders' Meeting day on April 26, 2022, there were 4 retired Directors as follows:

- | | |
|------------------------------------|--|
| 1. Mrs. Yupares Thiengtham | Director / Chairman of the Nomination and Remuneration Committee |
| 2. Mr. Johan Willem Maarten Jansen | Independent Director |
| 3. Mr. Dumrongrugs Apibalsawasdi | Authorized Director / Member of Good Corporate Governance Committee / Member of Risk Management and Sustainable Management Committee |
| 4. Mrs. Kerry-Ann Shipp | Director |

In this regard, the Nomination and Remuneration Committee (excluding stake-holding Directors) has screened carefully and agreed that all the 4 retired Directors have good knowledge and efficiency in performing duties, and always gives useful ideas and advice to the Board of Directors and the Company. Mr. Johan Willem Maarten Jansen is independent directors, having held office for more than 3 consecutive terms and being experienced directors for the Company's core business. During their time in office, he could give opinions freely in accordance with the related principles. The 2022 Annual General Shareholders' Meeting approved accordingly.

New Directors

The nomination and remuneration committee select qualified person to be the Company's directors without any incompatibilities, as specified by the Public Company law and the Securities and Exchange Law. Each of the Independent director full qualifications, as specified in the SEC's announcement at Tor Jor 4/2552 Re: Asking for and Giving Permission to Offer for Sale of Newly Issued Shares (No. 2) (announced at Tor Jor 4/2552). The nomination and remuneration committee are to propose new qualified directors to the board of directors for consideration. If the new director is not to replace resigned directors, the board of directors is to consider to propose to shareholders' meeting for election.

In 2022, there were 4 new directors.

Mrs. Yupares Thiengtham resigned from the positions of the Company's director and chairman of nomination and remuneration committee, effective on June 1, 2022, and Ms. Smornluk Mahasmiti resigned from the positions of independent director, member of the audit committee, and member of the nomination and remuneration committee, effective on June 1, 2022.

The nomination and remuneration committee proposed qualified directors to the board directors' meeting No. 3/2022 on Friday May 27, 2022 and the board of directors approved the appointment of

1. Mr. Pongsakorn Thiengtham to be the Company's director to replace Mrs. Yupares Thiengtham and to be equal to the remaining term of director of Mrs. Yupares Thiengtham, effective on June 1, 2022.
2. Police Gen. Jaruvat Vaisaya to be the Company's director to Ms. Smornluk Mahasmiti and to be equal to the remaining term of director of Ms. Smornluk Mahasmiti, effective on June 1, 2022.

The nomination and remuneration committee proposed qualified directors to the board directors' meeting No. 3/2022 on Friday May 27, 2022 and the board of directors approved to propose the extraordinary general meeting of shareholders No.1/2022 on Tuesday July 26, 2022 to consider and elect new directors, and the extraordinary general meeting of shareholders approved the election of

1. Mr. Swin Chatsuwan to be independent director and audit committee member
2. Mr. Pakorn Sukhum to be director

Independent Directors

Independent directors must have qualification according to The Notification of the Capital Market Supervisory Board No. TorJor. 39/2559 and not hold share worth more than 0.5 percent of paid-up capital of the Company, including with share which held by any person who has related to independent director.

Senior Management

The Committee is responsible for supporting the Board of Directors in consideration of recruitment, selection and review of compensation of senior management. The selection consideration includes factors such as knowledges, abilities and experience related to the Company's business.

Training and Development

The Board of Directors encourages the Directors to attend trainings organized by the Thai Institute of Directors (IOD) or other organizations, as appropriate, by assigning the Company's Secretary to coordinate and continually inform the Directors of training courses for improving Directors' potential and increasing efficiency in working as Directors.

In 2022, the Directors participating in training, development and review of knowledge useful for working as Directors were as follows:

Pol. Gen. Jaruvat Vaisaya:	Director Certification Program (DCP) Class 322/2022
Mr. Pongsakorn Thiengtham:	Director Leadership Certification Program (DLCP) Class 6
Mr. Pakorn Sukhum:	Advanced Audit Committee Program (AACP), class 46/2022

Assessment of the Board of Directors' Operation

The Company has specified that the Board of Directors' self-assessment be conducted once a year. First of all, the Company's secretary shall present the assessment forms of the Board of Directors and those of the sub-committees, appropriate for current situations and compliant with the Board of Directors' roles and duties. The Board of Directors' self-assessment forms prepared by the Stock Exchange of Thailand have been approved for use by the Board of Directors. After that, the Company shall distribute the forms to all the Directors for assessing performances each director, each team and the CEO. Next, the Company's secretary shall collect the completed forms, summarize the assessment results and opinions, and present them to the Board of Directors at the next meeting.

At the Board of Directors' meeting 7/2022 on December 15, 2022, the Company conducted an assessment of performances of each Director, of each board, of each sub-committee and of the CEO. The details are summarized as follows:

1. The objectives of assessing performances of each Director, each Board, each committee and the CEO, in accordance with the Corporate Governance Principle for listed companies. The Company conducted an annual self-assessment of performances of the Board of Directors and the sub-committees and jointly considered the performances, including improving and correcting operations and responsibilities of the Board of Directors in order to create benefits to the Company with the highest efficiency and effectiveness.
2. Criteria and Assessment
 1. The Board of Directors approves and reviews the self-assessment forms of the Board of Directors and the sub-committees at least once a year;
 2. The Board of Directors assigns the Company's Secretary to dispatch the Board of Directors the annual self-assessment forms within early December;
 3. All the Directors complete the self-assessment forms and return them the Company's Secretary within the specified time;
 4. The Company's Secretary collects, assesses and summarizes results of the assessment, including reporting the results to the Board of Directors;
 5. The Board of Directors uses the results, discusses them and gives additional opinions in order to make a plan for improving the Board of Directors' efficiency in performing duties by assigning the Company's Secretary to manage the plan, as specified by the Board of Directors;
 6. The sub-committees' self-assessment forms shall be completed in the same manner as those for the Board of Directors; and
 7. The scoring method of the assessment is as follows:

Results of Assessment	Average Score (%)	Levels of Operation
0	less than 30%	strongly disagree or do no actions in that matter
1	between 31% and 50%	disagree or do a few actions in that matter
2	between 51% and 70%	agree or do some actions in that matters
3	between 71% and 90%	really agree or do a lot of good actions in that matter
4	more than 91%	strongly agree or do a lot of very good actions in that matter

The Board of Directors and the sub-committees shall disclose the criteria, process, assessment results and improvement plans in the annual report every year. The assessment forms are categorized into 2 types:

Type 1 is the Board's self-assessment form, which includes the following assessment topics:

1. Structure and qualifications of the Board of Directors
2. Roles, duties and responsibilities of the Board of Directors
3. Board of Directors' meetings
4. Performing the Board of Directors' duties
5. Relation with the Management
6. Self-improvement of the Directors and improvement of the executives

The scores of the Boards' self-assessment results are as follows:

Topics of Assessment	Average Score (%)	Levels of Agreement
1. Structure and qualifications of the Board of Directors	95.18	strongly agree
2. Roles, duties and responsibilities of the Board of Directors	96.83	strongly agree
3. Board of Directors' meetings	94.49	strongly agree
4. Performing the Board of Directors' duties	98.81	strongly agree
5. Relation with the Management	100.00	strongly agree
6. Self-improvement of the Directors and improvement of the executives	98.48	strongly agree
Average Score	97.30	strongly agree

Type 2 is the sub- committees' self-assessment form, which includes the following assessment topics:

1. The structure and qualifications of the Board of Directors help promote efficiency of the Board's operation
2. The sub-committee meetings are organized so that the Board of Directors can perform their duties at the meetings efficiently
3. The roles, duties and responsibilities of the following sub-committees are emphasized and enough time is spent on consideration, review and compliance.
 - Audit Committee
 - Nomination Committee and Remuneration Committee
 - Corporate Governance Committee
 - Risk Management and Sustainable Development Committee

The scores of the subcommittees' self-assessment results classified are as follows:

Topics of Assessment	Average Score (%)	Levels of Agreement
1. The structure and qualifications of the Board of Directors help promote efficiency of the Board's operation	85.71	quit strongly agree
2. The sub-committee meetings are organized so that the Board of Directors can perform their duties at the meetings efficiently	93.33	strongly agree
3. The roles, duties and responsibilities of the following sub- committees are emphasized and enough time is spent on consideration, review and compliance.		
3.1 Audit Committee	100.00	strongly agree
3.2 Nomination and Remuneration Committee	80.95	quit strongly agree
3.3 Corporate Governance Committee	75.00	quit strongly agree
3.4 Risk Management and Sustainable Development Committee	91.67	strongly agree
Average Score	87.78	quit strongly agree

The self-assessment forms are used for each Director (for the Board of Directors and the sub-committees), which include the following:

1. Structure and qualifications of the Board of Directors and the sub-committees
2. Board of Directors and Sub-committees' meetings
3. Roles, duties and responsibilities of the Board of Directors and the sub-committees

The scores of the Directors' self-assessment results are as follows:

Topics of Assessment	Average Score (%)	Levels of Agreement
1. Structure and qualifications of the Board of Directors and the sub-committees	100.00	strongly agree
2. Board of Directors and Sub- committees' meetings	93.18	strongly agree
3. Roles, duties and responsibilities of the Board of Directors and the sub-committees	98.18	strongly agree
Average Score	97.12	strongly agree

The scores of the CEO's assessment results are as follows:

Topics of Assessment	Average Score (%)	Levels of Agreement
1. Leadership	100.00	very good
2. Strategy formulation	100.00	very good
3. Strategic operation	100.00	very good
4. Financial and planning and performance	100.00	very good
5. Relation with the Board of Directors	100.00	very good
6. Relation with outsiders	100.00	very good
7. Administration and relation with the Company's personnel	100.00	very good
8. Succession	100.00	very good
9. Knowledge of products and services	100.00	very good
10. Personal attributes	100.00	very good
Average Score	100.00	very good

8.1.2 Meeting Attendances and Meeting Allowance for the Directors

The details of the Directors' meeting attendances in 2022 are as follows:

Name/Surname	Number of Attendances						
	Board of Directors' Meetings and Committee Meeting					Shareholders' Meeting	
	Board of Directors' Meeting	Audit Committee	Nomination and Remuneration Committee	Good Corporate Governance Committee	Risk Management and Sustainable Development Committee ²	AGM ³	EGM ⁴
1. Gen. Charan Kullavanijaya	7/7	-	-	-	-	1/1	1/1
2. Maj. Gen. Patchara Rattakul	7/7	-	-	2/2	-	1/1	1/1
3. Mr. Prakit Pradipasen	7/7	4/4	-	-	-	1/1	1/1
4. Mr. Philipp Hugo Gutsche	6/7	-	3/3	-	-	0/1	0/1
5. Mr. Martin Jansen	6/7	-	-	-	-	0/1	0/1
6. Mrs. Pariya Chirabandhu	7/7	-	3/3	-	-	1/1	1/1
7. Mr. Yanyong Maethapanich	7/7	4/4	3/3	2/2	-	1/1	1/1
8. M.L. Dhisana Sritavaj	6/7	-	-	-	-	0/1	1/1
9. Mr.DumrongrugsApibalsawasdi	7/7	-	-	2/2	1/1	1/1	1/1
10. Mrs. Kerry-Ann Shipp	7/7	-	-	-	-	1/1	0/1
11. Mr. Pongsakorn Theingtham ¹	4/7	-	-	-	-	-	1/1
12. Pol. Gen. Jaruvat Vaisaya ¹	4/7	-	-	-	-	-	1/1
13. Mr. Swin Chatsuwan ¹	3/7	1/4	-	-	-	-	1/1
14. Mr. Pakorn Sukhum ¹	3/7	-	-	-	-	-	1/1
Mrs. Yupares Thiengtham ¹	3/7	-	1/3	-	-	0/1	-
Miss Smornluck Mahasmiti ¹	2/7	2/4	1/3	-	-	0/1	-

¹ Ms. Smornluk Mahasmiti resigned from the positions of the Company's director, effective on June 1, 2022. The board directors' meeting No. 3/2022 on Friday May 27, 2022 and the board of directors approved the appointment of Pol Gen. Jaruvat Vaisaya to be the Company's director to replace Ms. Smornluk Mahasmiti and to be equal to the remaining term of director of Ms. Smornluk Mahasmiti, effective on June 1, 2022.

Mrs. Yupares Thiengtham resigned from the positions of the Company's director, effective on June 1, 2022. The board directors' meeting No. 3/2022 on Friday May 27, 2022 and the board of directors approved the appointment of Mr. Pongsakorn Thiengtham to be the Company's director to replace Mrs. Yupares Thiengtham and to be equal to the remaining term of director of Mrs. Yupares Thiengtham, effective on June 1, 2022.

The Extraordinary General Meeting of Shareholders No.1/2022 on Tuesday July 26, 2022 appointed Mr. Swin Chatsuwan to be independent director and Mr. Pakorn Sukhum to be director.

² The Risk management and Sustainable Development Committee consist of 5 Directors: 1 Directors who is the Executive Directors and 4 Directors who are top Executives

³ The Annual General Meeting of Shareholders was held on April 26, 2022.

⁴ The Extraordinary General Meeting of Shareholders was held on July 26, 2022.

Director Remuneration

The Company's Board of Directors has assigned duty to the Nomination and Remuneration Committee to consider meeting the remuneration for the Directors and propose its opinion to the Board of Directors for consideration the remuneration in accordance with the company's operating results as well as their duties and responsibilities. The remuneration will be given at the appropriate level, comparable to those paid at the other companies in the same industry and attractive to motivate and maintain quality Directors, before proposing to the Shareholders' Meeting for approval.

The 2022 Annual General Meeting of Shareholders on April 26, 2022, resolved to approve the remuneration for the Board of Directors and sub-committees as follows:

1. Cash remunerations

1.1 Remunerations for the Board of Directors and the sub-committees

Board/Committees	Position	2022		2021	
		Remuneration (Baht/Person/ year)	Meeting allowance (baht/person/ meeting)	Remuneration (Baht/Person/ year)	Meeting allowance (baht/person/ meeting)
Board of Directors	Chairman	253,000	20,000	253,000	20,000
	Director	181,500	20,000	181,500	20,000
Audit Committee	Chairman	253,000	5,000	253,000	5,000
	Director	181,500	5,000	181,500	5,000
Nomination and Remuneration Committee	Chairman	40,000	5,000	40,000	5,000
	Director	20,000	5,000	20,000	5,000
Good Corporate Governance Committee	Chairman	40,000	5,000	40,000	5,000
	Director	20,000	5,000	20,000	5,000
Risk Management and Sustainable Development Committee	Chairman	40,000	5,000	40,000	5,000
	Director	20,000	5,000	20,000	5,000

2. Non-Cash remunerations: Directors' and Officers' Liability Insurance (D&O)

The details of remunerations to be received by each Director in 2022 are as follows:

Name-Surname Position	Remuneration (baht)					Meeting Allowance (baht)					Special Bonuses	Total Remuneration
	Board of Director	Audit Committee	Nomination and Remuneration Committee	Corporate Governance Committee	Risk Management and Sustainable Development Committee	Board of Director	Audit Committee	Nomination and Remuneration Committee	Corporate Governance Committee	Risk Management and Sustainable Development Committee		
1. Gen. Charan Kullavanijaya Independent Director/ Chairman	253,000	-	-	-	-	140,000	-	-	-	-	-	393,000
2. Maj. Gen. Patchara Rattakul Director / Chairman of the Corporate Governance Committee / Chief Executive Officer	181,500	-	-	40,000	-	140,000	-	-	10,000	-	-	371,500
3. Mr. Prakit Predipasen Independent Director/ Chairman of the Audit Committee	181,500	253,000	-	-	-	140,000	20,000	-	-	-	-	594,500
4. Mr. Yanyong Maethapanich Independent Director/ Member of the Audit Committee/ Member of the Nomination and Remuneration Committee/ Member of the Corporate Governance Committee	181,500	181,500	20,000	20,000	-	140,000	20,000	15,000	10,000	-	-	588,000
5. Mr. Philipp Hugo Gutsche Director/ Member of the Nomination and Remuneration Committee	181,500	-	20,000	-	-	120,000	-	15,000	-	-	-	336,500
6. Mr. Martin Jansen Independent Director	181,500	-	-	-	-	120,000	-	-	-	-	-	301,500
7. Mrs. Pariya Chirabandhu Director/ Member of the Nomination and Remuneration Committee	181,500	-	20,000	-	-	120,000	-	15,000	-	-	-	336,500
8. M.L. Dhisan Sritavaj Director	181,500	-	-	-	-	120,000	-	-	-	-	-	301,500
9. Mr. Dumrongrugs Apibalsawadi Director/ Member of the Corporate Governance Committee/ Member of the Risk Management and Sustainable Development Committee	181,500	-	-	20,000	20,000	140,000	-	-	10,000	5,000	-	376,500
10. Mrs. Kerry-Ann Ship Director	181,500	-	-	-	-	140,000	-	-	-	-	-	321,500
11. Mr. Pongsakorn Thiengham Director	105,875	-	-	-	-	80,000	-	-	-	-	-	185,875
12. Pol. Gen. Jaruvat Vaisaya Director	105,875	-	-	-	-	80,000	-	-	-	-	-	185,875
13. Mr. Swin Chatsuan Independent Director / Member of the Audit Committee	75,625	75,625	-	-	-	60,000	5,000	-	-	-	-	216,250
14. Mr. Pakorn Sukhum Director	75,625	-	-	-	-	60,000	-	-	-	-	-	135,625
Mrs. Yupares Thiengham Director/ Chairman of the Nomination and Remuneration Committee	181,500	-	40,000	-	-	60,000	-	5,000	-	-	-	286,500
Miss Smornluck Mahasmiti Independent Director/ Member of the Audit Committee/ Member of the Nomination and Remuneration Committee	181,500	181,500	20,000	-	-	40,000	10,000	5,000	-	-	-	438,000

Remark: Remuneration of new director follows the proportion of being in position in 2022. Mr. Pongsakorn Thiengham and Pol Gen Jaruvat Vaisaya was in directorship position for 7 months in 2022. Mr. Swin Chatsuan and Mr. Pakorn Sukhum was in directorship position for 5 months in 2022.

8.1.3 Corporate Governance of the Subsidiaries and the Associates

The Company has a policy of nominating delegates to hold office as Directors with authority to control the subsidiaries, follow and supervise the operation of the subsidiaries efficiently and effectively, in accordance with the strategies and policies of the Company. As for the associates, the Company shall supervise them in compliance with the mutually agreed strategies, as specified in the joint venture agreement.

8.1.4 Follow-ups in Compliance with Policies and Guidelines for Corporate Governance

Prevention of Conflicts of Interest

The Company has determination to operate business with honesty, moral, transparency and responsibility for its actions. Therefore, the Board of Directors has determined that any transactions done with major shareholders, directors, executives or persons related with them shall be considered by the Audit Committee, which takes care of each step of approving transactions and strictly complying with the rules and methods specified by the Stock exchange of Thailand (SET), the Securities and Exchange Commission (SEC), and Thailand Capital Market Supervisory Board, including transparently disclosing details, values, partners and reasons of transactions to the public immediately via electronic media of the SET through the SET Community Portal: www.setportal.set.or.th, and in the 56-1 One Report Form.

As for the Board of Directors' Meetings and Shareholders' Meetings, if any Director holds stakes at the agenda being considered, he/she shall promptly disclose the details of his/her stake-holding to the Board of Directors and refrain from casting his/her vote for resolution at the agenda.

In 2022, the Company performed normal business and normal business supporting business with its subsidiaries under general trade conditions and in compliance with the TransactionPerformingPrinciple, as specified in Article 89/12 (1) of the Securities and Exchange Act (No. 4) B.E. 2551. Approved in principle by the Board of Directors in 2008.

Supervision of Internal Information Use

All of the Company's shareholders shall be equally and fairly treated in accordance with their existing fundamental rights. Therefore, the Board of Directors has specified the supervision policies, which helps prevent the Directors, Executives and Employees who know the Company's important information from exploiting and disseminating any of the Company's unpublished internal information to the public, either for their own or others' benefits as follows.

1. Use of internal information shall be conducted within the frame of their duties and responsibilities as assigned only;
2. The Board of Directors, Executives or employees inclusive of their spouse and children under legal age equipped with the company's internal information are prohibited from utilize undisclosed information to general public for own and other benefits. This also is in compliance with the company's policy regarding trading of the company's securities especially during the Black out period that is at least 30 days before financial statements are disclosed to the general public and after 24 hours after such disclosure;
3. The Board of Directors, Executives or agencies having internal information shall not disclose any of the internal information to outsiders or unrelated persons; and
4. To control the Board of Directors and Executives to report changes in own shareholdings to the Securities and Exchange Commission in compliance with the Article No. 59 of the Securities and Exchange Act B.E. 2535

In 2022, no violation of the policy and rules of internal information use was found.

Anti-corruption

The Company operates business with related persons transparently and honestly, abides by related laws and standards and encourages its partners to comply with the anti-corruption policies. In 2022, the Company filed the self-assessment form (New Version), consisting of 71 items, in order to re-certify membership of the Thai Private Sector Collective Action Against Corruption (CAC), a project organized by the Thai Institute of Directors and supported by the government and the Office of the National Counter Corruption Commission (NACC), since 2013. The Company has been given the second certification by the CAC, which is valid for 3 years which will end in 2024, this certification reveals transparency of the working principles and creates confidence for investors and the Stock Exchange. The Company has also made a work improvement plan by preparing the CAC-Change Agent Project in collaboration with groups of partners in order to create the anti-corruption network in 2022.



Moreover the company emphasized staff to work transparently and refrain from neglecting or ignoring anti-corruptive actions. The Company gives priority to communication so that all levels of the Employees will be aware of the Executives' intention, which includes the following:

- Preparing the Handbook of Business Code of Conduct, both in Thai and English, and submitting the Handbook to the Executives and Employees, including communicating in the form of e-document via Intranet;
- Using the Employees' Code of Conduct as the main topic of the orientation for new employees and providing refreshers courses to the Employees every quarter; and
- Organizing campaigns and activities to promote corporate moral and ethics for children of employees
- Organizing bidding to select the selling promotion's media production vendors
- Organizing bidding for scrap material
- Organizing bidding for vehicles



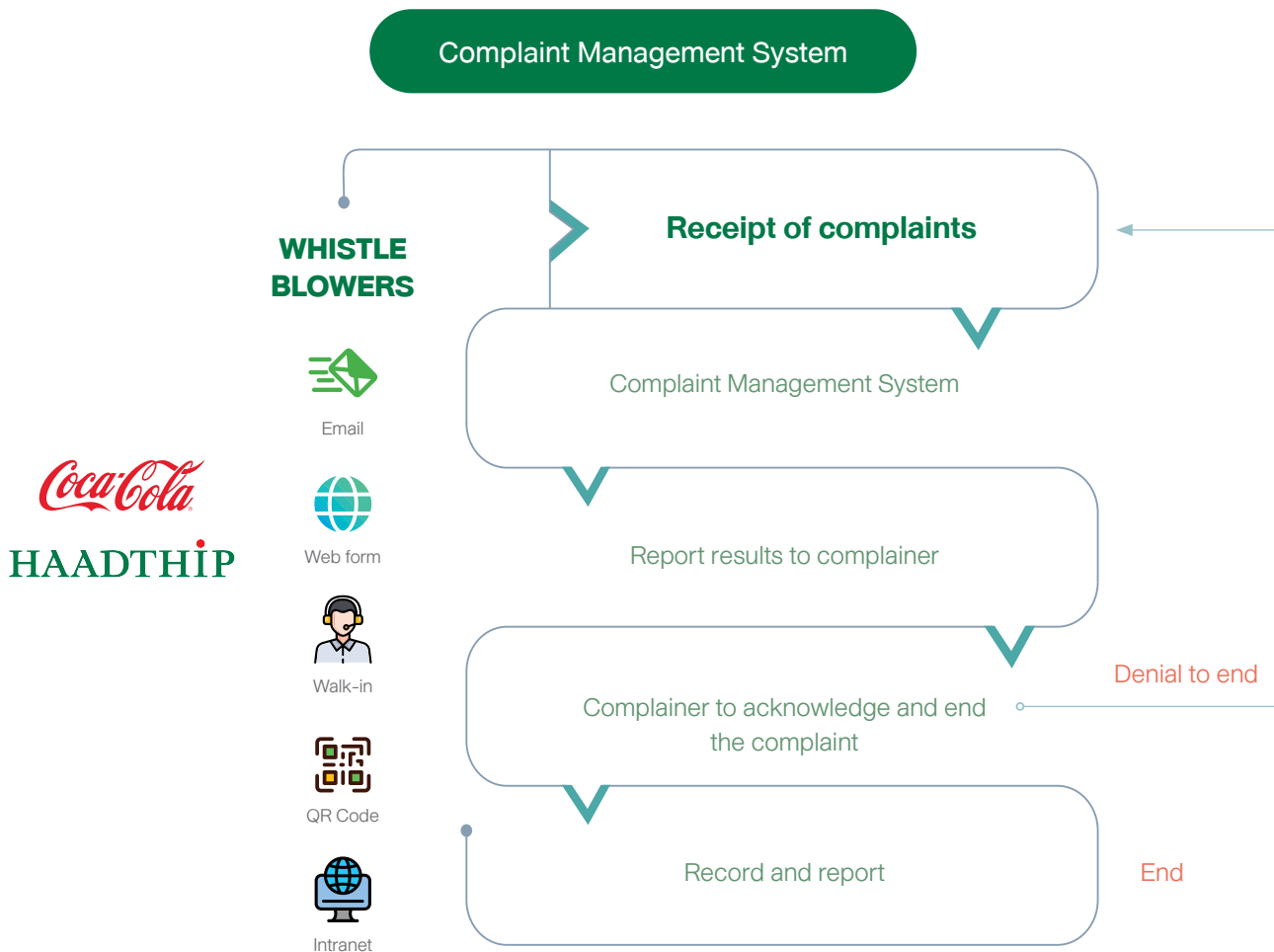
“

The No Gift Policy is always announced at every festival in order to create good standards for the personnel, aiming to enable all levels of the personnel to operate with their full efforts, without expecting anything in return.

”

Filing Complaints/Whistleblowing

The Company provides channels for filing complaints, opinions or suggestions, which reveal possible effects or risks on the stakeholders, causing the stakeholders damage from the Company's business operation, the Employees' operations related to illegal acts or ethics, including dishonest behavior, unfair treatment or careless and incautious acts via the following channels and processes;



The Employees or Stakeholders shall report clues, complaints, opinions or suggestions via the specified channels so that the Company will examine and record facts in written forms without disclosing the whistleblowers' details, including keeping the complaints secret, in order to protect possible effects. If facts are reported, the Investigation Committee will be established to summarize reports so that the Disciplinary Action Committee will judge the reports and identify disciplinary actions. Such operation is based on the Check and Balance Principle in order to create balance and fairness for all parties.

2022, the Company received 10 complaints through channels, and the Company corrected and improved all issues in complaints. The complainers were satisfied with problem solving. The complaints are follows:

1. Service improvement: 7 complaints
2. Other suggestions: 3 complaints

In 2022, there was no corruption (fraud) and ethic wrongdoing (penalty).

9. Internal Control and Related Party Transactions

9.1 Internal Control

The Board of Directors has considered and reviewed the Internal Control and Risk Management System, realizing that the system is a mechanism that creates confidence in the Management to reduce business-related risks, enabling the business to be operated efficiently and effectively, as specified by the Board of Directors.

1. Internal Control

The Board of Directors has assigned the Audit Committee to supervise the Internal Control System, the Risk Management System and the Corporate Governance System of the Company so that the systems will be furnished with appropriateness, efficiency, inspection mechanisms and balance. The Internal Audit Office is responsible for auditing operation of all the Company's agencies, including giving counsels on formulation of the internal control system for the Company's work systems and assessing efficiency and adequacy of the internal control system, the risk management system and the corporate governance system of all the Company's agencies, by applying the framework of the internal control system, according to the international standard of the Committee of Sponsoring Organizations of the Treadway Commission (COSO) and the framework of the Enterprise Risk Management and the supervision criteria of the SET and the IOD, so that the internal control, risk management and supervision will be more complete by directly reporting them to the Audit Committee. All the activities of the Internal Audit Office shall be given agreement and approval by the Audit Committee. The Management has implemented other technological systems, namely CQR, POD, MOS-IR, RTM Mobile, ROAD net and VHM to help management the internal control more effectively and increase more system of the internal control.

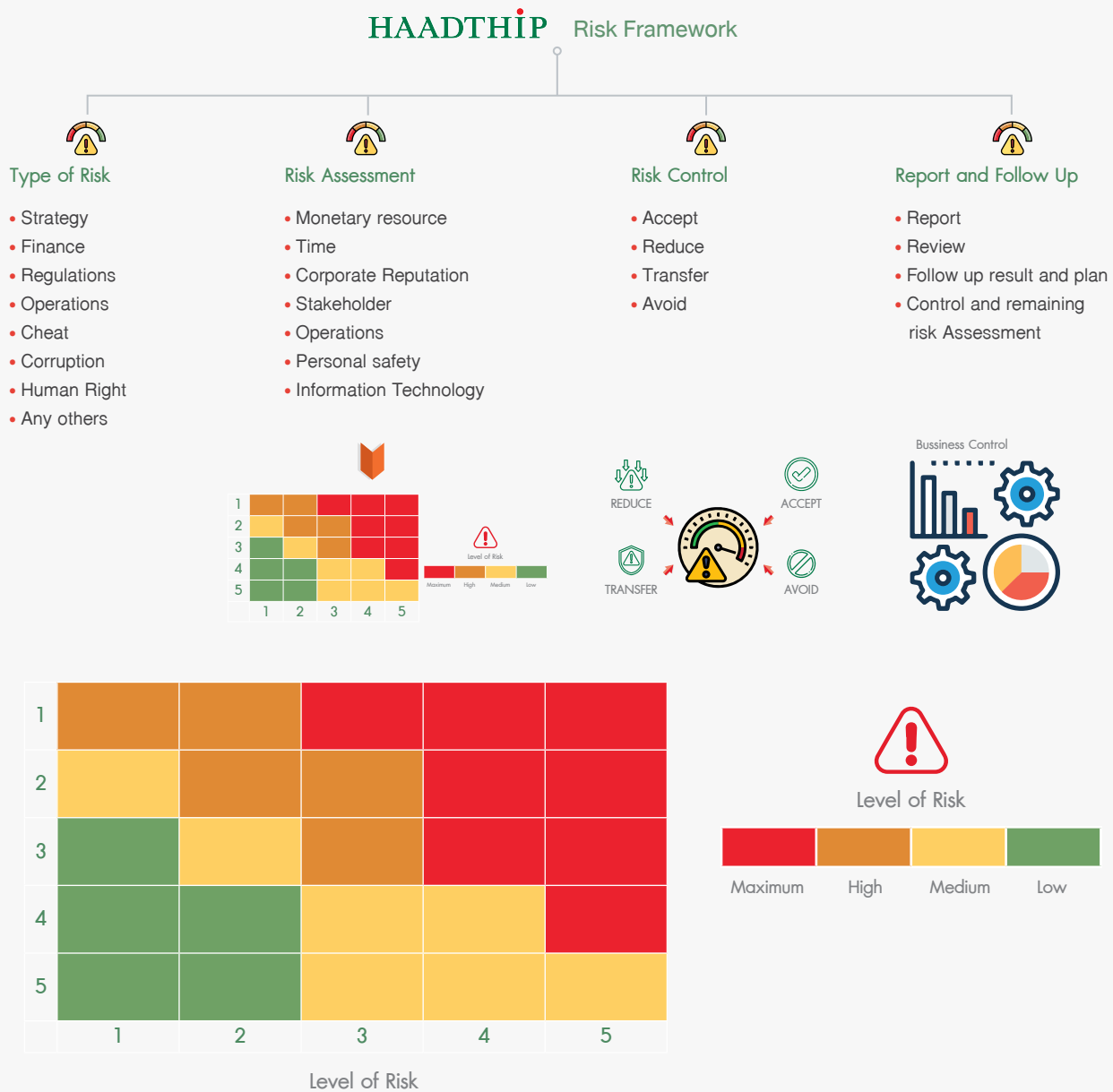
2. Risk Management

The Board of Directors has appointed the Risk Management and Sustainable Development Committee, consisting of the top Executives from different departments, and Mr. Jose Henrique Zeitune is the Chairman of the Committee.

Since January 1, 2023, the committee will be changed to Risk Management and Corporate Governance Committee.

The Risk Management and Sustainable Development Committee is responsible for supervising the Company's risk management in accordance with the goals at the level accepted by the organization and specifying the risk management policy, with which all the staff shall comply, by assessing and managing risks, caused by internal or external factors, which cover all sides of risks: strategies, operations, finance, compliance with rules and regulations, and corruptive risks, in order to seek for appropriate care measures.

The risk management shall be conducted within the following framework.



- Red (Inadequate)** ➤ unacceptable level of risk, requiring urgent management so that the risks will be at the acceptable level
- Yellow (Adequate)** ➤ quite acceptable level of risk, requiring control to prevent risks from moving to the unacceptable level
- Green (Strong)** ➤ acceptable level of risk, requiring no risk control and management

To create efficiency in the Company's risk management, follow the process in accordance with the Good Corporate Governance Standard, and promote corporate culture, efficiently focusing on integrated development and ensuring the Stakeholders that risk management is part of normal operation of all the agencies, the Company has specified that risk assessment at agency level should be conducted twice a year, important risk-related covering aspects. Moreover, a risk reduction plan shall be continually prepared, the report shall be presented to the Risk Management and Sustainable Development Committee, and the results of risk assessment of all the agencies shall be mutually considered at the Management Review Meeting, organized by the Company twice a year. The Risk Management and Sustainable Development Committee shall regularly collaborate with the Audit Committee every 6 months, in order to exchange knowledge and information about risks and internal control affecting or possibly affecting the Company.

3. Operational Control

The Company has clearly determined operational measures and guidelines by specifying them in the forms of commands, operational rules, approval authority and operational methods, so that all levels of the Executives and Employees shall operate in the same direction, including establishing the Internal Audit Office responsible for regularly calibrating operating results in accordance with the commands, operational rules, approval authority and operational methods, in order to ensure adequacy and appropriateness of the internal control system and efficiency in operation, including use of the SAP system to increase speed and efficiency in operation.

Moreover, the Audit Committee shall regularly consider reports of internal audit results, in order to keep informed of significant aspects and problems found on audit, by giving suggestions to the Management so that it will correct the problems and prevent them from reoccurring.

4. Information Technology and Communication System

The Company provides a storage system for data and information useful and adequate for the Company's business, including improving its information technology system in order to enhance efficiency in its operational system. The Company has adopted the Enterprise Resources Planning (ERP) Software by SAP ECC 6.0 since June 2011. In 2017, the Company considered an investment in organizing HaadThip Improvement Project (HIP), aiming to enhance efficiency in the SAP software system, promote operation business under changes in work process and increases in new modules, in order to cover more operations. The Project was kicked off on May 15, 2017. After the Project was completed as planned, the Company has developed and improved efficiency in the SAP Software, in order to create the good internal control system and continually support changes in the Company's operation.

Moreover, in 2022, the Company's information technology system was audited by an external auditors (KPMG), and it has not been notified by the Auditor of any flaws or errors deemed material.

5. Monitoring System

The Board of Directors has provided an assessment system, regularly monitored the comprehensive internal control system and assigned the Audit Committee to monitor and calibrate the internal control system via the Internal Audit Office, perform operational audits and assess operations, according to the international standard, in order to ensure that the problems found at audit or calibration shall be appropriately and promptly improved and corrected. As for the evaluation of internal control on the accounting and finance side of the Company, the Auditor shall be responsible to perform the audit activities on the part and present the results for consideration by the Audit Committee on a quarterly and yearly basis.

The outcomes from the review by the certified Auditor and Internal Audit Office had shown no issues deemed defective, in all material aspects.

6. Internal Audit

The Audit Committee shall supervise the Internal Audit Office creating confidence, independently and fairly giving counsels on auditing and assessing adequacy of the internal control system, including monitoring improvement results, correcting the operational process appropriately to cover the Company's operational process and reporting them directly to the Internal Audit. The Charter of the Internal Audit Office and the Code of Conduct for Internal Auditors are clearly used as the operational guideline.

9.2 Related Party Transactions

Related party transactions refer to transactions between listed companies or subsidiaries with related persons, such as the Executives, Major Shareholders or Controlling Persons inclusive of a company wherein the connected person is a major shareholder or person with controlling interest.

The Company realizes that doing transactions with related parties may cause conflicts of interest. Therefore, to create transparency and fairness for all the Shareholders equally, the Company abides by the following principles:

1. A connected transaction must go through an approval process deemed transparent, and stakeholders or persons with possible conflict of interest in the connected transaction shall refrain from participating in the decision - making process
2. Consideration to enter into a connected transaction must be based on the best interest of the Company as the top priority
3. Careful consideration by the Audit Committee must be carried out before proposing to the Board of Directors and/or Shareholders' Meeting for approval of such a transaction
4. If any transaction done with related parties is a trade agreement in the same manner as the one done with general contract parties by reasonable persons in the same situations, with bargaining power not influenced by being Directors, Executives and related persons, depending on each case or normal transactions or normal business promoting transactions, under normal trade conditions. The Company shall present the agreement to the Board of Directors for approval or approval in principle before the transaction is done, in accordance with Article 89/12 (1) of the Securities and Exchange Act (no. 4) B.E. 2551
5. Related party transactions shall be disclosed in compliance with the criteria and methods, as specified by the SEC; and
6. There must be reliable follow-up and verification systems to ensure that the connected transactions are adhered to the correct procedure

In the year 2022, the Company had entered into the following Related Parties Transactions with related parties of HaadThip Public Company Limited as follows:

Related persons and details	Description of Transaction	Transaction Value	Opinion of the Audit Committee
Castle Partners Company - Mr. Pongsakorn Thiengtham (Director of HaadThip Public Company Limited) is a director and a shareholder, holding 90%. - Mr. Pakorn Sukhum (Director of HaadThip Public Company Limited) is a director and a shareholder, holding 10%.	The related party transaction is business consultant service for business management and other delegated business works.	Monthly fee for 350,000 Baht/Month for 1-year contract (1 st December 2022 to 30 th November 2023) which is total of 4,200,000 Baht. The fee is market rate and close to other companies providing similar business consulting services.	The transaction is reasonable and benefit to the Company.
Vaisaya Consulting Company Pol. Gen. Jaruvat Vaisaya (Director of HaadThip Public Company Limited) is a director and a shareholder, holding 99.8%.	The related party transaction is business consultant service related law and regulations to support the business for practice precision in accordance with laws and any regulations for HaadThip Public Company Limited and its subsidiaries.	Monthly fee for 150,000 Baht/Month for whole 1-year contract (1 st December 2022 to 30 th November 2023) which is total of 1,800,000 Baht. Consulting fee is market rate and close to other companies providing similar business consulting services.	The transaction is reasonable and benefit to the Company.

In the year 2022, the Company had entered into the following Related Parties Transactions with its subsidiaries as follows:

Proportion of Shareholding

Subsidiary	Proportion of Ownership (%)	Paid-up Capital (Baht million)
Direct Subsidiary		
Southern Rocks Co., Ltd. (STR)	99.99	97.00
HaadThip Food and Beverages Co., Ltd. (HTF&B)	99.99	30.00
HaadThip Commercial Co., Ltd. (HTCOM)	99.99	16.00
HaadThip Development Co., Ltd. (HTD)	99.99	81.00
Indirect subsidiary		
KinDeeYuDee 2020 Co., Ltd. (KDYYD)	71.00	30.00

Important Related Parties Transactions with subsidiaries as followings

Unit: Million Baht

Transaction	STR	HTFB	KDYYD	HTCOM	HTD	Total	Pricing Policy
Sale of products	-	0.01	0.08	0.01	0.05	0.15	Market prices
Purchasing of products	-	0.03	0.05	1.29	-	1.37	Market prices
Container purchase	673.67	-	-	-	-	673.67	Cost plus additional profit
Service fees of blowing beverage containers	36.90	-	-	-	-	36.90	As per mutual agreement
Space Utilization service fee	0.24	0.14	0.04	0.18	0.05	0.65	As per mutual agreement
Land lease income	0.21	-	-	-	-	0.21	As per mutual agreement
Management and administration fee	-	3.99	-	10.08	2.33	16.40	As per mutual agreement
Space rental fee for billboard advertisement	-	-	0.20	-	-	0.20	Market prices
Dividends income	184.29	-	-	-	-	184.29	As per dividend payment announcement
Other incomes	-	0.04	0.03	6.40	0.02	6.48	As per mutual agreement

Future Related Party Transactions

Related transactions of the Company in the future shall be transactions of normal business operation without transferring any interest between the Company and related companies or persons. The company shall adhere to and strictly follow the regulations of the Stock Exchange of Thailand (SET) and the Securities and Exchange Commission, Thailand (SEC) as well as relevant laws, considering the reasonability and appropriateness of the conditions and market price which can be referred to in order to ensure that the shareholders and every stakeholder receive fair and equitable benefits according to the Company's good governance.

Part **3** | Financial Statements



Independent Auditor's Report

To the Shareholders of Haad Thip Public Company Limited

Opinion

I have audited the consolidated and separate financial statements of Haad Thip Public Company Limited and its subsidiaries (the “Group”) and of Haad Thip Public Company Limited (the “Company”), respectively, which comprise the consolidated and separate statements of financial position as at 31 December 2022, the consolidated and separate statements of comprehensive income, changes in equity and cash flows for the year then ended, and notes, comprising a summary of significant accounting policies and other explanatory information.

In my opinion, the accompanying consolidated and separate financial statements present fairly, in all material respects, the financial position of the Group and the Company, respectively, as at 31 December 2022 and their financial performance and cash flows for the year then ended in accordance with Thai Financial Reporting Standards (TFRSs).

Basis for Opinion

I conducted my audit in accordance with Thai Standards on Auditing (TSAs). My responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements* section of my report. I am independent of the Group and the Company in accordance with the *Code of Ethics for Professional Accountants including Independence Standards* issued by the Federation of Accounting Professions (Code of Ethics for Professional Accountants) that is relevant to my audit of the consolidated and separate financial statements, and I have fulfilled my other ethical responsibilities in accordance with the Code of Ethics for Professional Accountants. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.

Key Audit Matters

Key audit matters are those matters that, in my professional judgment, were of most significance in my audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of my audit of the consolidated and separate financial statements as a whole, and in forming my opinion thereon, and I do not provide a separate opinion on these matters.

Completeness of accrued sales promotion and marketing expenses	
Refer to Note 14 to the financial statements	
The key audit matter	How the matter was addressed in the audit
In a highly competitive market, the Group has to incur more expenditures in relation to sales promotional and marketing activities with various campaigns to help the Group maintain their market shares. Sales are realised through modern trades with different types of sales incentives such as discounts, rebates, marketing support and sales promotion. Due to the variety of contractual terms, the estimate of the expenditure on incentives is complex in nature and highly uncertain depending upon market conditions. As a result, the completeness on estimate of accrued discounts, rebates, sales promotion and marketing support is an area of focus for my audit.	My principal audit procedures to address this matter included: - Understanding the process of sales and estimation relating to the accrual of sales promotion and marketing expenses and testing both key manual controls and systems-based controls of such processes with the assistance of KPMG's information technology specialists. This included, but was not limited to, accessing and maintaining credit limit approval and accrual rates of sales discounts, rebates, promotions and marketing campaigns. - Sampling the agreements with modern trades and comparing the data of sales discounts, rebates and incentives programs which were specified in those agreements to the data inputs in the system. - Analysing relationships and movements year on year of sales and related movements of discounts, rebates, promotional and marketing programs. - Considering the reasonableness of the accrual calculation on a sample basis, by corroboration of samples of inputs and inspection of underlying contractual terms with modern trades, and considering the historical accuracy of the accrual with actual expenditures incurred. Also performing test of subsequent expenditures incurred with amounts invoiced and payment documents on a sample basis. - Considering whether the amounts have been recognised in the proper period through sampling tests of credit notes and invoices received during the period and post period. - Sampling the sales promotion activities from promotion grid during the end of period and considering whether the sales promotion and marketing expenses have been recognised in the proper period. - Evaluating the adequacy of the Group's disclosure in accordance with Thai Financial Reporting Standards.

Other Information

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the consolidated and separate financial statements and my auditor's report thereon. The annual report is expected to be made available to me after the date of this auditor's report.

My opinion on the consolidated and separate financial statements does not cover the other information and I will not express any form of assurance conclusion thereon.

In connection with my audit of the consolidated and separate financial statements, my responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

When I read the annual report, if I conclude that there is a material misstatement therein, I am required to communicate the matter to those charged with governance and request that the correction be made.

Responsibilities of Management and Those Charged with Governance for the Consolidated and Separate Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated and separate financial statements in accordance with TFRSs, and for such internal control as management determines is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, management is responsible for assessing the Group's and the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group and the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's and the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements

My objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with TSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with TSAs, I exercise professional judgment and maintain professional skepticism throughout the audit. I also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's and the Company's ability to continue as a going concern. If I conclude that a material uncertainty exists, I am required to draw attention in my auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify my opinion. My conclusions are based on the audit evidence obtained up to the date of my auditor's report. However, future events or conditions may cause the Group and the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. I am responsible for the direction, supervision and performance of the group audit. I remain solely responsible for my audit opinion.

I communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.

I also provide those charged with governance with a statement that I have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on my independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, I determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. I describe these matters in my auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, I determine that a matter should not be communicated in my report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.



(Krittika Kongkerd)
Certified Public Accountant
Registration No. 10634

KPMG Phoomchai Audit Ltd.
Bangkok
24 February 2023

Statement of finance position

HaadThip Public Company Limited and its Subsidiaries

Assets	Note	Consolidated financial statements		Separate financial statements	
		31 December		31 December	
		2022	2021	2022	2021
		(in Baht)			
Current assets					
Cash and cash equivalents	5	163,354,582	217,231,967	139,055,804	179,461,301
Trade accounts receivable	6	588,027,323	477,947,422	579,855,006	459,242,143
Other receivables		63,805,743	119,316,942	60,047,773	114,128,439
Short-term loans to related parties	4	-	-	-	-
Inventories	7	331,351,782	334,475,310	277,472,329	266,099,806
Real estate development for sale	8	72,075,233	18,510,531	-	-
Current tax assets		-	2,965,840	-	2,965,840
Other current financial assets	23	23,726,760	28,178,686	990,247	1,621,391
Non-current assets					
classified as held for sale		10,152,952	8,709,894	5,095,894	8,709,894
Other current assets		11,787,126	16,761,957	10,093,579	14,324,168
Total current assets		1,264,281,501	1,224,098,549	1,072,610,632	1,046,552,982
Non-current assets					
Other non-current financial assets	23	5,122,767	13,867,067	5,122,767	13,867,067
Investment in subsidiaries	9	-	-	177,992,800	223,992,000
Investment properties	10	213,852,701	205,750,581	193,060,795	193,060,795
Property, plant and equipment	11	4,117,850,574	3,694,421,639	3,907,736,018	3,466,242,595
Right-of-use assets	12	249,307,554	211,743,937	228,455,623	198,229,215
Intangible assets		39,711,137	54,323,211	37,665,408	45,263,819
Deferred tax assets	20	440,175	466,814	-	-
Other non-current assets	16	24,656,462	23,259,348	20,979,313	19,283,025
Total non-current assets		4,650,941,370	4,203,832,597	4,571,012,724	4,159,938,516
Total assets		5,915,222,871	5,427,931,146	5,643,623,356	5,206,491,498

The accompanying notes form an integral part of the financial statements.

Statement of finance position

HaadThip Public Company Limited and its Subsidiaries

		Consolidated financial statements		Separate financial statements	
		31 December		31 December	
Liabilities and equity	Note	2022	2021	2022	2021
<i>(in Baht)</i>					
Current liabilities					
Short-term loans from financial institutions	13, 23	227,000,000	62,000,000	130,000,000	-
Trade accounts payable		349,574,352	305,133,682	415,094,201	366,396,463
Other payables	14	479,954,653	366,093,376	469,180,351	358,741,144
Current portion of long-term loans	13, 23	13,800,000	83,640,000	-	69,840,000
Current portion of lease liabilities	13, 23	79,784,487	74,155,845	74,068,322	68,997,731
Current income tax payable		50,646,422	52,591,130	44,915,525	45,782,278
Other financial liabilities		2,193,009	-	2,193,009	-
Total current liabilities		1,202,952,923	943,614,033	1,135,451,408	909,757,616
Non-current liabilities					
Long-term loans	13, 23	146,447,540	83,440,000	75,000,000	50,940,000
Lease liabilities	13, 23	169,287,269	138,499,958	154,116,626	130,126,157
Customers' deposits on bottles and cases		16,362,978	14,587,703	16,362,978	14,587,703
Deferred tax liabilities	20	317,658,944	319,885,974	310,704,196	326,731,066
Non-current provisions for employee benefits	15	295,502,814	301,386,191	293,416,779	299,782,879
Other non-current provisions	16	13,595,598	12,614,631	13,595,598	12,614,631
Other non-current liabilities		-	-	1,006,422	390,504
Total non-current liabilities		958,855,143	870,414,457	864,202,599	835,172,940
Total liabilities		2,161,808,066	1,814,028,490	1,999,654,007	1,744,930,556

The accompanying notes form an integral part of the financial statements.

Statement of finance position

HaadThip Public Company Limited and its Subsidiaries

		Consolidated financial statements		Separate financial statements	
		31 December		31 December	
Liabilities and equity	Note	2022	2021	2022	2021
(in Baht)					
Equity					
Share capital					
Authorised share capital					
(201,210,180 ordinary shares, par value at					
Baht 1 per share)		201,210,180	201,210,180	201,210,180	201,210,180
Issued and paid-up share capital					
(200,960,500 ordinary shares, par value at					
Baht 1 per share)		200,960,500	200,960,500	200,960,500	200,960,500
Share premium					
Share premium on ordinary shares		392,838,100	392,838,100	392,838,100	392,838,100
Retained earnings					
Appropriated					
Legal reserve	17	25,000,000	25,000,000	25,000,000	25,000,000
General reserve	17	35,000,000	35,000,000	35,000,000	35,000,000
Unappropriated		1,489,293,260	1,339,316,322	1,390,511,907	1,201,734,858
Other components of equity		1,609,190,081	1,615,558,723	1,599,658,842	1,606,027,484
Equity attributable to owners of					
the parent		3,752,281,941	3,608,673,645	3,643,969,349	3,461,560,942
Non-controlling interests		1,132,864	5,229,011	-	-
Total equity		3,753,414,805	3,613,902,656	3,643,969,349	3,461,560,942
Total liabilities and equity		5,915,222,871	5,427,931,146	5,643,623,356	5,206,491,498

The accompanying notes form an integral part of the financial statements.

Statement of finance position

HaadThip Public Company Limited and its Subsidiaries

		Consolidated		Separate	
		financial statements		financial statements	
		Year ended 31 December		Year ended 31 December	
	Note	2022	2021	2022	2021
		(in Baht)			
Revenue					
Revenue from sale of goods	18	7,048,337,782	6,517,953,914	6,873,671,877	6,358,184,170
Dividend income	4, 9	61,930	71,240	184,349,010	140,711,380
Gain on sale of investment property	10	-	-	-	32,563,808
Net foreign exchange gain		-	197,136	384,805	910,750
Other income		44,136,981	26,329,824	63,348,768	47,801,635
Total revenue		7,092,536,693	6,544,552,114	7,121,754,460	6,580,171,743
Expenses					
Cost of sales of goods	7, 19	4,228,587,894	3,893,319,209	4,264,853,084	3,941,370,177
Distribution costs	19	1,449,353,240	1,279,011,695	1,417,256,269	1,259,757,768
Administrative expenses	19	878,865,927	731,671,046	824,643,828	709,880,629
Impairment losses	9	-	-	45,999,200	-
Net foreign exchange loss		132,628	-	-	-
Total expenses		6,556,939,689	5,904,001,950	6,552,752,381	5,911,008,574
Profit from operating activities		535,597,004	640,550,164	569,002,079	669,163,169
Finance costs		(9,397,903)	(12,926,745)	(6,961,143)	(10,462,760)
Reversal of impairment loss					
(impairment loss) determined in accordance with TFRS 9	4,6	(186,496)	1,112,560	(23,037,892)	1,112,560
Profit before income tax expense		526,012,605	628,735,979	539,003,044	659,812,969
Tax expense	20	(95,031,352)	(95,414,108)	(64,295,652)	(91,143,436)
Profit for the year		430,981,253	533,321,871	474,707,392	568,669,533

The accompanying notes form an integral part of the financial statements.

Statement of finance position

HaadThip Public Company Limited and its Subsidiaries

		Consolidated financial statements		Separate financial statements	
		Year ended 31 December		Year ended 31 December	
	Note	2022	2021	2022	2021
		(in Baht)			
Other comprehensive income					
<i>Items that will not be reclassified to profit or loss</i>					
Gain (loss) on investments in equity instruments designated at FVOCI		(7,960,802)	102,625	(7,960,802)	102,625
Gain on remeasurements of defined benefit plans	15	22,909,249	18,075,064	21,855,749	17,977,781
Income tax relating to items that will not be reclassified	20	(2,989,689)	(3,635,538)	(2,778,990)	(3,616,081)
Total items that will not be reclassified to profit or loss		11,958,758	14,542,151	11,115,957	14,464,325
Other comprehensive income for the year, net of tax		11,958,758	14,542,151	11,115,957	14,464,325
Total comprehensive income for the year		442,940,011	547,864,022	485,823,349	583,133,858
Profit (loss) attributable to:					
Owners of the parent		435,064,480	535,390,872	474,707,392	568,669,533
Non-controlling interests		(4,083,227)	(2,069,001)	-	-
		430,981,253	533,321,871	474,707,392	568,669,533
Total comprehensive income (expense) attributable to:					
Owners of parent		447,023,238	549,933,023	485,823,349	583,133,858
Non-controlling interests		(4,083,227)	(2,069,001)	-	-
		442,940,011	547,864,022	485,823,349	583,133,858
Basic earnings per share	21	2.16	2.66	2.36	2.83

The accompanying notes form an integral part of the financial statements.

Statement of changes in equity

HaadThip Public Company Limited and its Subsidiaries

Consolidated financial statements												
		Retained earnings			Other components of equity							
		Issued and paid-up share capital	Share premium on ordinary shares	Legal reserve	General reserve	Unappropriated	Fair value reserve <i>(in Baht)</i>	Revaluation reserve	Total other components of equity	Equity attributable to owners of the parent	Non-controlling interests	Total equity
Year ended 31 December 2021												
		200,960,500	392,838,100	25,000,000	35,000,000	1,181,306,792	(561,380)	1,616,038,003	1,615,476,623	3,450,582,015	3,392,871	3,453,974,886
Transactions with owners, recorded directly in equity												
<i>Distributions to owners</i>												
22	Dividends to owners of the Company	-	-	-	-	(391,841,393)	-	-	-	(391,841,393)	-	(391,841,393)
	Dividends of subsidiary to non-controlling interests	-	-	-	-	-	-	-	-	-	(9,859)	(9,859)
	<i>Total distributions to owners</i>	-	-	-	-	(391,841,393)	-	-	-	(391,841,393)	(9,859)	(391,851,252)
<i>Change in ownership interests in subsidiaries</i>												
	Acquisition of non-controlling interests without a change in control	-	-	-	-	-	-	-	-	-	3,915,000	3,915,000
	<i>Total change in ownership interests in subsidiaries</i>	-	-	-	-	-	-	-	-	-	3,915,000	3,915,000
	<i>Total transactions with owners, recorded directly in equity</i>	-	-	-	-	(391,841,393)	-	-	-	(391,841,393)	3,905,141	(387,936,252)
Comprehensive income (expense) for the year												
	Profit (loss)	-	-	-	-	535,390,872	-	-	-	535,390,872	(2,069,001)	533,321,871
	Other comprehensive income	-	-	-	-	14,460,051	82,100	-	82,100	14,542,151	-	14,542,151
	<i>Total comprehensive income (expense) for the year</i>	-	-	-	-	549,850,923	82,100	-	82,100	549,933,023	(2,069,001)	547,864,022
	Balance at 31 December 2021	200,960,500	392,838,100	25,000,000	35,000,000	1,339,316,322	(479,280)	1,616,038,003	1,615,558,723	3,608,673,645	5,229,011	3,613,902,656

The accompanying notes form an integral part of the financial statements.

Statement of changes in equity (Continue)

HaadThip Public Company Limited and its Subsidiaries

	Note	Retained earnings			Other components of equity			Equity attributable to owners of the parent	Non-controlling interests	Total equity
		Issued and paid-up share capital	Share premium on ordinary shares	Legal reserve	General reserve	Unappropriated	Fair value reserve <i>(in Baht)</i>			
Year ended 31 December 2022										
Balance at 1 January 2022										
		200,960,500	392,838,100	25,000,000	35,000,000	1,339,316,322	(479,280)	1,616,038,003	1,615,558,723	3,608,673,645
Transactions with owners, recorded directly in equity										
Distributions to owners										
	22	-	-	-	-	(303,414,942)	-	-	-	(303,414,942)
Dividends to owners of the Company										
		-	-	-	-	-	-	-	-	(12,920)
Dividends of subsidiary to non-controlling interests										
		-	-	-	-	(303,414,942)	-	-	-	(303,427,862)
Total distributions to owners										
		-	-	-	-	-	-	-	-	(12,920)
Total transactions with owners, recorded directly in equity										
		-	-	-	-	(303,414,942)	-	-	-	(303,427,862)
Comprehensive income(expense) for the year										
						435,064,480		-	-	(4,083,227)
Profit (loss)										
						18,327,400	(6,368,642)	-	(6,368,642)	11,958,758
Other comprehensive income (expense)										
		-	-	-	-	453,391,880	(6,368,642)	-	(6,368,642)	(4,083,227)
Total comprehensive income (expense) for the year										
		-	-	-	-	-	-	-	-	442,940,011
Balance at 31 December 2022										
		200,960,500	392,838,100	25,000,000	35,000,000	1,489,293,260	(6,847,922)	1,616,038,003	1,609,190,081	3,752,281,941
										1,132,864
										3,753,414,805

The accompanying notes form an integral part of the financial statements.

Statement of changes in equity (Continue)

HaadThip Public Company Limited and its Subsidiaries

Separate financial statements									
		Retained earnings			Other components of equity				
		Issued and paid-up share capital	Share premium on ordinary shares	Legal reserve	General reserve	Unappropriated reserve (in Baht)	Fair value reserve	Revaluation reserve	Total other components of equity

The accompanying notes form an integral part of the financial statements.

Statement of changes in equity (Continue)

HaadThip Public Company Limited and its Subsidiaries

Separate financial statements								
	Retained earnings				Other components of equity			
	Issued and paid-up share capital	Share premium on ordinary shares	Legal reserve	General reserve	Unappropriated reserve	Fair value reserve	Revaluation reserve	Total other components of equity
<i>Note</i>					<i>(in Baht)</i>			
Year ended 31 December 2022								
Balance at 1 January 2022	200,960,500	392,838,100	25,000,000	35,000,000	1,201,734,858	(479,280)	1,606,506,764	1,606,027,484
Transactions with owners, recorded directly in equity								
<i>Distributions to owners</i>								
Dividends to owners of the Company	-	-	-	-	(303,414,942)	-	-	-
<i>Total distributions to owners</i>	-	-	-	-	(303,414,942)	-	-	-
Total transactions with owners, recorded directly in equity	-	-	-	-	(303,414,942)	-	-	-
Comprehensive income(expense) for the year								
Profit	-	-	-	-	474,707,392	-	-	-
Other comprehensive income (expense)	-	-	-	-	17,484,599	(6,368,642)	-	(6,368,642)
<i>Total comprehensive income (expense) for the year</i>	-	-	-	-	492,191,991	(6,368,642)	-	(6,368,642)
Balance at 31 December 2022	200,960,500	392,838,100	25,000,000	35,000,000	1,390,511,907	(6,847,922)	1,606,506,764	1,599,658,842

The accompanying notes form an integral part of the financial statements.

Statement of finance position

HaadThip Public Company Limited and its Subsidiaries

	Consolidated financial statements		Separate financial statements	
	Year ended 31 December		Year ended 31 December	
	2022	2021	2022	2021
	(in Baht)			
<i>Cash flows from operating activities</i>				
Profit for the year	430,981,253	533,321,871	474,707,392	568,669,533
<i>Adjustments to reconcile profit to cash receipts (payments)</i>				
Tax expense	95,031,352	95,414,108	64,295,652	91,143,436
Finance costs	9,397,903	12,926,745	6,961,143	10,462,760
Depreciation	311,015,994	309,048,640	263,936,418	268,844,027
Amortisation	23,479,278	19,075,608	21,350,027	17,751,679
Expected credit loss	186,496	721,315	23,037,892	721,315
Impairment loss on assets	18,311,003	-	-	-
Impairment loss on investment in subsidiaries	-	-	45,999,200	-
Other non-current provisions	980,967	12,614,631	980,967	12,614,631
Unrealised (gain) loss on foreign exchange	414,904	427,564	(102,529)	(286,050)
Loss on inventories devaluation	4,665,488	4,959,543	2,974,059	4,959,543
(Gain) loss on disposal of property, plant and equipment	(4,292,059)	880,390	(4,292,059)	880,390
Loss on written-off of property, plant and equipment	8,022,639	171,891	8,004,178	170,713
Loss on written-off of right-of-use assets	-	154,575	-	154,575
Loss on written-off of assets	3,834,958	-	614,000	-
Gain on sale of investment property	-	-	-	(32,563,808)
Gain on sale of investment units	(265,926)	(455,792)	(114,834)	(337,655)
(Gain) loss on fair value adjustment	1,910,861	780,800	1,938,987	773,120
Provision for employee benefits	29,457,066	26,665,879	28,424,713	26,107,120
Dividend income	(61,930)	(71,240)	(184,349,010)	(140,711,380)
Interest income	(445,321)	(416,157)	(521,756)	(458,175)
	932,624,926	1,016,220,371	753,844,440	828,895,774
<i>Changes in operating assets and liabilities</i>				
Trade accounts receivable	(110,266,397)	(15,551,443)	(120,650,755)	(14,976,432)
Other receivables	52,770,241	(23,730,355)	54,080,666	(13,867,975)
Inventories	(1,541,960)	(31,207,940)	(14,346,582)	(5,520,452)
Real estate development for sale	(51,983,053)	(4,224,827)	-	-
Non-current assets classified as held for sale	3,000,000	-	3,000,000	-
Other current assets	4,822,704	(171,529)	4,230,589	697,909
Other non-current assets	(1,877,114)	(13,480,524)	(1,696,288)	(12,104,138)
Trade accounts payable	45,348,403	92,556,391	49,605,471	105,867,285
Other payables	89,681,227	(161,124,123)	86,596,817	(160,080,798)
Customers' deposits on bottles and cases	1,775,275	(2,047,620)	1,775,275	(2,047,620)
Other non-current liabilities	-	-	(1,032,422)	-
Provision for employee benefits paid	(12,431,194)	(11,927,615)	(11,286,724)	(11,927,615)
Net cash generated from operating	951,923,058	845,310,786	804,120,487	714,935,938
Taxes paid	(99,200,301)	(90,186,267)	(81,002,425)	(85,746,416)
Net cash provided by operating activities	852,722,757	755,124,519	723,118,062	629,189,522

The accompanying notes form an integral part of the financial statements.

Statement of finance position

HaadThip Public Company Limited and its Subsidiaries

	Consolidated financial statements		Separate financial statements	
	Year ended 31 December		Year ended 31 December	
	2022	2021	2022	2021
	(in Baht)			
<i>Cash flows from investing activities</i>				
Acquisition of other equity securities	-	(10,600,000)	-	(10,600,000)
Proceeds from sale of investment property	-	-	-	46,849,512
Acquisition of investment properties	(8,102,120)	(13,648,350)	-	-
Proceeds from sale of property, plant and equipment	4,298,486	447,914	4,298,486	447,914
Acquisition of property, plant and equipment	(647,798,029)	(218,229,946)	(609,125,412)	(204,835,276)
Acquisition of intangible assets	(19,696,123)	(21,189,329)	(17,064,616)	(15,722,141)
Proceeds from sale of debts securities	781,000,000	1,131,000,000	631,000,000	(1,000,000,000)
Acquisition of debts securities	(776,000,000)	(1,144,000,000)	(630,000,000)	1,000,000,000
Loans to related parties	-	-	(23,000,000)	(13,000,000)
Proceeds from repayment of loans to related parties	-	-	-	20,000,000
Dividends received	61,930	71,240	184,349,010	140,711,380
Interest received	445,321	416,157	521,756	458,175
Net cash from (used in) investing activities	(665,790,535)	(275,732,314)	(459,020,776)	(35,690,436)
<i>Cash flows from financing activities</i>				
Proceeds from change in ownership interest in subsidiaries				
without a change in control	-	3,915,000	-	-
Payment on investment in subsidiaries	-	-	-	(90,000,000)
Proceeds from short-term loans	610,000,000	233,000,000	130,000,000	-
Repayment of short-term loans	(445,000,000)	(188,000,000)	-	-
Proceeds from long-term loans	127,747,540	-	75,000,000	-
Repayment of long-term loans	(134,580,000)	(90,620,000)	(120,780,000)	(76,820,000)
Payment of lease liabilities	(84,170,250)	(77,106,140)	(77,767,616)	(75,543,182)
Dividends paid to owners of the Company	(303,414,942)	(391,841,393)	(303,414,942)	(391,841,393)
Dividends paid to non-controlling interests	(12,920)	(9,859)	-	-
Interest paid	(11,379,035)	(12,744,259)	(7,540,225)	(10,482,142)
Net cash used in financing activities	(240,809,607)	(523,406,651)	(304,502,783)	(644,686,717)
Net decrease in cash and cash equivalents	(53,877,385)	(44,014,446)	(40,405,497)	(51,187,631)
Cash and cash equivalents at 1 January	217,231,967	261,246,413	179,461,301	230,648,932
Cash and cash equivalents at 31 December	163,354,582	217,231,967	139,055,804	179,461,301

The accompanying notes form an integral part of the financial statements.

Statement of finance position

HaadThip Public Company Limited and its Subsidiaries

(in Baht, unless otherwise specified)

	Consolidated		Separate	
	financial statements		financial statements	
	Year ended 31 December		Year ended 31 December	
	2022	2021	2022	2021
	(in Baht)			
<i>Supplemental disclosure of cash flows information</i>				
<i>Non-cash transactions :</i>				
Property, plant and equipment and intangible assets				
purchased during the years are detailed as follows:				
Property, plant and equipment purchased during the years	675,379,977	208,614,087	636,838,179	195,454,929
Intangible assets purchased during the years	16,383,123	23,712,329	13,751,616	18,700,141
Capitalised borrowing cost	(579,082)	-	(579,082)	-
(Increase) decrease in payables on purchases of				
property and equipment	(27,002,866)	9,615,859	(27,133,685)	9,380,347
(Increase) decrease in payables on purchases of				
intangible assets	3,313,000	(2,523,000)	3,313,000	(2,978,000)
Net purchase of property, plant and equipment				
 and intangible assets paid by cash	667,494,152	239,419,275	626,190,028	220,557,417

The accompanying notes form an integral part of the financial statements.

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

Note	Contents
1	General information
2	Basis of preparation of the financial statements
3	Significant accounting policies
4	Related parties
5	Cash and cash equivalents
6	Trade accounts receivable
7	Inventories
8	Real estate development for sale
9	Investment in subsidiaries
10	Investment properties
11	Property, plant and equipment
12	Leases
13	Interest-bearing liabilities
14	Other payables
15	Non-current provisions for employee benefits
16	Other non-current provision
17	Reserves
18	Segment information and disaggregation of revenue
19	Expenses by nature
20	Income tax
21	Basic earnings per share
22	Dividends
23	Financial instruments
24	Capital management
25	Agreements
26	Commitments with non - related parties
27	Events after the reporting period

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

These notes form an integral part of the financial statements.

The financial statements issued for Thai statutory and regulatory reporting purposes are prepared in the Thai language. These English language financial statements have been prepared from the Thai language statutory financial statements, and were approved and authorised for issue by the Board of Directors on 24 February 2023.

1 General information

Haad Thip Public Company Limited, the “Company”, is incorporated in Thailand and was listed on the Stock Exchange of Thailand in December 1988. The Company’s registered office at 87/1, Kanchanavanich Road, Tambol Banphru, Amphur Hadyai, Songkhla, Thailand.

The Company’s major shareholders during the financial year were Rattakul family (35.63% shareholding), and Gutsche Family Investments (Proprietary) Limited (24.40% shareholding) which was incorporated in South Africa.

The principal businesses of the Company are manufacturing and distribution of soft drinks. Detail of the Company’s subsidiaries as at 31 December 2022 and 2021 is given in note 9.

2 Basis of preparation of the financial statements

The financial statements are prepared in accordance with Thai Financial Reporting Standards (TFRS); guidelines promulgated by the Federation of Accounting Professions and applicable rules and regulations of the Thai Securities and Exchange Commission. The financial statements are presented in Thai Baht, which is the Company’s functional currency.

The preparation of financial statements in conformity with TFRS requires management to make judgements, estimates and assumptions that affect the application of the Group’s accounting policies. Actual results may differ from these estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised prospectively.

3 Significant accounting policies

The accounting policies set out below have been applied consistently to all periods presented in these financial statements.

(a) Basis of consolidation

The consolidated financial statements relate to the Company and its subsidiaries (together referred to as the “Group”).

Subsidiaries are entities controlled by the Group. The Group controls an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The financial statements of subsidiaries is included in the consolidated financial statements from the date on which control commences until the date on which control ceases.

Intra-group balances and transactions, and any unrealised income or expenses arising from intra-group transactions, are eliminated on consolidation.

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

(b) Investments in subsidiaries

Investments in subsidiaries in the separate financial statements are measured at cost less allowance for impairment losses. Dividend income is recognised in profit or loss on the date on which the Company's right to receive payment is established. If the Company disposes of part of its investment, the deemed cost of the part sold is determined using the weighted average method. Gains and losses on disposal of the investments are recognised in profit or loss.

(c) Foreign currencies

Transactions in foreign currencies including non-monetary assets and liabilities denominated in foreign currencies are translated to the respective functional currencies of each entity in the Group at exchange rates at the dates of the transactions. Monetary assets and liabilities denominated in foreign currencies are translated at the exchange rate at the reporting date.

Foreign currency differences are generally recognised in profit or loss.

(d) Financial instruments

(d.1) Classification and measurement

Financial assets and financial liabilities (except trade accounts receivables (see note 3(f))) are initially recognised when the Group becomes a party to the contractual provisions of the instrument, and measured at fair value plus or minus, for an item not a fair value through profit or loss (FVTPL), transaction costs that are directly attributable to its acquisition.

On initial recognition, a financial asset is classified as measured at: amortised cost; fair value through other comprehensive income (FVOCI); or fair value through profit or loss (FVTPL). Financial assets are not reclassified subsequent to their initial recognition unless the Group changes its business model for managing financial assets, in which case all affected financial assets are reclassified prospectively from the reclassification date.

On initial recognition, financial liabilities are classified as measured at amortised cost using the effective interest method or FVTPL. Interest expense, foreign exchange gains and losses and any gain or loss on derecognition are recognised in profit or loss.

Financial assets measured at amortised costs are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by expected credit losses. Interest income, foreign exchange gains and losses, expected credit loss and any gain or loss on derecognition are recognised in profit or loss.

Equity investments measured at FVOCI are subsequently measured at fair value. Dividend income is recognised as income in profit or loss on the date on which the Group's right to receive payment is established, unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to profit or loss.

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

(d.2) Derecognition and offset

The Group derecognises a financial asset when the contractual rights to receive the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Group neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire. The Group also derecognises a financial liability when its terms are modified and the cash flows of the modified liability are substantially different, in which case a new financial liability based on the modified terms is recognised at fair value.

The difference between the carrying amount extinguished and the consideration received or paid is recognised in profit or loss.

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Group currently has a legally enforceable right to set off the amounts and the Group intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

(d.3) Derivatives

Derivative are recognised at fair value and remeasured at fair value at each reporting date. The gain or loss on remeasurement to fair value is recognised immediately in profit or loss.

(d.4) Write offs

The gross carrying amount of a financial asset is written off when the Group has no reasonable expectations of recovering. Subsequent recoveries of an asset that was previously written off, are recognised as a reversal of impairment in profit or loss in the period in which the recovery occurs.

(d.5) Impairment of financial assets other than trade accounts receivables

The Group recognises allowances for expected credit losses (ECLs) on financial assets measured at amortised cost.

The Group recognises ECLs equal to 12-month ECLs unless there has been a significant increase in credit risk of the financial instrument since initial recognition or credit-impaired financial assets, in which case the loss allowance is measured at an amount equal to lifetime ECLs.

ECLs are a probability-weighted estimate of credit losses based on forward-looking and historical experience. Credit losses are measured as the present value of all cash shortfalls discounted by the effective interest rate of the financial asset.

The Group assumes that the credit risk on a financial asset has increased significantly if it is more than 30 days past due, significant deterioration in the operating results of the debtor and existing or forecast changes in the market, economic or legal environment that have a significant adverse effect on the debtor's ability to meet its obligation to the Group.

The Group considers a financial asset to be in default when

- the debtor is unlikely to pay its credit obligations to the Group in full, without recourse by the Group takes action such as realising security (if any is held); or
- the financial asset is more than 90 days past due.

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

(d.6) Interest

Interest income and expense is recognised in profit or loss using the effective interest method. In calculating interest income and expense, the effective interest rate is applied to the gross carrying amount of the asset (when the asset is not credit-impaired) or to the amortised cost of the liability.

(e) Cash and cash equivalents

Cash and cash equivalents comprise cash balances, call deposits and highly liquid short-term investments which has a maturity of three months or less from the date of acquisition.

(f) Trade accounts receivable

A trade receivable is recognised when the Group has an unconditional right to receive consideration. A trade receivable is measured at transaction price less allowance for expected credit loss. Bad debts are written off when incurred.

The Group estimates lifetime expected credit losses (ECLs), using a provision matrix to find ECLs rate. This method groups the debtors based on shared credit risk characteristics and past due status, taking into account historical credit loss data, adjusted for factors that are specific to the debtors and an assessment of both current economic conditions and forward-looking general economic conditions at the reporting date.

(g) Inventories

Inventories are measured at the lower of cost and net realisable value. Cost is calculated using the average cost principle. Cost includes direct costs incurred in acquiring the inventories. In the case of manufactured inventories and work-in-progress, cost includes an appropriate share of production overheads based on normal operating capacity. Net realisable value is the estimated selling price in the ordinary course of business less the estimated costs to make the sale.

(h) Real estate development for sale

Real estate development for sale is real estate that is held with the intention to sell in the ordinary course of business. This real estate is measured at the lower of cost and net realisable value.

The cost of real estate development for sale comprises the cost of land, including acquisition costs, land improvement cost, development expenditure, borrowing costs and other related expenditure. Borrowing costs payable on loans funding real estate development project are capitalised as part of the cost of the property until the completion of development. Cost of real estate development for sale includes an allocation of common area property development expenditure based on saleable area.

Net realisable value is the estimated selling price in the ordinary course of business less the estimated costs to complete and to make the sale.

When real estate development for sale are sold, the cost of that real estate is recognised as an expense in the period in which the related revenue is recognised.

Cost of sales is calculated from the cost of land and buildings sold by average cost proportion of areas to be sold.

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

(i) Non-current assets classified as held for sale

Non-current assets are classified as held for sale if it is highly probable that they will be recovered primarily through sale rather than through continuing use. Such assets are measured at the lower of their carrying amount and fair value less cost to sell. Impairment losses on initial classification as held for sale and subsequent gains and losses on remeasurement are recognised in profit or loss.

Once classified as held for sale, intangible assets, plant and equipment are no longer amortised or depreciated.

(j) Investment properties

Investment properties are measured at cost less impairment losses. Cost includes expenditure that is directly attributable to the acquisition of the investment property and the cost of self-constructed assets. Differences between the proceeds from disposal and the carrying amount of investment property are recognised in profit or loss.

(k) Property, plant and equipment

Plant and equipment are measured at cost less accumulated depreciation and impairment losses except for lands which are measured at their revalued amounts. The revalued amount is the fair value determined on the basis of the property's existing use at the date of revaluation less any subsequent accumulated depreciation and impairment losses.

Cost includes expenditure that is directly attributable to the acquisition of the asset, borrowing costs and the costs of dismantling and removing the item and restoring the site on which they are located. Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

Differences between the proceeds from disposal and the carrying amount of property, plant and equipment are recognised in profit or loss.

Revalued assets

Revaluations of assets are performed by independent professional valuers with sufficient regularity to ensure that the carrying amount of these assets does not differ materially from that which would be determined using fair values at the reporting date. Any increase in value, on revaluation, is recognised in other comprehensive income and presented in the "revaluation reserve" in other components of equity unless it offsets a previous decrease in value recognised in profit or loss in respect of the same asset, the increase is recognised in profit or loss. A decrease in value is recognised in profit or loss to the extent it exceeds the revaluation reserve previously recognised in other comprehensive income in respect of the same asset. Upon disposal of a revalued asset, any remaining related revaluation reserve is transferred directly to retained earnings and is not taken into account in calculating the gain or loss on disposal.

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

Subsequent costs

The cost of replacing a part of an item of property, plant and equipment is recognised in the carrying amount of the item when the future economic benefits embodied within the part will flow to the Group, and its cost can be measured reliably. The carrying amount of the replaced part is derecognised. The costs of the day-to-day servicing of property, plant and equipment are recognised in profit or loss as incurred.

Depreciation

Depreciation is calculated on a straight-line basis over the estimated useful lives of each component of an asset and recognised in profit or loss. No depreciation is provided on freehold land and assets under construction and installation.

The estimated useful lives are as follows:

Land improvements	10	years
Buildings, structures and leasehold improvements	20	years
Machinery and equipment	5, 10 and 20	years
Furniture and office equipment	5	years
Vehicles	5	years
Containers	5	years
Promotional equipment	5	years

(l) Intangible assets

Intangible assets that have definite useful lives are measured at cost less accumulated amortisation and impairment losses. Subsequent expenditure is capitalised only when it will generate the future economic benefit. Amortisation is calculated on a straight-line basis over the estimated useful lives of intangible assets and recognised in profit or loss.

The estimated useful lives are as follows:

Software licences	5	years
-------------------	---	-------

The amortisation of other intangible assets is included in cost and administrative expenses.

(m) Leases

At inception of a contract, the Group assesses that a contract is, or contains, a lease when it conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

As a lessee

At commencement or on modification of a contract, the Group allocates the consideration in the contract to each lease component on the basis of its relative stand-alone prices of each component. For the leases of property, the Group has elected not to separate non-lease components and account for the lease and non-lease components wholly as a single lease component.

The Group recognises a right-of-use asset and a lease liability at the lease commencement date except for leases of low-value assets and short-term leases which is recognised as an expense on a straight-line basis over the lease term.

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

Right-of-use asset is measured at cost, less any accumulated depreciation and impairment loss, and adjusted for any remeasurements of lease liability. The cost of right-of-use asset includes the initial amount of the lease liability adjusted for any prepaid lease payments, plus any initial direct costs incurred. Depreciation is charged to profit or loss on a straight-line method from the commencement date to the end of the lease term, unless the lease transfers ownership of the underlying asset to the Group by the end of the lease term or the Group will exercise a purchase option. In that case the right-of-use asset will be depreciated over the useful life of the underlying asset, which is determined on the same basis as those of property and equipment.

The lease liability is initially measured at the present value of all lease payments that shall be paid under the lease. The Group uses the interest rate implicit in the lease and the Group's incremental borrowing rate to discount the lease payments to the present value. The Group determines its incremental borrowing rate by obtaining interest rates from various external financing sources and makes certain adjustments to reflect the terms of the lease and type of the asset leased.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a lease modification or a change in the assessment of options specified in the lease. When the lease liability is remeasured, a corresponding adjustment is made to the carrying amount of the right-of-use asset or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

As a lessor

At inception or on modification of a contract, the Group allocates the consideration in the contract to each component on the basis of their relative standalone selling prices.

At lease inception, the Group considers to classify a lease that transfers substantially all of the risks and rewards incidental to ownership of the underlying asset to lessees as a finance lease. A lease that does not meet this criteria is classified as an operating lease.

The Group recognises lease payments received under operating leases in profit or loss on a straight-line basis over the lease term as part of other income. Initial direct costs incurred in arranging an operating lease are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income. Contingent rents are recognised as other income in the accounting period in which they are earned.

(n) Impairment of non-financial assets

The carrying amounts of the Group's assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, the assets' recoverable amounts are estimated.

An impairment loss is recognised in profit or loss if the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount, unless it reverses a previous revaluation credited to equity, in which case it is charged to equity.

The recoverable amount is the greater of the asset's value in use and fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For an asset that does not generate cash inflows largely independent of those from other assets, the recoverable amount is determined for the cash-generating unit to which the asset belongs.

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

Impairment losses of assets recognised in prior periods is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

(o) *Employee benefits*

Defined contribution plan

Obligations for contributions to the Group's provident funds are expensed as the related service is provided.

Defined benefit plans

The Group's net obligation in respect of defined benefit plans is calculated by estimating the amount of future benefit that employees have earned in the current and prior periods. The defined benefit obligations is discounted to the present value, which performed regularly by a qualified actuary using the projected unit credit method.

Remeasurements of the net defined benefit liability, actuarial gain or loss are recognised immediately in other comprehensive income. The Group determines the interest expense on the net defined benefit liability for the period by applying the discount rate used to measure the defined benefit obligation at the beginning of the annual period, taking into account any changes in the net defined benefit liability during the period as a result of contributions and benefit payments. Net interest expense and other expenses related to defined benefit plans are recognised in profit or loss.

When the benefits of a plan are changed or when a plan is curtailed, the resulting change in benefit that relates to past service or the gain or loss on curtailment is recognised immediately in profit or loss. The Group recognises gains and losses on the settlement of a defined benefit plan when the settlement occurs.

Short-term employee benefits are expensed as the related service is provided. A liability is recognised for the amount expected to be paid if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

(p) *Provisions*

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised as a finance cost.

(q) *Fair value measurement*

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk.

When measuring the fair value of an asset or a liability, the Group uses observable market data as far as possible. Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

- Level 1: quoted prices in active markets for identical assets or liabilities.
- Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly or indirectly.
- Level 3: inputs for the asset or liability that are based on unobservable input.

If an asset or a liability measured at fair value has a bid price and an ask price, then the Group measures assets and asset positions at a bid price and liabilities and liability positions at an ask price.

The best evidence of the fair value of a financial instrument on initial recognition is normally the transaction price – i.e. the fair value of the consideration given or received. If the Group determines that the fair value on initial recognition differs from the transaction price, the financial instrument is initially measured at fair value adjusted for the difference between the fair value on initial recognition and the transaction price and the difference is recognised in profit or loss immediately. However, for the fair value categorised as level 3, such difference is deferred and will be recognised in profit or loss on an appropriate basis over the life of the instrument or until the fair value level is transferred or the transaction is closed out.

(r) *Revenue from contracts with customers*

Revenue is recognised when a customer obtains control of the goods or services in an amount that reflects the consideration to which the Group expects to be entitled, excluding those amounts collected on behalf of third parties, value added tax and is after deduction of any trade discounts.

Revenue from sales of goods is recognised on the date on which the goods are delivered to the customers. For the sales that permit the customers to return the goods, the Group estimates the returns based on the historical return data, does not recognise revenue for this transaction and remains recognition of inventory for the estimated products to be returned.

Revenue for rendering of services is recognised over time based as the services are provided. The stage of completion is assessed based on surveys of work performed. The related costs are recognised in profit or loss when they are incurred.

(s) *Income tax*

Income tax expense for the year comprises current and deferred tax which is recognised in profit or loss except to the extent that they relate to items recognised directly in equity or in other comprehensive income.

Current tax is recognised in respect of the taxable income or loss for the year, using tax rates enacted or substantively enacted at the reporting date, and any adjustment to tax payable in respect of previous years.

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for the temporary difference relating to investments in subsidiaries to the extent that it is probable that they will not reverse in the foreseeable future.

The measurement of deferred tax reflects the tax consequences that would follow the manner in which the Group expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities, using tax rates enacted or substantively enacted at the reporting date. Current deferred tax assets and liabilities are offset in the separate financial statements.

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

A deferred tax asset is recognised to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised. Deferred tax assets are reviewed at each reporting date and reduced to the extent that it is no longer probable that the related tax benefit will be realised.

(t) Earnings per share

Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period.

4 Related parties

A related party is a person or entity that has direct or indirect control or has significant influence over the Financial and managerial decision-making of the Group; a person or entity that are under common control or under the same significant influence as the Group; or the Group has direct or indirect control or has significant influence over the financial and managerial decision-making of a person or entity.

Relationships with subsidiaries are described in note 9. Other related parties which the Group had significant transactions with during the year were as follows:

Name of entities	Country of incorporation	Nature of relationships			
JIVA RESIDENCES LTD.	Thailand	Common directors			
VAISAYA CONSULTING LTD.	Thailand	Common directors			
Castle Partners Co., Ltd.	Thailand	Common directors			
Key management personnel	Thailand	Persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any director. (whether executive or otherwise) of the Group			

Significant transactions with related parties Year ended 31 December	Consolidated financial statements		Separate financial statements	
	2022	2021	2022	2021
	<i>(in thousand Baht)</i>			
Subsidiaries				
Sales of goods	-	-	149	142
Purchases of goods	-	-	1,374	1,676
Purchases of containers	-	-	673,674	591,073
Sales of fixed assets	-	-	-	48,618
Blowing plastic bottles service	-	-	36,900	33,876
Service fee for area utilisation	-	-	654	654
Land rental income	-	-	210	210
Management income	-	-	16,401	17,092
Rental expense for installing signboard	-	-	200	420
Dividend income	-	-	184,287	140,640
Interest income	-	-	124	73
Other income	-	-	6,484	8,227
Other related companies				
Construction service fee	7,938	-	-	-
Other service fee	3,650	-	3,650	-

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

Significant transactions with related parties Year ended 31 December	Consolidated financial statements		Separate financial statements	
	2022	2021	2022	2021
	<i>(in thousand Baht)</i>			
Key management personnel				
Key management personnel compensation				
Short-term benefits	178,672	137,722	178,672	137,722
Post-employment benefits	6,438	6,810	6,438	6,810
Total key management personnel compensation	185,110	144,532	185,110	144,532

Balances with related parties At 31 December	Consolidated financial statements		Separate financial statements	
	2022	2021	2022	2021
	<i>(in thousand Baht)</i>			
Trade accounts receivable				
Subsidiaries	-	-	5	9
Other receivables				
Subsidiaries	-	-	5,304	4,949
Loan to				
Subsidiaries	-	-	23,000	-
Less allowance for expected credit loss	-	-	(23,000)	-
Net	-	-	-	-

Expected credit losses Year ended 31 December	<i>Note</i>	Consolidated financial statements		Separate financial statements	
		2022	2021	2022	2021
		<i>(in thousand Baht)</i>			
Loan to	11	-	-	23,000	-

As at 31 December 2022, the Company had loans to its two subsidiaries at the total amount of Baht 23 million for use in its operations. These loans bear interest based on the rate prescribed in the loan agreement, repayable in monthly installment, and will be fully paid as stipulated in the loan agreement. However, in December 2022, the Company amended the interest rate to 1.75% for the loan amounting Baht 17 million, and 1.8% for the loan amounting Baht 6 million; repayable in January 2023.

Balances with related parties At 31 December	Consolidated financial statements		Separate financial statements	
	2022	2021	2022	2021
	<i>(in thousand Baht)</i>			
Trade accounts payable				
Subsidiaries	-	-	112,443	112,203
Other payables				
Subsidiaries	-	-	4	7

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

Significant agreements with related parties

Service agreements for area utilisation

The Company has entered into service agreements for area utilisation with a subsidiary for Phoonpin factory for a period of 8 years expired in February 2020 and has renewed the agreement for a period of 8 years expired in February 2029. The subsidiary has agreed to pay service fees at the amounts as stipulated in the agreements.

Lease agreement for land

On 1 November 2014, the Company entered into a lease agreement for land with a subsidiary for the purpose of building construction. The lease term was for a period of 20 years commencing from 1 November 2014 to 31 October 2034. The subsidiary has the first priority to renew the lease agreement, which can be extendable for successive periods of 10 years each. The subsidiary can renew the lease by informing the Company at least 30 days before the expiry date. The subsidiary agreed to pay the rental fee in the amount as stipulated in the agreement and rental rates will be adjusted every 5 years. Under the term of the agreement, the building including other constructions thereon will be transferred to the Company when the agreement is terminated.

Service agreement for blowing plastic bottles

In February 2015, the Company has entered into service agreement for blowing plastic bottles with a subsidiary. The Company has agreed to pay service fee at the amount as stipulated in the agreement. The subsidiary is able to change the price as appropriate without prior notice to the Company. The Company may terminate the agreement at any time.

Service agreement

In April 2021, the Company entered into agreement with several subsidiaries to provide services in relation to management, office rental, transportation, sales and warehouse services. The Company will receive service fees as specified in the agreement.

5 Cash and cash equivalents

	Consolidated financial statements		Separate financial statements	
	2022	2021	2022	2021
	<i>(in thousand Baht)</i>			
Cash and cheques received on hand	14,696	13,600	14,233	13,003
Cash at banks	148,659	203,632	124,823	166,458
Total	163,355	217,232	139,056	179,461

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

6 Trade accounts receivable

<i>At 31 December</i>	Consolidated financial statements		Separate financial statements	
	2022	2021	2022	2021
	<i>(in thousand Baht)</i>			
Within credit terms	585,323	476,094	578,233	457,389
Overdue:				
Less than 3 month	2,541	1,425	1,528	1,425
3-6 months	309	22	92	22
6-12 months	2	194	2	194
Over 12 months	620	794	620	794
Total	588,795	478,529	580,475	459,824
<i>Less allowance for expected credit loss</i>	<i>(768)</i>	<i>(582)</i>	<i>(620)</i>	<i>(582)</i>
Net	588,027	477,947	579,855	459,242

Information of credit risk is disclosed in note 23 (b.1.1)

7 Inventories

	Consolidated financial statements		Separate financial statements	
	2022	2021	2022	2021
	<i>(in thousand Baht)</i>			
Finished goods	131,679	135,412	96,283	94,477
Raw materials and packing materials	161,186	156,110	146,623	135,190
Work in progress	45	242	45	242
Spare parts and factory supplies	41,632	47,000	36,193	40,480
Goods in transit	265	96	91	96
<i>Less allowance for obsolescence</i>	<i>(3,455)</i>	<i>(4,385)</i>	<i>(1,763)</i>	<i>(4,385)</i>
Total	331,352	334,475	277,472	266,100
Inventories recognised in cost of sales of goods				
- Cost	4,223,923	3,888,359	4,261,879	3,936,410
- Write-down to net realisable value	4,665	4,960	2,974	4,960
Total	4,228,588	3,893,319	4,264,853	3,941,370

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

8 Real estate development for sale

At 31 December 2022, real estate development for sale namely land and construction developed for sales of the Group which are expected to complete over the next year as of report date are in amount of Baht 72.08 million (2021: Baht 4.23 million). Borrowing costs capitalised in this real estate development for sale during the year amounting Baht 1.58 million with the borrowing rate of 4.15% – 4.65% per year.

9 Investment in subsidiaries

<i>Year ended 31 December</i>	Separate financial statements	
	2022	2021
	<i>(in thousand Baht)</i>	
At 1 January	223,992	133,992
Increase capital of Haad Thip Food and Beverages Co., Ltd.	-	10,000
Increase capital of Haad Thip Development Co., Ltd.	-	80,000
Impairment losses	(46,000)	-
At 31 December	177,992	223,992

On 13 February 2023, the Board of Directors' meeting resolved to approve the dissolution of 3 companies, namely Haad Thip Commercial Co., Ltd., Haad Thip Food and Beverages Co., Ltd. and Kin Dee Yu Dee 2020 Co., Ltd. which is the subsidiaries of Haad Thip Public Company Limited, due to continuous loss from business operations. The Company recognised loss on impairment equal to the total investments in the 3 subsidiaries, amounting to Baht 46 million.

In February 2021, Haad Thip Food and Beverages Co., Ltd. had paid additional called-up shares for Kin Dee Yu Dee 2020 Co., Ltd, which is indirect subsidiary of Haad Thip Public Company Limited about 75%, the par value of Baht 100, 127,800 shares, amounting to Baht 9.6 million.

In March 2021, the Company had additional invested in Haad Thip Food and Beverage Co., Ltd., which is direct subsidiary, from Baht 20 million to Baht 30 million. There is no effect on Haad Thip Public Company Limited's ownership interest.

In August and October 2021, the Company had additional invested in Haad Thip Development Co., Ltd., which is direct subsidiary, from Baht 1 million to Baht 81 million. Haad Thip Public Company Limited's ownership interest changes from 99.96% to 99.99%.

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

Separate financial statements													
	Type of business	Ownership interest		Paid-up capital		Cost		Impairment		At cost - net		Dividend income for the year	
		2022	2021	2022	2021	2022	2021	2022	2021	2022	2021	2022	2021
		(in thousand Baht)											
<i>Direct subsidiaries</i> Southern Rocks Co., Ltd.	Manufacture and distribute plastic bottles and semi finished plastic bottles and blowing plastic bottles service	99.99	99.99	97,000	97,000	96,993	96,993	-	-	96,993	96,993	184,287	140,640
	Manufacture and distribute food	99.99	99.99	30,000	30,000	30,000	30,000	(30,000)	-	-	30,000	-	-
	Manufacture and distribute consumer goods	99.99	99.99	16,000	16,000	16,000	16,000	(16,000)	-	-	16,000	-	-
	Real estate development	99.99	99.99	80,999	80,999	80,999	80,999	-	-	80,999	80,999	-	-
	Total				223,992	223,992	223,992	223,992	(46,000)	-	177,992	223,992	184,287
<i>Indirect subsidiary</i> Kin Dee Yu Dee 2020 Co.,Ltd.	Manufacture and distribute food	71.00	71.00	30,000	30,000	21,300	21,300	(18,609)	-	2,691	21,300	-	-

All subsidiaries were registered and operated in Thailand

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

	Consolidated financial statements			Separate financial statements	
	Land	Investment properties in progress	Total (in thousand Baht)	Land	Total
Cost					
At 1 January 2021	206,388	-	206,388	207,346	207,346
Additions	-	13,649	13,649	-	-
Transfer to real estate development for sale	(14,286)	-	(14,286)	-	-
Disposals	-	-	-	(14,286)	(14,286)
At 31 December 2021 and 1 January 2022	192,102	13,649	205,751	193,061	193,061
Additions					
Transfer to real estate development for sale	-	8,102	8,102	-	-
At 31 December 2022	192,102	21,751	213,853	193,061	193,061
Net book value					
At 31 December 2021	192,102	13,649	205,751	193,061	193,061
At 31 December 2022	192,102	21,751	213,853	193,061	193,061

	Separate financial statements	
	2022	2021
	(in thousand Baht)	
Amounts recognised in profit or loss		
Rental income	450	450

Capitalised borrowing costs relating to the acquisition of the land and the construction of the new buildings for the Group and the Company are amounted to Baht 2.12 million and Baht 0.58 million, respectively (2021: nil), with a capitalisation rate of MLR – 1.43% and 3.15%, respectively (2021: nil).

Investment properties comprise land held for future project, land that is leased to a subsidiary company and real estate development for leasing.

In October 2021, the Company sold investment properties with net book value Baht 14.29 million to a subsidiary in amount of Baht 48.62 million.

Information relating to leases are disclosed in note 12.

The fair value of investment properties as at 31 December 2022 of the Group and the Company of Baht 451.09 million and 437.36 million, respectively, (2021: 451.09 Baht and 437.36 million) was determined by independent professional valuers, at open market values on an existing use basis. The fair value of investment property has been categorised as a Level 3 fair value.

Valuation technique and significant unobservable inputs

The external independent valuer applied the Market Comparison Approach to measure fair value of investment properties.

The significant unobservable inputs used in measuring the fair value of investment properties are the quoted price and the purchasing and selling price of comparable investment properties adjusted with other different factors.

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

	Consolidated financial statements			Separate financial statements	
	Land	Investment properties in progress	Total (in thousand Baht)	Land	Total
Cost					
At 1 January 2021	206,388	-	206,388	207,346	207,346
Additions	-	13,649	13,649	-	-
Transfer to real estate development for sale	(14,286)	-	(14,286)	-	-
Disposals	-	-	-	(14,286)	(14,286)
At 31 December 2021 and 1 January 2022	192,102	13,649	205,751	193,061	193,061
Additions					
Transfer to real estate development for sale	-	8,102	8,102	-	-
At 31 December 2022	192,102	21,751	213,853	193,061	193,061
Net book value					
At 31 December 2021	192,102	13,649	205,751	193,061	193,061
At 31 December 2022	192,102	21,751	213,853	193,061	193,061

Year ended 31 December

Separate financial statements 2022 2021 (in thousand Baht)

Amounts recognised in profit or loss

Rental income	450	450
---------------	-----	-----

Capitalised borrowing costs relating to the acquisition of the land and the construction of the new buildings for the Group and the Company are amounted to Baht 2.12 million and Baht 0.58 million, respectively (2021: nil), with a capitalisation rate of MLR – 1.43% and 3.15%, respectively (2021: nil).

Investment properties comprise land held for future project, land that is leased to a subsidiary company and real estate development for leasing.

In October 2021, the Company sold investment properties with net book value Baht 14.29 million to a subsidiary in amount of Baht 48.62 million.

Information relating to leases are disclosed in note 12.

The fair value of investment properties as at 31 December 2022 of the Group and the Company of Baht 451.09 million and 437.36 million, respectively, (2021: 451.09 Baht and 437.36 million) was determined by independent professional valuers, at open market values on an existing use basis. The fair value of investment property has been categorised as a Level 3 fair value.

Valuation technique and significant unobservable inputs

The external independent valuer applied the Market Comparison Approach to measure fair value of investment properties.

The significant unobservable inputs used in measuring the fair value of investment properties are the quoted price and the purchasing and selling price of comparable investment properties adjusted with other different factors.

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

Separate financial statements												
	Cost	Land revaluation reserve	Total	Land improvements	Buildings, structures and leasehold improvements	Machinery and equipment	Furniture and office equipment	Vehicles	Containers, net	Promotional equipment	Assets under construction and installation	Total
							(in thousand Baht)					
Cost / revaluation												
At 1 January 2021	176,796	1,865,546	2,042,342	66,546	914,616	1,099,512	747,703	475,514	11,650	409,221	70,666	5,837,770
Additions	-	-	-	-	-	-	13,069	2,004	-	38,500	141,882	195,455
Transfers	54,500	-	54,500	14,719	97,762	8,681	14,546	4,347	-	-	(194,555)	-
Transfers from right-of-use assets	-	-	-	-	-	-	-	29,505	-	-	-	29,505
Disposals	-	-	-	-	-	(2,110)	(23,067)	(1,674)	(2,153)	(3,412)	-	(32,416)
At 31 December 2021 and 1 January 2022	231,296	1,865,546	2,096,842	81,265	1,012,378	1,106,083	752,251	509,696	9,497	444,309	17,993	6,030,314
Additions	-	-	-	-	270	-	18,573	15,787	4,610	46,425	551,173	638,838
Transfers	-	-	-	9,024	16,488	-	15,924	-	-	-	(41,436)	-
Transfers from right-of-use assets	-	-	-	-	-	-	-	58,399	-	-	-	58,399
Disposals	-	-	-	-	(10,801)	-	(5,821)	(23,301)	(199)	(10)	-	(40,132)
At 31 December 2022	231,296	1,865,546	2,096,842	90,289	1,018,335	1,106,083	780,927	560,581	13,908	490,724	527,730	6,685,419

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

	Land		Total	Land improvements	Buildings, structures and leasehold improvements	Separate financial statements <i>(in thousand Baht)</i>					Containers, net	Promotional equipment	Assets under construction and installation	Total
	Cost	Revaluation reserve				Machinery and equipment	Furniture and office equipment	Vehicles						
Accumulated depreciation														
At 1 January 2021	-	-	-	(30,967)	(389,683)	(537,701)	(678,828)	(431,320)	-	-	(305,322)	-	(2,373,821)	
Depreciation charge for the year	-	-	-	(6,859)	(39,223)	(55,689)	(32,595)	(21,194)	-	-	(34,023)	-	(191,663)	
Transfers from right-of-use assets	-	-	-	-	-	-	-	(29,505)	-	-	-	-	(29,505)	
Disposals	-	-	-	-	-	780	22,983	1,671	-	-	3,403	-	28,837	
At 31 December 2021 and 1 January 2022	-	-	-	(37,826)	(428,906)	(592,610)	(688,440)	(480,348)	-	-	(335,942)	-	(2,564,072)	
Depreciation charge for the year	-	-	-	(7,854)	(42,175)	(56,412)	(26,717)	(13,490)	-	-	(40,686)	-	(187,334)	
Transfers from right-of-use assets	-	-	-	-	-	-	-	(58,399)	-	-	-	-	(58,399)	
Disposals	-	-	-	-	3,288	-	5,523	23,301	-	-	10	-	32,122	
At 31 December 2022	-	-	-	(45,680)	(467,793)	(649,022)	(709,634)	(528,936)	-	-	(376,618)	-	(2,777,683)	
Net book value														
At 31 December 2021	231,296	1,865,546	2,096,842	43,439	583,472	513,473	63,811	29,348	9,497	108,367	17,993	3,466,242		
At 31 December 2022	231,296	1,865,546	2,096,842	44,609	550,542	457,061	71,293	31,645	13,908	114,106	527,730	3,907,736		

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

As described in note 9, the Board of Directors' meeting passed the resolution to liquidate 3 subsidiaries, namely Haad Thip Commercial Co.,Ltd., Haad Thip Food and Beverages Co.,Ltd, and Kin Dee Yu Dee 2020 Co.,Ltd. These subsidiaries had continuous operating loss, which is an indicator of impairment of property, plant, and equipment in the consolidated financial statements, and loans to subsidiaries in the separate financial statement. The Group and the Company assessed the recoverable amount from fair value less cost of disposals. Based on the impairment assessment, the Group and the Company recognised impairment loss on property, plant and equipment at the amount of Baht 12.33 million, impairment loss on intangible assets at the amount of Baht 4.08 million, and impairment loss on loans to subsidiaries amounting Baht 23 million in profit or loss for the year ended 31 December 2022.

In November 2020, the Group's and the Company's lands were remeasured by Agency for Real Estate Affairs Co., Ltd., an independent professional valuer, at open market values on an existing use basis. The fair value has been categorised as a Level 3 fair value. The value of the Group's and the Company's lands increased by Baht 410.0 million. The Group and the Company recognised gain from asset revaluation net of income tax amounting to Baht 328.0 million in other comprehensive income. At 31 December 2022, the net book value of the Group's and the Company's lands would have been amounting to Baht 231.95 million and Baht 231.30 million, respectively, if they were measured at cost. (2021: Baht 231.95 million and Baht 231.30 million, respectively)

Valuation technique and significant unobservable inputs

The external independent valuer applied the Market Comparison Approach to measure fair value of land.

The significant unobservable inputs used in measuring the fair value of land are the quoted price and the purchasing and selling price of comparable land adjusted with other different factors.

12 Leases

As a lessee

<i>Right-of-use assets</i> <i>At 31 December</i>	Consolidated financial statements		Separate financial statements	
	2022	2021	2022	2021
	<i>(in thousand Baht)</i>			
Buildings	4,091	9,470	2,108	4,914
Vehicles	245,217	202,274	226,348	193,315
Total	249,308	211,744	228,456	198,229

In 2022, additions to the right-of-use assets of the Group and the Company were Baht 121.84 million and Baht 106.83 million, respectively. (2021: Baht 123.13 million and Baht 116.92 million, respectively)

The Group and the Company entered into lease agreements of buildings for 2-3 years, with extension options at the end of lease term. The rental is payable monthly as specified in the contract.

The Group and the Company entered into lease agreements of vehicles. The rental is payable monthly as specified in the contract. The ownership of the vehicle will be transferred to the Group and the Company when the Group and the Company exercises the purchase option and the payment for purchase option has been made.

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

Extension options

The Group has extension options on property leases exercisable up to one year before the end of the contract period. The Group assesses at lease commencement date whether it is reasonably certain to exercise the extension options and will regularly reassess so.

<i>Year ended 31 December</i>	Consolidated financial statements		Separate financial statements	
	2022	2021	2022	2021
	<i>(in thousand Baht)</i>			
<i>Amounts recognised in profit or loss</i>				
Depreciation of right-of-use assets:				
- Buildings	5,579	11,336	2,807	8,087
- Vehicles	77,215	71,488	73,795	69,095
Interest on lease liabilities	5,132	4,954	4,802	4,708
Expenses relating to short-term leases	479	442	479	442
Expenses relating to leases of low-value assets	8,690	1,470	8,810	1,770

In 2022, total cash outflow for leases of the Group and the Company were Baht 93.34 million and Baht 87.06 million, respectively. (2021: Baht 79.01 million and Baht 77.75 million, respectively)

As a lessor

The leases of investment properties comprise land that is leased to related subsidiary under operating leases.

<i>At 31 December</i>	Separate financial statements	
	2022	2021
	<i>(in thousand Baht)</i>	
<i>Lease payments to be received from operating lease</i>		
Year 1	444	444
Year 2	444	444
Year 3	444	444
Year 4	455	455
Year 5	456	456
After 5 years	1,422	2,100
Total	3,665	4,343

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

13 Interest-bearing liabilities

	Consolidated financial statements					
	2022			2021		
	Secured	Unsecured	Total	Secured	Unsecured	Total
	<i>(in thousand Baht)</i>					
Short-term loans						
- financial institutions	227,000	-	227,000	62,000	-	62,000
Long-term loans						
- financial institutions	160,248	-	160,248	167,080	-	167,080
Lease liabilities	-	249,072	249,072	-	212,656	212,656
Total interest-bearing liabilities	387,248	249,072	636,320	229,080	212,656	441,736
	Separate financial statements					
	2022			2021		
	Secured	Unsecured	Total	Secured	Unsecured	Total
	<i>(in thousand Baht)</i>					
Short-term loans						
- financial institutions	130,000	-	130,000	-	-	-
Long-term loans						
- financial institutions	75,000	-	75,000	120,780	-	120,780
Lease liabilities	-	228,185	228,185	-	199,124	199,124
Total interest-bearing liabilities	205,000	228,185	433,185	120,780	199,124	319,904

At 31 December 2022, the Group had short-term loans from financial institutions which are promissory notes which will repayable within 2023. Interest was charged at rates from 1.55% to 3.75% per annum. (2021: 0.70% to 1.97% per annum)

Long-term loans from financial institutions

On 27 November 2014, the Company entered into a loan agreement with the financial institution for loan facility of Baht 80 million for construction of warehouse. This loan bears interest at the Minimum Loan Rate (MLR) minus 2.50% per annum for the first two years, at the Minimum Loan Rate (MLR) minus 2.00% per annum for the third and fourth years and at the Minimum Loan Rate (MLR) minus 1.50% per annum for the fifth year onwards. Loan is repayable in monthly installments of Baht 1.12 million for each installment, which will be fully paid in 8 years commencing from the first drawdown date. During 2022, the Company had already repaid the loan in full.

On 17 September 2015, the Company entered into a loan agreement with a financial institution for a loan facility of Baht 450 million for purchase of machinery, equipment and renovation of space for installing machinery. This loan bears interest at the Minimum Loan Rate (MLR) minus 2.50% per annum for the first two years and at the Minimum Loan Rate (MLR) minus 2.00% per annum for the third year onwards. The interest will be paid on monthly. The loan is repayable in monthly installments of Baht 4.7 million for each installment, which will be fully paid in 10 years commencing from the first drawdown date. During 2022, the Company had already repaid the loan in full.

On 28 January 2022, the Company entered to a loan agreement with a financial institution for a loan facility of Baht 700 million to purchase soft drink filling machinery (PET Filling Line), equipment, supporting system to machinery and equipment and other related works. This loan bears interest at fixed rate 3.15% per annum for the first three years and at the Minimum Loan Rate (MLR) minus 2.38% per annum for the fourth year onwards. The interest will be paid on monthly. The loan is repayable in monthly installments of Baht 9.41 million for each installments, which will be starting from the fourth

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

year and fully paid in 10 years commencing from the first drawdown date. As of 31 December 2022, the Company had unutilised credit facilities totaling Baht 700 million.

On 28 January 2022, the Company entered to a loan agreement with a financial institution for a loan facility of Baht 500 million to production plant, raw material storage building and office building construction and other related works. This loan bears interest at fixed rate 3.15% per annum for the first three years and at the Minimum Loan Rate (MLR) minus 2.38% per annum for the fourth year onwards. The interest will be paid on monthly. The loan is repayable in monthly installments of Baht 6.8 million for each installments, which will be starting from the fourth year and fully paid in 10 years commencing from the first drawdown date. As of 31 December 2022, the Company had unutilised credit facilities totaling Baht 425 million.

For the 2 loan agreements dated 28 January 2022 above, the Company mortgaged land included the existing property and the future property in order to pledge as security for credit facilities of Baht 560 million and the Company has to comply with the certain conditions which are consisted of maintaining the debt to equity ratio and the debt covenant ratio and making an insurance for such property on land and assigning the benefits of an insurance to that financial institution.

Subsidiaries

On 23 February 2018, the subsidiary entered into loan agreements with a financial institution for loan facilities of Baht 110 million for purchase of machinery and equipment. The interest rate is 3.5% per annum. The loan is repayable in monthly installments of Baht 1.15 million for each installment which will be fully paid in 10 years commencing from the first drawdown date. As at 31 December 2022, the Company had unutilised credit facilities totaling Baht 43 million. (2021: Baht 43.0 million)

On 14 January 2022, a subsidiary entered into a loan agreement with a financial institution for loan facilities of Baht 125.5 million for construction of properties for sale. This loan bears interest at the Minimum Loan Rate (MLR) minus 1.43% per annum. The interest will be paid on monthly repayment of principal is to be made when the properties were sold, at 70% of the payment received. which will be fully paid in 4 years commencing from the first drawdown date. The subsidiary has mortgaged the land totaling Baht 155.5 million for the loan facility. As of 31 December 2022, the Company had unutilised credit facilities totaling Baht 72.75 million.

Under the terms of the long-term loan agreements, the Group has to comply with certain conditions, such as maintaining the debt to equity ratio, the debt covenant ratio, etc. The Group also assigned the benefits of an insurance policy covering the assets as collateral for secured interest-bearing liabilities.

<i>Assets pledged as security for liabilities as at 31 December</i>	Consolidated financial statements		Separate financial statements	
	2022	2021	2022	2021
	<i>(in thousand Baht)</i>			
Property, plant and equipment	763,653	768,906	696,889	729,960

As at 31 December 2022, the Group and the Company had unutilised credit facilities totaling Baht 2,283.75 million and Baht 2,100 million, respectively (2021: Baht 1,336.5 million and Baht 1,215.5 million, respectively).

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

Changes in liabilities arising from financing activities

	Consolidated financial statements		
	Loans and borrowings	Lease liabilities (in thousand Baht)	Total
2022			
At 1 January	229,080	212,656	441,736
Changes from financing cash flows	158,168	(84,170)	73,998
Other changes	-	120,586	120,586
At 31 December	387,248	249,072	636,320
2021			
At 1 January	274,700	166,627	441,327
Changes from financing cash flows	(45,620)	(77,106)	(122,726)
Other changes	-	123,135	123,135
At 31 December	229,080	212,656	441,736
	Separate financial statements		
	Loans and borrowings	Lease liabilities (in thousand Baht)	Total
2022			
At 1 January	120,780	199,124	319,904
Changes from financing cash flows	84,220	(77,768)	6,452
Other changes	-	106,829	106,829
At 31 December	205,000	228,185	433,185
2021			
At 1 January	197,600	157,752	355,352
Changes from financing cash flows	(76,820)	(75,543)	(152,363)
Other changes	-	116,915	116,915
At 31 December	120,780	199,124	319,904

14 Other payables

	Consolidated financial statements		Separate financial statements	
	2022	2021	2022	2021
	(in thousand Baht)			
Accrued sales promotion and marketing expenses	101,032	69,839	101,032	69,839
Accrued operating expenses	120,416	93,457	117,105	91,603
Accrued bonus expenses	8,820	5,713	8,820	5,673
Other payables	209,117	154,708	203,170	149,997
Accrued transportation expenses	10,908	10,932	10,908	10,932
Value added tax payable	7,966	19,738	7,966	19,738
Others	21,696	11,706	20,179	10,959
Total	479,955	366,093	469,180	358,741

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

Sales are realised through modern trades with different types of sales incentives such as discounts, rebates, marketing support and sales promotion. Discounts and rebates are deducted from revenue. Marketing support and other sales promotion expenditure are recognised as expenditure on an accrual basis.

15 Non-current provisions for employee benefits

The Group and the Company operates a defined benefit plan based on the requirement of Thai Labour Protection Act B.E. 2541 (1998) to provide retirement benefits to employees based on pensionable remuneration and length of service. The defined benefit plan exposes the Group to actuarial risks, such as longevity risk and interest rate risk.

<i>Present value of the defined benefit obligations</i>	Consolidated financial statements		Separate financial statements	
	2022	2021	2022	2021
		(in thousand Baht)		
At 1 January	301,386	304,723	299,783	303,581
Recognised in profit and loss :				
Current service cost	26,148	23,321	25,156	22,804
Interest on obligation	3,309	3,345	3,269	3,304
Recognised in other comprehensive income :				
Actuarial gain (loss)	(247)	-	-	-
- Financial assumptions	(20,122)	(18,075)	(19,659)	(17,978)
- Experience adjustment	(2,540)	-	(2,197)	-
Benefit paid	(12,431)	(11,928)	(11,287)	(11,928)
Transfer provisions for employee benefit to subsidiaries	-	-	(1,648)	-
At 31 December	295,503	301,386	293,417	299,783

<i>Principal actuarial assumptions</i>	Consolidated financial statements		Separate financial statements	
	2022	2021	2022	2021
			(%)	
Discount rate	2.5	1.8	2.5	1.8
Future salary growth	5.0	5.0	5.0	5.0

Assumptions regarding future mortality are based on published statistics and mortality tables.

At 31 December 2022, the weighted-average duration of the defined benefit obligations was 8 years (2021: 8 years).

Sensitivity analysis

Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant.

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

<i>Effect to the defined benefit obligation</i> <i>At 31 December</i>	Consolidated financial statements			
	0.5% increase in assumption		0.5% decrease in assumption	
	2022	2021	2022	2021
	<i>(in thousand Baht)</i>			
Discount rate	(11,329)	(12,079)	12,161	13,058
Future salary growth	11,803	13,991	(11,119)	(13,085)

<i>Effect to the defined benefit obligation</i> <i>At 31 December</i>	Separate financial statements			
	0.5% increase in assumption		0.5% decrease in assumption	
	2022	2021	2022	2021
	<i>(in thousand Baht)</i>			
Discount rate	(11,214)	(11,885)	11,679	12,846
Future salary growth	12,033	13,771	(11,007)	(12,883)

16 Other non-current provisions

In September 2021, the Company received notices of assessment of import duties included value added taxes, penalties and surcharges for the import goods by the Customs Department totaling amounting to Baht 12.99 million. In November 2021, the Company lodged an appeal of the tax assessment against the Appeal Committee of the Customs Department. In an appeal lodging, the Company placed the letter of guarantees issued by a financial institution amounting to Baht 13.60 million in order to secure the tax payment. However, the Company could charge the duties and related expenses from the suppliers following the agreed condition in case that the appeal is finalised. The Company recognised the duties and related expenses amounting to Baht 13.60 million as other non-current provision and the reimburse as the same amount as other non-current assets in the statement of financial position as at 31 December 2021. The matter is under the Appeal Committee of the Customs Department consideration at the present.

17 Reserves

Legal reserve

Section 116 of the Public Companies Act B.E. 2535 requires that a public company shall allocate not less than 5% of its annual net profit, less any accumulated losses brought forward, to a reserve account ("legal reserve"), until this account reaches an amount not less than 10% of the registered authorised capital. The legal reserve is not available for dividend distribution.

General reserve

The Company has a policy to appropriate a reserve for general purposes. The general reserves as at 31 December 2022 amounted to Baht 35 million (2021: Baht 35 million).

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

18 Segment information and disaggregation of revenue

Consolidated financial statements									
Year ended 31 December	Segment soft drinks		Segment consumer goods		Segment food		Segment Real estate development		Total
	2022	2021	2022	2021	2022	2021	2022	2021	
<i>Information about reportable segments and disaggregation of revenue</i>									
Primary geographical markets									
Thailand	6,873,498	6,353,482	142,470	138,563	32,370	21,222	-	-	6,513,267
Foreign countries	-	4,687	-	-	-	-	-	-	4,687
Total revenue	6,873,498	6,358,169	142,470	138,563	32,370	21,222	-	-	6,517,954
Major products line									
Carbonated	6,444,448	6,033,799	-	-	-	-	-	-	6,033,799
Non-carbonated	429,050	324,370	-	-	-	-	-	-	324,370
Consumer goods	-	-	142,470	138,563	-	-	-	-	138,563
Food	-	-	-	-	32,370	21,222	-	-	21,222
Total revenue	6,873,498	6,358,169	142,470	138,563	32,370	21,222	-	-	6,517,954
Total segment profit (loss) before income tax									
	553,516	670,734	(47,906)	(20,100)	(57,063)	(17,100)	(8,348)	(4,062)	629,472
Eliminated transactions	50,062	(25,289)	12,363	18,135	22,826	4,440	563	1,978	(736)
Segment profit (loss) before income tax	603,578	645,445	(35,543)	(1,965)	(34,237)	(12,660)	(7,785)	(2,084)	628,736
Segment assets as at 31 December									
	5,764,833	5,279,934	46,229	61,859	2,775	43,756	101,386	42,382	5,427,931
Segment liabilities as at 31 December	1,974,688	1,712,489	96,674	70,144	30,149	31,106	60,297	289	1,814,028

The timing of revenue recognition about reportable segments of the Group for segment soft drinks, consumer goods and food are at a point in time, and segment real estate development is at a point in time and over time.

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

	Separate financial statements					
	Segment soft drinks		Segment consumer goods		Total	
Year ended 31 December	2022	2021	2022	2021	2022	2021
	(in thousand Baht)					
Disaggregation of revenue						
Primary geographical markets						
Thailand	6,873,646	6,353,488	26	9	6,873,672	6,353,497
Foreign countries	-	4,687	-	-	-	4,687
Total revenue	6,873,646	6,358,175	26	9	6,873,672	6,358,184
Major products line						
Carbonated	6,444,538	6,033,799	-	-	6,444,538	6,033,799
Non-carbonated	429,108	324,376	-	-	429,108	324,376
Consumer goods	-	-	26	9	26	9
Total revenue	6,873,646	6,358,175	26	9	6,873,672	6,358,184

The timing of revenue recognition of the Company is at a point in time.

Promotional privileges

The Group has been granted promotional certificates by the Office of the Board of Investment for semi-plastic bottle (Preform) and plastic bottles (PET) businesses. The Group has been granted several privileges including exemption and/or reduction from payment of income tax on the net profit derived from promoted operations with certain terms and conditions prescribed in the promotional certificates.

Year ended 31 December	2022			2021		
	Promoted businesses	Non- promoted businesses	Total	Promoted businesses	Non- promoted businesses	Total
	<i>(in thousand Baht)</i>					
Local sales	405,396	7,353,516	7,758,912	376,873	6,761,343	7,138,216
Export sales	-	-	-	-	4,687	4,687
Eliminations	(405,396)	(305,178)	(710,574)	(376,873)	(248,076)	(624,949)
Total	-	7,048,338	7,048,338	-	6,517,954	6,517,954

Year ended 31 December	2022			2021		
	Promoted businesses	Non- promoted businesses	Total	Promoted businesses	Non- promoted businesses	Total
	<i>(in thousand Baht)</i>					
Local sales	-	6,873,672	6,873,672	-	6,353,497	6,353,497
Export sales	-	-	-	-	4,687	4,687
Total	-	6,873,672	6,873,672	-	6,358,184	6,358,184

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

19 Expenses by nature

	Consolidated financial statements		Separate financial statements	
	2022	2021	2022	2021
	<i>(in thousand Baht)</i>			
Raw materials and consumables used	2,353,526	2,058,592	2,508,432	2,211,343
Excise tax	1,257,897	1,185,087	1,257,897	1,185,087
Employee benefit expenses	1,159,849	1,024,060	1,109,707	986,522
Depreciation and amortisation	333,323	328,124	287,142	286,596
Sales promotion and marketing expenses	560,828	509,301	558,875	507,617
Transportation and fuel expenses	262,850	192,643	253,727	189,078
Administration expenses	79,081	72,442	74,222	65,259
Repair and maintenance expenses	139,429	123,570	132,375	110,285
Others	410,024	410,183	324,376	369,221
Total cost of sales of goods, distribution costs and administrative expenses	6,556,807	5,904,002	6,506,753	5,911,008

During 2022, the Group has contributed provident funds for its employees amounting to Baht 17.76 million and Baht 17.41 million, respectively (2021: Baht 16.77 million and Baht 16.74 million, respectively), which is included in employee benefit expenses.

20 Income tax

	Consolidated financial statements		Separate financial statements	
<i>Income tax recognised in profit or loss</i>	2022	2021	2022	2021
	<i>(in thousand Baht)</i>			
Current tax expense				
Current year	100,221	111,837	83,102	98,226
Over provided in prior years	-	(588)	-	(588)
	100,221	111,249	83,102	97,638
Deferred tax expense				
Movements in temporary differences	(5,190)	(15,835)	(18,806)	(6,495)
Total income tax expense	95,031	95,414	64,296	91,143

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

Consolidated financial statements						
	Before tax	2021 Tax (expense) benefit	Net of tax (in thousand Baht)	Before tax	2020 Tax (expense) benefit	Net of tax
Income tax						
Recognised in other comprehensive income						
Actuarial gain	22,910	(4,582)	18,328	18,075	(3,616)	14,459
Financial assets at FVOCI	(7,961)	1,592	(6,369)	103	(20)	83
Total	14,949	(2,990)	11,959	18,178	(3,636)	14,542

Separate financial statements						
	Before tax	2022 Tax (expense) benefit	Net of tax (in thousand Baht)	Before tax	2021 Tax (expense) benefit	Net of tax
Income tax						
Recognised in other comprehensive income						
Actuarial gain	21,856	(4,371)	17,485	17,977	(3,596)	14,381
Financial assets at FVOCI	(7,961)	1,592	(6,369)	103	(20)	83
Total	13,895	(2,779)	11,116	18,080	(3,616)	14,464

Recognised in equity						
Revaluation reserve	-	-	-	11,807	(2,361)	9,441

Reconciliation of effective tax rate					
	Consolidated financial statements		Consolidated financial statements		
	Rate (%)	2022 (in thousand Baht)	Rate (%)	2021 (in thousand Baht)	
Profit before income tax expense		526,013		628,736	
Income tax using the Thai corporation tax rate	20.00	105,203	20.00	125,747	
Income tax reduction - granted privileges of the exclusive development zone		(9,180)		(9,225)	
Net profit from promotional privileges		(22,765)		(23,610)	
Additional deducted expenses for tax purposes		(2,488)		(1,885)	
Expenses not deductible for tax purposes		5,033		3,889	
Recognition of previously unrecognised deferred tax asset		-		(4,869)	
Current year losses for which no deferred tax asset was recognised		19,228		5,955	
Over provided in prior years		-		(588)	
Total	18.07	95,031	15.18	95,414	

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

Reconciliation of effective tax rate

	Rate (%)	Separate financial statements	
		2022 (in thousand Baht)	2021 (in thousand Baht)
Profit before income tax expense		539,003	659,813
Income tax using the Thai corporation tax rate	20.00	107,801	131,963
Income tax reduction - granted privileges of the exclusive development zone		(9,180)	(9,225)
Dividend income exempted from income tax		(36,870)	(28,142)
Additional deducted expenses for tax purposes		(2,488)	(1,885)
Expenses not deductible for tax purposes		5,033	3,889
Recognition of previously unrecognised deferred tax asset		-	(4,869)
Over provided in prior years		-	(588)
Total	11.93	64,296	13.81

Income tax reduction

According to the Royal Decree No. 727 B.E. 2564 and No. 731 B.E. 2564 dated 7 November 2021, the Group has been granted reduction in the corporate income tax rate to 3% of taxable profit, to juristic companies or partnerships whose place of business is located in the exclusive development zone and whose revenue derived from manufacturing, selling of goods or rendering services occur within the exclusive development zone, for the accounting periods starting from 1 January 2021 to 31 December 2023.

Deferred tax At 31 December	Consolidated financial statements			
	Assets		Liabilities	
	2022	2021	2022	2021
		(in thousand Baht)		
Total	86,802	84,600	(404,021)	(404,019)
Set off of tax	(86,362)	(84,133)	86,362	84,133
Net deferred tax assets (liabilities)	440	467	(317,659)	(319,886)

Deferred tax At 31 December	Separate financial statements			
	Assets		Liabilities	
	2022	2021	2022	2021
		(in thousand Baht)		
Total	90,934	74,905	(401,638)	(401,636)
Set off of tax	(90,934)	(74,905)	90,934	74,905
Net deferred tax liabilities	-	-	(310,704)	(326,731)

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

	At 1 January	Consolidated financial statements (Charged) / credited to			At 31 December
		Profit or loss	Other comprehensive income	Equity	
		<i>(in thousand Baht)</i>			
Deferred tax					
2022					
Deferred tax assets					
Trade and other receivables <i>(Allowance for expected credit loss)</i>	186	8	-	-	194
Inventories <i>(allowance for decline in value)</i>	877	(524)	-	-	353
Other current assets <i>(allowance for decline in value)</i>	-	112	-	-	112
Financial assets measured at FVOCI	120	-	1,592	-	1,712
Property, plant and equipment <i>(depreciation gap)</i>	8,920	2,736	-	-	11,656
Right-of-use assets <i>(depreciation gap)</i>	36	(36)	-	-	-
Intra-group deferred revenue	9,228	-	-	-	9,228
Provisions for employee benefits	60,278	3,405	(4,582)	-	59,101
Accrued sales promotion and marketing expenses	4,731	(509)	-	-	4,222
Tax loss carry forward	224	-	-	-	224
Total	84,600	5,192	(2,990)	-	86,802
Deferred tax liabilities					
Other current assets <i>(allowance for decline in value)</i>	(9)	9	-	-	-
Right-of-use assets <i>(depreciation gap)</i>	-	(11)	-	-	(11)
Property, plant and equipment <i>(revaluation)</i>	(404,010)	-	-	-	(404,010)
Total	(404,019)	(2)	-	-	(404,021)
Net	(319,419)	5,190	(2,990)	-	(317,219)

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

	At 1 January	Consolidated financial statements (Charged) / credited to			At 31 December
		Profit or loss	Other comprehensive income	Equity	
		<i>(in thousand Baht)</i>			
Deferred tax					
2021					
Deferred tax assets					
Trade and other receivables <i>(Allowance for expected credit loss)</i>	419	(233)	-	-	186
Inventories <i>(allowance for decline in value)</i>	2,483	(1,606)	-	-	877
Other current assets <i>(allowance for decline in value)</i>	(6)	6	-	-	-
Financial assets measured at FVOCI	-	-	120	-	120
Property, plant and equipment <i>(depreciation gap)</i>	8,222	698	-	-	8,920
Rights-of-use assets <i>(depreciation gap)</i>	(35)	71	-	-	36
Intra-group deferred revenue	-	9,228	-	-	9,228
Provisions for employee benefits	60,945	2,949	(3,616)	-	60,278
Accrued sales promotion and marketing expenses	-	4,731	-	-	4,731
Tax loss carry forward	224	-	-	-	224
Total	72,252	15,844	(3,496)	-	84,600
Deferred tax liabilities					
Other current assets <i>(allowance for decline in value)</i>	-	(9)	-	-	(9)
Financial assets measured at FVOCI	140	-	(140)	-	-
Property, plant and equipment <i>(revaluation)</i>	(404,010)	-	-	-	(404,010)
Total	(403,870)	(9)	(140)	-	(404,019)
Net	(331,618)	15,835	(3,636)	-	(319,419)

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

	At 1 January	Separate financial statements (Charged) / credited to			At 31 December
		Profit or loss	Other comprehensive income (in thousand Baht)	Equity	
Deferred tax					
2022					
Deferred tax assets					
Trade account receivable, other receivables and loans (Allowance for expected credit loss)	186	4,608	-	-	4,794
Inventories (allowance for decline in value)	877	(524)	-	-	353
Other current assets (allowance for decline in value)	-	112	-	-	112
Financial assets measured at FVOCI	120	-	1,592	-	1,712
Investments in subsidiaries	-	9,200	-	-	9,200
Property, plant and equipment (depreciation gap)	8,920	2,736	-	-	11,656
Rights-of-use assets (depreciation gap)	36	(36)	-	-	-
Provisions for employee benefits	60,035	3,221	(4,371)	-	58,885
Accrued sales promotion and marketing expenses	4,731	(509)	-	-	4,222
Total	74,905	18,808	(2,779)	-	90,934
Deferred tax liabilities					
Other current assets (allowance for decline in value)	(9)	9	-	-	-
Rights-of-use assets (depreciation gap)	-	(11)	-	-	(11)
Property, plant and equipment (revaluation)	(401,627)	-	-	-	(401,627)
Total	(401,636)	(2)	-	-	401,638
Net	(326,731)	18,806	(2,779)	-	(310,704)

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

		Separate financial statements (Charged) / credited to			
	At 1 January	Profit or loss	Other comprehensive income <i>(in thousand Baht)</i>	Equity	At 31 December
Deferred tax					
2021					
Deferred tax assets					
Trade and other receivables <i>(Allowance for expected credit loss)</i>	419	(233)	-	-	186
Inventories <i>(allowance for decline in value)</i>	2,483	(1,606)	-	-	877
Other current assets <i>(allowance for decline in value)</i>	(6)	6	-	-	-
Financial assets measured at FVOCI	-	-	120	-	120
Property, plant and equipment <i>(depreciation gap)</i>	8,222	698	-	-	8,920
Rights-of-use assets <i>(depreciation gap)</i>	(35)	71	-	-	36
Provisions for employee benefits	60,794	2,837	(3,596)	-	60,035
Accrued sales promotion and marketing expenses	-	4,731	-	-	4,731
Total	71,877	6,504	(3,476)	-	74,905
Deferred tax liabilities					
Other current assets <i>(allowance for decline in value)</i>	-	(9)	-	-	(9)
Financial assets measured at FVOCI	140	-	(140)	-	-
Property, plant and equipment <i>(revaluation)</i>	(403,988)	-	-	2,361	(401,627)
Total	(403,848)	(9)	(140)	2,361	(401,636)
Net	(331,971)	6,495	(3,616)	2,361	(326,731)

	Consolidated financial statements	
	2022	2021
	<i>(in thousand Baht)</i>	
Tax losses	26,872	7,644

The tax losses expire in 2025 - 2026. The deductible temporary differences do not expire under current tax legislation. The Group has not recognised these items as deferred tax assets because it is not probable that the Group will have sufficient future taxable profit to utilise the benefits therefrom.

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

21 Basic earnings per share

	Consolidated financial statements		Separate financial statements	
	2022	2021	2022	2021
	<i>(in thousand Baht / thousand shares)</i>			
<i>Profit attributable to ordinary shareholders</i>				
Profit attributable to ordinary shareholders of the Company (basic)	<u>435,064</u>	<u>535,391</u>	<u>474,707</u>	<u>568,670</u>
<i>Ordinary shares outstanding</i>				
Number of ordinary shares outstanding at 1 January	<u>200,961</u>	<u>200,961</u>	<u>200,961</u>	<u>200,961</u>
Number of ordinary shares outstanding (basic) at 31 December	<u>200,961</u>	<u>200,961</u>	<u>200,961</u>	<u>200,961</u>
Earnings per share (basic) <i>(in Baht)</i>	<u>2.16</u>	<u>2.66</u>	<u>2.36</u>	<u>2.83</u>

22 Dividends

The shareholders of the Company have approved dividends as follows:

	Approval date	Payment schedule	Dividend rate per share (Baht)	Amount (in million Baht)
<i>2022</i>				
2022 Interim dividend	26 August 2022	September 2022	0.55	110
2021 Annual dividend	26 April 2022	May 2022	0.96	193
				<u>303</u>
<i>2021</i>				
2021 Interim dividend	26 August 2021	September 2021	0.83	167
2020 Annual dividend	26 April 2021	May 2021	1.12	225
				<u>392</u>

23 Financial instruments

(a) Carrying amounts and fair values

The following table shows the carrying amounts and fair values of financial assets and financial liabilities, including their levels in the fair value hierarchy. It does not include fair value information for financial assets and financial liabilities measured at amortised cost if the carrying amount is a reasonable approximation of fair value.

Notes Thip Public Company Limited and its Subsidiaries

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

At 31 December	Note	Carrying amount			Consolidated financial statement				Fair value		
		Financial instruments measured at FVTPL	Financial instruments measured at FVOCI	Financial instruments measured at amortised cost	Total (in thousand Baht)	Level 1	Level 2	Level 3	Total		
2022											
Financial assets											
Other financial assets:											
Investment in debt instruments		23,727	-	-	23,727	-	23,727	-	23,727		
Investment in equity instruments		-	5,123	-	5,123	3,252	-	1,871	5,123		
Total other financial assets		23,727	5,123	-	28,850						
Financial liabilities											
Long-term loans from financial institutions	13	-	-	(160,248)	(160,248)	-	(52,748)	(106,141)	(158,889)		
Derivatives liabilities		-	-	(2,193)	(2,193)	-	(2,193)	-	(2,193)		
Total financial liabilities		-	-	(162,441)	(162,441)						
2021											
Financial assets											
Other financial assets:											
Investment in debt instruments		28,179	-	-	28,179	-	28,179	-	28,179		
Investment in equity instruments		-	13,867	-	13,867	3,267	-	10,600	13,867		
Derivatives assets		5	-	-	5	-	5	-	5		
Total other financial assets		28,184	13,867	-	42,051						
Financial liabilities											
Long-term loans from financial institutions	13	-	-	(167,080)	(167,080)	-	(120,780)	(45,907)	(166,687)		
Total financial liabilities		-	-	(167,080)	(167,080)						

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

At 31 December	Note	Carrying amount			Separate financial statement				Fair value
		Financial instruments measured at FVTPL	Financial instruments measured at FVOCI	Financial instruments measured at amortised cost	Total (in thousand Baht)	Level 1	Level 2	Level 3	
2022									
Financial assets									
Other financial assets:									
Investment in debt instruments		990	-	-	990	-	990	-	990
Investment in equity instruments		-	5,123	-	5,123	3,252	-	1,871	5,123
Total other financial assets		990	5,123	-	6,113				
Financial liabilities									
Long term loans from financial institutions	13	-	-	(75,000)	(75,000)	-	-	(75,000)	(75,000)
Derivatives liabilities		-	-	(2,193)	(2,193)	-	(2,193)	-	(2,193)
Total financial liabilities		-	-	(77,193)	(77,193)				
2021									
Financial assets									
Other financial assets:									
Investment in debt instruments		1,621	-	-	1,621	-	1,621	-	1,621
Investment in equity instruments		-	13,867	-	13,867	3,267	-	10,600	13,867
Derivatives assets		5	-	-	5	-	5	-	5
Total other financial assets		1,626	13,867	-	15,493				
Financial liabilities									
Long term loans from financial institutions	13	-	-	(120,780)	(120,780)	-	(120,780)	-	(120,780)
Total financial liabilities		-	-	(120,780)	(120,780)				

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

The Group determines Level 3 fair value for non-marketable equity securities by adjusting the net value assets or price from market at the invested date.

The Group determines Level 2 fair value for debt securities by reference to the value from Asset Management Company as following to net asset value of the reporting date and for derivatives liabilities to the value from financial institution as following to net liability value of the reporting date.

The Group determines Level 1 fair value for equity securities by reference to the closing price from Stock Exchange of Thailand at the reporting date.

Fair values of current financial assets and liabilities are taken to approximate the carrying amounts because the relatively short-term maturity of these financial instruments.

Fair value of long-term loans which bear interest at floating market rate is taken to approximate the carrying amounts.

Fair values of long-term loans which bear interest at fixed rate is evaluated by discounted cash flows valuation.

(b) *Financial risk management policies*

Risk management framework

The Group's board of directors has overall responsibility for the establishment and oversight of the Group's risk management framework. The board of directors has established the risk management committee, which is responsible for developing and monitoring the Group's risk management policies. The committee reports regularly to the board of directors on its activities.

The Group's risk management policies are established to identify and analyse the risks faced by the Group, to set appropriate risk limits and controls and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to maintain a disciplined and constructive control environment in which all employees understand their roles and obligations.

The Group audit committee oversees how management monitors compliance with the Group's risk management policies and procedures, and reviews the adequacy of the risk management framework in relation to the risks faced by the Group. The Group audit committee is assisted in its oversight role by internal audit. Internal audit undertakes both regular and ad hoc reviews of risk management controls and procedures, the results of which are reported to the audit committee.

(b.1) Credit risk

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Group's receivables from customers.

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

(b.1.1) Trade accounts receivables

The Group's exposure to credit risk is influenced mainly by the individual characteristics of each customer. However, management also considers the factors that may influence the credit risk of its customer base, including the default risk associated with the industry and country in which customers operate.

The risk management committee has established a credit policy under which each new customer is analysed individually for creditworthiness before the Group's standard payment and delivery terms and conditions are offered. The Group's review external ratings, if they are available, financial statements, credit agency information, industry information and in some cases bank references. Sale limits are established for each customer and reviewed semiannually. Any sales exceeding those limits require approval from the risk management committee.

The Group limits its exposure to credit risk from trade accounts receivables by establishing a maximum payment period of 3 months. Outstanding trade receivables are regularly monitored by the Group. An impairment analysis is performed by the Group at each reporting date. The provision rates of expected credit loss are based on days past due for groupings of various customer segments with similar credit risks to reflect differences between economic conditions in the past, current conditions and the Group's view of economic conditions over the expected lives of the receivables.

Information relevant to trade accounts receivables are disclosed in note 6.

(b.1.2) Investment in debt securities

The Group considers that all debt investments measured at amortised cost and FVOCI have low credit risk. Then the credit loss allowance assessed during the year was therefore limited to 12 months expected losses or 'low credit risk'. Marketable bonds are considered to be an investment grade credit rating published by external credit rating agencies. The credit risk of other instruments are considered to be low when the risk of default is low and the issuer has a strong capacity to meet its contractual cash flow obligations.

(b.1.3) Cash and cash equivalent

The Group's exposure to credit risk arising from cash and cash equivalents is limited because the counterparties are banks and financial institutions which the Group considers to have low credit risk.

(b.2) Liquidity risk

The Group monitors its liquidity risk and maintains a level of cash and cash equivalents deemed adequate by management to finance the Group's operations and to mitigate the effects of fluctuations in cash flows.

The following table are the remaining contractual maturities of financial liabilities at the reporting date. The amounts are gross and undiscounted and include contractual interest payments and exclude the impact of netting agreements.

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

Consolidated financial statements					
Contractual cash flows					
	Carrying amount	1 year or less	More than 1 years but less than 5 years	More than 5 years	Total
<i>At 31 December</i>			<i>(in thousand Baht)</i>		
2022					
Non-derivative financial liabilities					
Trade payables	349,574	349,574	-	-	349,574
Other payables	479,955	479,955	-	-	479,955
Short-term loans from financial institutions	227,000	227,000	-	-	227,000
Long-term loans from financial institutions	160,248	13,800	71,448	75,000	160,248
Lease liabilities	249,072	85,291	175,267	-	260,558
	<u>1,815,423</u>	<u>1,155,220</u>	<u>246,715</u>	<u>75,000</u>	<u>1,477,335</u>
Derivative financial liabilities					
Forward exchange contracts	<u>2,193</u>	<u>2,193</u>	<u>-</u>	<u>-</u>	<u>2,193</u>
2021					
Non-derivative financial liabilities					
Trade payables	305,134	305,134	-	-	305,134
Other payables	366,093	366,093	-	-	366,093
Short-term loans from financial institutions	62,000	62,000	-	-	62,000
Long-term loans from financial institutions	167,080	83,640	83,440	-	167,080
Lease liabilities	211,656	77,155	157,095	-	234,250
	<u>1,111,963</u>	<u>894,022</u>	<u>240,535</u>	<u>-</u>	<u>1,134,557</u>
Separate financial statements					
Contractual cash flows					
	Carrying amount	1 year or less	More than 1 years but less than 5 years	More than 5 years	Total
<i>At 31 December</i>			<i>(in thousand Baht)</i>		
2022					
Non-derivative financial liabilities					
Trade payables	415,094	415,094	-	-	415,094
Other payables	469,180	469,180	-	-	469,180
Short-term loans from financial institutions	130,000	130,000	-	-	130,000
Long-term loans from financial institutions	75,000	-	-	75,000	75,000
Lease liabilities	228,185	79,280	159,768	-	239,048
	<u>1,317,459</u>	<u>1,093,554</u>	<u>159,768</u>	<u>75,000</u>	<u>1,328,322</u>
Derivative financial liabilities					
Forward exchange contracts	<u>2,193</u>	<u>2,193</u>	<u>-</u>	<u>-</u>	<u>2,193</u>

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

At 31 December	Separate financial statements				
	Contractual cash flows				Total
	Carrying amount	1 year or less	More than 1 years but less than 5 years	More than 5 years	
			(in thousand Baht)		
2021					
Non-derivative financial liabilities					
Trade payables	366,396	366,396	-	-	366,396
Other payables	358,741	358,741	-	-	358,741
Long-term loans from financial institutions	120,780	69,840	50,940	-	120,780
Lease liabilities	199,124	72,840	135,159	-	207,999
	1,045,041	867,817	186,099	-	1,053,916

(c.3) Market risk

The Group is exposed to the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk is as follows:

(c.3.1) Foreign currency risk

The Group is exposed to foreign currency risk relating to periodically imports certain raw materials and machineries which are denominated in foreign currencies. The Group primarily utilised forward exchange contracts with maturities of less than one year to hedge such financial liabilities denominated in foreign currencies. The forward exchange contracts entered into at the reporting date also relate to anticipated purchasing machinery, denominated in foreign currencies, for the subsequent period.

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

(b.3.2) Interest rate risk

Interest rate risk is the risk that future movements in market interest rates will affect the results of the Group's operations and its cash flow because loan interest rates (see note 13) are mainly variable. So, the Group is primarily exposed to interest rate risk.

<i>Exposure to interest rate risk at 31 December</i>	<i>Consolidated financial statements</i>		<i>Separate financial statements</i>	
	2022	2021	2022	2021
	<i>(in thousand Baht)</i>			
Financial instruments with variable interest rates				
Financial liabilities	52,748	120,780	-	120,780
Net statement of financial position exposure	52,748	120,780	-	120,780

<i>Impact to profit or loss</i>	<i>Consolidated financial statements</i>		<i>Separate financial statements</i>	
	1% increase in interest rate	1% decrease in interest rate	1% increase in interest rate	1% decrease in interest rate
	<i>(in thousand Baht)</i>			
2022				
Financial instruments with variable interest rate	(527)	527	-	-
2021				
Financial instruments with variable interest rate	(1,208)	1,208	(1,208)	1,208

24 Capital management

The Board of Directors' policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business. The Board regularly monitors the return on capital and the level of dividends to ordinary shareholders.

25 Agreements

Service agreement

On 19 December 2013, the Company entered into an agreement with a local company, whereby such company will provide services and support as necessary to assist the Company's production, distribution, marketing, promotion, and sales activities pertaining to the beverages, including maintaining the image of the Company's trademark. In consideration thereof, the Company agreed to pay the service fee in the amount as indicated in the agreement. The agreement period is five years commencing from 1 January 2014 and ending on 31 December 2018. Unless there is notification to terminate the agreement within three months before the expiry date, the agreement will be automatically renewed for successive periods of one year.

Notes to the Financial Statements

HaadThip Public Company Limited and its Subsidiaries

For the year ended 31 December 2022

26 Commitments with non - related parties

	Consolidated financial statements		Separate financial statements	
	2022	2021	2022	2021
	(in thousand Baht)			
Capital commitments				
Commitment for machinery purchased	10,572	-	10,572	-
Commitment for construction	116,429	-	116,316	-
Commitment for land improvement	-	809	-	809
Commitment for building improvement	3,772	4,057	1,109	4,057
Commitment for building systems installment	198,026	1,113	197,676	1,113
Commitment for technology systems installment	265	4,157	-	2,942
Total	329,064	10,136	325,673	8,921
Other commitments				
Forward contracts	66,900	470	66,900	470
Short-term lease and service agreements commitment	31,115	1,345	30,010	1,290
Bank guarantee	33,894	31,729	31,894	31,729
Total	131,909	33,602	128,804	33,547

Bank guarantee

As at 31 December 2022, the Company had bank guarantee of Baht 13.60 million for the deferral of duties and other related expenses (2021: 13.60) as described in note 16.

27 Events after the reporting period

On 13 February 2023, the Board of Directors' meeting resolved to approve the dissolution of 3 companies, namely Haad Thip Commercial Co., Ltd., Haad Thip Food and Beverages Co., Ltd. and Kin Dee Yu Dee 2020 Co., Ltd. which is the subsidiaries of Haad Thip Public Company Limited, due to continuous losses from business operations. The Company will proceed with the registration of the dissolutions and liquidations to be completed in accordance with the applicable law.

A close-up photograph of green leaves, likely from a plant like lettuce, covered in numerous small, glistening water droplets. The droplets are of various sizes and are scattered across the surface of the leaves, which have prominent veins. The lighting is soft, creating a fresh and natural feel.

Part 4 | Certification of Information and Data Accuracy

Attachment 1

Details of Directors, Executives, Controlling Persons, the Person Taking the Highest Responsibility in Accounting and Finance, the Person Supervising Accounting, and the Company Secretary.

(As of December 31, 2022)

Details of Directors, Executives, Controlling Persons

1. GEN. CHARAN KULLAVANIJAYA

Position in Company	- Chairman of the Board (Starting Date 29th April 1998, totaling 24 years) - Independent Director
Age	87 years
Nationality	Thai
% of the shareholding in the Company	None (both directly and indirectly held)
Family Relationships among Directors and Executives	None
Education	- Bachelor of Science, Chulachomklao Royal Military Academy - The Command and General Staff College Fort Leavenworth, Kansas, USA. - Diploma on Economic Development, The Nation Institute of Development Administration (NIDA) 30th Thailand National Defense College (NDC)
Training by the Thai Institute of Directors Association	None
Work experiences	1987 - 2017 Special ADC to H.M. the King 2006 - 2008 First Vice-President, The National Legislative Assembly 1996 - 2000 Senator, Member of the Senate 1992 - 1996 Senator, Member of the Senate 1991 - 1996 Secretary General of the National Security Council, Office of the Prime Minister 1991 - 1992 Member of the National Legislative Assembly
Directorship position of the other company	- Listed Companies - Non - Listed Companies
	- None - Rajamangala University of Technology Rattanakosin 2013 - Present Chancellor of the University Council

2. MAJ. GEN. PATCHARA RATTAKUL

Position in Company	- Director (Starting Date 17th March 2004, totaling 18 years) - Authorized Director - Chief Executive Officer - Chairman of the Good Corporate Governance Committee						
Age	60 years						
Nationality	Thai						
% of the shareholding in the Company	6.457% of the paid-up capital and total voting rights.						
Family Relationships among Directors and Executives	- Mrs. Pariya Chirabandhu's brother - Mrs. Yupares Thiengtham's nephew - Cousin of Mr. Pongsakorn Thiengtham						
Education	M.A Philosophy Politics and Economics St. John's College, Oxford University, UK						
Training by the Thai Institute of Directors Association	Director Accreditation Program (DAP), 2005						
Work experiences	HaadThip Public Company Limited <table> <tr> <td>2019 - Present</td><td>Chief Executive Officer</td></tr> <tr> <td>2009 - 2019</td><td>Chief Operating Officer</td></tr> <tr> <td>2003 - 2009</td><td>Advisor</td></tr> </table>	2019 - Present	Chief Executive Officer	2009 - 2019	Chief Operating Officer	2003 - 2009	Advisor
2019 - Present	Chief Executive Officer						
2009 - 2019	Chief Operating Officer						
2003 - 2009	Advisor						
Directorship position of the other company	- Listed Companies - Non - Listed Companies						
	- None - Southern Rocks Company Limited March 2012 - Present Director - HaadThip Food & Beverages Company Limited February 2020 - Present Director - HaadThip Commercial Company Limited February 2020 - Present Director - HaadThip Development Company Limited December 2020 - Present Director						

3. MR. PRAKIT PRADIPASEN

Position in Company	• Director (Starting Date 17th March 1989, totaling 33 years) • Independent Director • Chairman of the Audit Committee
Age	• 80 years
Nationality	• Thai
% of the shareholding in the Company	• None (both directly and indirectly held)
Family Relationships among Directors and Executives	• None
Education	• Bachelor of Science of Business Administration Silliman University, Philippines • Master of Business Administration Wayne State University, Detroit Michigan, USA • City Bank Credit Trading Center, Philippines • Senior Executive Program, Stanford National of Singapore, Singapore • 3rd Special Program of Thailand National Defense College, Joint Public & Private Sector • Program for Senior Executive The Sloan School of Management Massachusetts Institute of Technology, USA
Training by the Thai Institute of Directors Association	• Director Accreditation Program (DAP) class 1/2003 • Role of Chairman Program (RCP) class 15/2007 • Thailand's 4 National Conference on Collective-on-Collective Action against Corruption class 1/2013
Work experiences	• Luckytex (Thailand) Public Company Limited 2000 – 2019 Independent Director / Chairman of the Audit Committee • Thai Carbon Black Public Company Limited 2000 – 2016 Independent Director / Chairman of the Audit Committee • Supalai Public Company Limited 2000 – 2018 Independent Director / Chairman of the Audit Committee / Chairman of the Nomination and Remuneration Committee • Aug Thong Sugar Terminal Company Limited 2000 – 2019 Chairman of the Board • The Erawan Group Public Company Limited 2000 – 2018 Chairman of the Board / Chairman of the Audit Committee / Chairman of the Nominating and Corporate Governance Committee

3. MR. PRAKIT PRADIPASEN (Continue)

Directorship position of the other company

- Listed Companies

- Toray Textiles (Thailand) Public Company Limited
2019 - Present Independent Director / Chairman of the Audit Committee
- Diamond Building Products Public Company Limited
2003 - Present Chairman of the Board
- Asian Marine Service Public Company Limited
2000 - Present Chairman of the Board / Independent Directors
- SUSCO Public Company Limited
2000 - Present Independent Director / Member of the Audit Committee

- Non - Listed Companies

- American University Alumni Association Language center
2019 - Present Chairman
- Rugby School Thailand
2018 - Present Director
- Pattaya Grand Village Company Limited
2003 - Present Director
- Myriad Material Company Limited
2002 - Present Director

4. MR. PHILIPP HUGO GUTSCHE

Position in Company	• Director (Starting Date 30th November 2005, totaling 17 years) • Member of the Nomination and Remuneration Committee
Age	• 84 years
Nationality	• South African
% of the shareholding in the Company	• 0.132% of the paid-up capital and total voting rights.
Family Relationships among Directors and Executives	• None
Education	• Bachelor of Commerce, University of Cape Town, South Africa
Training by the Thai Institute of Directors Association	• None
Work experiences	• Coca-Cola Sabco (Pty) Ltd. July 1962 - July 2016 Chairman
Directorship position of the other company	• Listed Companies • Non - Listed Companies
	• None • Coca-Cola Beverages Africa (Pty) Ltd. July 2016 - Present Director • Gutsche Investment and Management Company (Pty) Ltd. September 1976 - Present Director • Gutsche Family Investments (Pty) Ltd. July 1972 - Present Director

5. MR. JOHAN WILLEM MAARTEN JANSEN (MR. MARTIN JANSE)

Position in Company	- Director (Starting Date 21st March 2006, totaling 16 years) - Independent Director
Age	64 years
Nationality	Netherlands
% of the shareholding in the Company	None (both directly and indirectly held)
Family Relationships among Directors and Executives	None
Education	- Marketing Degree, HEAO - GRONINGEN (Higher studies Economics and Administration) - NIMA - C Certificate, NIMA (Highest marketing diploma in the Netherlands) - Kellogg School of Management - Northwestern University, Advanced Executive Program 1996 - Non - executive Director Diploma - Financial Times/EY London 2014
Training by the Thai Institute of Directors Association	None
Work experiences	- The Coca-Cola AMATIL January 2001 - May 2018 Non-Executive Director - The Coca-Cola Company (China & Southeast Asia) January 2010 - May 2018 Region Director & Chairman - Coca-Cola Industries Ltd., China January 2010 - May 2018 Chief Executive Officer - Coca-Cola SABCO October 1998 - December 2007 Chief Executive Officer
Directorship position of the other company	
Listed Companies	The KINGFISCH Company BV November 2020 - Present Non-executive Director
Non - Listed Companies	- MarketMakers BV September 2021 - Present Executive director - Pure the Winery January 2019 - Present Executive Director - Equatorial Coca—Cola Bottling Company July 2017 - Present Non-Executive Director - MYCO Management Consulting July 2017 - Present Executive Director

7. MRS. PARIYA CHIRABANDHU

Position in Company	- Director (Starting Date 29th March 1993, totaling 29 years) - Authorized Director - Member of the Nomination and Remuneration Committee - Senior Vice President						
Age	61 years						
Nationality	Thai						
% of the shareholding in the Company	15.393% of the paid-up capital and total voting rights (Inclusive of shares held by spouse)						
Family Relationships among Directors and Executives	- Maj. Gen. Patchara Rattakul's sister - Mrs. Yupares Thiengtham's niece - Cousin of Mr. Pongsakorn Thiengtham						
Education	Bachelor of Arts, Boston University, USA						
Training by the Thai Institute of Directors Association	- Director Accreditation Program (DAP), year 2005 - Role of the Compensation Committee (RCC), year 2012 - Strategic Board Master, Class 5/2018 - Strategic Board Master, Class 9/2020						
Work experiences	HaadThip Public Company Limited Working experience with HaadThip Public Company Limited 38 years <table> <tr> <td>2022 - Present</td><td>Senior Vice President</td></tr> <tr> <td>2019 - 2022</td><td>President</td></tr> <tr> <td>2005 - 2019</td><td>Senior Vice President</td></tr> </table>	2022 - Present	Senior Vice President	2019 - 2022	President	2005 - 2019	Senior Vice President
2022 - Present	Senior Vice President						
2019 - 2022	President						
2005 - 2019	Senior Vice President						
Directorship position of the other company	- Listed Companies - Non - Listed Companies						
	- None - HaadThip Development Company Limited December 2020 - Present Director - HaadThip Food & Beverages Company Limited February 2020 - Present Director - HaadThip Commercial Company Limited February 2020 - Present Director - Southern Rocks Company Limited March 2012 - Present Director - AC Worldwide Company Limited 2009 - Present Director - Thai Beverage Industry Association 2008 - Present Director						

8. M.L. DHISANA SRITAVAJ

Position in Company	Director (Starting Date 30th November 2005, totaling 17 years)
Age	60 years
Nationality	Thai
% of the shareholding in the Company	1.584% of the paid-up capital and total voting rights (Inclusive of shares held by spouse)
Family Relationships among Directors and Executives	None
Education	Master's Degree (Engineering Management) George Washington University, Washington DC, USA
Training by the Thai Institute of Directors Association	None
Work experiences	- Suvarnabhumi Marketing Company Limited 2009 - Present General Manager - Isapa Asia (Thailand) Company Limited 2009 - 2010 General Manager - Ton Ya Thai Company Limited 2002 - 2008 Marketing Director
Directorship position of the other company	- Listed Companies - Non - Listed Companies
	- None - None

9. MR. DUMRONGRUGS APIBALSAWASDI

Position in Company	- Director (Starting Date 20th May 2009, totaling 13 years) - Authorized Director - Member of the Good Corporate Governance Committee - Member of the Risk Management and Sustainable Development Committee - Senior Vice President (Corporate Affairs)								
Age	61 years								
Nationality	Thai								
% of the shareholding in the Company	None (both directly and indirectly held)								
Family Relationships among Directors and Executives	None								
Education	Bachelor of Politics, Chulalongkorn University								
Training by the Thai Institute of Directors Association	- Strategic Board Member, Class 5/2018 - Ethical Leadership Program (ELP), Class 24/2021								
Work experiences	HaadThip Public Company Limited <table> <tr> <td>2019 - Present</td><td>Senior Vice President (Corporate Affairs)</td></tr> <tr> <td>2012 - 2019</td><td>Vice President (Sales & Marketing)</td></tr> <tr> <td>2007 - 2012</td><td>Sales and Marketing Director</td></tr> <tr> <td>2004 - 2007</td><td>Marketing Director</td></tr> </table>	2019 - Present	Senior Vice President (Corporate Affairs)	2012 - 2019	Vice President (Sales & Marketing)	2007 - 2012	Sales and Marketing Director	2004 - 2007	Marketing Director
2019 - Present	Senior Vice President (Corporate Affairs)								
2012 - 2019	Vice President (Sales & Marketing)								
2007 - 2012	Sales and Marketing Director								
2004 - 2007	Marketing Director								
Directorship position of the other company	- None - HaadThip Commercial Company Limited <table> <tr> <td>2020 - Present</td><td>Director</td></tr> </table>	2020 - Present	Director						
2020 - Present	Director								

10. MRS. KERRY ANN SHIPP

Position in Company	• Director (Starting Date 21st October 2019, totaling 3 years)
Age	• 51 years
Nationality	• South African
% of the shareholding in the Company	• None (both directly and indirectly held)
Family Relationships among Directors and Executives	• None
Education	• Nelson Mandela Metropolitan University, South Africa, - Bachelor of Commerce Degree (Cum Laude) - 1991 - Bachelor of Commerce Honors Degree - 1992
Training by the Thai Institute of Directors Association	• None
Work experiences	• Coca-Cola Beverages Africa / Coca-Cola Sabco December 2012 - June 2017 Group Financial Controller • Coca-Cola Sabco April 2005 - November 2012 Group Governance Manager • Gutsche Family Investments (Pty) Ltd. July 2017 - Present Director of the Family Office
Directorship position of the other company	
• Listed Companies • Non - Listed Companies	• None • Woodlands Dairy Pty Ltd.

11. MR. PONGSAKORN THIENGTHAM

Position in Company	Director (Starting Date 1st June 2022, totaling 7 months)
Age	60 years
Nationality	Thai
% of the shareholding in the Company	0.0448% of the paid-up capital and total voting rights (Inclusive of shares held by spouse)
Family Relationships among Directors and Executives	- Mrs. Yupares Thiengtham's son - Cousin of Maj. Gen. Patchara Rattakul and Mrs. Pariya Chirabandhu
Education	- BSc., Electrical Engineering, New Jersey Institute of Technology - MBA Finance & International Business, Sasin Graduate Institute of Business Administration
Training by the Thai Institute of Directors Association	- Director Certification Program (DCP), year 2002 - Director Leadership Certification Program (DLCP), Class 6/2022
Work experiences	- Castle Partners Company Limited 2016 - Present Partner - PPK Partners Company Limited 2012 - Present Partner - CPN REIT Management Company Limited 2017 - 2019 Advisor to the Board of Directors - Syrus Securities Public Company Limited 2004 - 2008 President, Corporate Finance and Capital Markets
Directorship position of the other company	- Listed Companies - Non - Listed Companies
	- None - HaadThip Food and Beverages Company Limited 2020 - Present Director - HaadThip Commercial Company Limited 2020 - Present Director - HaadThip Development Company Limited 2020 - Present Director - CPN REIT Management Company Limited 2019 - Present Independent Director - Castle Partners Company Limited 2016 - Present Director - PPK Partners Company Limited 2012 - Present Director

Remark: The Board of Directors meeting no. 3/2022 held on 27th May 2022 approved the appointment of Mr. Pongsakorn Thiengtham to be the Company's director to replace Mrs. Yupares Thiengtham and to be equal to the remaining term of director of Mrs. Yupares Thiengtham, effective on 1st June 2022.

12. POL. GEN. JARUVAT VAISAYA

Position in Company	Director (Starting Date 1st June 2022, totaling 7 months)
Age	62 years
Nationality	Thai
% of the shareholding in the Company	None (both directly and indirectly held)
Family Relationships among Directors and Executives	None
Education	- Armed Forces Academies Preparatory School (Class 21) - Bachelor of Public Administration, Royal Police Cadet Academy (Class 37) - Master of Public Administration, University of San Diego, USA - Doctor of Philosophy, Criminal Justice Administration and Society, Suan Dusit Rajabhat University
Training by the Thai Institute of Directors Association	Director Certification Program (DCP), Class 322/2022
Work experiences	- BTS Group Holdings Public Company Limited 2021 – Present Advisor to CEO - Prime Minister's Delivery Unit 2020 – Present Deputy Director of Prime Minister's Delivery Unit - Royal Thai Police 2020 Assistant Commissioner General 2021 Special Advisor of Royal Thai Police
Directorship position of the other company	
Listed Companies	Krungthai Asset Management Public Company Limited 2018 – Present Director / Audit Committee Member
Non – Listed Companies	- Visaya Consulting Company Limited 2021 – Present Director - Jiva Residences Company Limited 2020 – Present Director

Remark: The Board of Directors meeting no. 3/2022 held on 27th May 2022 approved the appointment of Pol. Gen. Jaruvat Vaisaya to be the Company's director to replace Miss Smornluk Mahasmiti and to be equal to the remaining term of director of Miss Smornluk Mahasmiti, effective on 1st June 2022.

13. MR. SWIN CHATSUWAN

Position in Company	• Director (Starting Date 26th July 2022, totaling 6 months) • Independent Director • Member of the Audit Committee
Age	• 59 years
Nationality	• Thai
% of the shareholding in the Company	• None (both directly and indirectly held)
Family Relationships among Directors and Executives	• None
Education	• Bachelor's Degree in Accounting and Finance from Loughborough University, United Kingdom • Master's degree in Economics from London School of Economics, United Kingdom
Training by the Thai Institute of Directors Association	• None
Work experiences	• Zapp Scooters (Thailand) Company Limited 2018 - Present Chief Executive Officer • Zapp Electric Vehicles Limited, United Kingdom 2017 - Present Chief Executive Officer • Paragon Partners Company Limited 1998 - Present Chief Executive Officer • NatWest Group, Thailand 1995 - 1996 Managing Director • CLSA Limited, Thailand 1989 - 1994 Managing Director
Directorship position of the other company	• Listed Companies • Non - Listed Companies
	• None • Zapp Scooters (Thailand) Company Limited 2018 - Present Director • Zapp Electric Vehicles Limited, United Kingdom 2017 - Present Director • Paragon Partners Company Limited 1998 - Present Director

Remark: The Extraordinary General Shareholders Meeting No.1/2022 held on 26th July 2022 approved the appointment of Mr. Swin Chatsuwana to be the Company's Independent Director and Audit committee member, effective on 26th July 2022.

14. MR. PAKORN SUKHUM

Position in Company	• Director (Starting Date 26th July 2022, totaling 6 months)
Age	• 61 years
Nationality	• Thai
% of the shareholding in the Company	• 0.085% of the paid-up capital and total voting rights (Inclusive of shares held by spouse)
Family Relationships among Directors and Executives	• None
Education	• Bachelor's Degree, BSc.,(Hons) Biochemistry, Royal Holloway, University of London, United Kingdom • Master's Degree, Master of Business Administration Program - Finance and International Business Sasin Graduate Institute of Business Administration of Chulalongkorn University
Training by the Thai Institute of Directors Association	• Director Certification Program (DCP), Class 133/2010 • Financial Statement for Director (FSD), Class 30/2016 • Advanced Audit Committee (AACP), Class 46/2022
Work experiences	• Premier Products Public Company Limited 2018 – 2022 Director / Chairman of the Executive Committee / Chief Executive Committee • Akara Resources Public Company Limited 2010 – 2015 Chief Executive Officer • Royal Porcelain Public Company Limited 2003 – 2009 Executive Vice President
Directorship position of the other company	• Listed Companies • Non - Listed Companies
	• None • MITR Technical Consultant Company Limited 2019 – Present Director • Castle Partners Company Limited 2016 – Present Director

Remark: The Extraordinary General Shareholders Meeting No.1/2022 held on 26th July 2022 approved the appointment of Mr. Pakorn Sukhum to be the Company's Director, effective on 26th July 2022.

15. MRS. YUPARES THIENGTHAM

Position in Company	- Director (Starting Date 24th August 1988 to 31st May 2022, totaling 34 years and 5 months) - Chairman of the Nomination and Remuneration
Age	85 years
Nationality	Thai
% of the shareholding in the Company	0.015% of the paid-up capital and total voting rights (Inclusive of shares held by spouse)
Family Relationships among Directors and Executives	- Mr. Pongsakorn Thiengtham's mother - A relative of Maj. Gen. Patchara Rattakul and Mrs. Pariya Chirabandhu
Education	Certificate of Secretary and Commerce Bristol College of Commerce, England
Training by the Thai Institute of Directors Association	None
Work experiences	HaadThip Public Company Limited 1978 - 2003 Deputy Managing Director
Directorship position of the other company	- Listed Companies - Non - Listed Companies
	- None - None

Remark: Mrs. Yupares Thiengtham, the Director, resigned from the directorship and other positions, effective on 1st June 2022.

16. MISS SMORNLUK MAHASMITI

Position in Company	• Director (Starting Date 21st March 2006 to 31st May 2022, totaling 16 years and 5 months) • Independent Director • Member of the Audit Committee • Member of the Nomination and Remuneration Committee
Age	• 78 years
Nationality	• Thai
% of the shareholding in the Company	• None (both directly and indirectly held)
Family Relationships among Directors and Executives	• None
Education	• Srinakharin Wirot University Prasarnmit Demonstration School (Secondary)
Training by the Thai Institute of Directors Association	• None
Work experiences	• HaadThip Public Company Limited 1978 – 2004 Deputy Managing Director
Directorship position of the other company	
• Listed Companies • Non – Listed Companies	• None • Southern Rocks Company Limited March 2012 – Present Director

Remark: Miss Smornluk Mahasmiti, Independent Director, resigned from the directorship position, effective on 1st June 2022.

17. MR. JOSE HENRIQUE ZEITUNE

Position in Company	- Chief Operating Officer - Chairman of the Risk Management and Sustainable Development Committee										
Age	58 years										
Nationality	Brazilian										
% of the shareholding in the Company	0.0823% of the paid-up capital and total voting rights										
Family Relationships among Directors and Executives	None										
Education	Master of Business Administration (MBA) Fundacao Dom Cabral, Brazil										
Training by the Thai Institute of Directors Association	None										
Work experiences	- HaadThip Public Company Limited <table> <tr> <td>2021- Present</td><td>Chief Operating Officer</td></tr> <tr> <td>2019 - 2020</td><td>Senior Vice President (Commercial & Growth Strategy)</td></tr> <tr> <td>November 2018 - June 2019</td><td>Vice President (Commercial & Growth Strategy)</td></tr> </table> - Coca-Cola Thailand <table> <tr> <td>July 2013 - August 2018</td><td>Franchise Director, Southern Thailand and LAOS</td></tr> </table> - Coca-Cola Thailand seconded to ThaiNamthip Ltd. <table> <tr> <td>May 2011 - July 2013</td><td>Strategic Planning Director</td></tr> </table>	2021- Present	Chief Operating Officer	2019 - 2020	Senior Vice President (Commercial & Growth Strategy)	November 2018 - June 2019	Vice President (Commercial & Growth Strategy)	July 2013 - August 2018	Franchise Director, Southern Thailand and LAOS	May 2011 - July 2013	Strategic Planning Director
2021- Present	Chief Operating Officer										
2019 - 2020	Senior Vice President (Commercial & Growth Strategy)										
November 2018 - June 2019	Vice President (Commercial & Growth Strategy)										
July 2013 - August 2018	Franchise Director, Southern Thailand and LAOS										
May 2011 - July 2013	Strategic Planning Director										
Directorship position of the other company											
Listed Companies	None										
Non - Listed Companies	None										

18. MR. JOHN JOSEPH BENEDETTI

Position in Company	Senior Vice President (Supply Chain)
Age	57 years
Nationality	British
% of the shareholding in the Company	None (both directly and indirectly held)
Family Relationships among Directors and Executives	None
Education	St. Joseph's College of Further Education Glasgow, Scotland, UK
Training by the Thai Institute of Directors Association	None
Work experiences	- HaadThip Public Company Limited 2015 – Present Senior Vice President (Supply Chain) 2014 – 2015 Vice President 2006 – 2014 Operations Director - Scarlet Ibis Investments Coca-Cola Southern Africa - Operations Manager – Highveld Bottling - TJC Holding (PTY) Ltd. - Operations Manager – Highveld Bottling - Production Manager – Highveld Bottling - Coca-Cola Sabco - Bottling Managing - Bass Clarington Breweries, London, UK - Installation Technician
Directorship position of the other company	
Listed Companies	None
Non – Listed Companies	None

19. MR. TIMOTHY EDWARD DOYLE

Position in Company	Senior Vice President (Makro, Wholesale KA, Customer Service System)														
Age	61 years														
Nationality	Australian														
% of the shareholding in the Company	None (both directly and indirectly held)														
Family Relationships among Directors and Executives	None														
Education	Bachelor of Arts - Speech Communication & Business Marketing San Jose State University, San Jose California, USA														
Training by the Thai Institute of Directors Association	None														
Work experiences	- HaadThip Public Company Limited <table> <tr> <td>January 2022 - Present</td><td>Senior Vice President (Makro, Wholesale KA, Customer Service System)</td></tr> <tr> <td>January 2020 - December 2021</td><td>Vice President (Makro, Wholesale KA, Customer Service System)</td></tr> <tr> <td>April 2017 - January 2020</td><td>Vice President (Customer Service System & Indirect Channel)</td></tr> <tr> <td>2014 - March 2017</td><td>Customer Service System Director</td></tr> <tr> <td>2006 - 2014</td><td>Operations Director</td></tr> </table> - TCCC, Coca-Cola Southeast Asia Service Company (Coca-Cola Company Asia) <table> <tr> <td>2011 - 2013</td><td>Lao Project Manager - Franchise Director Southern Thailand</td></tr> </table> - Coca-Cola Southeast Asia Service Company (Coca-Cola Company Asia) <table> <tr> <td>2002 - 2010</td><td>Country Manager PNG & Pacific Island</td></tr> </table>	January 2022 - Present	Senior Vice President (Makro, Wholesale KA, Customer Service System)	January 2020 - December 2021	Vice President (Makro, Wholesale KA, Customer Service System)	April 2017 - January 2020	Vice President (Customer Service System & Indirect Channel)	2014 - March 2017	Customer Service System Director	2006 - 2014	Operations Director	2011 - 2013	Lao Project Manager - Franchise Director Southern Thailand	2002 - 2010	Country Manager PNG & Pacific Island
January 2022 - Present	Senior Vice President (Makro, Wholesale KA, Customer Service System)														
January 2020 - December 2021	Vice President (Makro, Wholesale KA, Customer Service System)														
April 2017 - January 2020	Vice President (Customer Service System & Indirect Channel)														
2014 - March 2017	Customer Service System Director														
2006 - 2014	Operations Director														
2011 - 2013	Lao Project Manager - Franchise Director Southern Thailand														
2002 - 2010	Country Manager PNG & Pacific Island														
Directorship position of the other company															
Listed Companies	None														
Non - Listed Companies	None														

20. MR. VORANIN ASADAMONGKOL

Position in Company	Senior Vice President (TT-DSD, Wholesale, HORECA, Tele-sales, Vending, and Sales Capability)								
Age	48 years								
Nationality	Thai								
% of the shareholding in the Company	0.056% of the paid-up capital and total voting rights								
Family Relationships among Directors and Executives	None								
Education	MBA. Major in Marketing and Strategic Management University of Southern New Hampshire. USA								
Training by the Thai Institute of Directors Association	None								
Work experiences	- HaadThip Public Company Limited <table> <tr> <td>January 2022 - Present</td><td>Senior Vice President (TT-DSD, Wholesale, HORECA, Tele-sales, Vending, and Sales Capability)</td></tr> <tr> <td>January 2020 - December 2021</td><td>Vice President (TT-DSD, Wholesale, HORECA, Tele-sales, Vending, and Sales Capability)</td></tr> <tr> <td>May 2019 - January 2020</td><td>Vice President (HORECA, Sustainability)</td></tr> </table> - Siam GS sales Company Limited <table> <tr> <td>2015 - 2019</td><td>Managing Director</td></tr> </table>	January 2022 - Present	Senior Vice President (TT-DSD, Wholesale, HORECA, Tele-sales, Vending, and Sales Capability)	January 2020 - December 2021	Vice President (TT-DSD, Wholesale, HORECA, Tele-sales, Vending, and Sales Capability)	May 2019 - January 2020	Vice President (HORECA, Sustainability)	2015 - 2019	Managing Director
January 2022 - Present	Senior Vice President (TT-DSD, Wholesale, HORECA, Tele-sales, Vending, and Sales Capability)								
January 2020 - December 2021	Vice President (TT-DSD, Wholesale, HORECA, Tele-sales, Vending, and Sales Capability)								
May 2019 - January 2020	Vice President (HORECA, Sustainability)								
2015 - 2019	Managing Director								
Directorship position of the other company	- Listed Companies - Non - Listed Companies								
	- None - None								

21. MR. THAKERNG KANCHANA

Position in Company	• Vice President (CDE & Construction)						
Age	• 67 years						
Nationality	• Thai						
% of the shareholding in the Company	• 0.061% of the paid-up capital and total voting rights						
Family Relationships among Directors and Executives	• None						
Education	• Bachelor of Engineering, Chulalongkorn University • Master of Public Administration, National Institute of Development Administration (NIDA)						
Training by the Thai Institute of Directors Association	• None						
Work experiences	HaadThip Public Company Limited <table> <tr> <td>2015 - Present</td><td>Vice President (CDE & Construction)</td></tr> <tr> <td>2004 - 2015</td><td>Plant Director</td></tr> <tr> <td>1995 - 2004</td><td>Plant Division Manager</td></tr> </table>	2015 - Present	Vice President (CDE & Construction)	2004 - 2015	Plant Director	1995 - 2004	Plant Division Manager
2015 - Present	Vice President (CDE & Construction)						
2004 - 2015	Plant Director						
1995 - 2004	Plant Division Manager						
Directorship position of the other company	- Listed Companies • None - Non - Listed Companies • None						

22. MR. THONGCHAI UNCHURIT

Position in Company	Vice President (General Administration & Government Relations)								
Age	69 years								
Nationality	Thai								
% of the shareholding in the Company	0.005% of the paid-up capital and total voting rights								
Family Relationships among Directors and Executives	None								
Education	- Bachelor of Economics, Ramkhamhaeng University - Master of Public Administration, National Institute of Development Administration (NIDA)								
Training by the Thai Institute of Directors Association	None								
Work experiences	HaadThip Public Company Limited <table> <tr> <td>July 2016 - Present</td><td>Vice President (General Administration & Government Relations)</td></tr> <tr> <td>2007 - June 2016</td><td>General Administration Director</td></tr> <tr> <td>2004 - 2006</td><td>General Administration manager</td></tr> <tr> <td>2002 - 2003</td><td>Asst. Marketing Manager</td></tr> </table>	July 2016 - Present	Vice President (General Administration & Government Relations)	2007 - June 2016	General Administration Director	2004 - 2006	General Administration manager	2002 - 2003	Asst. Marketing Manager
July 2016 - Present	Vice President (General Administration & Government Relations)								
2007 - June 2016	General Administration Director								
2004 - 2006	General Administration manager								
2002 - 2003	Asst. Marketing Manager								
Directorship position of the other company	- Listed Companies - Non - Listed Companies								
	- None - Southern Rocks Company Limited March 2012 - Present Director								

23. MR. RICCARDO VRODOM SUCHARITKUL

Position in Company	• Vice President (Corporate Strategy)
Age	• 45 years
Nationality	• Thai
% of the shareholding in the Company	• 0.0565% of the paid-up capital and total voting rights
Family Relationships among Directors and Executives	• None
Education	• M.A. Law, Bristol University, UK: 2002 - 2004 • B.A. Classics, Amherst College, Mass., USA 1996 - 2000 • Harrow School, Middlesex, UK, 1990 - 1995
Training by the Thai Institute of Directors Association	• None
Work experiences	• HaadThip Public Company Limited January 2020 - Present Vice President (Corporate Strategy) August 2019 - January 2020 Vice President - Future Growth & Diversification • CANADOIL Group of Companies 2009 - 2017 Chief Corporate Officer • Bank of Thailand 2000 - 2009 Senior Analyst, Financial Risk Management and Operations Group
Directorship position of the other company	• Listed Companies • Non - Listed Companies • None • Southern Rocks Company Limited November 2020 - Present Director • HaadThip Food & Beverages Company Limited February 2020 - Present Director • HaadThip Commercial Company Limited February 2020 - Present Director • HaadThip Development Company Limited December 2020 - Present Director • KindeeYudee 2020 Company Limited February 2020 - Present Director

24. MS. SARUNLUCK THEPWARIN

Position in Company	Vice President (Modern Trade)
Age	54 years
Nationality	Thai
% of the shareholding in the Company	0.0497% of the paid-up capital and total voting rights
Family Relationships among Directors and Executives	None
Education	- Ph.D. (Business Administration) Institute of International Studies, Ramkhamhaeng University - Master of Public Administration (Public Administration National Institute of Development Administration - M.B.A. International Business Lincoln University, U.S.A.
Training by the Thai Institute of Directors Association	None
Work experiences	- HaadThip Public Company Limited - January 2020 - Present Vice President (Modern Trade) - July 2016 - January 2020 Director - National Accounts - May 2015 - June 2016 Senior Manager - National Accounts
Directorship position of the other company	
Listed Companies	None
Non - Listed Companies	None

25. MR. PUTTAPORN RAJPRICHA

Position in Company	Vice President (Human Resources)
Age	53 years
Nationality	Thai
% of the shareholding in the Company	None (both directly and indirectly held)
Family Relationships among Directors and Executives	None
Education	Master's Degree of Science, Industrial Relations, University of New Haven, Connecticut, U.S.A.
Training by the Thai Institute of Directors Association	None
Work experiences	- HaadThip Public Company Limited March 2020 - Present Vice President (Human Resources) - G4S Security Services (Thailand) Co., Ltd January 2018 - May 2019 Human Resources Director - DHL Supply Chain (Thailand) Company Limited January 2015 - January 2018 Human Resources Director
Directorship position of the other company	
Listed Companies	None
Non - Listed Companies	None

26. MR. SEKSAN PHETSUT

Position in Company	• Vice President (Operation)												
Age	• 56 years												
Nationality	• Thai												
% of the shareholding in the Company	• 0.010% of the paid-up capital and total voting rights												
Family Relationships among Directors and Executives	• None												
Education	• Bachelor of Engineering (Mechanical Engineering) Rajamangala University of Technology Sriwichai												
Training by the Thai Institute of Directors Association	• None												
Work experiences	• HaadThip Public Company Limited <table> <tr> <td>March 2020 - Present</td><td>Vice President (Operation)</td></tr> <tr> <td>May 2015 - March 2020</td><td>Plant Director</td></tr> <tr> <td>December 2014 - May 2015</td><td>Senior Plant Division Manager</td></tr> <tr> <td>July 2012 - November 2014</td><td>Plant Division Manager</td></tr> <tr> <td>July 2009 - June 2012</td><td>Deputy Plant Division Manager</td></tr> <tr> <td>July 2005 - June 2009</td><td>Production Department Manager</td></tr> </table>	March 2020 - Present	Vice President (Operation)	May 2015 - March 2020	Plant Director	December 2014 - May 2015	Senior Plant Division Manager	July 2012 - November 2014	Plant Division Manager	July 2009 - June 2012	Deputy Plant Division Manager	July 2005 - June 2009	Production Department Manager
March 2020 - Present	Vice President (Operation)												
May 2015 - March 2020	Plant Director												
December 2014 - May 2015	Senior Plant Division Manager												
July 2012 - November 2014	Plant Division Manager												
July 2009 - June 2012	Deputy Plant Division Manager												
July 2005 - June 2009	Production Department Manager												
Directorship position of the other company													
• Listed Companies	• None												
• Non - Listed Companies	• None												

27. MRS. ARISA PUKDEEMAKANON

Position in Company	Vice President (Commercial Operations)								
Age	45 years								
Nationality	Thai								
% of the shareholding in the Company	0.050% of the paid-up capital and total voting rights								
Family Relationships among Directors and Executives	None								
Education	Bachelor of Arts, Columbia College Chicago, U.S.A.								
Training by the Thai Institute of Directors Association	None								
Work experiences	HaadThip Public Company Limited <table> <tr> <td>January 2022 - Present</td><td>Vice President (Commercial Operations)</td></tr> <tr> <td>January 2020 - December 2021</td><td>Assistant Vice President (Commercial Operations)</td></tr> <tr> <td>September 2018 - January 2020</td><td>Director (Revenue Growth Management and Commercial)</td></tr> <tr> <td>May 2015 - September 2018</td><td>Senior Marketing Manager</td></tr> </table>	January 2022 - Present	Vice President (Commercial Operations)	January 2020 - December 2021	Assistant Vice President (Commercial Operations)	September 2018 - January 2020	Director (Revenue Growth Management and Commercial)	May 2015 - September 2018	Senior Marketing Manager
January 2022 - Present	Vice President (Commercial Operations)								
January 2020 - December 2021	Assistant Vice President (Commercial Operations)								
September 2018 - January 2020	Director (Revenue Growth Management and Commercial)								
May 2015 - September 2018	Senior Marketing Manager								
Directorship position of the other company	- Listed Companies - Non - Listed Companies								
	- None - None								

28. MR. TAWEEDET JANMEEON

Position in Company	- Assistant Vice President (TT/DSD, Wholesale TT, Sales Operation) - Director (TT/DSD)								
Age	64 years								
Nationality	Thai								
% of the shareholding in the Company	0.0534% of the paid-up capital and total voting rights								
Family Relationships among Directors and Executives	None								
Education	Vocational Certificate, Bangkok mechanical school								
Training by the Thai Institute of Directors Association	None								
Work experiences	HaadThip Public Company Limited <table> <tr> <td>January 2022 - Present</td><td>Assistant Vice President (TT/DSD, Wholesale TT, Sales Operation) / Director (TT/DSD)</td></tr> <tr> <td>August 2020 - December 2021</td><td>Pre-sale / DSD Director and Acting HORECA Director</td></tr> <tr> <td>June 2014 - August 2020</td><td>Sales Director</td></tr> <tr> <td>June 2008 - May 2014</td><td>Senior Sales Manager Division</td></tr> </table>	January 2022 - Present	Assistant Vice President (TT/DSD, Wholesale TT, Sales Operation) / Director (TT/DSD)	August 2020 - December 2021	Pre-sale / DSD Director and Acting HORECA Director	June 2014 - August 2020	Sales Director	June 2008 - May 2014	Senior Sales Manager Division
January 2022 - Present	Assistant Vice President (TT/DSD, Wholesale TT, Sales Operation) / Director (TT/DSD)								
August 2020 - December 2021	Pre-sale / DSD Director and Acting HORECA Director								
June 2014 - August 2020	Sales Director								
June 2008 - May 2014	Senior Sales Manager Division								
Directorship position of the other company									
Listed Companies	None								
Non - Listed Companies	None								

Detail of the Person Taking the Highest Responsibility in Accounting and Finance

MR. AMRIT KUMAR SHRESTHA (The person taking the highest responsibility in finance and accounting)

Position in Company	Chief Financial Officer (CFO) (The person taking the highest responsibility in finance and accounting, starting date 7th December 2020, totaling 3 years)
Age	54 years
Nationality	Nepal
% of the shareholding in the Company	0.0162% of the paid-up capital and total voting rights, NVDR: 74,000 Shares
Family Relationships among Directors and Executives	None
Education	Bachelor's Degree in Management, Tribhuvan University, Nepal
Training by the Thai Institute of Directors Association	- CFO training course (CFO Refresher course) in 2022 - Accounting and Finance Preparation (CFO's orientation by SET) - TLCA CFO Professional Development Program (TLCA CFO CPD) No. 4/2021 "How finance leaders are adapting within the new normal" - TLCA CFO Professional Development Program (TLCA CFO CPD) No. 5/2021 "Fraud & Cyber Security Risk" - TLCA CFO Professional Development Program (TLCA CFO CPD) No. 6/2021 "ESG Integration in Sustainable Investing"
Refresh (hours)	6 hours
Work experiences	- HaadThip Public Company Limited December 2020 - present Chief Financial Officer (CFO) - Coca-Cola, Thailand May 2015 - November 2020 Regional Finance Director/ Chief Financial Officer for Thailand, Laos, and Myanmar - The Coca-Cola Company August 2011 - April 2015 Regional Finance Director for Singapore, Malaysia, and Brunei July 2008 - July 2011 Regional Finance Director for Indonesia and PNG - TCCC and Nestle Joint Venture June 2004 - June 2008 Finance Director, Water Business JV in Indonesia - The Coca-Cola Company Bottling Operations 1996 - 2004 Bottling Financial leadership roles in Vietnam 1994 - 1996 Finance and Admin Manager, Cambodia 1988 - 1994 Finance Manager, Nepal Bottling
Directorship position of the other company	- Listed Companies - Non - Listed Companies
	- None - None

The person supervising accounting

Miss Nithinart Juntasurat

Position in Company	Accounting Director (The person supervising accounting, starting date 26th November 2018)						
Age	51 years						
Nationality	Thai						
% of the shareholding in the Company	0.0030% of the paid-up capital and total voting rights						
Family Relationships among Directors and Executives	None						
Education	- Master of Business Administration, Ramkhamhaeng University - Bachelor of Commerce (Accounts), Chiang Mai University						
Training by the Thai Institute of Directors Association	None						
Refresh (hours)	13 hours						
Work experiences	HaadThip Public Company Limited <table> <tr> <td>2020 - Present</td><td>Accounting Director</td></tr> <tr> <td>2010 - 2020</td><td>Accounting Division Manager</td></tr> <tr> <td>2006 - 2010</td><td>Asst. Accounting Division Manager</td></tr> </table>	2020 - Present	Accounting Director	2010 - 2020	Accounting Division Manager	2006 - 2010	Asst. Accounting Division Manager
2020 - Present	Accounting Director						
2010 - 2020	Accounting Division Manager						
2006 - 2010	Asst. Accounting Division Manager						
Directorship position of the other company	- Listed Companies - None - Non - Listed Companies - Southern Rocks Company Limited <table> <tr> <td>March 2012 - Present</td><td>Director</td></tr> </table>	March 2012 - Present	Director				
March 2012 - Present	Director						

Company Secretary

Miss Marisa Sangvoranit

Position in Company	Company Secretary (Starting Date 1st April 2022, totaling 9 months)
Age	45 years
Nationality	Thai
% of the shareholding in the Company	None (both directly and indirectly held)
Family Relationships among Directors and Executives	None
Education	- Master's Degree in Business Administration Faculty of Business Administration, University of Oregon, USA - Bachelor's Degree in Production Management Faculty of Business Administration, Kasetsart University
Training by the Thai Institute of Directors Association	Company Secretary Program - Class CSP 128/2022
Work experiences	- HaadThip Public Company Limited April 2022 - Present Company Secretary - Assetwise Public Company Limited 2021 Deputy Chief Officer of Investor Relations - Country Group Development Public Company Limited 2018 - 2020 Assistant Director of Investor Relations - King Wai Group Public Company Limited 2016 - 2018 Assistant Vice President-Organizational Development and Research Development - Keppel Thai Properties Public Company Limited 2013 - 2016 Assistant Vice President - Organization Development and Research Development
Directorship position of the other company	
Listed Companies	None
Non - Listed Companies	None

Remark: The Board of Directors meeting no. 2/2022 held on 15th March 2022 approved the appointment of Miss Marisa Sangvoranit to be the Company Secretary to replace Miss Sudaluck Brownvanakul, effective on 1st April 2022.

Attachment 1

Detail of Directors, Executives and Controlling Persons who are Directors or Executives in Subsidiaries or Associate Companies as of 31st December 2022

Name-Surname	HaadThip Public Company Limited	Subsidiaries				
		Southern Rock Co., Ltd.	HaadThip Food and Beverages Co., Ltd.	HaadThip Commercial Co., Ltd.	HaadThip Development Co., Ltd.	Kindeeyudee 2020 Co., Ltd.
1. Maj. Gen. Patchara Rattakul	//	/	/	/	/	
2. Mrs. Pariya Chirabhandhu	//	/	/	/	/	
3. Mr. Dumrongrugs Apibalsawasdi	//			//		
4. Mr. Pongsakorn Thiengtham	/		/	/	/	/
5. Mr. Riccardo Vrodom Sucharitkul	M	/	/	/	/	/
6. Mr. Thongchai Unchurit	M	/				

C = Chairman

/ = Director

// = Executive Director

M = Executive

Attachment 2

Details of Directors of Subsidiaries as of 31st December 2022

Name-Surname	Subsidiaries			
	HaadThip Food and Beverages Co., Ltd.	HaadThip Commercial Co., Ltd.	HaadThip Development Co., Ltd.	Kindeeyudee 2020 Co., Ltd.
1. Maj. Gen. Patchara Rattakul	/	/	/	
2. Mrs. Pariya Chirabhandhu	/	/	/	
3. Mr. Dumrongrugs Apibalsawasdi		/		
4. Mr. Pongsakorn Thiengtham	/	/	/	/
5. Mr. Riccardo Vrodom Sucharitkul	/	/	/	/
6. Mr. Sarapat Thiengtham	/			/
7. Mr. Ekachai Pukdeemakanon			/	
8. Mrs. Yupaphan Ekasittikul				/

Attachment 3

Details of Head of Internal Audit

Mrs. Arunee Praduppeth

Position in Company	Internal Audit Department Manager (Starting Date 3rd January 2017, totaling 5 years)
Age	50 years
Nationality	Thai
% Of the shareholding in the Company	None (both directly and indirectly held)
Family Relationships among Directors and Executives	None
Education	Bachelor's Degree (Accounting) Sukhothai Thammathirat Open University
Training / The Certified	- Federation of Accounting Professions under royal Patronage - IACP (Internal Auditing Certificate Program) - Chief Audit Executive Professional Leadership Program - The Thai Institute of Directors Association - 200 companies and the future of Thai private sector cooperation in anti-corruption
Work experience	
11 years of work experience in Internal Auditing	- HaadThip Public Company Limited - PHIYHAN PHANICH Group Company Limited
18 years of work experience in Accounting	- Ban Suzuki Group Company Limited - PHIYHAN PHANICH Group Company Limited - A.P.K. FURNISHING PARAWOOD Company Limited. 3K Home Base Company Limited

Attachment 4

Report on the Board of Directors' Responsibilities for the Financial Report

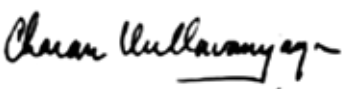
To Shareholders

The Company's Board of Directors shall be responsible for the Financial Statements of HaadThip Public Company Limited and the Subsidiary, which have been prepared in accordance with the Financial Reporting Standards as per the Accounting Act B.E. 2543 and the requirements set forth by The Securities and Exchange Commission on the subject of Financial Reporting, under The Securities and Exchange Act B.E. 2535. The Company has considered and adopted the accounting policy deemed suitable for the Company and has put the policy to practice on a regular basis. In addition, essential information in the Notes to the Financial Statements have been disclosed in a sufficient manner.

The Company's Board of Directors has ensured that the Company has a sound Corporate Governance Policy; Anti-corruption Policy; and has established as well as intended to maintain the Risk Management System and Internal Control System, for the purpose of assurance that every accounting record is accurate, complete and timely, sufficient to preserve the Company's assets and prevent any fraudulence or anomalous operations deemed material.

As such, the Company has appointed an Audit Committee that comprises independent directors for the purpose of monitor and control; to perform the review of the Financial Statements in order to ensure reliable and accurate information in the Financial Statements; and to perform an assessment on Internal Control and Internal Audit System to ensure efficiency and effectiveness of the system. The opinions of the Audit Committee appear in the Audit Committee Report, which is presented in this Form 56-1 One Report.

The Board of Directors issues an opinion that the Company's Internal Control and Internal Audit System serves to assure that the Financial Statements of HaadThip Public Company Limited and the Subsidiary for the accounting year ended 31st December 2022 display the financial status, operating results and cash flows in an accurate manner, in all material respects, and appropriately in accordance with the Financial Reporting Standards. The Auditor has performed a review; disclosed opinions; and issued an unqualified opinion in the Audit Report, which is presented in this Form 56-1 One Report.

Gen. 

(Charan Kullavanijaya)
Chairman of the Board of Directors

Maj. Gen. 

(Patchara Rattakul)
Chief Executive Officer

Attachment 5

Sub-Committee Reports

Audit Committee Report

Dear Shareholders

The Audit Committee consists of 3 independent directors as follows:

- | | |
|-----------------------------|---------------------------------|
| 1. Mr. Prakit Pradipasen | Chairman of the Audit Committee |
| 2. Mr. Yanyong Maethapanich | Member of the Audit Committee |
| 3. Mr. Swin Chatsuwana | Member of the Audit Committee |

Miss Nithinart Juntasurat, Accounting Director is secretary of the Audit Committee.

The Audit Committee has taken a role according to the scope of duties and responsibilities assigned by the Board of Directors, to review as well as to gear HaadThip Public Company Limited towards business operations in accordance with the principle of corporate governance; having in place a monitoring system to ensure law and rule-adding; having in place an adequate risk management and internal control system; being an organization with a focus on transparent operation, while at the same time, being considerate in trying to meet the needs of all groups of stakeholders in all aspects. All of which is in accordance with the Notification of the Securities and Exchange Commission (SEC) as well as the requirements set forth by the Stock Exchange of Thailand (SET).

In 2022, the Audit Committee had held a total of 4 official meetings in conjunction with the Auditor and Internal Auditor personal. The details of their attendance are as follows:

Name - Surname	Position	No. of Attended Meeting
1. Mr. Prakit Pradipasen	Chairman of the Audit Committee	4
2. Mr. Yanyong Maethapanich	Member of the Audit Committee	4
3. Mr. Swin Chatsuwana ¹	Member of the Audit Committee	1
Miss Smornluk Mahasmiti ¹	Member of the Audit Committee (resigned)	2

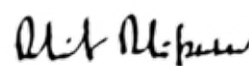
¹ Miss Smornluk Mahasmiti resigned from the Company's director and member of audit committee, effective on June 1, 2022. The Extraordinary General Meeting of Shareholders No.1/2022 appointed Mr. Swin Chatsuwana to be the Company's director and member of audit committee.

The operation of the Audit Committee can be summarized as follows:

1. Auditing the Company's financial report preparation, including enquiring the business executives about preparing financial reports discretely, considering the Company's quarterly financial statement audits and its subsidiaries' related-party transactions and its annual financial statement audit report, by meeting with the Company's accounting executives and external auditors, in order to make consideration until they were pleased with the report on remarks obtained from auditing or reviewing financial statements. The meetings with external auditors were organized without being attended by any executives in charge until they found mutual agreement, before suggestions on improvement were made. It is evident that the 2022 quarterly and annual financial statements were correct and reliable, prepared in accordance with the Generally Accepted Accounting Principles and disclosing information adequately and appropriately

2. Supervising internal auditors' operation, including reviewing adequacy and appropriateness of the Company's and its subsidiaries' internal control system, by considering reports on internal audit results, in accordance with the 2022 annual audit plan and the remarks on the internal control system assessment results, pushing to elevate correction and prevention of problems or aspects detected at different processes by the Internal Audit Office systematically and sustainably, by allowing the Internal Audit Office to analyze problems and aspects and coordinate with the inspection body, in order to specify concrete and explicit methods of correcting and preventing the aspects, including giving advice and monitoring operation of correcting significant aspects, in order to create good governance and adequate internal control.
3. Considering agreement with internal audit plans, work development plans, personnel circulation plans, personnel training and the 2022 annual budget of the Internal Audit Office and giving approaches to the Company's and its subsidiaries' internal audit, by focusing on the objectives and scope of auditing, to cover major risks of each unit and activity level, and specifying internal audit directions to support rapid changes.
4. The Audit Committee has considered selection, nomination and remuneration for auditors of the year 2022 by taking into consideration independence, operating results and appropriate remunerations for auditors, before proposing to the Board of Directors, who will then propose to Shareholders' Meeting thereafter.
5. Considering preparation of related-party transaction and disclose of information on related-party transaction in the Notes to the Financial Statements of both financial statements of the year and quarterly financial statements. The Audit Committee also provided an opinion in an independent manner on the acquisition or disposal of investment assets of major projects of the Company and its subsidiaries

The Audit Committee has performed its tasks with prudence, independence and issued opinions in a straightforward, transparent and auditable manner, according to Corporate Governance Principles. The Audit Committee is certain that the Company's financial statement and information disclosure are accurate, complete and valid, and in accordance with the Generally Accepted Accounting Principles. The Audit Committee is also certain that the Company's risk management and internal audit system are effective, suitable and adequate, and the internal audit activities are conducted in an independent manner; cover all of the operational processes with high risk, with an appropriate law-abiding and by-the-rule supervising system.



(Mr. Prakit Pradipasen)

Chairman of the Audit Committee

Good Corporate Governance Committee Report

Dear Shareholders

The Corporate Governance Committee consisting of 3 members as follows:

- | | |
|----------------------------------|---|
| 1. Maj. Gen. Patchara Rattakul | Chairman of the Good Corporate Governance Committee |
| 2. Mr. Yanyong Maethapanich | Member of the Good Corporate Governance Committee |
| 3. Mr. Dumrongrugs Apibalsawasdi | Member of the Good Corporate Governance Committee |

Miss Rattanawadee Kiatsimkul, Corporate Governance Director, acts as the secretary to the Committee.

In the year 2022, the Corporate Governance Committee held 2 meeting, attending by all member of the Committee.

Summary of the Duty Performance of the Corporate Governance Committee

The Board of Directors has appointed the Good Corporate Governance Committee, which aims to create transparency and standard operational frameworks. The duties and responsibilities of the Good Corporate Governance Committee cover several dimensions of HaadThip Public Company Limited, subsidiaries, the Board of Directors, executives, employees, shareholders, partners, and all the stakeholders in the value chain. The next operation will include clearer vision and directions in order to reach sustainable growth, which is part of the society, for which we need to be responsible.

In the year 2022, the Good Corporate Governance Committee held 2 meeting, attended by all members of the Committee. It can be summarized as follows:

1. Report on corruption, complaint and risk assessment for problem protection

- 1.1 The operation of the assessment of corruption risk: Corporate Governance unit managed relevated departments and divisions to assess risk and manage risk control for corruption and follow the Company's regulation. The complaints through system and operation since November 2021 – September 2022 was 10 complaints. All the complaints had been corrected and the reporters were satisfied.

1. 7 service improvement complaints

2. 3 other suggestions

2. Reports on Different Types of Operations

2.1 Operation on Governance and Anti-Corruption

- The membership of the Private Sector Collective Action Coalition Against Corruption (CAC) has been renewed. The CAC re-certified the Company as one of its members. Each certification is valid for 3 years and will be due on June 30, 2024. During this re-certification, the Company shall improve operational levels by preparing the CAC-Change Agent Project in collaboration with groups of partners, in order to build anti-corruption networks.
- The Company received the Model Organization for Human Rights Outstanding Award 2022: large business, being the only private sector in Southern Thailand to receive the award from the Rights and Liberties Protection Department, Ministry of Justice.
- The Company received UN Women 2021 Thailand WEPs Awards: Organization leaders for sexual equality-promoting organization leaders, given to Maj. Gen. Patchara Rattakul, CEO.
- 1,602 company staff participated in satisfaction and commitment to the organization survey. 72% of staff had "extremely high satisfaction" and 71.25% for overall satisfaction.
- In 2022, the Company received scores of 87% from Corporate Governance Report of Thai Listed Company (CGR), increasing from 85% in 2021.
- Board of Directors' Meeting No. 7/2022 on 15th December 2022 approved the name change of Good Corporate Governance Committee to be Corporate Governance and Risk Management Committee because of work effectiveness and their relevant works, effective on 1st January 2023.

Maj. Gen. 
(Patchara Rattakul)
Chairman of Good Corporate
Governance Committee

Risk Management and Sustainable Development Committee Report

Dear Shareholders

The Risk Management and Sustainable Development Committee was nominated by the Board of Directors on May 27, 2021. Most of the Committee members are senior executives. 5 committee members are:

- | | |
|------------------------------------|---|
| 1. Mr. Jose Henrique Zeitune | Chairman of the Risk Management and Sustainable Development Committee |
| 2. Mr. Dumrongrugs Apibalsawasdi | Member of the Risk Management and Sustainable Development Committee |
| 3. Mr. Riccardo Vrodom Sucharitkul | Member of the Risk Management and Sustainable Development Committee |
| 4. Miss Rattanawadee Kiatsimkul | Member of the Risk Management and Sustainable Development Committee |
| 5. Mr. Siam Suwannarat | Member of the Risk Management and Sustainable Development Committee |

The Risk Management and Sustainable Development Committee performs its duties according to responsibilities, assigned by the Board of Directors. The committee sets and reviews policy, target, risk management and sustainable development framework. The committee supervises and follows organizational risk management and sustainable development.

In 2022, the Risk Management and Sustainable Development Committee held a formal meeting on Wednesday October 26, 2022, where all the members of the Committee attended the meeting.

The summary of the operation of the Risk Management and Sustainable Development Committee as follows:

1. The Risk Management and Sustainable Development Committee identified risk and risk management framework to reduce and protect risks that may occur from organizational operations and external risks for smooth and no disrupted operations.
2. The Risk Management and Sustainable Development Committee set sustainability plan for 2022 - 2025. The sustainability plan is in line with the policy of Coca-Cola group which includes the sustainability of climate, water management and recycle project.
3. The committee follows up on the operation of sustainability development which has to be measured and have clear and concrete indicators and measured the current performance and possibility for the sustainability plan to be successful.
4. The committee considered and gave advice to sustainability development projects of the Company for best effectiveness and efficiency for all stakeholders including communities where the Company operates.

The Risk Management and Sustainable Development Committee has performed its duties, based on corporate governance principle. The committee firmly believes that the Company initiated organizational risk management and sustainable development effectively including reliable information disclosure and in line with company business plan which covers high risk operations. Operations are supervised in accordance with laws and regulations.



(Mr. Jose Henrique Zeitune)

Chairman of the Risk Management and
Sustainable Development Committee

Remark: The Board of Directors' Meeting No. 7/2022 on December 15, 2022 approved name change from Risk Management and Sustainable Development Committee to be Sustainability Committee, effective on January 1, 2023.

Nomination and Remuneration Committee Report

Dear Shareholders

The Nomination and Remuneration Committee comprises the following 5 members:

- | | |
|-----------------------------|---|
| 1. Mr. Yanyong Maethapanich | Chairman of the Nomination and Remuneration Committee |
| 2. Mr. Philipp Hugo Gutsche | Member of the Nomination and Remuneration Committee |
| 3. Mrs. Pariya Chirabandhu | Member of the Nomination and Remuneration Committee |

On June 1 2022, Mrs. Yupares Thiengham resigned from the positions of the Company's Director and Chairman of the Nomination and Remuneration Committee and Miss Smornluk Mahasmiti resigned from the Company's Director's and member of the Nomination and Remuneration Committee.

The Nomination and Remuneration Committee has performed the duties assigned by the Board of Directors, in accordance with prudent, equitable and reasonable manner.

In the year 2022, the Nomination and Remuneration Committee held 3 meetings, attended by all the members of the Committee, and considered the following matters:

1. Considering nomination directors to replace resigned directors and retired directors by rotation, before proposing to the Board of Directors to propose for approval from the Shareholders' Meeting
2. Considering appropriateness of annual remunerations for the Board of Directors and the sub-committees, that is, annual remunerations for directors, meeting allowance, and other fees, before proposing to the Board of Directors to propose for approval from the Annual General Shareholders' Meeting. The remunerations considered are appropriate for the scope of duties and responsibilities at the levels comparable to those of the other listed companies in the Stock Exchange of Thailand, which have the similar size and belong to the same industrial group. The remunerations are attractive enough to motivate and maintain quality directors and compliant with the Company's operating results of each year.
3. Considering the charter of the Nomination and Remuneration Committee and compensation in compliance with good corporate governance

Moreover, before each Annual General Shareholders' Meeting, the Company allowed minority shareholders to nominate the qualified candidate for consideration to be the directors of the Company in advance, in order to make a proposal for approval from the Shareholders' Meeting, in accordance with the criteria and methods specified by the Company and published on the Company's website at www.haadthip.com. However, none of the shareholders nominated any candidates to be selected as directors.



(Mr. Yanyong Maethapanich)
Chairman of the Nomination and
Remuneration Committee

Attachment 6

Corporate Governance Policy and Code of Conduct

Please see Corporate Governance Policy and Code of Conduct at

 <https://www.haadthip.com/en/about/good-corporate-governance>

Attachment 7

Charters of Sub-Committees

Please see Charters of Sub-Committees at

 <https://www.haadthip.com/en/about/good-corporate-governance>

HaadThip Public Company Limited

Head Office

87/1 Karnchanavanich Road, Baan Pru, Hat Yai,
Songkhla 90250

Tel : 0 7421 0008-18

Fax : 0 7421 0006-7

Bangkok Office

36/6 Soi Ramkhamhaeng 21 (Navasri), Yaek 5 Phlabphla,
Wang Thonglang, Bangkok, Thailand 10310

Tel : 0 2391 0169 70, 0 2392 9984-5, 0 2714 0452-3

Fax : 0 2381-2257



www.haadthip.com